

Firstsource Solutions Ltd. (FSL)

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Call: Aug 2022

9th August 2022

To: National Stock Exchange of India Limited (Scrip Code: FSL)

Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex
Bandra (East), Mumbai - 400 051 BSE Limited (Scrip Code:
532809) Phiroze Jeejeebhoy Towers, Dalal Street,
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Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of
Board of Directors on August 3, 2022

Please find enclosed the transcripts of the Analysts earnings call conducted after
the meeting of Board of Directors on August 3, 2022, for your information and
records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available
on the Company's website, at <https://www.firstsource.com/investor-relations/>

We request you to take the above on record.
Thanking you, For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

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Q1 FY20 23 Earnings Call
Transcript – June 30, 2022
CORPORATE PARTICIPANTS
Mr. Vipul Khanna - Managing Director & Chief Executive Officer

Mr. Dinesh Jain - President and Chief Financial Officer

Mr. Ankur Maheshwari - Head Investor Relations

© Firstsource Solutions Limited 2 Moderator: Ladies and gentlemen, good day and welcome to the Firstsource Solutions
Limited Q1 FY'23
Earnings Conference Call.

As a reminder, all participants lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during the conference call, please signal an operator by pressing '*' then '0' on your
touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankur Maheshwari from Firstsource Solutions. Thank
you and over to you, sir.

Ankur Maheshwari : Welcome, everyone and thank you for joining us for the quarter ended June 30th, 2022,
Earnings Call for Firstsource. Do note that the results, fact sheet and the presentation have
been e-mailed to you, and you can also view this on our website, www.firstsource.com
Before we begin the call, please note that some of the matters we will discuss on this call,
including our business outlook, are forward -looking, and as such are subjects to known and
unknown risks. These uncertainties and risks are included, but not limited to what we have
mentioned in our prospectus filed with SEBI and subsequent Annual Reports that are available
on our website.

With that said, I now turn the call over to Mr. Vipul Khanna to begin the proceedings.

Vipul Khanna : Good evening everyone and thank you for joining us today. Hope the summer and now monsoon are keeping you all well.

Quick Snapshot of the Quarter

Our revenues degrew 2.7% year -on-year in constant currency and came in at INR 14,724 million or \$191 million. Operating margins were 8% and EPS degrew by 36.6% year -on-year.

The macro -environment remains dynamic and the past 6 or 7 months have been unprecedented, making it challenging for us to forecast certain portions of our business accurately. Successive and substantial interest rates hikes, multi -decadal high inflation rates, and increased fears of recession are impacting parts of our BFS business.

The headwinds primarily to our U.S. BFS business are worse than we originally anticipated. As such, we have reassessed our growth visibility and lowered our FY'23 guidance to 2% to 4% growth in constant currency. Excluding Mortgages and the full year impact of acquisitions of last year, we expect to grow between 16% to 19% in constant currency.

© Firstsource Solutions Limited 3 The key factors in the guidance revision are :

The outlook for the Mortgage industry has considerably worsened since we last spoke . This will translate to a steeper Q2 and Q3 decline in Mortgage volumes than we previously anticipated. We believe that this business will bottom out in Q3, and that we have factored in the downside risk with these lower numbers.

In the Collections business, the macro indicators continue to point to a gradual increase in delinquency rates. And as such, we continue to expect growth to pick up in the second half of this fiscal. However, the inventory is building up slower than we anticipated. Hence, we are trimming our growth expectations.

The Mortgage business is expected to impact growth guidance for 3.5% to 4% and Collections by about 1%.

Notwithstanding these challenges, we are confident that our long -term strategies to diversify our business and grow continue to yield results. The demand environment across other segments is strong and is reflected in the strength, in rest of our businesses.

Given the significant revenue volatility, we expected our margins to decline in H1 and then pick up in H2. The sharper fall in revenue

and higher restructuring cost have accentuated the impact on margins for this quarter and the next one.

We are super focused on rationalizing our direct and indirect costs, which we anticipate will result in a positive impact to the operating margins by about 200 bps from Q3. Overall, we are confident of hitting an operating margin of 11.5% to 12% by Quarter 4 taking into account all these factors, we expect to achieve operating margins of 10% to 10.5% for the year. This includes an 80 bps to 90 bps positive impact from the recent amendments to Ind Accounting Standard 37, on accounting of onerous contracts. Dinesh will share more details for this in a few minutes.

Segmental Performance

Banking & Financial Services

In Q1 FY'23, our Banking and Financial Services segment degrew by 11.9% year -on-year, and 13.3% in constant currency.

Mortgage Business

Our Mortgage business contributed about \$32 million of revenue in Q1. This implies a contraction of 28% quarter -on- quarter and 48% year -on-year.

© Firstsource Solutions Limited 4 Since we last spoke, the market activity has deaccelerated sharply. Weaknesses in refinances

and purchases pushed the Market Composite Index, a measure of Mortgage loan application volume down to the lowest level since 2000. In fact, the refinance index was down 80% compared to a year ago. The recent outlook published by the Mortgage Bankers Association reflects a further reduction of 10% and 11% for CY2022 and CY2023 respectively, from their Q1 forecast for the same period.

From discussion with our clients, a key variable that has changed between the March and June quarter is the consumer outlook on home purchases. Despite pent -up demand, high inflation and economic uncertainty have dampened home purchases, at least temporarily.

A majority of our clients have continuously right sized their businesses in the last two quarters, to align with the rapidly changing market conditions, resulting in lower volume growth to us.

We were expecting the Mortgage business to bottom out in Q2FY23 and then stabilize thereafter. Now, considering the current volume forecast our expectations has shifted out by one quarter, with further declines in Q2FY23 , and business likely bottoming out in Q3.

In H1FY23 , our margins will be impacted by the lagged alignment of direct cost, people restructuring cost and the higher fixed costs. Aligning our operating costs with lower volume trajectory has been a top priority for us.

We have and we continue to reduce the direct costs. The restructuring costs will taper down by Q2. And we are realigning our support functions and leadership as well as rationalizing our tech and facilities infrastructure. We anticipate to start realizing the savings from the infra and support cost rationalization from Q3.

Amidst the painful recalibration of the Mortgage industry to this economic cycle, we see a number of silver linings of our business. Clients need more structural and Deep Impact cost solution and our pipeline for such long -range conversation continues to build up. Offshore, Nearshore and Digital are few key value levers in this pipeline.

In this quarter, we added four new clients for origination and servicing, across our traditional target segment as well as a couple of exciting business proptech companies.

Collection Business

In our Collections business, the macro -data continues to show consistent improvement.

According to the most recent data from the FED, delinquencies increased to 1.73% from 1.60% in the previous quarter. This is the third straight quarterly increase, although the matrix is still lower than pre -pandemic levels.

© Firstsource Solutions Limited 5 On the other hand, we also know that high inflation and higher interest rates, in general have

a negative impact on repayment ability and credit demand. Coming out of the unique economic and social conditions of the pandemic

, card issuers are fine tuning their strategies between first- and third -party Collection, and between traditional and digital.

Our Collections business is tightly linked to the outcomes we deliver to our clients. In this period of exceptional volatility, it has been difficult to establish a strong trend for both our clients and for us. We continue to expect strong volume growth in H2 of this fiscal year, but it's likely to be lower than our earlier estimates.

Irrespective, we continue to make solid progress in diversifying this business. We recently secured a win with one of our key BFS clients in the UK, and I am encouraged by the Collection services demand in that geo. We are steadfast in building a presence in Fintechs and Utilities. We added three new clients during this quarter and the sales momentum is expected to remain strong through the year.

We continue to invest in building our Digital Collections platform incorporating ML recommended strategies, newer payment methods and increased API leverage . We are also seeing strong demand for our recently opened Mexico nearshore location.

UK BFS Business

The UK BFS segment is growing strongly. I had shared that reinvigorating the GTM focus for this UK business is a priority for me in this fiscal year , and I am pleased to report that it is working.

We had a strong quarter of new offering wins and growth with our UK BFS plan. We also opened the Collection Service line with a key client providing great validation of our market efforts in the last year. The ramps for these are underway and should deliver steady state revenue by Q3. We recently closed an exciting digital transformation deal with the leading FinTech in the UK.

The demand environment, pipeline activity and digital adoption remain strong, despite the political uncertainty and tough economic conditions. The talent market continues to be challenging. We are focused on execution, expanding our delivery network and smaller nodal centers within UK and at the same time teasing out the shift towards offshore.

We reaffirmed our top ranking within the UK CX Segment by bagging five different industry awards.

© Firstsource Solutions Limited 6 Healthcare Business

Our Healthcare segment continues to grow consistently at 18 .1% YoY and 13.3% in constant currency terms. In the last four quarters HPHS segment had a number of significant win. We are now sharply focused on executing and scaling on these recent wins.

For our HPHS business, the growth thesis continues to be hinged on expanding into the Top 10 health plans, growing our digital intake business, and creating bespoke BPaaS solutions for mid -market health plans. Our targeted market making efforts continue to yield strong opportunities. The pipeline especially for large deals from top tier health plans is healthy. We also added two new clients this quarter.

In addition to the Everest Group and ISG recognizing us as a leader , Avasant has recognized us as a disruptor in the Healthcare Payer Operations market, citing our 'Digital First Approach', innovative solutions and strong execution.

I am also pleased at the demand pipeline for Mexico and Philippines, as Healthcare clients increasingly consider supplements to U.S. delivery , especially for the Medicaid business.

The Provider segment is gradually emerging from COVID and its residual impact. As anticipated,

the public health emergency has been further extended until the end of this calendar year. The talent supply challenges for this industry are acute and hospital margins continue to be under pressure. As a result, clients are receptive to engage in strategic broader scope solutions. For the provider business, our strategy is 1) To focus on competency of Eligibility Services and Receivables Management, to continue to gain market share. 2) Expand wallet share with a large portfolio of clients by developing adjacent capabilities,

es,

including offshore for mid-revenue cycle services.

We continue to invest in go-to-market capabilities and digitizing our offerings increase engagement with patient and their caregivers.

Provider revenue for the quarter was flattish. The strong sales momentum of Q4 '22 continued in this quarter, including the addition of three new clients. This segment has long implementation cycles, and we expect revenue yield to increase in H2 from the new payout of the last two quarters.

Communication s, Media & Tech Business

Finally, our Communication s, Media & Tech segment grew by 0.9% YoY and 5.9% in constant currency terms.

© Firstsource Solutions Limited 7 Our UK portfolio continues to perform strongly. We continue to scale with existing clients including adding new lines of business with our largest clients. During this quarter, we rolled out a large Process Automation program with a leading comms client. We are excited by the impact it creates on the clients operations, and by the opportunity to leverage the showcase engagement.

Our North America CMT portfolio is also scaling up nicely. And in this quarter, we added one new account in the tech segment.

Outlook Going Ahead

We have shared that FY'23 will be a year of transition of our revenue composition. These are clearly unusual and volatile time and it's challenging to forecast. Having said that, I am disappointed to speak with you once again about lowering our guidance. This is on me, and I am fully aware that we need to provide better clarity on the growth outlook of our businesses. If we step back, I am very confident that our underlying business is strong. The strategic focus we established a couple of years ago, remains on track. We will continue to invest in our three core industries of Banking and Financial Services, Healthcare and CMT, consolidating the leadership position we have in the chosen sub-segments, and systematically adding growth adjacencies to them. We will push forward on digital solution and services to take disruptive offerings to market in each of the industry. And above all, build a purpose-led scalable and agile organization.

We continue to diversify our business profiles and form a strong base for sustained high quality growth. By the end of Fiscal '23 Mortgages will be between 13% to 15% of our business down from about 28% in FY'22. Ex-Mortgage we expect solid growth in Q2 and expect the trend to continue, delivering 16% to 19% growth for this fiscal.

On operating margin, we are confident of returning to our run rate of 11.5% to 12% by Q4, while maintaining our investments in the growth areas of Europe, Healthcare and CMT.

In addition to the significant cost actions on the Mortgage cost base, and the planned margin improvements in last year's acquisition, we have taken the opportunity to fine tune our operating model in certain areas, and recalibrate the timing of some of our investments.

I will now pass the call over to Dinesh, to cover the financial details.

Dinesh Jain : Hi everyone. Let me take you through the some of the financial highlights.

Revenue for the Q1 came in at Rs. 14,724 million or \$191 million. This implies a degrowth of 0.8% in rupee term and 2.7% degrowth in constant currency.

© Firstsource Solutions Limited 8 On the margin front, operating margin came in at Rs. 1,171 million or 8% of the revenue for the quarter, which is 35% degrowth on year-on-year basis and implies margin decline of 417 basis points.

Profit after tax came in at Rs. 851 million or 5.8% of the revenue for the Q1 FY'23. This is 36.7% year-on-year degrowth with a margin decline of 328 basis point.

In Q1 FY'23, we generated Rs. 1,408 million of cash from operations, and our free cash flow was Rs. 1,238 million after adjusting for CAPEX of Rs. 170 million. Closing cash balance as of June 30th was approximately Rs. 1,935 million.

DSO came in at 59 days versus

versus the 57 days last quarter. Net debt as of June 30th '22 stand at

Rs. 7,333 million or \$92.9 million versus Rs. 8,013 million or \$105.7 million as of March 31st '22.

Repayment of around \$12.8 million debt during the quarter has been done.

Tax rate for the Q1 was around 18.8%. For FY'23 we expect it to be within the range of 18% to 20% for the year.

On the Forex hedging, we have coverage of £2.9 million for the next 12 months with average rate of Rs. 114.4 per pound. On the other side the dollar coverage is \$52.5 million with the average rate of Rs. 79.1 per USD

Let me slightly brief on you on the change in the Accounting Standard 37, which got effective from April 1st, '22. This was the Ind AS 37 which have been amended, consequent to this amendment to Ind AS 37, "cost that directly relate to a contract" consists of now both the cost, first was the incremental cost of fulfilling the contract. And the second is allocation of all other costs that relate directly to the fulfilling contract. So, up to the previous standard only the direct cost was considered for the arriving at onerous contract. Now onwards the indirect or allocation of costs also has been considered. This is the change which have come in now. Therefore, in evaluating whether or not a contract has become onerous, both direct and indirect cost of fulfilling a contract have to be considered. And as per the transitional provision of Ind AS 37, the effect of the commencement of the reporting period is to be reported an adjustment to the opening balance of retail earning.

The adoption of this amendment has resulted in a reduction of \$783.4 million net of deferred taxes in the opening retail earnings with a corresponding provision for onerous contract as prescribed in the Rule 2022. Accordingly, we estimate, this will result in a lower charge in the Profit & Loss by 55% to 60% of this value in FY'23 and balance will go to FY'24, and some portion maybe in the FY'25.

© Firstsource Solutions Limited 9 The liability for this onerous contract is mainly on account of unabso rbed, indirect allocated cost, comprising facilities costs, depreciation on fixed and intangible assets, technology cost utility, and some specific geographic support service costs. This is the change which has been done in this quarter and thus the accoun ting treatment we have done.

With this I open up for the Q&A.

Moderator : Thank you very much. We will now begin the question and answer session. The next question is from the line of Divyesh Mehta from Investec. Please go ahead.

Divyesh Mehta : My first que stion is, can you actually share again the guidance decline, where is how much basis point impact coming from Mortgage and Collection? And also, can you share accounting standard, what was the impact coming from this change?

Vipul Khanna : So, the guidance revision, about 3.5% to 4% is coming from Mortgage and about 1% is coming from Collections, which is primarily from trimming of the growth expectation in H2 of the year.

On the impact of the accounting standard change, we expect this year that will positiv ely impact our operating margin by 80 to 90 basis points.

Divyesh Mehta : So, my next question is that in the credit card repayment business, the delinquencies, as you said, are increasing. But if you look at the various banks commentary, all of them have b een highlighting that customers now have a larger chunk of saving a bigger cushion . So, they are not expecting a big change in that number. So, what is driving your reasoning that repayment side can see a strong growth?

Vipul Khanna : So, both things are ha ppening, right, as I mentioned, for the last three quarters, from the very lows at the peak of mortgage where people had a lot of surplus cash, delinquencies, quarter - on- quarter have been increasing. At the same time, people as the spend has increased, yo u will see more of that sort of coming through in

the delinquency rates. We had anticipated

volume growth. We have been continuously calibrating with our clients. That's partly the reason we have recalibrated down some of the growth expectation, but we sti ll expect there will be additions and increased volumes coming through to us.

And the second factor is, since as I have been mentioning, we have been adding new clients in utilities, Fintechs, etc, as those implemented and as those volumes come through fro m us, right, as you have new client, they slowly start placing more volumes from you, that balance kind of builds up. And as that builds up, those two factors combined are what are driving our Collections forecast.

We have been careful in incorporating how much lift we take from existing clients. And that's the balance we have been trying to strike in our forecast. Looking at the volume flow today I have and we look at the guidance from our clients.

© Firstsource Solutions Limited 10 Divyesh Mehta : One last question. So, when you said that 1 3% to 15% of the business will be Mortgages that

was by end of FY'23 or for the whole FY'23?

Vipul Khanna : So, for whole of FY'23.

Moderator: Thank you. Manik Taneja from JM Financial. Please go ahead.

Manik Taneja : So, my first question was with regards t o the Healthcare business is seeing a sequential decline on the Healthcare side, the understanding was that we had won a few deals there and thereby one would see continued growth. So, from that standpoint, if you could help us understand what gave the seq uential drop here, if there were any one time elements of revenues in 4Q if you could call that out?

And the second question was with regards to the underlying shift towards India, if you could talk about your comments there given the labor or the staffing challenges that one has seen in Philippines as well as in the Europe?

Vipul Khanna : So, Manik the second comment quickly first, clearly, both the UK and U.S. markets have talent shortage at the frontline level. And to that extent, I mentioned about Mexico Center getting opened in March; Philippines, we already had, but we are seeing good demand. We have won a couple of deals that we are scaling up there. And I think that recognition of considering for contact center or center processes Mexico, and definitely for chat and back-office for India, we see an uptick of demand in Healthcare, we see that in Mortgage, and we see that in BFS and CMT clients in UK, right. I can almost see that as a broad trend.

Obviously, the scale is small and unique kind of teases out, right, the scale buildup is small. But as the year goes by, we do expect that some of our existing business will convert to offshore as well as the new wins, it's an increasingly important part of the new solution that we are putting together between Philippines, Mexico and India, as far as our Healthcare, Mortgage and CMT business is concerned.

On your first question, Healthcare, it had a couple of very strong quarters of growth, coming into Q3 and Q4 of last year. This quarter has been sort of flattish, largely because HPHS took a little bit of a breath, as we kind of focused on executing some of the deals and putting our shoulder behind sort of all that it takes to implement between technology and people.

Provider business, it's kind of dealing with some of the reminiscence of COVID, not necessarily in terms of consumer behavior, but the government interventions in the reimbursement cycle are kind of going away in an inconsistent manner across different states. So, there are some minor puts and takes from a timing standpoint or when approval come through from different states, on our Provider business, then it kind of flows through to our clients and hence to us because it's outcome driven.

© Firstsource Solutions Limited 11 So, nothing secular or structural out there. We expect strong growth to pick up from Q2 onwards in Healthcare. And

overall, as we end of the year, we expect strong growth from HPHS and decent growth from the Provider segment.

Manik Taneja : One last question on the Healthcare HPHS business, over there should one expect a typical seasonality wherein 3Q and 4Q should do much better than first half the year given the vagaries of the enrollment for the open enrollment cycles with the American Healthcare System.

Vipul Khanna : So, there is definitely an uptick in Q3, and it bleeds over into Q4 because open enrollment period for a majority of the population is leading up to December, so that they are ready for next year. It's not significant, but it's definitely an uptick that we see in Q3, Q4, historically across our health plan.

Moderator : Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta : Couple of questions, first about the guidance. In the guidance I think you alluded about weakness to persist in H1 and recovery in H2. So, can you help us understand let's say next three quarter how the trajectory look like, both from revenue perspective and margin perspective, whether we are making too much for Q3, Q4, and which again, carries some risk in terms of guidance or you believe Q2 onwards we will see sequential growth playing out, and margin also will start recovering?

Second related question is about let's say 2% to 4% constant currency, YoY when we say. what kind of CAGR we are building for next three quarters?

Second question is about the Healthcare business, to some extent you alluded, but if you can provide some sense about Provider business, it seems weakness for Provider business for some time. Some of your peers seeing healthy recovery over last couple of quarters, maybe mix change or some other differences, but our recovery seems to be very soft compared to some of our peers, so if you can provide some sense?

Vipul Khanna : So, guidance, overall, we expect that growth will pick up through the year. At an overall level, Q2 will be flattish compared to Q1, and then will kind of pick up. And that's largely because Mortgages will decline next year. And it will kind of mute away the growth in other sectors. So, ex-Mortgage, we expect decent set of growth in other businesses in Q2, and that trend will continue. When the Mortgage decline starts to arrest after Q2 that will kind of show up more in the growth at the overall level.

So, on your question of what is the compounded quarterly growth rate, at this stage, we expect that will be between something like 3.2% to about 4%, between Q2 to Q4. So, that's from the guidance.

© Firstsource Solutions Limited 12 As far as margins is concerned, couple of factors which are playing up on the margin. One as

the margin decline, we have a direct cost base in the Mortgage business, especially that we need to tackle which we are tackling. There is an impact of restructuring costs that we have in

this quarter. And kind of it will taper off by next quarter. So, that imbalance of direct costs, which is weighing heavy on Q1, and slightly less than Q2, that will kind of finish off by end of Q2, that's one positive factor to the margin.

Second, the actions we have taken on our indirect costs, whether its leadership support, as well as leadership and support of infrastructure, those actions have been implemented. Obviously, they have long notice periods and cycles from our facility and technology reduction. Those, we expect to kick in from Q3 and Q4. And as I mentioned, we expect that will lift our margins from Q3 by about 200 basis points.

So, between the reduction of load in direct cost, the restructuring costs tapering off, and the gains from indirect costs, we do expect that our operating margins should start to come back to around 11.5%, 12% by Q4 to end the year overall, between 10% to 10.5%. That's kind of the margin ramp that we see from Q1 to Q4.

On the Healthcare

business, Provider, so I think I had mentioned we had a strong sales quarter in Q4, after about 10 quarter, we had a highest sales in Q4. We continued with pretty much the same trajectory of growth in Q1 as well. But this business has a longish implementation cycle. You get prospective placements from your clients, you don't work on whatever their previous vendor or in-house might be working on, you only get fresh placements. And there is a cycle for those placements, to work their way through the different service value chain, and by the time you recognize revenue, it kind of gets to be about sort of six to nine months in terms of meaningful revenue. So, those gains will kick off towards the second half of the year. That's one common.

Second, our business, as we have been saying, is kind of, we are the leaders in eligibility and building in RM business. That has its own nuances. It's completely a non-shore business. Since the last couple of quarters, we have stepped back and broaden the scope of where we play. We have put in a new team. We are digitizing are offering. And we are also building up capabilities for mid revenue cycle, so that we can start to kind of cross-sell to our existing clients, on some of the mid revenue cycle opportunity where offshore plays an important part. So, we also see growth in some of our competitors who have much broader offerings and also they have offshore presence in that. And that's one of the targets we are doing to increase our business. Our core business is obviously linked to how the macro conditions and the public health emergency plays. But given the fact that sales have increased, gives us confidence that as the year goes by, some of those remnants will kind of wash itself out through the RPM cycle of the U.S. industry.

© Firstsource Solutions Limited 13 Dipesh Mehta : Vipul, just on one follow up on margin. Let's say in Q1 we deliver 8% EBIT margin, you indicated

revenue to be flattish in Q2 considering Mortgage business headwind likely to persist in the near term. So, you think this margin is also likely to remain closer to Q1 or you think now improvement will start from Q2 onwards.

Vipul Khanna : No improvement will start from Q2, Dipesh because some of the costs action we have taken and some of the restructuring will taper off. So, for instance, this quarter, and Dinesh can validate comment in, this quarter we had about 60 bps of impact from restructuring costs that will taper down to about 35% 40% in Q2, right. So, some of those direct cost benefit will come in, and we will see a lift in the margin from Q2 itself.

Dinesh Jain : No, that is right. I think the Q2 onward we will start seeing margin improvement. A lot of cost actions have been taken and some of the costs have already been taken out. So, Yes we will see the improvement.

Moderator : Thank you. Next question is from the line of Shradha from Asian Market Securities. Please go ahead.

Shradha : I have a couple of questions from my end. So, can you quantify the mix of servicing and origination in our Mortgage business this time around?

Vipul Khanna : Yes, so Shradha for the end of this year, we expect we will be between two-thirds servicing and one-third origination. At this point in time, we are at about 40-60, between origination and servicing.

Shradha : And Vipul, if we really look at what happened in this quarter, we had guided to Mortgage being at \$32 million to \$33 million run rate in 1Q. And that is where we actually landed. So, the interest in this quarter was more to do with other businesses than Mortgage actually, so is the understanding right?

Vipul Khanna : Partly, but look, we were expecting that we will taper off, we will kind of find the new equilibrium from Q2. But towards May and June, we have seen sliding down of revenues. And hence we are seeing a significant decline that you see in Mortgage quarter-on-quarter between Q1

to Q2, that has an impact on cost and margin significantly, right, because you have your revenue starts to tail off sort of mid-quarter from where we want it. So, yes, we are broadly

slightly lower than where we wanted for Q1, but if the Q2 and the lower base for Q3 and Q4, which is a big driver for our guidance revision.

Shradha : And what kind of decline we are building in for 2Q, if we can give some sense on that? And do we expect a further decline in 3Q over 2Q or 3Q should be more steady state, vis -à-vis 2Q?

© Firstsource Solutions Limited 14 Vipul Khanna : So, at this stage, we are expecting Q2 on Mortgage to be closer to between, let's call it \$ 25

million to \$26 odd million. It will bottom out from there slightly in Q2, not a whole lot, that's how we see at this point in time, and then gradually pick up a little bit it will pick up from Q4.

Shradha : And just under leadership restructuring, what actually do we mean there, I mean, has there been some voluntary attrition of people that we have seen at the senior leadership level or what exactly do we mean there?

Vipul Khanna : So, I meant two parts, one that the whole support infrastructure, right, that is built up to support a business that had scaled up to a business which was running at about \$200 plus million right. Now, that's the business which will pretty much halved. So, to that extent, we are realigning the support infrastructure across the functions for that lower base.

And second, as the business for Mortgage has declined, obviously, across the pyramid, we have had to reduce some of the talent cost there. So, at the senior level, we have stability, but at the operating level at some of the solutioning and stuff level, we have had to kind of recalibrate the business to the new reality of the volumes.

Shradha : And just one last bit on the two acquisitions, how our cross selling synergy is playing out in both Stonehill and ARSI, we can talk more about that.

Vipul Khanna : So, the ARSI acquisition is playing out well, it's integrating well. We had mentioned that they had lower margin than us. And it will kind of take us this financial year to kind of bring them to parity by end of the year. I think that is on par, mostly.

On Stonehill, clearly they have also been impacted by the industry, significant decline in the industry on their revenue. And given it's a platform-based business, it has impacted their margins pretty significantly. And we have had to recalibrate that cost as well in Q1 to this new reality. The good thing is that because they had lesser exposure to origination, and they are mostly QC and due diligence, which are secondary market activity. We saw that they stabilized in June, and in July also we have seen strength in their business, or at least there is stability now. And they obviously will recover a little bit ahead of the core business, given once there is stability in the secondary market transaction. It shows through in volumes of QC in view of Stonehill.

So, revenue wise they are stabilizing, margin wise they were worse than where we anticipated, primarily because it's the platform business. And I think it will take us till end of the year to bring them back to a reasonable level of margins.

© Firstsource Solutions Limited 15 Shradha : And just one last thing, the guidance is on constant currency basis, which is of 2% to 4%, and

assuming 250 bps cross currency headwind given a 30% exposure to Europe that we have. So, in dollar terms of we might actually see a decline in revenue this year versus 22, is this understanding right?

Dinesh Jain : I don't think we have done that working. But Yes, it can be because our rupee is at Rs. 79 or Rs. 80, so year-on-year basis that's a change, plus I think dollar, GDP also trending lower, it is now at 1.22 and 1.24, so it can, but we have not done the working, I think we will share with you once we have done that.

Shradha : An

d last time you that indicated that the guidance, yes --

Ankur Maheshwari : What I was saying Shradha is that we have about 30% of the business coming from UK. So, that obviously will be exposed to this moment. To that extent, we will have that impact on our dollar revenue.

Shradha : And the last time we had split out the guidance in terms of organic and inorganic, and we had expected almost a 600 bps contribution to come in from acquisitions. Is that number still the same or has there been a change of mix between inorganic and organic contribution now?

Vipul Khanna : I think so first of all, as I mentioned, excluding the impact of both Mortgage and full year impact of acquisition, we expect growth of 16% to 21% for the fiscal, which means that other businesses are performing strongly.

On the inorganic impact I think we will see some trimming as I mentioned, ARSI is part of the Collection cycle. So, there will be some trimming, slight trimming there. And then Stonehill has also been impacted to some extent, I don't have a quantified, we can answer later. But I think it will be slightly lower than the 6% impact that we expected from the acquisitions.

Moderator : Thank you. My next question is from the line of Sachin Kasera from Svan Investments. Please go ahead.

Sachin Kasera : One thing is that, if you could give us some sense on your vision for more like a two, three year perspective, because of this heavy dependence on Mortgages, we had a very big impact on our

numbers. So, how are we looking to build a company so that we are more diversified, both in terms of geography as well as in verticals, so that we again, do not have the same sort of mistakes. So, if you could just give your broad vision of post this month that we are seeing or headwind we are seeing, how do we see the company say in FY'25?

© Firstsource Solutions Limited 16 Vipul Khanna : So, let me just quick comment on Mortgage before I get to the overall vision. So, look Mortgage

is a volatile business, it's a more dynamic business, it's linked to economic cycles and we know that. Typically, these cycles are four to five years, right, these cycles work in the form of interest rates decline, refinance, become very viable, etc, etc. But given the unique circumstances of COVID, where interest rates went down to record low, demand picked up significantly, this cycle got compressed. And you saw some tremendous growth in our business in the last two years.

And at the other side of the cycle, that the economies come out of this and you have seen sort of successively increasing actions, and the pace of the actions which FED is now doing, has not been done in the last 40 years. So, with those sort of actions, the decline is also very precipitous, right. So, this cycle, instead of five years, has got compressed to two years on both way, on the way up, as well as the way down. And which has given less time to the industry, our clients and hence us to prepare for this kind of thing, but fundamentally solid business. And as we go forward, we think from the start of the cycle to now, we have almost doubled the base of our clients, we have a diversified client base. We want to expand into other parts of the Mortgage chain, so that we are not totally at the -- so that originations become the smaller part. There are other pockets and products like Home Equity, Home Improvement, other parts of the value chain, where it can play, and also take this expertise and expand into consumer lending or other parts of BFS, right. So, take some Mortgage and go to other parts of consumer lending. So, take this core, and we can expand into multiple ways, that's one of the strategies coming out of this cycle that once we have this foundation of the Mortgage business, where do we take it.

At a broader level, as I mentioned, by end of FY23, Mortgage will be about 13% to 15% of our business, which means that rest of our business

is less linked to that economic conditions.

That's why we have been investing in Healthcare growth, like Healthcare, both payer and provider. We have been investing in CMT. And we have been investing in different parts of CMT, for instance, Digital Media, edtech etc. And we are also starting to think about, as I already talked about delivery dependency kind of coming on to other places.

So, I think from a vertical standpoint, within the broad verticals of Healthcare, BFS and CMT, we are finding segments where we think we have a legitimate claim to kind of win or right to win, and expanding into that.

Again, reiterating what I have said, if you take ex-Mortgage, if it's a 16% to 19% growth, going into next year, when Mortgage becomes a smaller base, and it has stabilized, I expect that at the reported level we will deliver good top quartile growth for the BPO 30 industry, we will be able to kind of give that consistently once we have this portfolio realigned after this year's aberration.

© Firstsource Solutions Limited 17 Sachin Kasera: Secondly, we have a significantly good exposure to the UK economy, we again have been

reading that Europe itself is again seeing some sort of recessionary condition. And the Pound has also depreciated. So, what is your take on this? And can this also give us some negative surprises maybe if things deteriorate further from here, say, Q2 or Q3 and could again lead us to some sort of revision in guidance or outlook or negatively?

Vipul Khanna : Yes, the UK economy is also going through a pretty soft phase. There is political uncertainty, there is economic conditions, high inflation, high energy prices, which are impacting the economy and the populous there, no different as such from the U.S. economy. In general, when companies have pressures, outsourcing is a good answer. It is playing out in UK, it is playing out in U.S., ex-Mortgage. So, we are seeing good demand. Q1 was very strong quarter for UK. And looking at the ramp ups that we have in play as well as the pipeline we feel good about the growth in UK for this year, and going into next year.

The softness in the economy, we are seeing demand in BFS, we are seeing demand in CMT. And in small ways, when we play in the utility segment, we are seeing demand there as well, in the UK markets. The impact of Pound softening, that will play in our financials, Dinesh has kind of covered most of it from a Foreign Exchange exposure. So, for now, I don't expect any downside risks from the UK economy condition playing on our revenue and margins.

Dinesh Jain : No, I think Vipul, that's true, because I think the consolidation level, you may have revenue impact, but bottom line, not going to be significant, and all offshoring is as you know that we already covered one year at the average rate of 114, while your current GBP is around 95, 96, so it is very much covered.

Sachin Kasera : So, one question on the net debt, it had gone up significantly last two years because of acquisitions. So, what is the thought process there? Would we now look to reduce the net debt before we do any major acquisition?

Dinesh Jain : I think this quarter we reduced the debt because all the cash flow has been utilized only for that purpose. And I think I have said in the past also I think that debt level is like hardly to like 40% or 50% of the working capital which we have. And we have not taken really the long term debt for acquisition and more at cash flow which utilized. And I think it's better to protect the interest rate, we have converted some of the working capital to a debt, which is two year and three year. But purely these are money utilized for working capital. So, I think I will say that these are all debt, which is for working capital and it's that way, I don't think there is anything else specific to it.

Sachin Kasera: So, the surplus cash that we will generate post the payout, we intend to, a gain look at some acquisition opportunities, or we will primarily reduce debt, that was my question?

© Firstsource Solutions Limited 18 Vipul Khanna : So, we continue to look very systematically for adjacent growth areas, and as part of that, inorganic is always a strategy. Nothing imminent, nothing planned for now, but we continue to look into markets continuously evaluate opportunities as they come aligned to our growth trajectories. So, at this point in time, nothing specific to report on that aspect.

Sachin Kasera: And just last question on this margin in Healthcare QoQ I can see some significant compression, I don't know if you have covered that, but there seems to be a significant compression in the margins in the Healthcare vertical versus the March quarter. So, I don't know if you have commented on that --

Vipul Khanna : So, couple of reasons for Healthcare margin compression

i) The Q4 margin was higher, because there were one off items that had taken the margin up for Q4. As that effect normalizes, that kind of shows up in Q1.

ii) Given some of the wins and the focus and execution, we have had the kind of starting to implement cost comes before revenue, that is another part of normalization, which we will see.

And then iii) As I have mentioned, in the past, digital intake is one of our go-to-market strategies for large health plans. It's a competitive business, it has a long lead implementation cycle, because it's dependent on technology and stuff. That business is kind of, at this stage going through its implementation phases, and it's impacting the margins. Once it scales up, once we have a better equilibrium on execution on that business, that will also contribute positively to the margin, but this quarter, it impacted the margins for HPHS business. So, these are the three reasons why we saw sequential decline on Healthcare margins.

Sachin Kasera: So, fair to say that Q4 was a little high because of one offs and this quarter, it's low, again, because of one offs. And hence, the compression looks much more magnified.

Vipul Khanna: Exactly.

Sachin Kasera: Would you be able to quantify this one offs, approximately, how much was the one off in Q4 on the positives and how much of the negatives, this quarter?

Dinesh Jain: I think we need to have exact in a percentage term. But I think there are three reasons which Vipul said, I will say that 25% reason for the last year, but the 75% reason for the current year, which is mainly the investments and I think due to the new businesses which we have taken where we have a cost of growth cost, which comes into play. So, I think that was the most bigger reason.

© Firstsource Solutions Limited 19 Moderator: Thank you. Next question is from the line of Chirag from Ashika Institutional Equities. Please go ahead.

Chirag : I have a few questions with respect to the margin levers, which we can use to maintain the performance of what you guided. Please throw some light, what are the levers we have? And also ex-Mortgage if our business model is under transition phase from next 3 to 4 year perspective then also will this lever will intact or will it be changed?

And also guidance from three to four years on top line?

Vipul Khanna : Yes. So, margin levers available to us as I had mentioned, one direct cost for Mortgage business needs to be realigned to the new revenue base, which we have been doing that's well underway. Second, our technical infrastructure as well as physical infrastructure obviously, needs to be recalibrated down, that's a longer reduction cycle. We have initiated those actions. We will see some benefits in H2, and we will see some more benefits come through in next year as those actions kick in.

And three obviously, when you transition this level of business the growth, the SGA as a percentage of the company, it becomes bigger. Once this effect wears down, the SGA itself will

normalize as a percentage, and that will add the scale effect to the margins. So, between those three factors is where we see margin coming back to historical level by end of the year.

As we change, as the business becomes more diversified, does it change our margin profile?

No, I think it continues in the same way. I have said in the past that we think we would like to get to a place where every year we can improve our margins by about 25 odd basis points to operational efficiency, etc. We had delivered that in leading up to FY22. This is a year of abrasion. And I think they will continue their journey once this kind of wears off from FY24 onwards. And the same for revenue. If you look at revenue, FY22 ex-Mortgage we grew 14%, this year ex-Mortgage we are saying we will grow 16% to 19%, not counting impact of acquisitions. And we do expect to continue in the same way to deliver double digit growth in line with top quartile BPM companies for the next four to five years. And I think the foundation of business, and if we look at last two year's trend, we are reasonably confident that we are on track to deliver that.

Chirag: Do we started the wage inflation price into the contracts on client side? I mean, increasing the project cost and all the other due to inflationary environment?

Vipul Khanna: Yes, we have been at it since last year, some of our contracts have automatic sort of kick in, especially for onshore delivery, as index changes, you know, price changes. For others we have been negotiating. There are obviously some lag. But in general, I'm pleased with sort of how clients have responded to the rising wage inflation.

© Firstsource Solutions Limited 20 Moderator: Thank you. Next question is from the line of Sonaal from Bowhead Investment Advisors. Please go ahead.

Sonaal: I have two questions. Firstly, on a quarter-on-quarter basis, our depreciation has declined. What is the reason for the same? And what would be let's say, a recurring depreciation or the depreciation for the next quarter?

My second query was you mentioned that you have been able to get some price increases and some of these price increases are part of your contract. So, in outcome-based contracts also, are there such clauses of price increases, like in your Collection business would you get a better pricing based on outcome, considering there has been inflation, or would the pricing be same, because it's outcome based?

Vipul Khanna: So, look, in general in outcome-based pricing, there isn't an auto inflation and it's hard to get price increases as your cost of input increases for outcomes. The lever there is operational excellence since we have the flexibility to continue to fine tune our operating model, continue to bring in innovation, that's a value lever to counter rising prices in general. It's mostly on the input based, FT based where we kind of have either automatic or negotiated price increases.

Dinesh Jain: On the depreciation part, I think some of the facilities which have completed the depreciation period. So, there is a slightly lower charge this quarter. And I think as you have seen the CAPEX, which we have invested, probably it will be range bound, I don't think it will increase to that number of Q4 level, but I think it will be range, Rs. 2 crores to Rs. 3 crores here and there. We did a Rs. 69 crores last quarter, we are at Rs. 64 crores I think it should be in that range of Rs. 65 to Rs. 68 crores, I don't think it will materially change.

Sonaal: Lastly, so I joined late, so maybe you have answered this, but in case of the Healthcare business won't be expecting growth in this quarter, if I remember correctly based on my past discussions and why didn't that materialize?

Vipul Khanna: So, as I said, Healthcare business will grow strongly this year, right. We have the deals, we are implementing, we know that. Partly, as I said this has been a quarter of

execution on Healthcare

on the health plan side, it didn't show up in revenue primarily because we have won, lot of deals, we are focused on executing; the pipeline is there excellent pipeline which will pick up Q2 onwards on the health plan side. And on the provider side, we had projected that the growth will come in later part of the year. The sales have happened; they will start to kind of kick in later part of the year. Next year in provider, you will see more expression of sort of the COVID impact going away. So, it's been a little bit of a flattish quarter on Healthcare, but nothing structural and we aren't worried about growth in this sector.

© Firstsource Solutions Limited 21 Sonaal: My question wasn't actually about structural part; I was trying to just understand so this

Healthcare are you saying that was in line with your expectations when you had a Q4 call or has there been a change in Q1 compared to your expectations?

Vipul Khanna: Understood your question now. No, I think broadly in line with our expectations, this isn't something which we not expected.

Moderator: Thank you. The next question is from the line of Manik Taneja from JM Financial. Please go ahead.

Manik Taneja: Just wanted to understand the fact that you spoke about us aspiring to match peers on growth, or the high growth BPO company, should we probably expect given the fact that while Mortgage would have reduced to a much smaller size, but we have the top client which is not

such a very high growth account. So, with almost 30% of your portfolio which has shown probably a subdued growth in that context, can you expect to get back for double digit growth in FY24?

Vipul Khanna: So, Manik I got the thrust of your question, your voice was a little bit in and out. So, you were saying that with the reduced Mortgage portfolio are we confident of getting double digit growth next year?

Manik Taneja: Yes, that's correct Vipul.

Vipul Khanna: Yes, so Manik as you just said, if you look at it, like last year, FY22 ex -Mortgage, we grew 14%. This year, ex -Mortgage and even excluding the Collections and Mortgage acquisition, we are projecting 16% to 19% growth. The foundation for Healthcare, CMT, and DFS business, including UK, and the Collection business, I think, are good businesses. They are showing what they have shown in the last two years, Yes. And I feel good that we will be able to deliver the medium -term growth that we have been talking about the low to mid -teens.

Manik Taneja: And just one last clarification question with regards 2% to 4% YoY CC growth outlook that we have provided for the full year, do you expect the second quarter to be a flat quarter at an overall composite level on a year -on-year basis? I couldn't understand the comment that you guys made around the 2nd Quarter performance should we expect it to be sequentially flat? Should we probably expect a YoY flat quarter, if you could clarify?

Vipul Khanna: So, it will be sequentially flat, YoY I think it will show up growth. It will be sequentially flat because Mortgage will see a decline while other businesses will increase. So, that's math of it.

Manik Taneja: Sure. Thank you, I'll take the discussion offline, because I guess asking rate for 3Q and 4Q will be very significant assuming 2Q is flat on a sequential basis but I will take it offline. Thank you.

© Firstsource Solutions Limited 22 Moderator: Thank you. Next question is from line Sonaal from Bowhead Investment Advisors. Please go ahead.

Sonaal: My question was pertaining to credit card recovery business and claims which you get , based on outcome basis. So, that business didn't do well in the last few quarters, what now, since people are talking about a slowdown, would that be a major part of your growth drive this year, and when do you expect that business to pick up, because there is some lag valuation I understand.

Vipul Khanna

: Yes. So, you are right, that Collection is counter cyclical business right when the economies go soft Collections in general does well. Because people start to fall behind and stuff and you have more higher Collections than when the economy is good, and everybody's kind of making a lot of money and has a lot of cash. So, that's the classic economic cycle. This one because the coming of pandemic and people had a lot of cash surplus es, the buildup of that is something which is taking time, it's not falling predictable patterns. That's why we will be careful instead of forecasting what we originally thought, but in general, we expect the volumes to increase, our clients are telling us to be prepared for volume increases, it's showing up in delinquency. And as I said, we have also been diversifying beyond credit cards, as new payment methods come in to BNPL, FinTech come into play, we have been targeting them, and we have had some very good wins in the last two or three quarters with those FinTechs because a chunk of the customer spend is now coming through those new payment methods, as opposed to the traditional credit cards. And we want to make sure that we start young with them. And as they grow, we grow with those payment companies. And that will become a reasonably chunky portion of our revenue as we go into this year, and next year.

Sonaal: My other question was a little bit mathematical from your Healthcare business side. So, let's take your Healthcare business rendered organic assuming no acquisition or assume the base for FY23 and FY22 is same. Now because of health emergency benefits if the base was 100 just with that going away what could be your revenue, would that be 110, would it be 105, would it be 115? Just to understand the impact of this one off, versus, you know, the various initiatives we have taken that would give us a good perspective of how the business is shaping on the Healthcare side?

Vipul Khanna: Sonaal it's a little bit of a complex answer. Public Health Emergency is one of the contributors flowing into this mix, right. I am happy to take it sort of offline on how this plays out. But in general, if I was to give you an answer, we should see good single digit impact, once this whole remnant of COVID is kind of cleaned from the system. But there are multiple sort of complexities and when you add the fact that it's a state -by-state answer and political leanings, etc, play into that as well. So, it's a little bit of a complex equation that we deal with. But we can talk more offline, and I will give you more color on that.

© Firstsource Solutions Limited 23 Sonaal: And when do you expect this to be off or it's been already announced that there is an end date for this?

Vipul Khanna: So, what they have been doing is because it's a political decision, they have been kind of pushing it out right earlier, they said it'll be February than April, now, it kind of looks with midterm elections coming there. They said, it'll be more towards the end of the year. So, they keep taking a call to say extending it. But as I said, it's not as black and white, because some of the states have already started to prepare for that, depending on whether which is your political leaning, some of the states have already started to plan and put in place or stopping some of those reimbursements. So, it's kind of a mixed bag answer, not a big milestone event, which will kind of say this now goes up, it goes down.

Sonaal: In terms of, just to understand your forecasting of your revenues, what your assumptions are what kind of assumption around this method have you assumed in your forecast of ex - Mortgage, is this contributing significantly or not assume anything changing on this front, while giving you know the forecast because forecast is as good as the assumptions, so regarding this particular measure of health emergency, because you said that it will have a single digit benefit.

I am trying to understand when you are guiding for this are you assuming significant benefits from this in FY23? Or you are not assuming, because we don't know when this measure will go and you said it's been postponing. So, have you assumed anything? Have you assumed something between or you assumed full recovery in the forecast or you know from this health emergency benefits?

Vipul Khanna: We at this stage, we haven't assumed any uplift from the milestone coming through. We expect it will kind of slowly will kind of unwind its way through the year. So, we don't expect a big chunk or a big uptick, just because that demand, it'll be the other factors of building our business, where we think we will see growth.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Vipul Khanna for closing comments.

Vipul Khanna: Thank you everyone. Look, I know this is a year, which is a year of abrasion, it is a difficult period. But I think the actions we have taken, the investments we have been doing, building our businesses, give us confidence that we will kind of work through this and deliver the growth that we are now talking. So, thank you for your engagement and I look forward to talking to you again.

Moderator: Thank you very much. On behalf of Firstsource Solutions Limited that concludes this conference. Thank you for joining us, you may now disconnect your lines. Thank you.

Call: Nov 2022

9th November 2022

To:

National Stock Exchange of India Limited (Scrip Code: FSL)

Exchange Plaza, Plot no. C/1, G Block,

Bandra-Kurla Complex

Bandra (East), Mumbai - 400 051 BSE Limited (Scrip Code: 532809) Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai - 400 001

Dear Madam/ Sir,

Sub:

Transcripts of the Analysts Earnings call conducted after the meeting of Board of Directors on November 2, 2022

Please

find enclosed the transcripts of the Analysts earnings call conducted after the meeting of Board of Directors on 2nd November, 2022, for your information and records.

This information is also hosted on the Company's website, at

<https://www.firstsource.com/investor-relations/>

The

audio/video recordings of the Analysts earnings call are also made available on the Company's website, at <https://www.firstsource.com/investor-relations/>

We request you

to take the above on record.

Thanking you,

For Firstsource Solutions Limited

Pooja Nambiar

Company Secretary

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Q2 FY20 23 Earnings Call

Transcript – September 30, 2022

CORPORATE PARTICIPANTS

Mr. Vipul Khanna - Managing Director & Chief Executive Officer

Mr. Dinesh Jain - President and Chief Financial Officer

Mr. Ankur Maheshwari - Head Investor Relations

© Firstsource Solutions Limited 2 Moderator : Ladies and gentlemen, good day and welcome to First source Solutions Limited Q2 FY2023 Earnings Conference

Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankur Maheshwari. Thank you and over to you Sir.

Ankur Maheshwari : Thank you Faizan. Welcome everyone and thank you for joining us for this quarter ended September 2022

earnings call for Firstsource. On this call, Mr. Vipul Khanna, MD and CEO and Mr. Dinesh Jain, CFO will provide an overview of the company's performance followed by Q&A. Do note that the results, fact sheet and the presentation have been emailed to you and you can view this on our website www.firstsource.com.

Before we begin the call, please note that some of the matters we will discuss on this call including our business outlook are forward looking and as such are subject to known and unknown risks. These uncertainties and risks are included, but not limited to what we have mentioned in our prospectus filed with SEBI and subsequent annual report that are available on our website.

With that said, I now turn the call over to Mr. Vipul Khanna to begin the proceedings.

Vipul Khanna: Thank you Ankur. Good evening, everyone. Welcome and thank you for joining us today. Hope you are able to find some quality time during Deepavali festivities. Let us take a deep dive on how the quarter panned out.

Quick Snapshot of the Quarter

Revenues grew by 1.8% year-on-year in constant currency terms and came in at Rs.14,882 million or \$187 million. Organic revenue excluding the impact of mortgage decline, grew by 12.8% year-on-year in constant currency terms and;

Operating margins were at 8.4%;

EPS degrew by 6.1% year-on-year and came in at Rs.1.84.

Since we last spoke the overall macro environment has further deteriorated. The pace of Fed action on interest rates has been much faster than the expected and continue to impact parts of our business adversely.

Considering these movement , we are aligning our growth outlook to a range of -2 to 0% in constant currency for this quarter. The impact of the se factor is also fl owing through the margins. Considering these headwinds netted again st the ben efits of our cost action we now expect operating margins to be in the range of 9% to 9.5% for FY2023. The guidance adjustment is primarily due to additional pressure on our mortga ge business the unique situation in the collections mar ket and some deal delays in our healthcare business. We will discuss the rational for this change of guidance as we walk through the industry segment.

This is not the outcome we had anticipated when we started the year but given parts of our portfolio are highly correlated to the macro environment the near -term outlook for our business has been significantly impacted. Notwithstanding , we strongly believe that these headwinds to our business are transitory, and it is important to take a s tep back and put t he current concerns of the business in a longer -term perspective.

© Firstsource Solutions Limited 3 First , I continue to believe that the business momentum has been strong and will continue to remain so in the medium to long term. Thi s is validated by the 12% to 15% growth we expect this year

excludi ng mortgage and

in fact from last year 's acquisitions.

Second , as revenue has come under pressure prudent cost management is critical. We are sharply focused on achieving an efficient oper ating model. The actions taken are yielding results and we expect t o achieve a normalized operating margin by Q4 of this year.

Third , our strategy remains focused on investing in our core and adjacent industry segments to deliver consistent growth and bui ld a more balanced portfolio. I will expand on this str ategy a litt le bit at the close of my remarks.

Segmental Performance

Banking and Financial Services

Talking about industry outlook , our B FS vertical degrew 7.7% year -on-year and 10.2% in constant currency terms .

Mortgage

The mortgage industry's outlook continu es to worsen given the aggressive interest rate stands by the fed to counter inflation. The sharp downward movement in home sales and the collapse of refinance market. Rates are at 20-year highs of 7% resulting in year -on-year declines of 86% in refinance volum e and 42% in purchase volume. This will re sult in degrowth o f approximately 55% in our mortgage business in this fiscal implying headwinds of almost 5 0% to our overall business. Based on discussions with our clients and assessment of the market outlook , we were expecting that this business to bott om out by Q3 of th is year , however taking the increased headwinds into account , we believe the bottom will now shift by a quarter or two.

Amidst all the gloom we see several systematic upsides in thi s business. Housing demand is still structurally strong. Total home sales o utlook for the medium term while off from their 2021 peak is likely to be about 10% higher from 2024 onwards compared to the 2011 to 2020 annual average. Home prices are correcting. Some markets have witnessed as much as 10% to 12% correc tion from the rece nt high. Mortgage market participants are experiencing significant margin pressures. While our clients are reacting to the situation by aggressively reducing capacity and headcount, they are simultaneously realigning their operating struc tures and evaluati ng transformation cost solutions either by themselves or with partners like us. We continue to believe this will be a strong growth driver once origination volumes improve from the current low.

Within our portfolio , we see the following o pportunities : We c ontinue to maintain our market leadership , YTD September we have added 12 new clients and we have a strong diversified pipeline. While volumes are low in this current market environ ment, we are well positioned to take advantage of the ups ide once the curre nt market activity stabilizes. As a testament to our market leadership , NelsonHall also rated us as the leader in their NEAT mortgage and loan services 2022 report for the overall m arket.

© Firstsource Solutions Limited 4 While the Stonehill Group acquisition has also bee n impacted by the adverse ma rket condition and will miss its

earn out target the quality control and due diligence services segment is starting to find its footing with the increase in capital market transactions in the industry. We are building an aggress ive go to market p ush into mid markets for these services. To summarize , the purchase finance market is soft and the refi market is down to a trickle . Our servicing business has held up reasonably we ll and as and when the mortgage market stabilizes we are positioned well to capture the volume and the wallet spend.

Collections

Let me shift to colle ctions. Historically our collection business has been a strong hedge against the down cycle in the mortgage industry. This time however we are going through a unique economic phase. The delinq uencies are rising at a slower pace despite the rapidly rising interest rate environment. We believe this is primarily due to still very low unemployment rates and the stronge

st hou sehold balance sheet US has seen in the last 40 years.

However , it is a que stion of when not if. For several reasons delinquencies are expected to rise over the coming quarters. Total outstanding credit card revolving debt which is most relevant to our col lection business hit a high of \$1.15 trillion up 18% from a year ago. Delin quencies while still lower than historical expectations are r ising. The FRED recorded the most recent quarter at 1.81% versus a bad quarter of 1. 66%. Average US credit card

interests rates are inching close to 19% the highest on record since 1996. These rates are expected to continue to rise. The nature of our client conversations are increasingly around capacity augmentation. Incidentally the top five US banks increased their credit loss provisions by 35% to 80% quarter-on-quarter in the September 2022 quarter. So while we wait for the volume pickup, what have we been doing? We continue to diversify our business consciously and actively beyond the big card issuers. Our digital collection platform is primarily going to market vehicle to expand into Fintech and utility and the more we do the better we become. We are now able to onboard a new client every six to eight weeks versus 12 to 14 weeks earlier. We had a strong quarter adding nine new clients. We are excited to announce that we now work with top three BPM players in the USA.

The strong portfolio of early, late stage and legal collections underpinned by the market leading digital collections platform and our strong wind momentum this year all position us strongly to harness the likely volume growth in this market over the coming quarters. And as a reminder, our legal collections business acquired last year runs a multiyear recovery cycle and accounts based with it. The impact of lower placement volumes in CY2021 and CY2022 will have a lagged impact on the future revenue growth of this segment. Notwithstanding, it is a strategic addition to our offerings. It extends our target market, and we are pleased with the cross sell wins thus far.

UK BFS

Shifting to the UK BFS segment. The growth story in this segment continued with the growth of 11.9% year-on-year and a pipeline that continues to grow across fraud, mortgage, and customer experience. The demand environment pipeline activity and physical adoption remain strong despite the political uncertainty and tough economic conditions. Despite high inflation and high talent cost, unemployment rates remain stubbornly low in fact near 50 years low. This is possibly the toughest labor market we have witnessed in the UK putting pressure on fulfillment. Our investment in sales and solution made over the last 12 to 18 months are yielding encouraging results. We continue to expand our existing relationships and add new clients.

© Firstsource Solutions Limited 5 Currently we are finalizing operation strategy and capacity planning for the next year with our key clients. I want

to highlight two notable wins this quarter, both illustrate a diversification and expansion of our client base. One, we are helping an international payment Fintech to automate their lead generation, third party referral, KYC, payment screening and sanctions screening processes and two we were selected by a specialist neobank Shawbrook as their operations partner to deliver best in class customer experience to our digital first solution and people centric approach. We are pleased to make meaningful inroads into the increasingly important UK digital banking segment.

Healthcare

Our healthcare segment continues to grow consistently at 21.2% year-on-year and 12.9% in constant currency. As some lingering weakness in the provider business have been more than offset by the strength in HPHS. The key teams permeation through the US healthcare ecosystem currently are

- a holistic consumer centric orientation

backed by analytics and integrated digital technologies,

- Integration of virtual tech enabled passes and traditional service offerings,
- reimbursement incentives for providers to use as innovations for managing health quality and cost and;
- forth strong partner and vendor relationship that increase value.

Investment in these segments by health plans and providers will continue to fuel the spends in the areas we operate. Our strategy to focus on top 10 health plans, growing our digital intake business and creating bespoke BPaaS solutions for mid-market health plans continue to yield good results. We are seeing a trend of strategic vendor consolidation from the larger health plans. These are large deals and after hard earned ranking as the leader in tier operation segment we are now often a part of these buying motions. This quarter we were awarded a meaningful back-office deal with one of the top 10 health plans. We have won this against top three competitors in the industry on the strength of our solutioning and our credibility to execute sophisticated transformation. Digital intake business is seeing good traction. Our investments in modernizing the platform and building the right AI and digital partnerships have allowed us to build a healthy pipeline in this segment. The recent healthcare payor digital services RadarView report from Avasant a leading advisory and consulting firm upgraded Firstsource from disruptive to innovative a step away from leadership on their scale.

There have been some deal closure delays especially on larger opportunities which we had to factor in the guidance for rest of the year. The provider segment continues to struggle as the industry deals with the residual impact of COVID. The public health emergency has been further extended until the middle of January again delaying normalization and more importantly hospitals are grappling with significant heightened medical care costs extending the buying cycles and other administrative services where we play. Longer term it should lead to more outsourcing and globalization. On the positive side, as the PHE (Public Health Emergency) starts to come to an end we expect strong demand emerging from medical redetermination services. We are currently building a digital solution to capitalize on the demand in the next few quarters and have signed up first couple of anchor clients.

© Firstsource Solutions Limited 6 Communication, Media & Tech

Our CMP business continues to grow strongly. This quarter we grew 7.4% year-on-year and 14.2% in constant

currency. We continue to witness steady growth from our top client across their products and service lines and expect to keep ramping up for this demand. We are focused on building a US commerce business and I am pleased at the progress thus far. I expect reasonable growth in this segment next year from our investments. There is increased interest for offshoring amongst our clients given the talent situation in onshore market. All our offshore locations India, Philippines and Mexico are growing steadily. Additionally, we have been incubating digital media and edtech segments for the past few quarters. We have secured meaningful marquee wins in both these segments. We expect our DECC and intelligent back-office offering will help provide healthy growth in these niche segments. Primarily from secular changes in consumer preference for consuming media and higher education and also difficult economic times and tailwinds for change in these sectors. Again, it has been hard to forecast in this environment given our business mix and I am genuinely disappointed to revise the growth and earnings guidance down again. I will reiterate this is a year in transition. If we zoom out and click on our strategy for a moment we consciously chose to grow and pursue market leadership in mortgage and collections as

the two ends of like a barbell naturally hedged against each other and notwithstanding the current market impact, we have achieved market leadership in both segments. In addition to the investment and resulting market success in HPHS over the past 3 years we are now adding our portfolio adjacent less cyclical businesses to supplement mortgage and collections and to drive the next phase of our growth. One we are moving into other consumer lending products and broader retail and SME banking, leveraging our mortgage, collections in UK BFS expertise.

Sameer Ahluwalia joined us recently to lead the effort into adjacent BFS segment. He is a renewed financial services executive with deep experience in building and scaling BPO businesses across all BFS segments globally. Two, we are targeting select additional CMT segments as I mentioned digital media, Ed-Tech and parts of big tech and; three we are diversifying collections into Fintech utilities and communications through our digital collection platforms. You have all seen the BPS market continues to operate in a strong demand environment driven by the twin client theme of cost efficiency and digital. With these adjacent expansions we intend to participate more broadly in this market environment. Now let me hand over the call to Dinesh to cover details of our financials.

Dinesh Jain: Thanks Vipul. Let me just walk you through some of the financial highlights.

Revenue for the Q2 came in at Rs.14,882 million, or \$187 million. This implies a year-on-year growth of 4.2% in rupee terms and 1.8% in constant currency terms.

On the margin front operating margin came in at Rs.1,254 million or 8.4% of the revenue for the quarter. It implies a year-on-year margin decline of 411 basis points.

As we mentioned earlier, we have been driving several tracks across the organization on direct cost, operations cost, support cost as well as on physical and tech infra-alignment to help expand the margins.

© Firstsource Solutions Limited Profit after tax came in at Rs.1,294 million or 8.7% of the revenue for the Q2 FY2023, a year-on-year margin decline of 76 basis points.

In this quarter, we have a gain of Rs.578.6 million in other income relating to the fair value of the liabilities for the variable consideration linked to the revenue performance on acquisition done in FY2022. These liabilities are expected to be settled in Q3 and Q4 of FY2023 and this statement which is the other income is in line with the technical requirement of Ind-AS 103 and also ICAI guidance notes.

During the Q2 FY2023 we have generated Rs.2,128 million on cash from operations and our free cash flow was Rs.2,028 million after adjusting for capex of Rs.100 million. Closing cash balance as of September 30, 2022 was approximately Rs.2,472 million.

The DSO came in at 56 days versus the 59 days last quarter.

Net debt as of September 30, 2022 stands at Rs.6,055 million or \$74.4 million in comparing to Rs.7,333 million or \$92.9 million as of June, a reduction of Rs.1,278 million.

Tax rate for the Q1 was around 17.4%. For FY2023 we expected it should be within the range of 17% to 19% for the year.

On the forex hedging we have coverage of GBP 30.7 million for the next 12 months with average rate of Rs.104.7 per Pound and coverage of \$75 million with average rate of Rs.81.7 per dollar. Considering the current market scenario, we are also exploring some of the long-term hedges based on some of the client contracts which we had.

With this, I open up for the questions. Thank you.

Moderate: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Manik Taneja from JM Financial. Please go ahead.

Manik Taneja: Thank you for the opportunity. I had a couple. The first one was a bookkeeping question if you could help us understand what was the contribution of mort

gage revenues in the current quarter and the second question was

basically just wanted to get your thoughts as to the fact that while we are seeing some of your global competition and global peers continue with their beat and raise phenomena why are we struggling on a relative basis and if it is a portfolio issue does this underperformance continue into the next year as well given there are concerns about macro recession leading to economic environment? Thank you.

Vipul Khanna: So, mortgage this quarter was about somewhere between Rs.24 million to Rs.25 million so that is the

mortgage

number about 13% of the overall business. On the other question of relative to market obviously as I have said, we expect this year excluding mortgage and excluding impact of acquisitions purely organic excluding mortgage we expect growth of 12% to 15% this year. As far as next year is concerned, structurally we expect headwinds should kind of ease out right especially what we have seen in mortgage, the portfolio will be reduced significantly as we go into the next year. Collections should be in a different place than what has been this year and all the

© Firstsource Solutions Limited 8 growth investments in adjacent areas that should start to line up so I think that is kind of my commentary in

terms of next year but I do believe that if we kind of negate out the impact of mortgage decline this year we have had good healthy growth of 12% to 15%.

Manik Taneja: Sorry to draw you a little bit further on this Vipul even on this the growth that you are talking about excluding mortgage

and excluding acquisition this number has been scaled out over the course of the last six months so that essentially tends to essentially raise questions around the level of confidence in terms of the growth because when we guided at the end of FY2022 you are looking for a certain amount of growth. This number was pulled down after Q1 and has been pulled down further after Q2 so in that context even next year one is worried about the macro should we expect this part of the business and we start growing at a slower pace next year.

Vipul Khanna: So Manik it is a fair question. We have had to bring down the guidance for non-mortgage as well. I had mentioned

something kind of clarify some so clearly if you look at non-mortgage we expected higher growth from collections this year given how traditionally when economic cycles turn what happens to the collections, but this time it is unique. The household balance sheet we have which cash balance with people is much healthier than what we have historically seen in the last whatever recession cycle is coming in and that has caught everybody by surprise including our clients in terms of how protracted the delinquencies and its impact on collection volume has been so that has been one big reason. Second just tactically between last and this quarter what has impacted our business is that we have had some delays in deal closures in HPHS which has made us kind of adjust before cash down for healthcare. Still very healthy growth but some adjusted the top end of that growth and then third given the weight of UK labor market and given the kind of work we do there which is mostly on shore contact centers, it has put pressure on a fulfillment and extended some of the ramp times so those three factors from last quarter to this quarter has kind of made us pin down the forecast for rest of the business. You are right there will be some element of uncertainty going into next year so it is hard for me to kind of play out at this point in time how exactly how next year will play out and its impact on financial services and potentially their recovery cycle and provider but in general I feel much better about next year compared to what we have been this year.

Manik Taneja: So, is there a difference in terms of the portfolio mix for us compared to so

me of our global players like a WNS and EXL?

Vipul Khanna: Sure, right you know our mix has been something around 45% banking of which big chunk has been mortgage US

market as well as the collections market and the UK BFS market. We obviously do not participate in some of the other sectors in the economy which have been growing which is travel and hospitality, manufacturing and logistics, utilities and sort of the things like insurance. We do not participate in those markets. We play into these segments in BFS and then we play in healthcare which are HPHS business has grown by very well I think better than the market. Providers are which not a whole lot of mainstream BFS players where we have a unique niche. I think that has been subdued through the COVID so that has been a little bit of a dampener and then finally CMT is something which besides something we are building up. Tech has been a growth driver for many of the players in the market. That has been our focus to grow. It has been a slow build but slowly and steadily we are kind of making inroads into that so that is how we kind of look at the different sectors of the market us versus where the mainstream players are growing into.

© Firstsource Solutions Limited 9 Manik Taneja: Sure. Thank you and all the best for the future.

Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Thanks for the opportunity. A couple of questions. First, I am just try to understand healthcare business. I think

there you indicated about some deal flows or velocities softness so can you provide some more detail what is playing out in the market and what drives slower deal closer and how you expect it to change? The second thing on the provider side in healthcare the business remains soft for us for some time? How do you expect it to evolve over the next few quarters considering some of your peers are indicating a healthy growth and I think they are delivering for the last couple of quarters? My second question is about client addition? If I look our client addition remains very robust over the last few quarters but it is not getting translated into revenue performance? Can you help us understand the quality of clients which we added may be in the last two years outside of mortgage business? How the ramp up is happening in those clients in terms of phase of growth because we do not sell more than 1 million, 2 million and 5 million kind of different bucket so if you can help us understand some qualitative sense about how the progress is happening and the last question is about tech business? If you can forward some sense how the progress is happening? Thanks.

Vipul Khanna: Thanks for the questions. I will try to answer and if I forget some please come back. Healthcare deal velocity I think as I mentioned very consciously when we reintegrated this business a couple of years ago we said we will

target the top 10 health plans very competitive space. They are matured buyers. They are into their third and fourth generation of contracts and give out in some cases and additional areas that they are looking to outsource. I think we have made very strong progress. We have entered those accounts. In eight of the 10 now we have entry. What we are seeing is that as they get into more strategic RFPs more contract renewal, obviously they run pretty resilient exercises, pretty exhaustive exercises for RFPs and stuff like that and the fact that we are now into them and we are on the panel we are now participating in the use, so these exercises tend to be long. They start with the timeline right. Multiple things come in and they kind of extend the timeline. It is not structural. It is not unusual. What we had forecasted for growth especially in Q3 and Q4 from some of those. That has kind of slowed down for us from a timeline

so of what we expected to where they are and that has kind of pushed out some of the growth for the next year. Q2 was strong. We expect some moderation for that in Q3 and then come back in with reasonable amount of growth in Q4 so again nothing structural. It is just the timing of the deals on how we had forecasted in our pipeline and how it is playing out in the market. The good news is that we are now participating in top 10 health plans. The good news is the digital intake market is looking strong. Digital intake tends to have a little bit of a longish implementation cycle. It is complicated. It is kind of critical for the client so I think that is where it is kind of getting.

Provider softness, why it is soft for us is because we play in a certain niche of eligibility services and receivables management. It is a 100% onshore business very profitable. We are the market leaders but this is exactly the segment which has been impacted by public health emergency where the government has kind of through the public health emergency put automatic re-involvement right for people like as a measure of saying hey regardless of what economic segment and coverage you have, you are not eligible for this program. Once that goes away normal volumes will return in that business. How it will play out. I think we had two or three strong quarters of wins. The implementations are in progress for that. As we go into the future as I had mentioned in the past last

© Firstsource Solutions Limited 10 couple of quarters, we have been expanding this scope of our offerings and going mid cycle in the RCM, which is

about coding, AR followup, etc., which are traditionally services very amenable to offshore so we have seen growth in the offshoring market for those services. It is a new segment for us. We are at it. We have a couple of irons in the fire. Because it is a new practice it takes a while to build up but as it starts to build I think we participate in additional market segment that historically we have.

On your second question of client addition, robust numbers, I think a couple of factors there. One mortgage we continue to add a healthy clip of new clients across the market segment. The challenge is volume right. The clients have signed up but the volumes are very low so obviously there have been reductions in volume from existing clients but even in the new deals that we have signed late last year and early this year's volumes are slow on the mortgage side of it. Second the acquisition that we did of Stonehill because of the services it does QC and DD the ticket size for them tends to be smaller right so while you get the number of clients the ticket size per client is lower relative to what we have seen in the traditional mortgage business. That is a kind of one factor. The second factor is that as we grow more digital especially the collection business and we have been expanding beyond the big card issuers into Fintech and utilities again they tend to be smaller companies. They are growing their businesses. Collection cycles also take longer to build right. They have lent now that the delinquencies, so we see more wins because of digital. The ticket size is less so in general I think the quality of clients is great. Some are due to market conditions. We have not seen the revenue come through and some inherently tend to be smaller ticket sizes given it digital or services like QC and DD that we play on.

The third question you had was on what are we doing on tech. So, tech it has been built in a competitive market. As I mentioned we are focused on two or three segments. One is digital media which is media going to digital media. Decent progress in UK and US on that. The second one is Ed-Tech so we have been focused on the Ed-Tech segment for the past two or three quarters now. We have had good two or three wins there in kind of building up the Ed-Tech

business especially when the market is tighter for some of the startups. I think we see a good healthy demand building up for that and then within the big tech sector we are focused on a couple of service areas, and I am pleased with the development there. I think we will be able to share some good milestones wins for that in the Q3 as we go along. So lower than what I expected to be at this stage but reflects the competitiveness of the market, but we continue to chip away at it and I think tech will become a decent growth driver in the short to medium term as we go into the next year.

Dipesh Mehta: You answered it. Just if I can squeeze one more question just to get overall sense. Now we have given revised

guidance? Now we got obviously for the last couple of times so I presume we are now very conservative when we guide for the next two quarters? What will be the upside risk and downside risk in your opinion considering some of them are moving items like collection, velocity, HP HS deal closure momentum plus some of the moving items like mortgage and other things if you can provide just some sense about upside and downside risk thank you?

Vipul Khanna: Yes Dipesh our forecast is a muscle that I acknowledge we need to better up or beef up. One is the market conditions and the second is we need to get better forecasting and giving guidance. On the downside risk I think we have factored in all that we can see and for us to hit the downside it is pretty much flat quarters all the way through till the end of the year. By the way Q3 we do expect will be kind of flattish compared to Q2 because of

© Firstsource Solutions Limited 11 the further mortgage decline that we are seeing in Q3 relative to Q2 so the growth from other sectors will be kind of washed out by mortgage .

On the upper end of the guidance what we expect is that traditionally Q4 or the March quarter tends to be strong for us in collections because of tax refunds and stuff which people get and then hence higher collection so that is one upside that we have baked in , healthcare business especially HP HS will get back onto the growth trajectory right. The ramps will happen and some of the deals that we talked about they come through and we are also expecting better fulfilment on the European business . Demand is there and we hope that we will be able to eke out more revenue from there on the Europe side of it so between three businesses that is where we go from our low side of the forecast to the high side of the forecast. Dinesh and Ankur am I missing anything on that ?

Dinesh Jain : I think it has been covered very well. These are the main factors too.

Dipesh Mehta : Thank you.

Moderator: Thank you. The next question is from the line of Mohit Jain from Anand Rathi . Please go ahead.

Mohit Jain: Sir one small question on the other income so you told us that there was earnout, which was sort of reversed during the quarter so if you could give us some more colour on which acquisition and how much was reversed? Is it one or both clubbed together and the second part were we expecting any impairment given your estimates are today versus when you acquired these entities?

Dinesh Jain : Mohit I think we are considered for both the acquisitions. One of the parameters which is getting crystalized by October which is just now we closed. The second one is going to be their assessment by November 30, 2022 so we have factored it in a way of what they are going to achieve and accordingly we have recognized as income which I think the value has already been given in the notes which is Rs.56 Crores .

Mohit Jain: The individual amounts like both of them have been reversed or is it only one thing? You are saying both have been reversed so if you could give us some allocation like broadly should I assume half for each acquisition or how does it work out?

Dinesh Jain : It is

higher on the TS G which is your Stonehill acquisition in the higher side and collection on acquisition is the lesser amount as of today. As far as the impairment or the goodwill is concerned I think when you acquire , at that time you do the assessment of the allocation between goodwill and other and with the current assessment which we got and do not see any risk of being any impairment per se because when you acquiring you also already charging some of the intangibles there so as of today there is no risk on the goodwill and looking the year which is we are forecasting for March I do not think there will be any risk on the goodwill side.

Mohit Jain: Can you give us some number of how they are trending now in the revised estimate?

Vipul Khanna: In terms of the revenue run rate.

© Firstsource Solutions Limited 12 Mohit Jain: Yes, the revenue run rate for these two entities at the time we acquired and now what is the run rate we are

currently ? The historical number I think we have but if you could help us with Q2 number or even an expected number that you have so that we understand in the sense how much decline has happened in these two entities?

Vipul Khanna: So, on the mortgage acquisition obviously you saw that I mentioned we lost about 55% of our core business compared to last year or we will lose by the end of this fiscal. On the acquisition we have seen softness . They had a small portion of fulfilment on the origination business which has been severely impacted , but if I was to say from what we acquired to now I would say we have seen about Ankur correct me if I am wrong , I would say it is about 25% to 35% erosion from where they were on the Stonehill acquisition and on the ARSI acquisition which is legal collection the fall has been less because there are falls and rises tends to be more lagged and hence exaggerated over a long period of time. There we have seen a reduction of about say 5% odd I would think but the thing is that we expected some more growth , and it is kind of on the other side.

Mohit Jain: Right and is it fair to assume that on this the 5% reduction will sort of increase as we proceed because usually you have a lag between delinquency and before it goes for the legal thing?

Vipul Khanna: Mohit I missed it. You are saying we expect what.

Mohit Jain: Currently you are trending 5% down because as you mentioned there is a lag between when the delinquency happens and when it goes for the legal resolution so should we assume that this 5% gap may actually increase next year?

Vipul Khanna: Yes so on the acquired portfolio for the big clients obviously because they are placing less because of the healthy

collections situation because placements are less that will be a downside to future growth , but obviously we continue to add new clients on that and we have done three or four cross -sells there that will be the upside and I think both those factors will play out differently next year but you are right on the first question.

Mohit Jain: Understood Sir. Thank you.

Vipul Khanna: Part of it we expect it Mohit on where it will land out . We were in an environment in 2021 where we were already

seeing lower placements, but it has been little bit more exaggerated than that.

Mohit Jain: Got it Sir thank you.

Moderator: Thank you. The next question is from the line of Shradha from AMSEC . Please go ahead.

Shradha: A couple of questions. Would it be possible for you to give the run rate of the collections business now and how much are we down in that business on a Y -o-Y basis?

Vipul Khanna: Collections run rate, between both the businesses combined we are at about somewhere between \$31 million to \$32 million and compared to the last year same time obviously the acquisition was not included but by this time we were about \$14.5 million.

© Firstsource Solutions Limited 13 Shradha:

This is all organic?

Vipul Khanna: That was organic yes.

Shradha: In this \$32 million what is the portion of organic and inorganic just a broad split?

Vipul Khanna: I do not have at hand y for this.

Shradha: No worries. I will take it offline.

Vipul Khanna: I think on a Q2 basis the inorganic is about \$17 million and I think the core collection business is also about \$16

million to \$17 million so actually it is more closer to about I think \$33 odd million is the run rate.

Shradha: So, the \$14.5 million has gone up to \$17 million right on a Y-o-Y basis?

Vipul Khanna: Gone up.

Shradha: Right and within mortgage what is the split of servicing and origination now?

Vipul Khanna: So, as I said the servicing business has held up strong. There have been some reductions as clients pull back in

source right. Then we have reductions on that but despite that the mix is now closer to now like 35:65 between origination and servicing.

Shradha: But servicing has also declined on a Q-o-Q basis?

Vipul Khanna: On a Q-o-Q basis and absolute dollar yes it has.

Shradha: Did you indicate that you had earlier expected mortgage to bottom out in 3Q and now you expect that to get extended by another quarter or so?

Vipul Khanna: Yes. I think given the way market is sliding and given the Fed has very unambiguously said that they will continue

to raise interest rates until they have a better handle on inflation and unemployment rates have gone up. Given that the market is now expecting that the interest rate hike will continue into CY2023 and hence it will continue to dampen the mortgage market from where the earlier expectations of the market were.

Shradha: Right and just one last bit on the CMT bit most of the IT services companies have found it a bit cautious on the traditional media companies IT budget but we have seem to be maintaining a relatively positive stance on our growth prospect on CMT so why are some divergence view here from what IT companies have been talking of from CMT verticals?

Vipul Khanna: I would not know specifically, but I could offer you some broad comments. If you look at our portfolio obviously

our large client is a big component, and we have good visibility on where we land on that client in the next two quarters and going into next year. The digital media business as well as the US com m business has been building

© Firstsource Solutions Limited 14 is relatively small and I think on a small base we expect we will be able to eke out good expansion and win new

business there however tech business where obviously which has become a big part of the market over the last set of five or six years we obviously have a very small base and we only have upside but the bigger players with large portfolios may be they have challenges on how that portfolio plays out when the tech companies start to kind of look at, we have seen all of them getting very cautious in cost and margins and stuff like that so I think that is my sense of what could be the divergence.

Shradha: But you are not seeing any kind of concern in your top account?

Vipul Khanna: No.

Shradha: Apart from the delivery or the fulfillment challenges that you have spoken about?

Vipul Khanna: Exactly. In fact, we are seeing good signs of more off shore growth there primarily driven by the fact that our key

clients also realize the tough market conditions in the UK.

Shradha: Sure. That is it. Thanks Vipul.

Moderator: Thank you. The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya: Sir I have only one question. I would like to know outlook on attrition rate and when you feel that it will soften?

Vipul Khanna: Sorry outlook on attrition rate and when do we think sorry can you repeat that portion.

Chirag Kachhadiya: It will come down in a meaningful way?

Vipul Kh

anna: So, I think attrition we have seen moderation of our attrition on shore especially. This is outside of the capacity reduction that we have had to do in the mortgage business, so this is purely voluntary attrition. We have seen a good five-point reduction quarter-on-quarter on that. We have seen a minor creep up in the offshore attrition as the market continues to be strong offshore for BPO right. Manik earlier asked about market strong demand environment is strong, so we are seeing growth there. I think for the rest of the year I think we will see similar trends. I do not expect material movement down or up in this market for the remaining two quarters. We should

be in this broad range of 50 short and the 40 odd for onshore and offshore respectively and by the way I think this is fairly in the middle of where the market operates for our kind of services.

Chirag Kachhadiya: Okay thank you Sir.

Moderator: Thank you. The next question is from the line of Manik Taneja from JM Financial . Please go ahead.

Manik Taneja: So actually, just wanted to clarify one thing . With the outlook that we have provided now for the full year of -2 to 0% kind of a growth in CC terms for the full year? I was just checking if that implies about a 0.6% to a 2% CAGR to 3Q and 4Q is that arithmetic, correct ?

© Firstsource Solutions Limited 15 Vipul Khanna: Yes, so as I said to Dipesh 's question at the lower end it will be flat to Q3 and Q4. At the high end I think Q3 will continue to be flat , but we expect good upside in Q4 from pickup in collections, healthcare, and Europe. Pretty much the growth will be sort of back ended in Q4 at the high end of our forecast.

Manik Taneja: Sure. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Vipul Khanna for closing comments.

Vipul Khanna: Thank you. Again, thank you for your interest. Thank you for patiently listening through. It has been a tough quarter, but I am very encouraged by the growth adjacencies that we have been investing. The wins that we have add and as economic environment moderates, we should see better times . Thank you for your continued interest and you guys have a great evening.

Moderator: Thank you. Ladies and gentlemen, on behalf of Firstsource Solutions Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

9th February 2023

To:

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India Limited (Scrip Code: FSL)
Exchange Plaza,
Plot no. C/1, G Block,
Bandra-Kurla Complex
Bandra (East),
Mumbai - 400 051 BSE Limited (Scrip Code:
532809)
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of
Board of Directors on February 3, 2023

Please find enclosed the transcripts of the Analysts earnings call conducted on 3rd
February 2023 for the meeting of Board of Directors held on 2nd February 2023.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available
on the Company's website, at <https://www.firstsource.com/investor-relations/>

We request you to take the above on record.

Thanking you,
For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

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Q3 FY20 23 Earnings Call
Transcript – December 31, 2022
CORPORATE PARTICIPANTS
Mr. Vipul Khanna - Managing Director & Chief Executive Officer

Mr. Dinesh Jain - President and Chief Financial Officer

Mr. Ankur Maheshwari - Head Investor Relations

© Firstsource Solutions Limited 2 Ladies and gentlemen, good day and welcome to Firstsource Solutions Limited Q3 FY23
Earnings

Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance during
the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note
that this conference is being recorded. I now hand the conference over to Mr. Ankur Maheshwari from
Firstsource Solution s Limited . Thank you and over to you, sir.

Ankur Maheshwari : Thanks Michelle . Welcome everyo ne and thank you for joining us for the quarter ended December 31st
,
2022, Earnings Call for Firstsource.

On this call, Mr. Vipul Khanna - MD and CEO and Dinesh Jain - CFO will provide an overview of the

company's performance followed by Q&A. Do note that the factsheet and the presentation has been emailed to you and you can also view this on the website www.firstsource.com.

Before we begin the call, please note that some of the matters we will discuss on this call including our business outlook are forward-looking and as such are subject to known and unknown risks. These uncertainties and risks are included, but not limited to what we have mentioned in our prospectus filed with SEBI and subsequent annual report that are available on our website.

With that said, I now turn the call over to Mr. Vipul Khanna to begin the proceedings.

Vipul Khanna : Thank s Ankur. Good morning, good evening, everyone. Welcome and thank you for joining us today .

I am pleased to share that our revenue and operating margin for Q3 were in line with our expectations.

This quarter, our revenue was nearly flat with 0.3% degrowth year -on-year in constant currency and came in at INR 15,049 million or \$183 million. Organic revenue excluding the impact from mortgages and acquisition grew by 18.6% year -on-year in constant currency.

Operating margins have improved by 100 bps over Q2 and came in at 9.4%. In Q3, we realized other income of INR 598 million due to the write -back of the variable considerations linked to performance of two acquisition and structured contract in our mortgage business. The variable payout thresholds were not met due to the adverse market conditions across the mortgage and collection businesses. EPS grew by 17.2% year -on-year and came in at INR 2.25 for the quarter.

As we come towards the end of the year , we are narrowing our guidance range . We now expect revenue growth of -2% to -1%. Excluding mortgage and acquisition, we expect growth of 12.5 % to 14.5%. We expect operating margins to land in the range of 9.25 % to 9.5% for the fiscal year. We are on a plan to hit a normalized margin range in Q4 due to revenue growth and the net impact of our year -to-date cost actions .

© Firstsource Solutions Limited 3 I would like to reiterate that this year has been an outlier and the rapid changes in the broader

macro economic environment made it difficult for us to predict accurate outcomes for our business es. As we look forward to wrapping up this year and planning for the next, I continue to strongly believe that our business is very well -positioned to capitalize the growth opportunities in the medium to long term. Our strategy have been and remain s harply focused on :

#1. Growth in our chosen vertical by building adjacent capabilities, systematic client acquisition and by growing existing strategic accounts .

#2. Strategic diversification within the BFS vertical and continu ed growth into the

selected subsegments

of Healthcare and Com ms, media and tech , with the overall goal of building a less cyclical portfolio and driving the next phase of our growth.

#3. Leveraging our digital tools and services to create more cost effi ciency for both our client and us with our 'Digital First, Digital Now' approach. For instance, we have launched a 'Managed Services' construct or for automation which is being received well by our client . This is an all-inclusive solution from licensing , to building and maintaining automation and all the way to making automation sustainable within an enterprise.

#4. With the global economy battling the recession , we expect accelerated adoption of proven value levers of digital , outsourcing and offshoring by our client ecosystem and thereby resulting in signi ficant growth opportunities for us .

Let me give you some industry commentary :

Our BFS vertical degrew -10.1% year -on-year and -14.1% in constant currency. Excluding mortg age and acquisition, the BFS segment has grown by 30% year -on-year in constant currency.

Mortgage:

The mortgage market remained subdued along expected lines . This business segment contracted by another 20% sequentia lly in Q3 . We continue to believe that this market has systematic strength , despite the unprecedented co rrection this year. Housing demand is still strong and despite the mortgage industry focusing cost reduction, large gaps in profitability remain. In calendar year 2023, the mortgage industry has the unenviable task of bringing costs down further while prioritizing the right investment for future growth. We continue to be uniquely positi oned to drive th is share d purpose with our clients . Our end -to-end capabilit ies, broad client access and Pan-US licenses across the origination, servic ing, title and default management enable us to customize and provide delivery locally as well as hybrid . Our sales efforts and pipeline continue to yield positive results wi th good closure in this quarter

© Firstsource Solutions Limited 4 Having said that the mortgage segment contributed only about 10% of our Q3 revenues and would be

between 8.5 % to 9% in Q4 from a peak of 31% in Q1 of FY22. Hence, any further sharp movement s in this business are unlikely to have a material impact on our overall business .

Collections :

In the collection segment, recovery remai ns on track, but the pace is still picking its way up. Overall, US card -based delinquency grew steadily to 2.08% versus 1.85 % in the last quarter and charge off were at 2.02% versus 1.83% last quarter. These are still lower than historical averages despite rising interest rates, high inflation and high outstanding debt by historical standards. This is primarily due to the still very low

unemployment rates and the strong household balance sheet that the US has seen in the past 40 years. With the US economy slowing down and delinquencies expected to rise, we are seeing increased market activity and the clients need for capacity planning. Our deal pipeline for collection is at its highest and possibly the most diversified it has been across different sectors. In this quarter, we added 7 new clients across Fintech, Healthcare, Finance and Communication. Diversifying beyond credit card and BFS has been our focus in the last 18 to 24 months and we are pleased with this outcome.

The strong portfolio of early, late stage and legal collections underpinned by our market-leading digital collection platform and our strong win momentum this year all position us strongly to harness the likely volume growth over the coming quarters. While our early-stage segment has witnessed steady uptick over the last few quarters, we are now focused on strengthening the growth muscle of our legal collection segment. As we had mentioned before, legal collection operates at a lag from the early-stage debt and is still finding its

bottom from the lower early-stage debt through the COVID cycle. As we start to see the uptick in delinquencies and charge-offs across our client ecosystem, we are ensuring that our legal collection business is ready to capitalize on the growth momentum ahead.

UK BFS:

I had shared that reinvigorating the UK business has been a fiscal 2023 priority for me. I am pleased with the progress we continue to make in our UK BFS, CMT, and the diversified portfolio. UK BFS continues to deliver strong growth. With the recent meaningful win, we now have top partner status with another top 10 retail bank in the UK. The demand environment, pipeline activity and digital adoption remained strong despite the political uncertainty and tough economic conditions. As BFS clients shift gears in cost efficiency, we see more opportunities, especially for digital and near shore and offshore solutions. We expect this momentum to continue for the next year with a sharper focus on new client adds and more offshore business activity products.

Healthcare:

© Firstsource Solutions Limited 5 Our Healthcare segment continues to grow consistently at 17.3% year-on-year and 7.2% in constant

currency. The rate of growth has slowed down due to some of the deal delays that we talked about earlier. Although the sales cycle has lengthened, the deal activity remained strong. We continue to execute on our strategy to focus on the top 10 health plans, grow our digital intake business and create bespoke BPaaS solutions for the mid-market health plan. In the medium term, growth will be driven by vendor consolidation, acceleration of digital intervention across the care and plan, admin and value chain and the wider adoption of BPaaS solutions.

On the foundation of the pioneering BPaaS last year, we are seeing meaningful traction. We have been selected by another top 10 Medicare Health Plan for building their membership admin platform. This is our second BPaaS deal and we will be partnering with Product Company to deliver the solution. Once again, it was our domain expertise that helped us win against large integrated players.

On the Provider segment, there hasn't been a meaningful change in the outlook, the latest direction from the US administration is that the public health emergency provision on compulsory Medicare enrollment will end in April and the respective state government can take individual decisions on when and how to drop this requirement. As this states start to roll-off compulsory enrollment, we expect demand for Medicaid Redetermination Services to come. We continue to develop a digital solution to capitalize on this demand and we signed up with the first anchor clients for this offering. Structurally, hospital continued to grapple with significant hikes in the medical cost extending the buying cycle in our core playfield on RCM and other admin services. Longer term, it should lead to more outsourcing and offshoring by this industry.

CMT:

Our CMT business has delivered another strong quarter. This quarter, we grew 14.8% year-on-year and 17.5% in constant currency. We continue to witness steady growth from our top clients across their products and service line with a little skew towards outsourcing. I am pleased with the progress we are making in our US CMT segment and the momentum we are witnessing particularly in the tech segment. Our US CMT segment has grown by 63.8% year-on-year in constant currency. We launched our IDEA services which stands for Insights, Design Experience and Advisory leveraging our deep customer service experience to address the market opportunity of designing digital CX the pull through to ongoing run outsourcing. We have added four new clients this quarter including two major tech companies. Our focus on segments such as edtech and data integrity for machine learning are showing results. A few months ago, a global

bal education testing player engaged us for a consulting assignment to design the customer journey and in operating model for the contact centers. That engagement has now involved a large scale build and run of their CX organization with the charter of improving the CSAT and increasing their market share. This was initially an IDEA engagement. As we plan for the next year, our UK CMT to provide a strong anchor and the US CMT, though small, would grow disproportionately to the company growth rate.

© Firstsource Solutions Limited 6 In summary, this has been clearly a difficult year. Having said that, I am extremely proud of

the team of

23,000 + Firstsource rs who stepped up in these dynamic time s and has helped offset the unprecedented decline in the mortgage business. We had to take some hard calls on our cost to create a more efficient operating structure. The momentum we have established in the non -mortgage businesses set s us up for strong future growth . Let me now hand over the call to Dinesh t o cover details of some of our financial results.

Dinesh Jain : Thank you, Vipul. For the financial performance for Q3 FY23 , revenue for Q3 came in at Rs. 15,049 million or \$183 million. This implies year -on-year growth of 2.8% in rupee term and flat in constant currency term. On the margin front, operating margin came in at Rs. 1,409 million or 9.4% of revenue for the quarter implying a year -on-year margin decline of 267 basis points . Profit after tax came in at Rs. 1,579 million or 10.5% of the revenue for the Q3 FY23 , a year -on-year margin improvement of 124 basis points . Our recent acquisition of Stonehill and ARSI , did not me et the revenue target s at the end of the earnout period which closed in December 2022 . This has resulted in other income of INR 279 million in Q3. No further contingent consideration is payable on these acquisitions. We also have contingent payouts for mortgage client as part of our option purchase agreem ent closed last year. Basis the current visibility of the revenues against the target, the liabilities had been fair valued this quarter and that has resulted into other income of Rs. 319 million in this quarter.

DSO came in at 61 days versus 56 days last quarter. During Q3 FY23, we have generated Rs 800 million of cash from operation and our free cash flow was Rs. 653 million after adjusting for CAPEX of Rs. 147 million. We also had a closing cash balance including investment which stood at Rs. 1,927 million. Due to high DSO this quarter, operating cash flow and free cash flow are lower in Q3 and will get normalized in Q4. Net debt stands at Rs. 5,891 million or \$71.2 million as of December 31st 2022 versus the Rs. 6,055 million or \$74.4 million a s of September 30th 2022. Tax rate for this quarter was around 14%, but we expect FY23, it should be within the range of 16 % to 17%.

On our Forex hedging, we have coverage of GBP 38 .9 million for the next 12 months with average rate of Rs. 101. 5 per Pound and coverage of US \$68.5 million with average rate of Rs. 82.6 per dollar . On our Forex hedging we have coverage of GBP 15.8 million for the 12 to 24 months with average of Rs. 102.9 to the pound and coverage of \$9 million with average rate of Rs. 83.9 per dollar. In addition to this forward, we have also taken some of the optio n on these forwards to better our realization rates. I am pleased to announce also that the board has recommended an interim dividend of Rs. 3.5 per share or 35% for the financial year. Total payable expected on account of this going to be around Rs. 2,43 9 million.

With this, I will hand it over to moderator for the Q&A.

Moderator: Thank you very much , sir. We will now begin the question -and-answer session. We have the first que stion from the line of Mohit Jain from Anand Rath i . Please go ahead.

© Firstsource Solutions Limited 7 Mohit Jain : Sir, just two ques

tions, first is on the mortgage business, so any thoughts there on the kind of volumes you guys are seeing say over the last two months or so and if you could share some outlook for next year on the mortgage business separately? A nd the second is on the margins, now margins clearly surprised this quarter, so what kind of recurring margins are you looking at and is there any onetime cost that we should be aware of from future standpoint?

Vipul Khanna : So, I think mortgage volumes continue to be soft, market volumes are low, our clients whatever reductions they had told us over the last several months, some of them continue to kind of act through. It looks like the interest rate s peaked and they have been coming down for the past several weeks now and even you saw yesterday's announcement was at 25 basis points by the fed for rate increase which is the lowest in them since March, so generally the market sees that this should st art to bring some of the buyers back into the market, especially as we come to the spring season and schools, etc., starts, some volumes to come the re, but from what we have seen thus far and potentially up to the end of this quarter, we expect to see sort of weak volumes in the mortgage business. In fact, we do expect that our revenue for Q4 for mortgage will be lower than Q3 . On the margin side of it, I think we made strong gain s above the cost focus and the action we have done, and we do expect that by Q4, we will come back to our last year average of between 11.5 % and 12% on a run rate basis and that should be a good base for us to kind of take forward.

Mohit Jain : Sir, can you repeat the margin for 4Q, you are saying we will get back to last year average?

Vipul Khanna : We think we will come back to a run rate of between 11.5 % and 12%.

Mohit Jain : And then that will be new base for FY24?

Vipul Khanna : Yes.

Moderator : Thank you. We have the next question from the line of Dipesh Mehta from Emkay Global Financial Services. Please go ahead.

Dipesh Mehta : Couple of questions, first about the guidance, just want ed to get your sense about what this guidance implies from Q -o-Q growth perspective of our Q4? Second related question is, just want to get your sense about confidence on maintaining and sustaining Q -o-Q growth trajectory into calendar year 20 23, if you can provide some perspective considering all the buckets of the bu siness, how one should look Q -o-Q growth trajectory calendar year 20 23, are we confident now , flattish or declining phase is over for us and Q-o-Q we should improve entering into calendar year 20 23? Third question is about BFS, BFS segment margin is much w eaker than what we used to op erate in the past, mortgage has played some role, but if you can provide considering now mortgage weakness is largely behind , how one should look recovery in

that margin?

© Firstsource Solutions Limited 8 Vipul Khanna : Dipesh, based on the revised guidance that we have issued, we think this implies to 1% to 5% quarter -

on-quarter growth, we do realize it delivered at broadband, but it is a quarter where we historically see some seasonality is coming in from our collection business plus given the continued sort of situation we have in our mortgage and somewhat in the collection business, we think this is the right number to have at this stage. And in terms of calendar year 2023, if you are talking about the future, we are kind of right in the middle of the budget cycle and kind of gathering data from the market and our teams. So, something we will come back, but at this stage, given the fact that while we do expect mortgage will decline in Q4, we expect decent growth to continue in Europe. Collection obviously will be stronger, even the seasonality that we typically see from the tax reason. So overall we think, we feel good about what we forecasted in terms of Q-o-Q growth to deliver to the revised margin.

margin. On the margin for BFS, clearly

as you highlighted, mortgage has taken a heavy toll on those margins, also there are sort of cost lags the revenue declines. We have taken some pretty hard actions across the cost structure that has crossed overheads, facilities, etc. We also had some impact from the margins of our ARSI acquisition. They were lower than us when we acquired, and we had shared that, and we expected their revenue to decline. The decline has been more than we anticipated because of the macro conditions and that has also taken pressure on the margins because that is a more fixed cost business. So once the volume comes back on the legal collections, we should see good gains on the margins of collections. These two have been heavy draggers on our margin for this year. Otherwise, the core collection business, digital collection and UK BFS had delivered strong growth and some of the cost pressures that we saw in UK from labour cost and fulfilment we seem to kind of coming at par with that. So that gives us confidence on the margins for Q4. Dipesh Mehta: Yes, it helps, maybe we can get clarity once we finish the year.

Moderator: Thank you. The next question is from the line of Shradha from Asian Market Securities. Please go ahead.

Shradha: Congrats Vipul on a steady quarter, couple of questions, within mortgage what is the current mix of origination and servicing, and do we also do the home equity bit in mortgage?

Vipul Khanna: So, the mix of origination to servicing is now closer to 35:65, 35% origination and 65% servicing, so almost 1:2 between origination and servicing. We have seen some downward pressure on servicing as well, right as clients are pulled back and some of the onshore and offshore sort of cannibalization has happened. Some of our clients have started home equity line and we are supporting in that as they are starting those endeavours, yes, we have some early start in that home equity segment.

Shradha: Yes, because one of our competitors was talking about expected downturn that we could see in their mortgage home equity portfolio because most of the harm that had to happen in origination is already done, so are we of the same view that origination decline probably would now get stalled and we would see more of servicing in decline in mortgage portfolio?

© Firstsource Solutions Limited 9 Vipul Khanna: No, I would think that the refi activity has obviously come down very drastically. There is still some

purchase activity which was also for couple of quarters impacted with the high interest rate. The market expects that if interest rates stabilize and then it stays below the 5.5%, between 5% to 5.5% range, then we will start to see pickup in the home purchase market especially in hot geographies like Florida, Texas, some of those hotter markets, Colorado, etc. So overtime through this calendar we should see some of the return of the origination volume through purchase, not as much to refi. Home equity, I think this is a smaller business, we will see how that plays out for the consumer. The servicing business, I think has declined for us this year, but I don't expect any more significant decline on that from where we are because whatever cost actions clients took, they have taken the cost actions. Now, in fact, some of them are looking for like how I get out of it and look more offshoring and set of more structural solutions are in these tactical answers. So at this stage, I don't expect any significant decline in the coming year on servicing portfolio, but keep in mind as I said overall, the portfolio is now down to about 8% to 9% of our overall business.

Shradha: The other question is this time around, we saw improvement in margins that was mainly led by SG&A coming down, but on the gross margin it was actually still down 150 bps sequentially, so when we say that we expect 4Q margins

to revert to the last year average quarterly run rate, so do we expect that to be led by improvement in gross margins or do you expect further cut off in SG&A that will help margin in the next quarter as well?

Vipul Khanna: So obviously, we've kept a very tight and very judicious line on our SG&A, both for run SG&A and for growth SG&A. Our gross margins obviously continue to be impacted by one, the reduction and two, the change in mix as well because in mortgage a bigger chunk of the reduction has happened in the more higher margin offshore portfolio rather than as much onshore, so it is the mix of sort of location also which had played a part and you have seen that our onshore percentage has gone up just by reduction, not that we have consciously chosen that business itself that offshore has reduced more. So that kind of put pressure on the margins. As we go into Q4, I think it will help to have higher revenue, it will help to

have the more profitable collection business kind of kick in, but I don't see disproportionate action between the direct cost and SG&A coming into the next quarter and we are confident of the receipting our 11.5 % to 12% run rate from that quarter.

Shradha: And just one question if I can squeeze in, the other operating income has come up quite significantly, so is it more to do with the Forex loss or is there something else there?

Dinesh Jain: It is not the Forex loss, but as the rate has moved up, automatically forward rates become lower, so the realization will be gone into the revenue line itself than being other operating line. So there is no loss on a forward book, but the realization remains the same as the forwards which we talked in the last quarter.

Moderator: Thank you. The next question is from the line of Prabhu Dastari from Tattva Capital. Please go ahead.

Prabhu Dastari: I just had a couple of questions, so the first one being, do we see any challenge in recovering the receivables on the client side considering the increase in receivables this quarter, anything of that sort?

© Firstsource Solutions Limited 10 Dinesh Jain : No, there is nothing on that front, basically in the December quarter due to higher holidays , our process

requires to take client sign up before billing so unbilled is also high slightly, but most of the money which is overdue in December has been already collected in January .

Prabhu Dastari: And the second question is the other income of Rs. 309 million related to Sourcepoint acquisition ?

Dinesh Jain: That is right, that is the option agreement which we have in the past with that one of the clients.

Prabhu Dastari: If that is the case, the expense that we recorded as an exceptional item in March 2021 quarter, but the gains currently we are showing in other income instead of exceptional items and why is there a change in the presentation?

Dinesh Jain: No, it is two different things. I think at that time of the transaction, the amount was very high and as was the exception called out. Now, with fair value accounting , all the fair value adjustment has to go through other income, so there is nothing that was exceptional . It is purely the way the accounting has to be done, so it has to be accounted, fair value adjustment has to be in other income.

Prabhu Dastari: Sir, we do not foresee any other gains apart from whatever we have seen or any other losses apart from whatever we have seen?

Dinesh Jain: As of today, when the fair valuation which we did , we see this is the amount going to be. It might be small adjustment may happen in Q4, but I don't see the bigger amounts coming in . All these transactions are closed.

Moderator: Thank you. The next question is from the line of Sachin Kasera from Svan Investments. Please go ahead.

Sachin Kasera: This previous query, you mentioned that you are guiding for 1 % to 5% , now already in the month of January, one m

onth has already gone in the quarter, so you still expect such high volatility in the remaining two months to guide for such large data about 1% to 5% for Q4?

Vipul Khanna: As I mentioned, collections is coming off a very unusual period , very uncharacteristic how collection has paid out in the last 18 months post all the COVID interventions which government has done, and personal financiers have gone through. Historically, it is high, we don't know how that will play out, so one, we are kind of watching it and keeping that range from collections and especially now our collection portfolio is also bigger after the legal collection acquisitions, so it is much bigger share of our overall revenue than just core collection business; two, some of the deals that we have closed in the previous quarters, we are kind of waiting to see how deal closures and implementation can pick up to see how much revenue we are able to book against that, so those are the two factors which have gone into it . Our Q-o-Q kind of appears like that, but if you look at it, that is why we have taken the call to reduce our range and brought it to -2% to -1% for the entire year as well as for the non-mortgage non-acquisition range.

© Firstsource Solutions Limited 11 Sachin Kasera: Second question is, when we look at your operating expense that has reduced from Rs. 344 crores in Q2

to Rs. 310 crores in Q3, so is there some one-off in that or is there some rationalization and is it sustainable?

Dinesh Jain: I think Sachin the operating expense is also one of the components on our legal collection business, so as the revenue drop that one expense line item is lower as well as Vipul talked about the cost actions which we have taken in Q1 and Q2 that has been seen now. So I think some part will be sustainable, some part depends on the revenue growth that may increase.

Sachin Kasera: Probably, closer to Rs. 30 -Rs. 35 crores reduction we have seen sir, can you give us some sense approximately broadly how much is related to revenue decline and how much was related to the action that had been taken internally?

Dinesh Jain: It should be around 70 :30, 70% almost like cost action, 30% is still linked to the revenue.

Sachin Kasera: And is this one of the reasons why we are guiding for a sharp improvement in the Q4 margins from 9.5% to 11.5%?

Dinesh Jain: Yes, I think we did talk that I think all the facilities actions take 6 to 9 months, so there are cost actions which got effective in Q3 and there are some more cost actions happening in Q4 as well as . I think that we are going to higher revenue side, automatically margin profile will improve in Q4.

Sachin Kasera: But are there any of the sections which will impact our long-term growth aspirations or investments for growth?

Dinesh Jain: No, I think is because the mortgage businesses have the access capacities and you will see the sharp down

trend which have taken place, so we don't see that these actions are going to impact any of the revenue growth side of it, it is more of a cost which was excess which we have taken.

Vipul Khanna: And Sachin, just to add to that, look, we have taken a judicious call, kept a sharp eye on our operating expenses and SG&A, clearly we have had to do some trade off, so I will give you an example, our digital collection businesses are growing business, we are seeing good growth, so we continued our investment in the build of the platform on the road map, but since the provider was soft we took some calls to reduce the technology expense and further building that platform, so we have had to do some trade off given the revenue environment that we faced and as growth picks up we will kind of feature some of those expenses, but we have taken a call that are critical growth investments, we did not compromise on that.

Sachin Kasera: The next question sir, was on the net debt side, so 9 months

we have seen a good reduction, what are your thoughts going forward in FY24 and FY25, we would like to reduce it further or would you rather have cash flows for growth or may be higher payouts?

© Firstsource Solutions Limited 12 Dinesh Jain: I think Sachin that working capital is the only debt which we have. We don't really have any long-term

debts which we have taken and payouts you have already seen that what we are going to pay around Rs. 243 crores as a dividend this quarter and continue to the cash generation if put in for a growth for sure and what has been left out is always being adjusting to the working capital line.

Sachin Kasera: Just on one question for Vipul, basis the acquisition that we have done, what has been our experience and what are our learnings, you did mention that few of them have not performed as per expected lines, so what are our key learnings and how do we intent to improve on that or we need to do any other acquisitions in the future?

Vipul Khanna: Yes, great question, so look both these investments were on a strategy that while mortgage and collection are cyclical businesses, we were consciously pursuing leadership in those segments, so legal collections extended collections outreach from early late stage to even legal, so that we can offer end to end for our clients, so to that extent, it did kind of give us a valuable capability. Likewise, the TSG acquisition extended our value chain from not just origination and servicing, but to QC and DD as well, quality control and due diligence as well, which started the capital market and gave us access to the mid-market segment. That was the business case. So that core hypothesis has played out, however, the timing of those acquisitions one could argue that once the market sort of softened significantly after that they were also impacted, potentially more impacted than when we anticipated and to that extent I think the structuring of our deal worked that we did not have to pay the variable consideration. Now, obviously it did cause more challenges to our forecasting through the years by and we kind of guided you on sort of how you had to take guidance down twice earlier this year, so this has contributed to that. So I think learning this about timing, learning this about really thinking through the worst case in terms of the economic environment on that and while I think the purchases are still valid and I think they will absolutely pay out in the medium to long term, at least from the forecast and how we kind of bake that into a number and kind of build our business around that. That is something that we need to do much better on that, but overall I think one of the other strategies that I have identified, I mentioned to you earlier is besides these businesses, we now need to build a portfolio of less cyclical businesses, so that will be a trust going forward that how do we bulk up some of the capabilities in that part as well.

Moderator: Thank you. The next question is from the line of VP Rajesh from Banyan Capital Advisors. Please go ahead.

VP Rajesh: My question Vipul was that what is your guidance for fiscal year 24, you made some comments earlier about that which I missed?

Vipul Khanna: So, Rajesh, we haven't offered any FY24 yet, we just closed the guidance for FY23. FY24, we are in the middle of the budgeting and planning cycle, so as usual when we come back in end April, early May for Q4 results is when we will give guidance for next year. Directionally, I would say that demand environment is good, some of the businesses like mortgage, collections and providers which faced headwinds in FY23, those headwinds will ease off, so that will kind of remove some of the friction that we have seen in the growth in those businesses while our Europe and our healthcare businesses, they continue to operate in good set of demand environment as well as CMT. So that should

continue in good stead.

© Firstsource Solutions Limited 13 Moderator: Thank you. There is a follow-up question from the line of Dipesh Mehta from Emkay Global Financial

Services. Please go ahead.

Dipesh Mehta: Couple of questions, just want to get sense about healthcare business, now the growth trajectory seems to be softer than maybe we expected it the beginning of year, so if you can provide some sense what played out across payer and provider business? The second question is about the top client growth trajectory, it is doing well for last couple of quarters, so if you can provide some sense about the sustainability of this growth trajectory and what is driving it? Third question is about the new service which we mentioned IDEA, if you can give some sense about what we exactly try to do and what would be the mark potential you see? And last question is on M&A, do we plan to do let us say M&A in near future may be next 3-4 quarters or you largely believe now organic business is where the focus lies and

M&A maybe incrementally, but not in near future?

Vipul Khanna: Healthcare business has been soft, HPHS has been on a strong trajectory last 2 or 3 years, this year also we are having good wins. One reason that the growth has been softer than we anticipated at the start of the year is mostly being delays, now that we have open 8 of the top 10 health plans, these are very big mature buyers, they have sophisticated buying processes, they are into their third or fourth generation sort of contracts, so their evaluation process tends to be longer and definitely longer than they themselves sort of articulate and guide in the set of buying motion they will end up and even after decision making because we are usually vendor consolidation or vendor switching, typically the implementation cycles are longer than if you were doing like first gen or an organic set of transition of sorts. So I think that has played a big role in terms of the delays in booking of the revenue. That is the one reason. Second, the trust of our business as we get into digital intake in BPaaS, these are longer implementation cycle, the volumes kind of incrementally come to you because you dependent on some of the technology implementations, so that is kind of the second factor that has kind of played out. Overall, I still feel very good about the healthcare business, the market is big and strong, not as much impacted by macro factors and now we have established good beach head we have a focused strategy, so I could see good about the long-term prospects of HPHS.

Provider, we play in a very narrow segment and that segment was disproportionately impacted especially the eligibility business was disproportionately impacted by PHE and the fact that the PHE made Medicaid enrollment compulsory, so if the states were to get this federal funding they had to compulsorily enroll people in Medicaid and we saw some of the data coming through that the Medicaid enrollments through COVID went up something like 27% and that is mostly automatic enrollment and that impacted our volumes and now that we finally start to see that in the coming fiscal April onwards, states in a staggered manner will take off PHE, we expect some amount of normalcy as well as demand for the Medicaid Redetermination services coming up. So provider has been tepid through the years, largely impacted by PHE and the fact that we play in a narrow segment and we are focused on broadening that capability. It is a little bit of billed cycle that we are going through. We haven't seen meaningful results yet, but something we are focused on to make sure our goal field or the play field in which you operate in provider is broader, so that is first question.

© Firstsource Solutions Limited 14 Second was on our large client. We have seen a good strong year. We have grown across their product line, theirs

service lines. As we look into the future, I think one, the UK label market continues to be tight and expensive, so we have seen in the last couple of quarter is strong growth offshore, this is good for margins, but as we see more of that sustaining through in the future, it will have some amount of onshore revenue cannibalization because it is lower yield but higher margin. So that is one factor which will play out. I think as we go into the next year on the large account where they are also grappling in a competitive market in a different economic situation where people need more support in some of those payments, as they have launched new programs and initiatives to deal with that we played an integral part in that which makes both of us pretty happy and sort of confident about the future relationship.

The IDEA is more a very focused consulting offering that we have launched to help clients design customer experiences. Since we do so much of the digital contact centers, it is taking those operating business learning, translating into a structured design and consulting framework to take it to clients. It won't be a massive revenue, but it is kind of tip of the sphere strategy like the example that I gave of the Ed tech company where through our consulting engagement we identified opportunity and when we won that opportunity competitively and that now gives us ongoing outsourcing revenue. So, you have seen that strategy play out in most of the players where you use that as the tip of the sphere, so consulted targeted consulting offering to open up, now get inside the tent and then sort of win the business.

Last question was M&A. So I think obviously we have taken some learnings, we have taken some time to consolidate these acquisitions. They have had some impact on our financial which I think we mostly work through as we come into Q4 and go into next year. So we obviously have our defined strategy of building adjacent capabilities in healthcare, some capabilities in CMT, some capabilities in parts of the BFS business. We will continue to absolutely evaluate both organic and inorganic sort of opportunities there. At this point, there is no conscious or a policy decision to do or not to do one of those, still, continue to keep our stand and look for the right opportunity and build our learnings from the last two as we go forward,

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to Mr. Vipul Khanna for closing remarks. Over to you, sir.

Vipul Khanna: Thank you. Thank you everyone for your continued engagement, really enjoyed your questions and the deep understanding about our business and insightful questions that you asked. We feel good about Q3, we feel good about coming into Q4 and a look forward to coming back in April-May and giving you an update for Q4 as well as guidance for the next year. Thank you for your time and your interest and have a great day ahead.

Dinesh Jain: Thank you everyone.

Moderator: Thank you, sir. On behalf of Firstsource Solutions Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

10th May 2023

To:

National Stock Exchange of
India Limited (Scrip Code: FSL)
Exchange Plaza,
Plot no. C/1, G Block,
Bandra -Kurla Complex
Bandra (East),
Mumbai - 400 051 BSE Limited (Scrip Code:
532809)
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of
Board of Directors on May 5, 2023

Please find enclosed the transcripts of the Analysts earnings call conducted on 05th
May 2023 for the meeting of Board of Directors held on May 4, 2023, for your
information and records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available
on the Company's website, at <https://www.firstsource.com/investor-relations/>

We request you to take the above on record.

Thanking you,
For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

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Q4 FY20 23 Earnings Call
Transcript – March 31, 2023
CORPORATE PARTICIPANTS
Mr. Vipul Khanna - Managing Director & Chief Executive Officer

Mr. Dinesh Jain - President and Chief Financial Officer

Mr. Ankur Maheshwari - Head Investor Relations

© Firstsource Solutions Limited 2 Moderator: Ladies and gentlemen, good day and welcome to the Firstsource Solutions
Limited Q4 FY 23 Earnings

Conference Call. As a reminder, all participants' lines will be in a listen-only mode, and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance during
the conference call, please signal an operator by pressing star and zero on your touch-tone phone. Please
note this conference is being recorded.

I now hand the conference over to Mr. Ankur Maheshwari from Firstsource Solutions Limited. Thank you
and over to you, sir.

Ankur Maheshwari: Thank you, Vikram. Welcome, everyone, and thank you for joining us for the quarter-ended March 31,

2023, Earnings Call for Firstsource. To take us through the results and answer queries, we have with us today Mr. Vipul Khanna - MD and CEO and Dinesh Jain - CFO. Do note that the results, the fact sheet, and the presentation have been emailed to you, and you can also view this on our website, www.firstsource.com. Before we begin the call, please note that some of the matters we will discuss on this call, including our business outlook, are forward-looking, and as such, are subject to known and unknown risks. These uncertainties and risks are included, but not limited to what we have mentioned in our prospectus, pilot study, and subsequent annual reports that are available on our website.

With that said, I hand over the call over to Mr. Vipul Khanna to begin the proceedings.

Vipul Khanna: Thanks, Ankur. Good morning, everyone. Welcome, and thank you for joining us today. So let's start by giving you an overview of our fourth quarter performance. This quarter, our revenues decreased 2.8% year-on-year in constant currency, and came in at INR 15,568 million, or USD\$190 million. This implies a growth of 2.5% quarter-on-quarter in constant currency. Operating margins improved by 21 bps year-on-year, and 220 bps sequentially to come in at 11.6%. I'd like to reiterate that our margin performance in H1 was an aberration, and the corrective actions that we've taken have brought us back to a normalized margin range. The diluted EPS in Q4 grew by 7.3% year-on-year and came in at INR 2.02 for this quarter.

For the fiscal 23, the recorded revenues of INR 60,223 million, or \$750 million, implying a constant currency decrease-growth of 1.1% over fiscal 22. Excluding mortgage and acquisitions, we achieved constant currency growth of 13.7% year-on-year. Operating margin for the year was 9.4%. These numbers are firmly in line with our recent guidance. This year was clearly challenging, as our unique business mix was negatively impacted by unprecedented macroeconomic cyclicality. We refined our long-term strategy to ensure that our go-forward business mix is more balanced, and can better manage these external variabilities, and also position us for more sustainable longer-term growth.

As a quick reminder, the key components of our strategy are:

#1. To diversify within the BFS and CMT verticals and expand into select new subsegments of healthcare and CMT, with the overall goal of reducing exposure to macro-cyclicality, and driving the next phase of our growth.

© Firstsource Solutions Limited 3 #2. Drive growth in our chosen verticals by building adjacent capabilities, by systematically adding new

clients, and by growing existing strategic accounts.

#3. Leveraging our digital tools and services to create more cost efficiency and build new digitally powered solutions. We are as much focused on harnessing rapid developments in AI, espe

cially generative AI.

Against this strategic framework, we had a number of critical achievements during fiscal 23. Let me first start with a theme of diversification. In BFS, we made good progress in growing the collections and UK BFS segments. We are pleased with the organic, constant currency growth of 18.3% in our BFS portfolio, ex Mortgage. In CMT, we reduced our concentration of our top client from 80% of CMT revenues in Fiscal 22 to 70% in Q4 of Fiscal 23, by consciously growing the other parts of this segment. Excluding the top client, this portfolio has grown strongly at 44% year-on-year, led by growth in Edtech, tech and collections in the communications segment.

We continue to build new capabilities in adjacent areas, for instance, Financial Crime Ops in BFS, and extending our digitally-empowered contact center solution for the edtech world to drive a better learner CX. We launched a consulting practice idea and our data integrity practice and meaningfully grew our EdTech segment. In the first year, we converted four consulting engagements to annuity contracts. The utility segment within the diverse vertical grew nicely 43% year-on-year, albeit on a small base, on the back of our DECX, or digitally-empowered contact center offering, its maturity, and digital connections. Let's talk briefly about our delivery ecosystem. We expanded our delivery footprint to two new geographies, Mexico and South Africa, and further strengthened our Philippines operations to help address the increasing challenges of sourcing the right talent and the client need for greater value extraction. Now we are present in six countries. And finally, driving growth through new client additions and systematic account mining. We added 73 new clients this year, and we did well to expand most of our key relationships across non-mortgage BFS, CMT, and HPHS.

Our approach for Fiscal 24 continues to refine these building blocks. As we look forward to the start of the new fiscal, I'm confident that we have reduced cyclicality in our business, even as the global economic environment and sentiment is increasingly uncertain. From a current vantage point, we are expecting to achieve constant currency growth of 2% to 5% in Fiscal 24, with an operating margin range of 11% to 12%. This factors in a sequential decline in Q1, followed by steady growth from Q2 onwards. This guidance assumes a 3% revenue headwind from our mortgage business, given H1 of 23 was higher than H2 of 23. A 3% revenue headwind from our onshore-offshore estate rebalancing. I have spoken previously about our intent to grow offshore more meaningfully. I'm pleased with the progress. We are in advanced discussions with a couple of key clients to realign their onshore-offshore footprint during this fiscal year. While the absolute revenues realized will decline due to billing rate differential, we expect the margins to expand.

© Firstsource Solutions Limited 4 Operating margins will benefit from the multiple initiatives in Fiscal 23 to take costs out and protect margin

erosion. We are now back to our normalized margin range. The key levers that we have factored in our operating margin guidance are margin recovery across mortgage business and the acquired businesses, onshore-offshore rebalancing, and growth in our digital service line. Operating margins should remain in our desired range through this year.

Let's talk in detail about the key trends in our industry segments to give you a better color on our growth drivers.

Mortgage:

Starting with mortgage, the last 12-18 months have been turbulent for this industry, to say the least. The mortgage segment clearly took the bulk of the mindshare for both you and us alike. We believe that the industry has moved past the worst of the volatility triggered by this unique economic cycle. Interest rates have been moving within a narrow range, and the industry expects a modest

pickup in volume over the next 12 months.

We are confident that we can manage any further volatility without a material impact on our overall performance, especially considering that this segment now contributes less than 9% of our overall revenue. For our portfolio, we also believe that volumes have more or less bottomed out, and we should not see a material decline unless there is a significant shift in the macro environment. We continue to focus on adding new clients and scaling capabilities to accelerate diversification beyond origination. Most of the pipeline activity currently is around servicing and capital markets.

For Fiscal 24, we are projecting mortgage to operate closer to our Q4 Fiscal 23 exit runway for H1, and then moderate growth in H2 based on recent wins and current pipeline.

Collections:

In the collections segment, the consumer credit metrics continue to soften, which is a positive for our business. Overall, U.S. card debt delinquencies rose to 2.25% versus 2.09% in the last quarter, and the charge-offs were at 2.55% versus 2.11% in the last quarter. Over the last couple of weeks, most of the large U.S. banks declared their Q1 CY23 earnings.

The consistent themes across these commentaries were, one, consumer debt is now higher than pre-pandemic, and credit tightening has begun. Two, consumer balance sheets are still quite strong and remain near all-time high, driven by low unemployment rates and high wages. And three, delinquencies while still below 2020 levels are expected to rise. The provisions made for credit losses by these banks are gradually climbing each quarter. Considering above trends, we expect our collection business to witness a gradual recovery throughout the year. The sales activity and the new client additions remain strong, and we added six new clients in Q4 of Fiscal 23.

© Firstsource Solutions Limited 5 For Fiscal 24, our key priorities for the collection business are, #1. we continue to diversify collections as a

multi-industry offering with penetration into fintechs, auto, and across telecom and utilities. #2. Expand geographically to the U.K. #3. Stay focused on the digital collections platform's roadmap, and reducing client onboarding timelines #4. Continue to drive revenue and margin growth in our legal collection segment.

UK BFS:

U.K. BFS continues to drive a strong growth. We are actively pursuing expansion across our key banking relationships by penetrating into new divisions and focusing on growing offshore. There is continued focus on digitization of contact centers through call deflection, to self-serve and chat. We continue to see good growth in financial crime operations as well. The growth in U.K. BFS has helped us diversify in the broader BFS segment and de-risk from mortgage concentration. We expect the momentum to continue well into Fiscal 24 with a sharp focus on new client additions and more offshore business activity.

Healthcare:

This segment remains steady. The business continues to grow well and clocked an 8.7% year-on-year growth for Fiscal 23 in constant currency flow. The growth rate has slowed down primarily from conclusion of project-based engagements, delays in deal closure, and continued softness in the provider segment. Our provider business has witnessed significant headwinds over the last couple of years due to the public health emergency enforced by the U.S. government. As per the recent government notification, the PHE or the public health emergency will finally be lifted on May 11, 2023, so in a week from now, fingers crossed, ending the continuous Medicaid enrollment provision that has been in place since 2020. This change is expected to result in an estimated 5 to 14 million people losing their Medicaid coverage. A large part of this segment is likely to be uninsured, a segment our eligibility services and patient access practice focus on. We expect strong growth vec

tors to emerge from this change in H2 of Fiscal 24.

In the health plan segment, we are witnessing somewhat of a slowdown in deal closure, especially where the solution involves significant transformation or digital intervention. Having said that, the deal pipeline remains strong. We've seen good traction, proactively working with clients in moving parts of value chains offshore. We continue to scale our capabilities and have made small starts in the higher value appeals and grievances and claim automation segment.

For Fiscal 24, our focus for the healthcare segment is to reverse the revenue decline in provider and scale

offshore across both provider and H PHS. Over the last 12 -18 months, we've had several multi -wins in our digital intake practice in H PHS. Now the focus is on ramping up these engagements and further strengthening the digital intake platform. And the last piece I'll mention is that we are going aggressively in the plan B plus market to build on the couple of wins we've had in the last 18 odd months.
CMT:

© Firstsource Solutions Limited 6 The CM T segment continues its strong growth trajectory. In Fiscal 23, the segment grew 14% year -on-year

in constant currency. We've done well on two areas. One, scaling our U.S. CM business, which we've been incubating and building from scratch organically. This segment is now more than 4% of the overall revenues and growing nicely. This remains one of our key priorities for Fiscal 24, and we expect to see meaningful growth in this segment. And second, adding new capabilities and markets. Over the last two years, we've successfully made inroads into edtech, digital media, and tech verticals. We've added several marquee clients, and we're taking good growth momentum here.

And finally , our relationship with our top client remains strong. During the year, we added high -value work offshore, underpinned by increasing client confidence in our capabilities. We continue to explore new growth opportunities in their estate.

Diverse:

It's been a while since we spoke about a diverse business segment. This segment primarily focuses on utilities and other industries which are still early stages for us, and where we are evolving our strategy and offerings. You would recollect us winning a deal with one of the top three utility providers in the U.K. a few years ago. Our relationship has significantly strengthened since, and we are today one of their top three outsourcing partners. We expect this relationship to grow considerably in Fiscal 24 on the back of the recent wins they've had with the client. We're in the process of expanding our delivery footprint to South Africa with this anchor client and further scaling our offshore estate .

In summary, while Fiscal 23 was a challenging year for our cyclical businesses, we are pleased with the progress in building the rest of the business, diversifying our portfolio, and progress in our digital offerings. We look forward to updating you over the coming quarters and progress against the strategy.

Let me now hand over the call to Dinesh to give an overview of our financial results.

Dinesh Jain: Thank you, Vipul. Good morning, everyone. Here is a quick snapshot of our financial for the quarter and full year end date, March 31st, 2023. Revenue for the fourth quarter came in at INR 15,568 million or \$190 million. This implies a year -on-year growth of 0.8% in revenue terms and constant currency terms de -growth of 2.8%. For the full year, revenue came in at INR 60,223 million or \$750 million, implies a year -on-year growth of 1.7% in rupee term and constant currency term de -growth of 1.1%.

On a margin front, operating margin came in at INR 1,799 million or 11.6%. This is an expansion of 220 basis points quarter -on-quarter. For the year, operating margin came in at INR 5,633 million or 9.4%. Profit after tax came in at INR 1,413 million or 9.1% of the revenue for the quarter,

a year -on-year margin

improvement of 50 basis points. For the year, profit after tax came in at INR 5,137 million or 8.5%. Our cash generation always remains strong. We generated INR 7,634 million cash from operations and our free cash flow was INR 7,120 million after adjusting for capex of INR 514 million.

© Firstsource Solutions Limited 7 The closing cash balance including investment stood at INR 2,111 million . Net debt stood at INR 6,159

million or \$75 million which in compared to last year almost at 26% lower. Last year, our debt was INR 8,013 million or \$106 million. DSO came in at 60 days versus the 61 days last quarter. Tax rate for the full year was around 16.5%. For FY 24, we expect to be in the range of 18% to 20% and in that we also factor that U.K. tax rate is moving from 19% to 25% so that will have also some percentage increase in the tax rate which we are seeing.

On our forex hedging, we have coverage of GBP 44 million for the next 12 months with average rate of INR 102 to a pound and coverage of \$60 .5 million with average rate of INR 84 to a dollar. For 12 to 24 months, we have also done some coverage on GBP 12.5 million with an average rate of INR 105 to a pound. In addition, we have taken options on these forwards to better our realization rates .

This is all from my side. Now I will open up for the Q&A and move back to the moderator.

Moderator: Thank you very much, sir. We take a first question from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Just wanted to get a little bit clarity on the operating margin side outlook that you have shared. Based on the kind of savings that you have done in this course of quarter and you've seen growth coming back into the business. And so from that perspective, you think this 11% to 12% margin is a bit on the conservative side or you think some more cost factors that would need to take care during the course of the year which makes you think that this is the ideal margin for you for the next year?

Vipul Khanna: So look, operating margin, as we said, we've steadily been improving after a very rough H1. Q4 was 11.6% and we guided 11 to 12% for the year. I think we've done well on the cost discipline and aligning our cost to the business volumes that we had, especially mortgage. As we go into the next year, as you said, there will be decent growth sort of coming virtually across segments.

But we also want to be cautious against the uncertainties in the economic environment. The environment

is fairly dynamic. We want to make sure that we are cognizant of that. There were some elements of our growth investments that we had moderated out in the last year. I think we'll also kind of go back to some of that. So that's kind of another put into it.

And overall, I think we feel good that we're starting off a good base and if we can get the momentum through the year, we should be able to kind of meet this operating margin.

Rahul Jain: Right. And second question, you said about this public health emergency finally taking a pause. So from this perspective, is there any understanding from past or any feeling you're getting from the conversation that how this could shape up? You're expecting it to pick up in H2, but how is the general behavior and any reading on that and how it should go back?

© Firstsource Solutions Limited 8 Vipul Khanna: Sure. So look, I think the central government is making it, devolving it to the states to figure out how they want to roll back this requirement of automatic enrollment. So every state will take its own course. Obviously, it will be driven by political and philosophical considerations of each state. So it will be kind of a gradual roll off.

At a simplistic level, we think the demand will come in two ways. One will be a catch-up demand for people. As they fall off, they'll be like, hey, quick, go and catch up there. And then

there will be a more

settling in of a new equilibrium or getting the equilibrium back to sort of the old pre-COVID days. So I think there will be a little bit of a bumpy demand to catch up, and then it'll settle into a new routine. We are having great conversations as states, plans, as well as providers get ready for this fallout to start happening. Some of them are preparing. Some of them are proactively engaging. We've had some wins for getting ready for both health plans and providers to catch the fallout so that they don't lose revenue. So each time somebody falls off, it's revenue loss for them. So we see that sort of decent demand coming through. So we'll see wins. We'll see traction. But I think the revenue will start to come more towards H2 in this segment.

Moderator: Thank you. We'll take the next question from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain: Three questions. First is, if you could help me understand this growth in telecom, outside top clients, and then others diverse segments. Is there a one-off or something that you have experienced this quarter, given the growth guidance, or do you think this can continue? So that's one, and then I have two follow-ups.

Vipul Khanna: So no, in both, this has been a very, ground-up organic build. So, it started from small wins, like the utility example, started with one-off win, where we were one of the challenger partners. We've gradually earned the right to be like the main partner now, and others kind of shift to the challenger thing. And it's the growth that we've seen is in a long-term sort of annuity contract. So, on the utility side, it's not one-off. And on the strength of that, we won a second top-five client. It will again start small, but at least we can diversify the mainstream offerings out there.

Mohit Jain: So, the ramp-up is done, or will it continue in Q1 as well?

Vipul Khanna: The ramps will kind of continue through into the next fiscal.

Mohit Jain: Yes. And you were talking about telecom outside?

Vipul Khanna: Yes, same. So, they are the segments that we've been focused on, whether it's the non-U.K. communications or the edtech and tech segments. That's been slow, gradual builds, organic. So the wins are, they started small. Some of them are starting to look like one of the edtech clients that we had signed in the education testing space. You know, when I add up everything that we signed up, it's a good five-year, \$15, \$16 million TCV now. So, it's kind of coming to be a big client and basis that we kind of go back to the markets for other meaningful wins.

© Firstsource Solutions Limited 9 Mohit Jain: This is in the U.S. or Europe?

Vipul Khanna: U.S.

Mohit Jain: Okay, so telecom outside top line, we should see more like U.S. growth than Europe growth.

Vipul Khanna: There is some Europe growth as well, but more pronounced in the US.

Mohit Jain: And the second one was your guidance. Now, why there should be a decline in 1Q, meaning, I'm just guessing, could be collections maybe, but if there is no one-off, then what is giving us that decline?

Subsequently, the growth appears relatively slow at, say, 4% midpoint for next year.

Vipul Khanna: So a couple of reasons for that. One, there is an element of seasonality from collections and open enrollment from HPHS, which will taper down in Q1. Second, there was some project-based work, especially in healthcare, which has wound on and is winding down. That will have some impact. And then finally, the large BPaaS deal in HPHS that we had announced, it had an implementation phase which had meaningful revenue. That phase has come to an end, and now we are in a steady state. So that also has an impact on the start of the HPHS revenue. Those are the three main factors for Q1 being somewhat lower than Q4.

Mohit Jain: So mostly driven by healthcare decline. The rest of the verticals are fine.

Vipul Khanna: Healthcare and some amount of seasonality in collections.

Mohit Jain: Collections, right. And, sir, guidance at 4%, like, we are coming off a very low base. Is there, like, some

ramp down, etcetera, which we are anticipating on the market and stuff? Because I thought we would probably do around 5% at least at the midpoint and 2% is also flattish

Vipul Khanna : So, Mohit, as I said, we have identified and called out two headwinds. One is the year -on-year decline from mortgage, because H1 started strong. Right now, we are assuming Q4 run rate expanding with some moderate growth in H2 for mortgage. So that's about a 3% headwind year -on-year. And then we have the unusual, almost revenue decay of about 3% from the onshore -to-offshore movement.

Now, that's a proactive strategy. We have been vectoring our growth, new growth for offshore. But in our existing portfolio, we have this movement, which is most likely to come into this year. So we wanted to call it out at this stage, that in a couple of clients, we'll see this movement. So that's another 3%. And I add this 6% to the midpoint that you, for instance, that you picked up. We start to get into sort of late single -digit, early double -digit sort of growth trajectory. But these are the two exceptional things which we are calling out.

Mohit Jain: Okay. And the last one for Dinesh, sir. Is there any payout left for FY'24? Or are we more or less done with the payouts related to acquisitions and the subsidiary stake?

© Firstsource Solutions Limited 10 Dinesh Jain: Acquisition -related, there was no payout done because they have not achieved the target . So that has

been closed for both the acquisitions. So there is no more pending on that. On the equity related, there is one more revenue target which they have to achieve in FY 24. And on that basis, there is a payout for them. But as of today, I think it's a whole year available and where we still have discussion with them going on, how much revenue they will be going to bring on the table and accordingly, will come back as we get more clarity during the year.

Mohit Jain: You have this amount of \$11 -odd million for FY24?

Dinesh Jain: No, FY24 will be, I think, \$4.5 million.

Mohit Jain: And then FY25 will have another payout?

Dinesh Jain: No, there is nothing. Only the FY 24 is the one year which has been left.

Mohit Jain: Okay. Perfect, sir. Thank you.

Moderator: Thank you. We'll take your next question from the line of Shradha from AMSEC. Please go ahead.

Shradha: Congrats on a good quarter. Just on the guidance bit again. So what is the kind of decline that we are expecting in 1Q?

Vipul Khanna: Sequential decline?

Shradha: Yes, sequential decline.

Vipul Khanna: At this stage, we think it will be between 1% to 2%, Yes, throughout that range.

Shradha: 1% and 3%.

Vipul Khanna: Or let's call it 1% to 2.5%.

Shradha: Okay. So this is primarily related to the project work rampdown that we are expecting in healthcare.

Vipul Khanna: Healthcare, the implementation phase being over for a large program. And then the seasonality of collections.

Shradha: Right. So if we talk about, say, 2.5%, 3% decline in 1Q, then I think starting 2Q to get to the mid -end of the guidance, you would have to do some heavy lifting. So what kind of visibility do we have to be talking of, achieving the mid -end of the guidance if you're talking of a 3% kind of a decline in 1Q?

© Firstsource Solutions Limited 11 Vipul Khanna: Yes. So the way we are looking at it, it translates to a CQGR of about 3.5% to 5% from Q2 -to-Q4, in those

three quarters. I think, if you think about the collections, it will build -up. We've seen signs for that. We have good traction in the healthcare segment from a deal closure standpoint, which we know is under implementation. And as we get into Q2, we'll start to see revenue kind of booked from there. I t

alked

about growth coming back to providers, So we've been conservative for H1 for provider. We think it should result into something meaningful in provider.

And then our new businesses that we are talking about. Right now, obviously, they're on small base. So we are expecting pretty good revenue growth from them. So I think we add up all that. We feel pretty good about the guidance that we're giving at this stage. The newer businesses, they're still pretty young. The pipeline is building. So to that extent, the pipeline is binary in the sense you don't have a big pipeline that even if you lose two -thirds of the deal and even one -third of the deal, you'll kind of get your numbers. Today, when you have a smaller pipeline, it's binary. If we have some good wins, right, we should have better numbers. If we don't, that's what we're modeling at this stage on the 2% to 5% guidance. So I'm trying to give you colors of the different businesses and how we think it will play out through the year to get to that 3.5%, 5%.

Shradha: But it is based on more of hope of recovery in the second half, because the seasonality collection business will play out and the healthcare provider segment growth will play out only in the second half. So maybe we're talking of, very high growth rates in 3Q and 4Q, and that is just based on hope of recovery, right? I mean, rather than anything concrete in the deal pipeline as such currently?

Vipul Khanna: No, I wouldn't say that. What the growth, even for provider, when I'm talking about H2 growth, it'll come in the deals, it'll come on the conversation that we have, we're having now, or the wins we've secured, right? We've told that in provider, the revenue build takes a while, because your inventory builds up, and

then sort of when the collections, the revenue billing for that happens for our client, after that we get done, right? So there's a while, even if you're in a large deal, it takes a while. So we've baked all of that in when we've given you guidance of 2% to 5%. We've taken a little bit of a broader range as well this time. Shradha: Right. And just for this quarter, the other expenses did see an increase, significant increase. So what was it related to?

Dinesh Jain: Within other expenses there is an item for the new collection business, which we got, which is the legal expense. As the revenue grows up in that segment, there is also the work we do with the business associate, which is part of other expenses. So that's the reason this expense is higher. Along with the revenue, which we get through that. So there are no exceptional as such.

Shradha: Okay. And Vipul, would it be possible for you to call out the exit run rate in the mortgage business and similar for collections and UK BFS?

Vipul Khanna: So mortgage, we were closer to \$70 million for Q4. I don't have the breakdown between collections handy, but collections put together, we were closer to \$32 million, \$33 million, I think, is that right?

© Firstsource Solutions Limited 12 Ankur Maheshwari : Collections, I think, was close to about \$36 million.

Vipul Khanna: Also keep in mind that today, because as you expanded collections, it's become like a still dominated by BFS, but there are components of that, which go into CMT as well, right. And the Diverse, which is utilities. So to that extent, we look at it as a horizontal, but what you see when we go out to use the vertical numbers, right, which is banking, CMT, and healthcare. So it kind of doesn't necessarily state that all collections goes into BFS now.

Shradha: The \$36 million is spread across the three verticals that you're talking about, or is this only BFS collections?

Ankur Maheshwari : No, this is all industries, except healthcare.

Shradha: Okay. Got it. Yes. Thank you and all the best.

Moderator: Thank you. We take the next question from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Thanks for the opportunity. Just one clarification on the prior question. Collection, when we say \$36 million, it is only BFS collection, or you include other things? Because I heard it is ex-healthcare. In a way, it includes utility-related collection business also. There we have seen \$4 million swing quarter-on-quarter, but collection is not showing any kind of uptick. So if you can clarify, that is first question. Second question is about healthcare. Vipul, how you judge our performance in healthcare for FY 23? You think it meets your expectation or it is below expectation or exceed expectation? What led to that deviation in your opinion and how you expect it to evolve in next few quarters?

Third question is about margin. Now, there are few things which are very supportive to margin. First is about 3% offshore which you highlighted. Second thing is provider business recovery, which is more profitable than rest of the business. Third thing is now no significant revenue decline kind of segment where we have challenges from margin management perspective. Despite that, our trajectory is different than Q4. Ideally, it should be at least Q4 and above Q4 kind of trajectory. So what plays out in terms of the way you think build-up of margin over medium term?

Fourth question is about more about to understand this data integrated practice, which you launched during the Q4 for tech industries. How should one understand that practice? What we do? And what would be the potential TAM or kind of opportunities? Thanks.

Ankur Maheshwari : Dipesh, let me take the first question, and then probably I'll hand over to Vipul. So on collections, the number that we speak of includes the BFS, comms, media & tech, and diverse, right, which is non-effectively, all non-healthcare collections is captured in that collections number. The healthcare collections is part of the provider business.

Dipesh Mehta: Then, Ankur, in that case, the \$4 million things which we are seeing in diversified industries should also get reflected in collection revenue trajectory, which is not the case. So what explains that deviation?

© Firstsource Solutions Limited 13 Ankur Maheshwari : So that was all entirely coming from the collections vertical. I think, as Vipul talked about in the opening remarks, that growth is a function of our efforts from the, large entity clients in our contact center practice area, DE CC practice area, as well as new wins and some element of growth coming from collections entity clients. The entire growth is definitely not from that segment.

Dipesh Mehta: Because if I remember correctly, last time we highlighted collection is around \$34 million, \$35 million, for Q3. This quarter, we are seeing \$36 million.

Ankur Maheshwari : Yes, I mean, we can go through the numbers later on and we can discuss them.

Dipesh Mehta: Sure, maybe we can take a look at it.

Vipul Khanna: Okay. On the healthcare side, let me give you some color, and then I'll come to sort of where I think in terms of against my expectations. So let me take HPHS first, right? HPHS in fiscal 22 and towards the end of 21 had some pretty meaningful wins, good trajectory. And good quality wins on digital intake, BPaaS, and sort of classic member services, claim services etcetera. A lot of them with very large health plans. I think, H2 of this year, we've taken almost somewhat of a natural breather to make sure that we execute on those complex engagements, Get the focus of the organization to deliver to them. That's the kind of one factor to keep in mind.

Second, now that we are serving eight of the Top 10, some with decent-sized relationships, some that we just opened, wherever meaningful growth will come, these guys are already on to their third or fourth

generation of outsourcing. Their process is pretty sophisticated, pretty long. And even when you win a deal in that very competitive

environment, the switch out from their existing invariably another partner to a new one takes longer. It's not classic.

So the pursuit timeline as well as the execution and the switch timeline longer is one of the learnings that we've taken. Now that we go and play sort of head-to-head with the, for the big health plans with the big boys, that's sort of one phenomenon which has kind of played out for us in this year. The digital intake platform, which we took it as an entry strategy to break into these accounts, it got us some wins, but it had some execution cycle to develop that. And we're still on that road map to kind of develop and complete that development.

So when I put those two factors, I think it's kind of moderated some of the growth in a good way that it has allowed us to build the foundation more. I think the pipeline is strong. We are off to a good start in April in terms of the new deal wins. But overall, I would still expect that FY 24 for HPHS will be with this sort of mid-single-digit growth and then sort of starts to accelerate there.

Providers, we have talked enough, what has ailed it. We play in a specific segment which was the most impacted by PHE. Now we're hoping that once PHE goes away, the market comes back in a new manner, looks for more digital solution, looks for more automated solution, and we are ready for that. But FY23 was kind of rough, right, in terms of the momentum there and the lack of momentum there. So overall, we're kind of disappointed by how providers played out, but the team has worked hard.

© Firstsource Solutions Limited 14 We've expanded our strategy. We've started off on a good note thus far in this quarter in terms of types

of wins that we wanted. Some of it we'll come back and talk in when we finish Q1 once we lock it out to give you sort of how that expands it. Overall, I'm still very bullish about this segment. If I take the next two to three-year view, both payer and provider, there's lots of headroom for growth there for us and for that segment. This year for HPHS was a little bit of a moderated year, but it should pick up. That's the healthcare part.

On the data integrity practice, this largely goes the big value chain. At the entry-level end is the data labeling part, and the top end, it starts to get into data architecture and sort of data guardianships and stuff like that. With the increase in sort of machine learning models everywhere, not just in the big tech companies and platform companies, but even other business enterprises starting to embrace it, we think it's an attractive opportunity. That's why we've come in. At the low end, there is obviously a lot of smaller players as well and distributed around the world, including Tier 3, Tier 4. But as you get into more sophisticated stuff in the middle path, not even the high-end IT world, but even the middle path, we think there is enough bulge there for us to kind of get in and make a jump.

Also, this allows us to break into the tech segment. These guys are mature buyers. The world serves them. This becomes one of our entry strategies to get into the big FANG vendors, big FANG sort of client base, and start to look around for other work. So those are the two drivers for us to get into data integrity. We'll segment out the TAM for you on this one and where we want to play and come back so that we don't give you the big blasé number, which a lot of consultants are throwing about data integrity. I want to come with a number which we are targeting and not go either too low end or too high end.

On the margin question, yes, we had hard work to kind of bring to sort of where we did on our operating margin. Next year, we will obviously, as I said, you identified, we'll get some lift from mortgage recovery. We'll get some lift from providers. The takes against that is we'll get some amount of marginal impact from the Ind AS accounting benefit

we had in fiscal 23. That helped us in FY23. So, some of it will kind of not be there in FY24. We have to work for that.

But overall, I want to be cautious in terms of what we guide. It's early on. A lot of uncertainty in the market out there at this point in time. So we want to make sure that we start cautiously. And as things kind of play out, we'll see if we need to do anything else to the margin guidance at this stage. But for this number, 11% to 12%, we feel good. We see good paths to sort of achieving this number at this point in time.

Dipesh Mehta: Understand, thank you very much.

Moderator: Thank you. We'll take the next question from the line of Rucheeta Kadge from iWealth. Please go ahead.

Rucheeta Kadge: Congratulations on a good set of numbers. So basically, I missed your opening statement. So if you could just repeat what was the guidance on the sales side? And if I heard it right, the operating margin is what you're saying is 11% to 12% guidance.

© Firstsource Solutions Limited 15 Vipul Khanna: Correct. The revenue growth guidance, Rucheeta, at this stage, we are saying will be between 2% to 5%

for fiscal 24. After baking in a 3% headwind from the mortgage business year-on-year decline from, given H1 was higher. And about 3% headwind from the off-shore -onshore estate rebalancing we expect with some of our key clients in later part of this year.

Rucheeta Kadge: Okay. And the operating margin, which currently in FY 23, you did around 13%. So that you're reducing it further?

Vipul Khanna: No. We did 9.4% for the full year. Our quarterly run rate was Q4 run rate was 11.6%.

Rucheeta Kadge: Is it the EBIT margin that you're talking about post depreciation?

Vipul Khanna: Yes. Operating margin is the EBIT, yes. You're correct.

Rucheeta Kadge: Okay. So that you're guiding for 11% to 12%?

Vipul Khanna: Yes.

Rucheeta Kadge: Okay. Got it. Got it. Thank you so much. That is it.

Vipul Khanna: Thank you.

Moderator: Thank you. We'll take the next question from the line of Sameer Pardikar from ICICI Direct. Please go ahead.

Sameer Pardikar: So thank you for the opportunity. Book-keeping question from my side. So what is the mortgage number for FY 23?

Vipul Khanna: The full year number?

Sameer Pardikar: Yes.

Vipul Khanna: Yes. Full year, we were more like \$92 million - \$93 million.

Sameer Pardikar: Against \$216 million that we put in FY 22, is my understanding correct?

Vipul Khanna: Correct.

Sameer Pardikar: And what would be the rough breakup of origination and servicing in that number for FY 23?

Vipul Khanna: For Q4, it was more one-third origination, two-thirds servicing. For the full year, Ankur do you have it handy? For the full year, what's the distribution, fiscal 23?

Ankur Maheshwari: Yes. Sorry. So for full year, I think it was \$35 million origination and about \$58 million in servicing.

Sameer Pardikar: Okay. Thank you very much.

© Firstsource Solutions Limited 16 Moderator: Thank you. We take the next question from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Yes. Thanks for the opportunity. This is a slightly medium-term question. Just want to understand a potential impact from generative AI or ChatGPT on overall business. How much volume impact do you expect through automation over the next three, five years? And can you highlight a portion of business which is likely to get first impacted, where it is easier to automate versus, let's say, very difficult to automate kind of processes? Thanks.

Vipul Khanna: Yes, sure. So this is a very hot topic everywhere, Dipesh, rightly so. We are thinking of generative AI impact in sort of two or three dimensions. One is the external dimension in terms of how do we bake that into our products and services. In terms of where it impacts most, logically, from an outside in, if you look at it, chat is a good use case. Today, when we humans chat with a customer, once generative AI is able to

work within an enterprise boundary and work through sort of extracting data from different systems, like a billing system, a customer activity system, a pricing system, whatever else sort of comes out of their product databases, etcetera.

Once generative AI is able to work and pull out data from very structured databases, then I think it's a good use case for chat to become very smart and generative AI helping humans kind of do that. Likewise, theoretically, we could see at this stage, we'll get there medium term. But as you see more -and-more voice to text conversion, real time, and then through that text, you can use generative AI to help an agent answer or serve the question better. That provides for a better CX and obviously far more greater efficiency in servicing that part. So, those are sort of clear examples of using it.

Then there are obviously intermediary use cases of saying, can I use it efficiently for doing after call work?

So, typically, if I take 10% after I finish a call to capture what happened in my conversation with Dipesh, so that the next time Dipesh calls, I have reference to that, that part, the 10% or the 15% work can be automated. That's kind of the possibility. And then you can extend it further to say, I can use it far more efficiently for internal training purposes, training for folks and stuff like that.

As far as impact on back office systems is concerned, I think that will be a little bit longer. At this stage, it looks like it'll be a longer haul. Because by definition, what you're doing in back office is the exception processing. If systems could process what they call doing in straight through processing rate, it would have gone through. So, if you look at claims example in healthcare, today, most of our clients would have auto claim adjudication rate, depending on who they are and sort of how their systems are set up. Anywhere from 70% to best in class is 90% some auto adjudication rates.

What we do as an industry, as Firstsource, is the fallout, which is the 30% to 10% or the 5% fallout which happens. Those are invariably pretty complex, require data retrieval, require judgment, etcetera, and empathy as well kind of doing that. There, for us to find the specific use case of generative AI which can work specific to a client environment and the rule set that they would have done in their engine, that's a longer haul. And we'll see movement there.

© Firstsource Solutions Limited 17 But it'll require some specialized investments out there by industry players. And we are looking broadly

to say, whom do we partner with and where do we apply it first? So, an area to really, really watch for, it's an important development. And we are all in, we are on it both externally and internally to make sure we use it as an opportunity and then do what is right for our clients to kind of convert to that. Sorry, long answer, but I wanted to give you a color sense of how we're thinking about it at this stage.

Dipesh Mehta: Yes, thank you very much for the information.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question -and-answer session. And I would now like to hand the conference back over to the management for closing comments. Over to you, sir.

Vipul Kha nna: Great. Well, thank you all. Thank you again for your interest, your engagement and your great questions until the next time. Thank you, and goodbye.

Moderator: Thank you very much, sir. Ladies and gentlemen on behalf of Firstsource Solutions Limited, that concludes this conference. Thanks for joining with us. You may now disconnect your lines.

Call: Aug 2023

9th August 2023

To:

National Stock Exchange of
India Limited (Scrip Code: FSL)
Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex
Bandra (East), Mumbai - 400 051 BSE Limited (Scrip Code:
532809) Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board of Directors on August 02, 2023

Please find enclosed the transcripts of the Analysts earnings call conducted on 3rd August 2023 for the meeting of Board of Directors held on August 02, 2023, for your information and records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the Company's website, at <https://www.firstsource.com/investor-relations/>

We request you to take the above on record.
Thanking you, For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

Page 1 of 15

CORPORATE PARTICIPANTS

Mr. Vipul Khanna - Managing Director & Chief Executive Officer

Mr. Dinesh Jain - President and Chief Financial Officer

Mr. Ankur Maheshwari – Head , Investor Relations Q1 FY2024 Earnings Call Transcript
August 3, 2023

Moderator : Ladies and gentlemen, good day and welcome to the Firstsource Solutions Limited Q1 FY2024 Conference Call. As a reminder , all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankur Maheshwari . Thank you and over to you Sir!

Ankur Maheshwari : Thanks Mitchell . Welcome everyone and thank you for joining us for the quarter ended June 30 , 2023 earnings call

for Firstsource. On this call we have Vipul Khanna, MD and CEO and Dinesh Jain, CFO to provide an overview on Company's performance followed by Q&A. Do note that the results, the fact sheet and the presentation have been e-mailed to you and you can also view this on our website www.firstsource.com .

Before we begin this call, please note that some of the matters we will discuss on this call including our business outlook are forward looking and as such are subject to known and unknown risks. These uncertainties and risks are included , but not limited to what we have mentioned in our prospectus filed with SEBI and subsequent annual report that are available on our website.

With that said , I now hand the call over to Mr . Vipul Khanna to begin the proceedings.

Vipul Khanna: Thanks Ankur. Hello everyone. Welcome and thank you for joining us today. I am happy to state that the performance in our latest quarter was in line with the guidance.

Quick Snapshot of the Quarter

This quarter our revenues were INR 15,292 million or \$186 million declining 1.6% year-on-year in constant currency. Operating margins improved about 375 basis points year-on-year to come in at 11.7%. The diluted EPS came in at INR 1.8 for the quarter.

Our growth strategy as outlined previously is centered on three key vectors:

1. Reduced exposure to macro-cyclicality and drives the next phase of our growth by broadening our BFS option and scaling new segments in Healthcare , Communications, Media & Tech (CMT) , and Utilities.
2. Drive growth in our chosen verticals by building adjacent capabilities by systematically adding new clients and by growing existing strategic accounts .
3. Leveraging our digital tools and services to create more cost efficiency and build new digitally powered solutions including harnessing rapid

developments in AI , especially Generative AI.

I am very pleased with the progress that we are making in each of these , there are some quick updates :

- We made considerable strides in growing our US CMT and Europe Utilities client base over this past year and highlighted the FY2023 events in both these segments. These are all scaling well. This is helping us to expand the share of Utilities in US CMT in our overall business mix. At the same time , we continue to carefully reconfigure our mortgage business into purchase financing, servicing and compliance operations while

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expanding into new products like reverse mortgages. For this quarter mortgage was around 9% of revenue down from 17% a year ago as we built other BFS segments .

- Our new client additions remain strong. In this quarter we added 10 new clients with four in BFS, five in Healthcare, and one in CMT. We expect these new relationships to scale gradually over the next 12 to 15 months depending on the process complexity .
- Lastly our pipeline in digital and platforms, automation, and analytics for the clients across industry continues to expand especially in the areas of digital input , digital collections and our process automation practice . Over the last six to nine months, Generative AI (GAI) has commanded significant mindshare. We believe this new technology will accelerate the digital agenda across the client ecosystem. We are actively working with our tech partners and our clients to co-create multiple use cases with this new tech. Currently , we have more than a dozen implementations in various phases from proof of concept to pilots to production across six different clients and in-house use cases.

Let me highlight a couple of use cases where we have leveraged GAI and Machine Learning to develop efficient and cost-effective solutions.

- In one of our large media clients , they needed to quickly scale native-speaking agents to support sales but were not able to achieve the goals due to lack of talent supply. We solved this by implementing an ML-based machine translation solution over chat and e-mail thus providing services across multiple languages from India. We achieved over 98% accuracy in comprehensibility of the translated language enabling customers' chat similar to that expected list of native speakers but at a faster pace and obviously at a much lower cost.
- In another instance, we helped one of our new EdTech clients manage the inbound enquiries by implementing a touchless solution that identifies the customer's intent. Our solution powered by GAI again understands what the customer is looking for and puts together a response that is comprehensive, accurate, timely , and actionable. We have reduced the turnaround time from two weeks to one day, helping students of this client meet their admission and other travel-related time constraint requirements on time.

Let me also share a positive update on our top client relationship.

I am pleased to inform that we have further cemented our relationship with this client and have extended our contract to serve as their primary partner for another 10 years. This is a huge testament of the relationship we

have built over the years and the value we provide to our clients. During the last few years there has been several strategic changes at our clients' end including change in ownership, business volumes have been volatile owing to both macro environment and the current situation in UK and as we all know technology has significantly evolved over this period. Through all these changes and turmoil our performance and strategic intent has helped us strengthen this relationship and the client continues to leverage us as their strategic partner for growth as well as change and efficiency.

A core part of our thesis for this next leg of our

journey is to enable our client to offer cost effective services from offshore location. We are in the process of moving the considerable portion of our operation in the UK to various

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locations in India for this account. This is a big part of the 3% revenue headwinds we had estimated at the start of the year. We now estimate the onshore to offshore impact to be 3.5%-4% including the movements in Healthcare and BFS. As a part of this transition, we will now serve complex and sophisticated processes from India. Overall the underlying portfolio work remains the same and there is potential for growth.

Let me now provide some color on the operating environment:

Among our major markets, the UK economy is experiencing a slowdown that has affected volumes across our core portfolio. In the US, however, the economy has been relatively resilient; clients are taking their time to decide on large transformation deals. The positive theme is that engagement on cost optimization programs remains strong across industries.

Let us talk in detail about the key trends in our industry segment to give you a better color on our growth drivers. BFS

Our BFS segment declined by 13.6% year-on-year primarily due to the mortgage base effect, sequentially the revenues were down 1.5%.

Mortgage:

Overall, our mortgage business has now stabilized. We believe that the worst of volatility in this business is behind us and volumes have bottomed out unless there is a significant shift in the macro environment from here. We continue to engage our mortgage clients on strategic cost saving program and we had a very solid sales quarter. The origination volumes inched up slightly in the last few months. Our clients expect Refi activity to pick up only after the FED reverses the direction on interest rate movement. Home purchase volumes are steady with a rise in new home project started by home builders. Purchase demand for existing property in high growth regions in the US continues to be strong, however, the interest rate swap to higher mortgages is a roadblock for sellers.

We continue to make solid progress on diversifying our portfolio. Here are some examples:

- In one case, we used our mortgage quality control as a lead offering to open a large bank in our target account list.
- In another case, we meaningfully expanded our relationship with the leading originator with an extensive presence in the wholesale market.

Our overall outlook for mortgage for the year remains unchanged.

Collections:

In the collection segment, the macro indicators continue to suggest an increase in business activity in the near future. US credit card delinquencies continue to rise and we are at 2.43% versus 2.25% last quarter, charge-offs were 2.90% versus 2.54% last quarter, the sixth consecutive quarterly increase post COVID. Similar trends are seen in the latest earnings of the large US banks.

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Normalizing for seasonality of Q4 FY2023, we are seeing encouraging trends in this business. We maintain our assessment of gradual recovery in this business through the year especially, in H2. The early stage collection segment will start to reflect the sooner than the legal collection, which would see an uptick from Q4 of this year or perhaps even Q1 of next year.

We continue to make good progress in acquiring new clients and cross selling into our existing portfolio. In this quarter we added four new clients. Last year I spoke about our intent to diversify BFS into other segments beyond cards and the mortgage industry. One such area we identified was expanding in the auto finance segment. We are seeing green shoots of success and have added two new clients and expanded three existing auto finance clients in this quarter.

UK BFS

On the UK BFS performance

remains strong; however, the pace of growth is slower than last year due to a combination of lower volume across the industry given the challenging economic environment and some movement from on to offshore which I have earlier alluded to.

We have added new lines of work across our key relationships including expanding to collections as I mentioned a minute ago. Also, the trend of increasing usage of chat instead of calls service offshore continues nicely. Overall,

we are pursuing several new ramp opportunities within our existing client set in UK for which we expect quick closure. These should further augment our growth in H2.

For BFS, in summary, our outlook remains steady. We are making good progress in diversifying into newer segments. We are already seeing success in auto-finance and we are now focused on expanding our D E CX or the digital call center ops capabilities within the US bank segment.

Healthcare

Our Healthcare segment remains steady. Year-on-year growth was flat in constant currency.

Provider:

As previously discussed, our provider business has been impacted by the Public Health Emergency (PHE) promulgated by the US government at the start of COVID. After nearly 40 months the PHE was finally lifted in May 2023. The headwinds from Medicaid auto re-enrollment etc., have now subsided and we expect these activities to pick up meaningfully. We expect growth in the business to emerge from H2 of this fiscal as different states and health systems start dealing with the new reimbursement environment.

Expanding offshore capabilities and the provider has been a key focus as we build adjacencies. We are pleased with the progress thus far. We have added one new client and one existing onshore client for offshore in this quarter and while we will scale gradually, it will help us create strong referenceable case studies to help accelerate the offshore growth within our existing client portfolio. In addition to this, our overall deal pipeline remains healthy and we are witnessing an increase in business activity. Beyond the new offshore clients, we have added two new clients this quarter.

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HPHS:

In the HPHS segment, we continue to witness a slower than expected scale-up of volumes in our recent events. These delays coupled with the onshore-to-offshore movement in some of our processes are resulting in near term softness in the HPHS business. We strongly believe this is transitional and we are confident of getting growth back as we saw in the early parts of last year in this business.

To zoom out, our HPHS growth thesis is based on landing and expanding top 10 health plans, expanding our digital intake offering and building beta for the mid market. We continue to make excellent progress in penetrating and growing top 10 health plans. About 18 months ago, we talked about a digital intake win with a top five health plan in the US. We have since closed three additional engagements with this client and have a strong pipeline targeted to close for rest of this fiscal. The client rates us as a strategic partner and this account is now on track to become a top five account for the HPHS practice. This quarter we added a top 20 health plan to our roster with a significant digital intake win. This deal should add meaningful revenues once fully ramped up and more importantly a strong execution will pave the way for expansion and other functions for this client. The pipeline for digital intake is strong with four active opportunities in play with new and existing clients. The progress on the strategy, the YTD wins and the pipeline give us confidence for a strong growth for HPHS in H2.

Overall, for Healthcare to reiterate, we are focused on reversing the revenue decline in provider and growing our share of wallet across top 10 health plans in HPHS while

we are strongly executing on the digital intake opportunity. We are confident in achieving both these goals.

CMT

This segment saw 7% Y-O-Y growth in constant currency. This is notwithstanding the onshore to offshore movement in our top client relationship. As I mentioned earlier, we have extended the contract with the top client for 10 years. This is a great validation of the working relationship between us for the last 22 years now. Considering the strategic priorities of our client, we are actively balancing their delivery footprint across onshore and offshore to offer the most cost-effective solution to their needs.

Outside of the top client our growth traction remains strong. In a short span of time, we have made solid progress in scaling our EdTech practice. During COVID as we know the EdTech companies disrupted the way learning was consumed globally. We saw this as an opportunity to target these companies and help them build better learner experience. This is a white space opportunity. We are creating and delivering offerings that enable both traditional and new age EdTech companies to focus on providing greater learner experience to improve both stickiness and learning efficiency. We have designed journeys for end-to-end learning and have implemented tech solutions including G AI-based solutions to provide better access and experience. Our consultative approach has enabled us to win large annuity deals that are truly transformative and are referenceable case study for the large CX Go-To-Market story. As we speak, we are finalizing a contract and commenced hiring for sophisticated operations for a strategic EdTech client. We estimate this will add between \$15-\$18 million in annual revenue and we expect to go live in Q3 and ramp up by Q4 of FY2024, latest by Q1 of FY2025.

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Guidance for FY2024

Finally, I would like to comment briefly on the guidance for FY2024. We remain confident in our revenue growth

guidance of 2 % to 5% for FY20 24 with an operating margin range of 11 % to 12%. This revenue guidance continues to include a headwind of about 3% from last year 's base effect in the mortgage business and a headwind of 3.5 % to 4% from the onshore offshore portfolio revamping .

Let me now hand over the call to Dinesh to give an overview of the financial results.

Dinesh Jain: Thank you Vipul and good morning, everyone. Here is a quick financial snapshot for the quarter gone b y. Revenue for Q1 FY 2024 came in at INR 15,292 million in rupee terms and \$ 186 million. This implies a year -on-year growth of 3.9% in rupee term s and a decline of 1.6% in constant currency terms. On the margin front, operating margin came in at INR 1,789 million or 11.7% which is up 52.8% year -on-year. Profit after tax came in at INR 1,260 million or 8.2% of the revenue for the qua rter, which is up by 48.1% year -on-year.

Vipul talked about the extension of the contract with a top client. It is a great outcome for our continued relationship with the client. With part of the business moving offshore , we should start to see margin expansion gradually as the transition completes. For this contract we will be making an investment of about G BP 15 million . Of this G BP 9.5 million we will be paying in this financial year and the balance will get paid in FY 2025. The total contract acquisition cost will be amortized over the contract duration of 10 years.

Some other financial highlights , DSO came in at 63 days versus 60 days last quarter.

Net debt stands at INR 7,133 million as of June 30, 2023 versus INR 6,159 million as of March 31 , 2023 , increas ing due to the higher working capital drawdown this quarter this also led to the higher interest payout for this quarter.

On the cash flow from operation in Q1 was lower due to annual bonus payouts, higher receive bles and the first trench of the pay

ment for contract acquisition costs, which we paid in this quarter . We expect this to be normalized by next quarter. Our cash balance including investment stood at INR 2,207 million at the end of the quarter.

Tax rate for the quarter was around 18.9%, which is within the guidance range of 18 % to 20%.

On the forex front, we have coverage of £59.9 million for the next 12 months with average rate of INR 103.5 to the pound and coverage of \$72.5 million with average rate of INR 84.1. For next 12 to 24 months , we have coverage of £56.5 million with average rate of INR 106.7 to the pound and dollar coverage is around \$2.0 million with average rate of INR 84.3 and for more than 24 months , we hav e coverage of £46.4 million with average rate of INR 111.6 to the pound. In addition, we have also taken some of the option products to increase the better realization on these dates.

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Let me also introduce Pankaj Kapoor who has joined us as a Head of Strategy and Investor Relations this quarter. He comes with over 25 year s of experience across corporate and financial markets. Please join me in welcoming Pankaj and I know he is looking forward to getting to know all of you in the days ahead.

This is all from my side. We will now open for the Q&A.

Moderate: Thank you very much Sir! We will take that first question from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain : First, a good quarter overall. First question is related to the extension of the contract. So one was on the margin front now that this is movi ng offshore how much impact or benefit do you think you should have while we do our calculations on margins on the overall deal in the context of the payment that you are making and , A similar question but not related to number s because you have already spe nt a lot of time with the top client how do you get to sort of sign such large deals, say 10 years or something in the current environment ?

Vipul Khanna: The sky movement and as you said there is amount of payment that we are making as far as the investmen t in the

deal. After amortizing for that over the deal term, starting from this year this deal will be margin accr etive as well as EPS accretive, so it can be healthy margins getting added to the bottomline.

How do we sign such large deals? The percentage of what we do for them is a big chunk. This is a long -term relationship that has been built across the value chain and across product lines. It is a collecti on of four or five product lines that we cove r. A lot of them are managed independently while there is governance at the top level and to that extent as they think of their long term plans they take long view so even this negotiation and the fact that we w ill do this offshore has taken us a while to kind of think about it, right it did not happen overnight, t hey tested for a few things gradually and we reached this point after several longish period of w orking through the details, so the strategic outlook they look at for the work that we do for them , I think that is what gives the runway and the confidence to take a long term view of the deal and given the fact that we have already worked for 22 years it gives the confidence that I can take a 7 to 10 year s view of this deal. Even otherwise, right, the large strategic deals that we are signing as I guess most of the industries , we are looking at a five year plus extension sort of outlook. So, to that extent for large strategic deals , I would say this is not unusual.

Mohit Jain : In terms of revenue like we saw a slight drop in revenue in this quarter, so I am assuming that is on account of the offshore shift that you spoke about , now from going ahead standpoint is that shift more or less done , should we expect some more decline in the way from top client , where is it likely to stabilize?

Vipul K

hanna: Your question on the revenue decline was overall or just for the top clients?

Mohi t Jain : For the top clients because overall will come little later, but on the top client side because you are also talking

about some shift towards software .

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Vipul Khanna: That journey has started in Q1 that is big reason why we have seen a decline. There was obviously some softness in

volumes as well as I mentioned the UK volumes or the UK economy is going through some softness , so both factors combined. However, I would also say that a big chunk of the onshore to offshore movement will come through in Q2 and Q3 and then kind of as per current plans restabilize. So , we expect the top client revenue to decline over those two quarters on top of what we saw in Q1 .

Mohit Jain : Right a nd related question is like if we are looking for that decline which I assume will impact the telecom vertical, TMT vertical growth at the Company level and your guidance suggests sequential growth from here on BFSI you spoke about some softness in UK so which vertical are we really positive on here to deliver a company level growth of say 2 % to 3%?

Vipul Khanna: We expect growth from this point onwards after breaking in this decline that I talked about . We expect good growth from our C MT segment, other parts of CMT, s o for instance I talked about the large deal in EdTech that we have signed that will start to go live in October and slowly build up scheme for the rest of the year. H PHS will be a good growth driver given what we have signed and what is under implementation as well as coming up to closure there. So , these will be the two relatively chunky growth drivers and if you look at the other three businesses, collections, mortgage , and provider, the big businesses all of them have had v aying levels of headwinds and sort of volatility up till now. That head wind I think for most of them are pretty much gone now. In fact , some element of tailwind building up for collection, we will see how the mortgage kind of builds out and then the big f riction for provider, which was PHE, etc., ha s gone. I think we will expect steady growth in all these three segments. That is the kind of environment that we look at for us to kind of get confidence on sequential growth from this point onwards leading up to the guidance that we did.

Mohit Jain : Right a nd last is on margins. I am taking the upper end for convenience say we are close to 12% o dd now as you

mentioned business is stabilizing where do you think we can operate in a steady situation given that offshore shift is likely to increase for the Company because historically we have been in this range at the EBIT level for quite some time so do you think there is a chance that your margin structurally may go slightly higher versus what we have done in the past?

Vipul Khanna: For now we are keeping the 11 % to 12% outlook. We have some investments also lined up given G AI and other

things on the horizon that we need to kind of play with and ki nd of stay on top of . As I have been saying historically that outlook remains unchanged that once this year gets to a steady state we should start to see that 25 -30 BPS improvement year -on-year that still remains the medium term goal and I think at this po int, even with this offshore shift we will continue to look at sort of rebalancing the portfolio . I have been talking about growing other near shore locations, Philippines, Mexico City, South Africa that is our focus to continue to grow that portion of the portfolio but for now the margin outlook is of 11% to 12% and then from that point onwards improving by 25 to 30 BPS a year.

Mohit Jain : As a followup so the near shore locations you count in onshore when you report the percentages or is it counted as offshore?

Vipul Khanna: They are counted offshore.

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Mohit Jain : Great Sir. Thank you and all the best.

Moderator: Thank you. We will take the next question from the line of Manik Taneja from A xis Capital. Please go ahead.

Manik Taneja : Thanks for the oppor tunity. Vipul , I had a couple of questions. Question number one was with regards to the consolidation that we have seen amongst the mega customer care companies in the course of last 12 months how do you think this impact s the landscape for midsized players like us ?

The second question was with regards to the significant offshore shift th at almost the entire customer care industries since we have been talking about over the course of now 12 to 15 months and we are seeing this change significantly ?

How should we be thinking about our margin outlook given the fact that we should also be benef iting from such a significant swing in terms of offshore delivery? So, what is driving the st atus quo from our end?

Vipul Khanna: The big call center consolidation that we have seen or at least announced , is interesting as these guys are big volume industries like tech, retail, communications, energy, government as well and they run sort of global portfolio serving multilingual and I think that race to kind of be bigger and serve all geographies, all languages , that seems to be the primary driver. As opposed to that our primary focus is more niche , heavy domain focused call centers right, whether it is healthcare or mortgage, targeted parts of tech or EdTech the learner experience that we talked about and even for our CM T clients we work with a few, but we work across more sophisticated sort of client acquisition retention those kind of chain s with the vanilla servicing. So I think we are talking slightly different

markets there. Clearly, we do not operate at that level of scale or that level of multilingual capability. So to that extent I do not think or worry about the impact from those big mergers. In fact some of the conversations that we have had in the last few weeks with couple of clients is that the larger clients especially the mega clients, the TechOne, they kind of worry a little bit about the concentration risk such mergers present to them and to that extent there might be some opportunity for them to expand their portfolio of suppliers so that they are not exposed to a few very large providers, so we will see how that plays out from a concentration standpoint. On the margin, I think clearly last year was an aberration, we had a massive revenue shock from mortgage and the collection is not kind of picking in that normally does. This year we come back to normal margins even with the move that we are talking about right, with a large client in a couple of smaller towns in healthcare and BFS. If you look at our onshore offshore mix it is still broadly 70:30. Our intent is to slowly and strategically move our clients as well as new deals with a heavy offshore tilt right that should help the margin as this movement starts and it starts to reflect on our results we will give you better guidance on sort of how we see that but please do keep in perspective it is still 70:30 onshore offshore while what you might be comparing with as very different portfolio mixes. Within that reality we do think we can eke out this 25-30 BPS every year for now from this 11% to 12% guidance.

Manik Taneja: Sure and just to provide you further on the margin outlook. From a segmental margin standpoint, we saw the big

drop in terms of BFS margins through the course of FY2023 and have seen recovery over the course of last couple

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of quarters should we see these segmental margins on the BFS side go back to the 17-18% levels over the course of next 12 months?

Vipul Khanna: I do not know when they will go up, but we will definitely continue to see

improvement clearly as our mortgage

volumes had dropped there was a significant impact on their margin given the scale. We made great progress in the last three quarters and we feel confident that over the next two quarters we will continue to eke out sort of more margins from mortgage. I think collection is in a good run especially with increase in share of digital and our diversification into banking is still relatively sort of young and nascent. Right now it is all about market share and landing accounts there. We will kind of deal with sort of margins once we have the critical mass there but overall, directionally we should see continued positive movement in the BFS margin.

Manik Taneja: Sure and the last bookkeeping question was with regards to our healthcare business if you could provide a split of

the HP HS and healthcare provider business both for FY 2023 as well as for Q1 FY2024?

Vipul Khanna: So this quarter we were at about 55:45, 55 HPHS, 45 provider and our full year number was kind of in the same

ballpark, maybe sort of a percentage movement here or there for the full year as well as for this quarter.

Manik Taneja: Thank you and all the best for the future.

Moderate: We will take the next question from the line of Dipesh from Emkay Global Financial Services. Please go ahead.

Dipesh: Thanks for the opportunity. A couple of questions, first about just want to get a sense about the new service offering which we I think are highlighting over last few quarters. So progress made on those things. First about trust and safety standard offering which is for content models and which we are highlighting for last couple of quarters and second is FinCrimes or financial crime operations if you can provide some sense about overall market size, how we want to play in these things and what kind of let us say three-year, five year kind of time horizon scalability of some of these offerings?

Second question is about the guidance asking rate if you can run through us what would be the asking CQGR based on 2 to 5 which we require for next three quarters and last question is about the finance cost, finance cost seems to have increased substantially quarter-on-quarter, so if you can give some sense what led to that increase and whether it is here to sustain things?

Dinesh Jain: Finance costs have two components one is normal on a borrowing the interest costs which we pay and the second

is on accounting on leases because as you have facility or interest cost and the depreciation get split on the lease rental. So this year there is no material change in a finance cost purely on the borrowings there is a borrowing increase so there is a slight increase, interest rate still remains between around five percent for our borrowing so that has not significantly changed. I think larger component is as we are growing the offshore book we have a new center coming into and that plays when you do the capitalization of those centers, the interest component is higher in the initial few years and then it reduces. So I think that is the larger piece but we see that next quarter onward it will be normalized, it will not be at that high level hope that answers your question.

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Dipesh: Just on the number of center, let us say where we report India center and those data, it is showing one reduction rather than one increase so from here what is our intent?

Dinesh Jain: There is a reduction and there is an increase. The previous old center which was in the process of going out that

has gone, so net is the decrease but the overall we have added three centers in this quarter.

Vipul Khanna: On the new offerings, trust and safety is the big market, it has come up in the last 5-6 years, maybe a little bit longer. Varying estimates span about \$5 billion up until 2021 middle of 2022 it was growing

strongly, north of

around 20% obviously since the tech slowed down in H2 of last calendar and this year that growth rate has come down, but we still believe that the market is ready for maturity. It has done the first wave of offering right which was just pure content moderation, but now beyond the big platform companies we see the off take of trust and safety by a varied user and far more sophisticated and far more targeted new scales usage of customer safety from privacy to ads integrity and obviously even government starting to look at it from a different angle that they look at it from a content standpoint. So we are still early in the game. We have come into a mature market, but we do think there is room. There is room to bring in a partner driven or tech powered solution there. We have had a couple of small but sort of symbolic wins and we are still building up our pipeline on this market so still very early, but it is a long game and as you said if you take a four or five year view the threshold generally rule of thumb that we use is that if we are starting a new practice in five years we should see like a \$50 million sort of outlook for that business. That is from an aspiration standpoint but we are still early in this game and this year is a year when the TNS market itself is kind of relatively flat as most tech companies have recalibrated their stuff. I think this year will be a year when existing players will be aggressive, deal making will be more price driven and we will see sort of how much we want to play and how the rest want to play out there.

Fin crime starting with banks and then potentially going to more these fin tech oriented payment product that is the market which has grown really rapidly in the last two years earlier from an AML KYC and now increasingly from an online payment and a fraud standpoint. Our mainstay there today is an extension of our D ECX offering where from our call center experience we are getting into more fraud oriented, more specialized calls there. We have had great success in UK where we work with four of the top banks and that offering is what we are now as we kind of start to enter the US banking market beyond mortgage and collections. This is one of the more mature offerings that we are taking up and building the pipeline interest in that market. I do not have very good estimates from different areas, but from what I have seen the estimates for this market also range from between \$2 to \$4 billion and there are a variety of ways in which customers are doing some very heavy system plus kind of offering, right X plus offering to more scale or more operational offerings where we are trying to play from a call center which is identifying, solving, and even servicing sort of those related calls and then working our way back onwards into the left side of the process. And then I already offered comments that EdTech that we have been allotted for the last 12 to 18 months, we have had very good wins and I think this large deal that we just announced kind of validates the thinking that we have had of entering this segment and now we have a pretty healthy portfolio, now some meaningful revenues as well to play with and take the next level of sort of GTM focus for this particular market.

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As far as rest of the year goes, we do expect sequential growth. We expect that Q2 will be relatively modest growth given the higher impact of the onshore to offshore and from there on the growth will accelerate into Q3 and Q4. That is how we currently modeled to kind of get to our guideline that we have.

Dipesh: Understand. Just one question about this EdTech deal. Now if I look at known top client exposure to CMT it seems to be almost one third of the revenue coming from this single client kind of thing once it starts getting reinforced

so

what is the mix in this unknown sky if you can provide some sense EdTech obviously whether it is fairly concentrated it seems so far, but if you can give some color which area we are and how we expect some of those segments to grow for us? Thanks.

Vipul Khanna: So, you are saying within CMT what is the share of top clients and then what are the other growth coming out?

Dipesh: The top client is obviously we report so we can calculate for the remaining 3% business how it is divided?

Vipul Khanna: The remaining CMT we have growing say more closer to one fourth sort of US portfolio that we have built up on

that this is without the EdTech sort of a new growth that I talked about. Within that there is a decent concentration of clients on the US side. UK obviously is the big one and a few small ones. EdTech once it builds up by Q4 I think we will be in a better position to tell you in the overall CMT scheme of things where it will land, but I think we need to think a little about this before I give you the answer. I can give you more directional answers, if you want to double check on any of that on the CMT side.

Dipesh: Maybe we can take it later. Thank you.

Moderator: Thank you. The next question is from the line of Shradha from AMSEC. Please go ahead.

Shradha: Hi Vipul congrats on good execution. Couple of questions first is on the decline in the collection of business that we saw so can you quantify what was the extent of decline because we understand that Q4 is essentially a strong quarter from that case what was the kind of decline that we saw in Q1?

Vipul Khanna: Q4 is a seasonally high quarter for tax, this fourth quarter was not as high seasonality as we saw in the past, but

there was still an impact from seasonality. Legal collection is still taking its time to build up there is not a decline, but legal collection from where it was in Q4 to Q1 it was relatively flat; however, early stage collections barring the

impact of seasonality was solid right. The new wins as well as the volume from big clients held steady so if I take out the seasonality impact we are happy with sort of where the core or the early stage collections land in .

Shradha: Would it be possible for you to quantify the revenue for both the quarters in collections for that Q4 and Q1?

Vipul Khanna: We are starting to give more vertical level from this quarter or this year onwards. We are trying to focus on BFS ,

healthcare , and CMT and kind of give you at that level, but happy to give you more qualitative comments if it helps.

Shradha: Sure, another thing is this extension of relationship with the top client for another 10 years so does it come with any increase in commitment of annual budget from this account and is it more because they are shifting from in -

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house to outsourcing or is it more as a result of volatile share gains from some other vendor that they have been working with?

Vipul Khanna: They are a giant corporation in multiple businesses . At this stage where we have started off is that there is no capacity reduction. It is the same capacity despite the movement that will run. Now obviously it is a very dynamic portfolio across product lines and across the lifecycle from acquisition to service to retention to even collections in some cases, right. So in that life cycle number of variables keeps changing from a strategic direction of how they run the business obviously they are also into a cost efficient environment. As we have moved they have also done some re-tooling of their core portfolio themselves. At this stage we continue to expect incremental growth opportunities as we have seen in the past two years . Some programs come in as volume drop off or as campaigns get over some volumes go away. We are fully in the table with them on every set of their annual as well as w

hat is

their strategic plan. There is no thematic at this point to say it will go up or down. It will be constant and incremental growth opportunities will come as their priorities kind of change and they adapt to it. That is where we understood each other's business requirements and we will play with it.

Shradha: Okay just last question . I know it is too early to call out the impact of generative AI but a larger BPO company has called out they expect a 20% cannibalization impact over the next three years so how do we see net -to-net GAI impact on our business ?

Vipul Khanna: Look it is very topical. We do not spend a day these days without talking about GAI and all of us are experimenting

at home and all of us are experimenting in businesses, right from trip planning to how to make dishes to sort of how to respond to chat. I think personally it is very early , market is still in the phase of testing out different things of taking the technology and bringing into the enterprise world. All of us are testing our pilots and those pilots give us a point of view to say if I take hundred people to do this chat and never put GAI I could do is 80. Yes, we could get to those pilot level sort of estimates of productivity or human either effectiveness or reduction, but to extrapolate it across the portfolio, I think that is a fallacy that we saw during the time of RPA launch as well like eight years ago. Everybody thought if we can get 30% in one process you could get 30% across the entire operational state, but that never happens. So I am very circumspect giving that sort of estimate but at this stage everybody wants to experiment. New specialized partners are emerging every day who are bringing LLM specific to an industry , mortgage as opposed to collections as opposed to healthcare in the rim of the regulation requirement of each industry. So right now the focus is to test it out , see how it works and then see how much material you can implement and how much you can squeeze out. Also keep in mind demand keeps changing as well , the GAI and our patterns as consumers will also change so there is a demand side and there is a supply side affecting this. Between the two I kind of hesitate to make a long term prediction yet.

Shradha: I got it and just if I can squeeze in one last question. In the healthcare segment we reported a 4% decline so is it more to do with HPHS or did we see some weakness even in the provider segment?

Vipul Khanna: Provider was very seasonal. There were one or two programmes which we knew will come to an end. There was

some decline from there but thematically as I said provider seems set for sort of steady growth as market activities pick up and as more deals happen or pick up . HPHS had more decline again partly some because of one or two

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accounts that were coming to the end of their implementation phase, especially the BPAS account that we had and then there were some minor volumes corrections in one of the account, but it was more where we expected growth to come in faster it is kind of running behind from a deal closure that is kind of impacting it more, but yes more index to HPHS than provider for this quarter.

Moderator: Thank you. Ladies and gentlemen that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you !

Vipul Khanna: Well thank you everyone for your engagement, for your great questions and your continued support. We look forward to coming back and reporting Q2 to you in a few months' time. Thank you again and have a great day ahead.

Moderator: Thank you very much Sir . On behalf of Firstsource Solutions Limited that concludes this conference. We thank you

for joining us. Y ou may now disconnect your lines.

Call: Dec 2023

9th November 2023

To:

National Stock Exchange of
India Limited (Scrip Code: FSL)
Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex
Bandra (East), Mumbai - 400 051 BSE Limited (Scrip Code:
532809) Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board
of Directors on 8th November 2023

Please find enclosed the transcripts of the Analysts earnings call conducted on 8th
November 2023 for the meeting of Board of Directors held on 8th November 2023, for
your information and records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the
Company's website, at <https://www.firstsource.com/investor-relations/>

We request you to take the above on record.
Thanking you, For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

"FIRSTSOURCE SOLUTIONS LIMITED
Q2FY24 EARNINGS CONFERENCE CALL "
NOVEMBER 08, 2023

MANAGEMENT :
MR. RITESH IDNANI,
MD & CEO
MR. DINESH JAIN
CFO
MR. PANKAJ KAPOOR
HEAD STRATEGY AND IR
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Moderator: Ladies and gentlemen, good day, and welcome to the Firstsource Solutions Limited Q2FY24 Earnings
Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance during the
conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that
this conference is being recorded.

On this call, we have Mr. Ritesh Idnani, MD and CEO, Mr. Dinesh Jain, CFO and Mr. Pankaj Kapoor, Head of Strategy and Investor Relations to provide an overview on company's performance followed by Q&A. Please note that some of the matters that we will discuss on this call, including company's business outlook are forward-looking and, as such, are subject to known and unknown risks. These uncertainties and risks are included, but not limited to what company has mentioned in its prospectus filed with SEBI and subsequent annual reports that are available on its website.

I now hand the conference over to Mr. Ritesh Idnani. Thank you, and over to you, sir.

Ritesh Idnani: Thank you, and hello, everybody. Thank you for taking the time to join us today to discuss our financial results for the second quarter of FY24.

As we all know, it's been a little over 2 months since I joined Firstsource. As such, I'd like to use this opportunity to share my observations about Firstsource, my strategic priorities and my roadmap to scale our business, besides discussing our quarterly performance. These prepared remarks will take a little longer than usual.

Let's start with the macro context.

Over the past 8 weeks, I visited our key locations in India, the US and the UK, covering more than 80% of our workforce physically. I've also had the opportunity to meet more than half of our top clients across industry segments as well as had the opportunity to join the 20-year anniversary celebration of our relationship with one of the top 5 banks in the UK. These interactions have given me great insights into our operations as well as our customer relationships. For me, four things stand out.

Firstly, our customers absolutely love the way we go beyond the call of duty and truly partner with them in solving their business problems. It's not just one or the other, but each one of the customers I met who echoed the same sentiment and appreciation of the deep understanding we have of their operating environment and the value we are able to offer to them. I'm particularly amazed by the seniority, depth and duration of our relationships with our clients, some of whom are among the largest players in their respective verticals and are household brands globally.

Secondly, we are the market leaders in several of our focused domains. For example, our collections business is a global market leader with end-to-end capabilities - from first-party collections to legal collections - all delivered with a strong technology platform cutting across all industries.

In customer experience, which is a key component of our portfolio, we have been able to use technology and operations to successfully deliver significant outcomes for our customers. This was recently recognized by Everest who rated us as a market leader in CX for the work we do in the space in Europe. Likewise, we are

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clearly among the top players in the mortgage industry and if anything, our recent conversations, and opportunities that are testimony to that along with recognition by industry animals. We've also made significant breakthroughs in the H

healthcare payer space, despite it being a fragmented and mature market and have created superior member and provider experiences. Our solutions across the payer value chain have won accolades including recent recognition by analysts such as ISG and Everest, who have ranked us as leaders in the space. We've also had good success at incubating new industry verticals such as edtech and media in the last few years with the consulting-first approach, which has allowed us to build a strong capability impacting the learner and subscriber experience, respectively.

Thirdly, as strong as our existing relationships are, we are still underpenetrated even in several of our large accounts, both in terms of our wallet share in the services we do for them currently as well as in terms of the opportunities we have to expand our portfolio in these accounts. I believe these represent significant white spaces of growth for us.

And lastly and most importantly, I am deeply impressed by the passion and commitment of our workforce, and I truly believe that is our superpower. We believe that these differentiators auger well for us in the current environment.

Today, macro shifts are putting pressure on enterprises to move from a growth playbook to a growth and efficiency playbook. Concurrently, accelerated development in generative AI and applied AI hold tremendous potential for transformative business impact. We believe that the discontinuities caused by these shifts are likely to create market opportunities and my focus is to use our strong foundation to take advantage of these opportunities. Towards this, I've defined a common theme of "One Firstsource" across all our business lines, service lines and geographic footprint. The "One Firstsource" theme has 7 strategic imperatives. Let me talk briefly about each one of them.

First. Simplify the organization.

We are streamlining the organization structure to remove overlaps, establish clear accountability and ensure faster decision making. We're also working towards centralizing - or decentralizing, as the case may be - enabling functions and identifying the right shore for role placements.

Our refined organization design will have North America realigned along three industry verticals - Banking and Financial Services; Healthcare; and Communications, Media & Technology and Others, while Europe

will remain a geographical business unit. We are also aligning our services portfolio into five capability areas that include our mature service lines, such as collections and customer experience as well as emerging and fast-growing service lines such as consulting, trust and safety and data and analytics.

Second . Cross-sell/upsell into existing accounts.

We are setting up dedicated teams for a defined set of accounts where we see significant headroom for growth. Each team will have an identified client partner with clear ownership to identify white spaces, develop a structured account plan, take proactive proposals to clients and work with them to develop a pipeline of large transformational opportunities.

Third . Expand capabilities.

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We are focused on building adjacencies across our services portfolio to maximize our wallet share. Our expanded set of horizontal practices and a refreshed account management plan I highlighted earlier, would be key enablers of this initiative. We would be investing in scaling our consulting practice to act as a tip of the spear in increasing the size of our sales funnel. We're also actively strengthening our footprint in Eastern Europe, South Africa and Latin America for nearshore delivery capabilities.

Fourth . Amplify the Firstsource brand.

We are doubling our efforts to strengthen

our relationships with industry analysts and advisors. We are also putting increased focus on driving thought leadership in the domains and capabilities we excel in. While we've always been doing this, I intend to reinforce and double down to ensure consistent and more amplified messaging in the marketplace.

Fifth . Technology in everything we do .

We are institutionalizing the process of evaluating how we can leverage technology in every aspect of our business, whether it's customer -facing or for internal functions. This includes building technology -led propositions to disrupt incumbents in our target set of accounts as well as infusing our existing frameworks and platforms with the latest technologies to improve their relevance and attractiveness in the marketplace. We will also actively expand our partner ecosystem and intend to bring them into the fold in everything we do to improve our catchment of opportunities in the market.

Sixth . Elevate employee experience.

We want to make Firstsource a great place to work for our employees and be an employer of choice in all the markets and regions we operate in. We are working to ensure best -in-class experience for our new joiners , do a skill refresh across levels and functions, reduce attrition as well as expand our leadership training and development programs.

And Seventh . Improving profitability.

Even as we invest across the initiatives I outlined earlier to improve and expand both our sales footprint and execution capabilities, we are going to have a laser focus on expanding our profit margins. We've identified multiple levers to work on. We have been working on right shoring our delivery model this year, which is evident in the 2 percentage point increase in the offshore share in H1 of FY24. This can only improve further. I also see scope for operating leverage in our execution model.

In summary, I believe that the discontinuity caused by the macro and technology shifts are opening up opportunities, which Firstsource is very well positioned to take advantage of. Our market leadership in several of our chosen domains and the quality of our client portfolio give us a solid foundation. The "One Firstsource " framework is aimed at leveraging that to drive top -quartile revenue growth with concurrent improvement in margins over the medium term.

I will now shift to the key highlights of our Q2 performance .

Let me start with the financial performance first. Our revenues grew by 3.5% year -on-year and came in at INR15.4 billion. In US dollar terms, it was broadly stable, both on the year -on-year and quarter -on-quarter

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basis at USD 186 million versus a year -on-year decline of 2.6% we reported in Q1. In constant currency, revenues were down 2% year -on-year, but flat sequentially, in line with our earlier assessment.

EBIT margins adjusted for one -off items , was also largely stable quarter -on-quarter at 11.2% and was higher by about 3 percentage points versus Q2 of last year.

Our net profit was INR1.3 billion and our diluted EPS was INR1.8 for the quarter.

Let's move to the deal wins.

We continue to participate actively in both the cost optimization as well as the process transformation and revenue growth agendas of our clients. We are also actively hunting for sole -sourced opportunities both in our

existing portfolio of clients as well as a new set of logos. The success of our strategy is evident in our deal wins in Q2, which was the highest in the last 4 quarters and the second highest in the last 3 years. Let me highlight a few notable ones.

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We were selected by Education Testing Services, one of the largest education testing and assessment organizations in the world, to provide student support and technology services. As part of the deal, we recently launched a state-of-the-art global capability centre to deliver a cross-section of services.

- Firstsource also expanded its offshore footprint for one of Europe's large and leading media and entertainment companies by adding new complex service.

- We were also chosen by one of the leading reverse mortgage companies in the US to deliver a full suite of operations and technology services.

- We further strengthened the multi-decade relationship with one of the largest managed Healthcare and insurance companies in the US with additional business for providing digital intake and customer engagement services.

- We also won additional business from one of the largest telecom and cable companies globally to provide core customer support as well as automation and AI.

- I would also like to highlight that we recently celebrated the remarkable milestone of 20 years of partnership with one of our large banking clients based in the UK. To me, this underscores the importance of the relationships we have built and the value Firstsource delivers to its clients.

We and our clients continue to navigate an uncertain macro environment. In this backdrop, we stay focused on creating value for our clients and remaining disciplined on execution. Concurrently, we continue to work on scaling new subsegments in our chosen set of focus verticals and selectively expanding our operations and offerings to adjacent verticals.

Let me now provide you a deep dive into our Q2 performance and outlook for each one of our industry verticals. Let's start with Banking and Financial Services.

In Q2 FY24, our Banking and Financial Services vertical was down 7% year-on-year in constant currency terms, primarily due to the mortgage base effect; revenues were broadly stable on a sequential basis.

As you know, this vertical for us comprises 4 broad sub-segments - the work we do in mortgage, collections, customer experience and some of the emerging capabilities that we have in risk, fraud and compliance. Let me give you a color on each of these subsegments.

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Mortgage.

- Our mortgage business was down year-on-year due to the base effect, but it was broadly stable quarter-on-quarter.

- We believe that interest rates will continue to remain elevated in the US based on recent commentary from the Fed.

- However, I had a chance to attend the latest conference organized by the Mortgage Bankers Association in Philadelphia last month. My interactions with various participants in the event suggest significant opportunities to partner with mortgage players as they look to do cost takeouts to remain competitive and relevant. We see opportunities to partner with them in helping them evaluate their target operating model using technology to transform the way they run their current operations and reposition themselves for the future. We are also continuing to proactively increase our footprint both from a market segmentation standpoint beyond monoliners to mid-tier and regional banks as well as expanding our service portfolio into servicing and HELOC. During the quarter, we also made significant strides in our efforts with new segments, including reverse markets, builders and the fintech vertical.

Collections.

- Our collections business continued to grow at a steady pace in Q2 driven by new logo acquisition as well as growth in existing accounts.

- Our focus here is to increase our footprint with our digital collections platform as well as expand into other industry verticals beyond financial services.

- We added 5 new clients in

this segment in the financial services space and see a strong deal pipeline.

During Q2, we also expanded execution capacities in Mexico and started servicing 2 collections clients from there.

- We also made an entry into one of the largest Nordic banks that we will be working with the collections business in the UK.

Customer experience.

- Firstsource is one of the largest CX service providers in the Banking and Financial Services vertical, leveraging its healthy mix of locations for voice as well as digital capabilities to drive efficiencies and deliver business outcomes.

- We're seeing an excellent demand from banks that are diversifying their overall retail banking and commercial banking portfolio with market improvements. Demand is also getting diversified towards offshore and nearshore given the continuation of cost challenges prevalent in both the US and the UK. We are seeing a strong business pipeline across large banks in the CX landscape.

Emerging segments .

- We are making good progress to broad base our portfolio in the BFS vertical. We've seen success with auto finance ; we continue to strengthen our capabilities in risk and compliance. And we formed a bunch of partnerships in this space, either on the Gen AI side or with leaders in areas like credit data services to power digital verification. Overall, we continue to expect modest growth in this vertical in the second half of FY24 over H1 FY24.

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Healthcare vertical .

In Q2 FY24, our Healthcare vertical was down 5% year -on-year in constant currency terms, primarily due to the base effects in the provider segment ; Revenues grew by 1% sequentially.

Provider .

- Revenues in this segment were down both on a year -on-year and quarter -on-quarter basis.
- As we've been highlighting, volumes in this segment were affected by the Public Health Emergency (PHE) enforced by the US government over the last couple of years. The PHE was lifted in May 2023, and the headwinds from Medicaid auto -enrollment have now subsided and deal activity has started to pick up. In the wake of that, we had 2 key wins in Q2. However, the volume buildup is likely to be gradual as systems transition to a regular renewal cycle.
- Meanwhile, Hospitals continue to operate with wafer -thin margins , and they are preparing for normalization and funding post -PHE by exploring options for cost restructuring. We've seen an uptick in the number of discussions with clients to offshore and digitize their revenue cycle operations. We've had numerous wins in this space, and we are currently in conversation with several clients in the revenue cycle space. The current wave of technology -enabled disruption is providing us an opportunity to take share from the traditional revenue cycle players who have largely built a people -based business.

Payer.

- Revenues on the payer side were down on a year -on-year basis, but at healthy growth sequentially.
- While the macroeconomic environment has been relatively stable for health plans, they continue to explore more opportunities for cost optimization and acquisition to drive member expansion. We are seeing opportunities to partner with them to provide disruptive propositions to help them be more competitive and relevant to their member base across the entire value chain, whether it be enrollment, claims, billing, etc . We're also seeing benefits on the vendor consolidation side based on our relationship and depth in some of these with accounts itself.
- We had good deal wins in Q2 from both existing accounts and new logos, and our strategy to focus on key accounts is playing well. We expect ramp -ups in these deals, which should translate to a healthy revenue growth in H2FY24.
- We continue to also grow our BPaaS offerings with jo

int go -to-market with some of the leading

technology product companies in the space. Overall, we expect good growth momentum in health care in the coming quarters, largely driven by the payer segment.

Communications, Media and Technology vertical .

Our CMT vertical was flat year -on-year, but down 3% quarter -on-quarter in constant currency terms in Q2 due to the onshore to offshore transition underway in our top client.

Outside of the top client, our growth traction remains strong. In a short period, we have made solid progress in scaling our edtech practice. I'd earlier mentioned one of our largest deal wins with E TS. This deal went live in Q2 and continues to ramp up through the second half of this fiscal year. We are advanced conversations with several major edtech providers who are finding our solutions to be differentiated in improving the learner experience.

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We also are supporting major consumer tech companies in training their AI for their product portfolio, leveraging our AI Ops framework.

Overall, we expect onshore to offshore movement to impact revenue in our top line in Q3 and to a lesser extent in Q4. However, ramp -ups in recent deal wins should drive the overall revenue growth in this vertical in H2.

And finally, to our Diverse portfolio which is largely our utilities segment .

This grew almost 2x year -on-year and 10% quarter -on-quarter. We are experiencing strong demand in the energy market and expect it to continue to have meaningful growth in H2.

Geographies

In terms of geographies, the U.S. was down 2.3% year -on-year in constant currency terms due to the base effect of the mortgage business, while Europe was up 4.1%. Sequentially, the U.S. grew 2.9% quarter -on-quarter, while Europe was down 5% quarter -on-quarter, mainly due to the impact of the on -site to offshore shift in our top client.

We do expect growth momentum in the U.S. to continue, helped by ramp -ups in recently won deals as well as a steady recovery in our mortgage business. In Europe, we continue to ramp up our sales team to have dedicated focus on client acquisition as well as continuing to grow our existing relationships itself.

Operations

Let me provide you some color on the people and facilities front. Coming to our people, we added a total of 1,569 new colleagues in Q2, bringing our total employee base to 23,953 employees at the end of September 2023. This addition was across geographies and is indicative of the strength of our executable order book. The trailing 12 -month attrition for the quarter came in at 39.8% compared to 41.7% in Q1 and 48.1% in Q2 of last fiscal. We expect these metrics to continue to moderate over the second half of fiscal 24, which is helped by improved outcomes of our employee value -related interventions.

Generative AI

During the quarter, we launched FirstSense .AI, our proprietary framework to accelerate clients' AI deployments. We've also developed a sandbox ecosystem called FirstSense .AI studio for clients to experiment and evaluate AI frameworks. We currently have a library of more than 100 use cases cutting across industry verticals. We've completed more than 25 POCs and several of these have advanced to production pilots.

To call out some examples of Gen AI capabilities that we are leveraging. We are using e -mail automation, after call summarization, quality automation as well as copilots for Healthcare claims processing and mortgage

underwriting.

Awards/recognitions

I'm also happy to share that Firstsource was positively recognized by leading analysts for bringing significant value to clients and offering innovative tech solutions. To mention a few ; we were named as a 'Major

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Contender ' and a 'Start Performer ' in the Everest Group's Banking Operations Speak Assessment 2023. The assessment called out our capability to deliver end -to-end solutions covering the full spectrum from the front end to the back end, our comprehensive portfolio, our global presence and our well -balanced sharing mix. ISG positioned us as a Leader in the 2023 Provider Lens TM Customer Experience Services report for a powerful , advanced AI -driven platforms and solutions with significant multiple vertical -specific expertise and effective delivery, in addition to our Digital First, Digital Now approach that's helping organizations to reinvent operations. Everest has also ranked Firstsource as a 'Leader ' and a 'Star Performer ' in the Healthcare Payer Operations, P EAK Matrix Assessment 2023 and a 'Major Contender ' on Everest Group's Revenue Cycle Management (RCM) operations, P EAK Matrix Assessment 2023.

I'm also pleased to share that we released our ESG report and data book for 2023 during the quarter.

Finally, from a guidance and outlook standpoint.

In summary, we are satisfied with our performance in Q2 FY24. I am confident of our healthy order book during the quarter and a good deal pipeline that sets us well to accelerate our growth momentum sequentially over Q3 and Q4 and beyond. The uncertain macro environment does continue to remain an overhang on overall business volumes. As such, we now expect our constant currency revenue growth in fiscal 24 to be between 0% to 2% and our normalized EBIT margin to be in the 11% to 11.5% range.

Now , I'll turn over the call to Dinesh to give you a detailed color on the quarterly financials and related matters.

Dinesh Jain: Thank you, Ritesh, and hi, everyone. Let me walk you through the financial details of the quarter. Revenue for Q2FY24 came in at INR15,400 million or \$186 million. This implies a year -on-year growth of 3.5% in rupee term and decline of 1.9% in constant currency term.

We reported operating profit of INR1,634 million, up 30.3% over Q2 FY23 and translate to EBIT margin of 10.6%. This includes a few onetime charges related to leadership changes we had during the quarter. Adjusted for this, our EBIT margin in Q2 was 11.2%.

Profit after tax came in at INR1,265 million or 8.2% of the revenue for the quarter, down 2% on a year -on-year basis. For half year FY24 revenue was INR30,692 million or \$372 million. This implies a year -on-year growth of 3.7% in rupee term and a decline of 1.8% in constant currency term.

We reported operating profit of INR3,424 million or 41% over H1 FY23 and translate to EBIT margin of 11.2%. Adjusted for the onetime charges, our EBIT margin in H1 was 11.5%. Profit after tax was INR2,525 million or up 17.7% on year -on-year basis.

Coming to the other financial highlights. Tax rate for the quarter was 18% at the lower end of our guided

range of 18% to 20%. Our cash balance, including investments, stood at INR2,172 million at the end of the quarter. Net debt extended INR6,653 million as of September 30, 2023, versus INR7,133 million as of June 30, 23, which imply a reduction of INR480 million during the quarter. DSO came in at 66 days versus 63 days in Q1, mainly due to delay in some of the collections, which was subsequently collected in October. Overall, our cash flow from operation improved sequentially in Q2.

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Our capex during the quarter was INR145 million, broadly similar to INR151 million in the

Q1. As we prepare

the execution capacity to fulfil the recent order wins, this expense rate continues to be in the same range.

Our hedge book as of September 30 was as follows: we had a coverage of GBP 59.8 million for the next 12 months with an average rate of INR104 to the pound and coverage of \$96.5 million with an average rate of INR84.2 to dollar.

I would also like to mention that we had rolled out our annual compensation hikes and promotion during the current quarter. We also have the residual impact of certain charges related to leadership transition. These two will have an impact in our Q3 margin. However, we are confident of keeping them in the range of 11% to 11.5% on a normalized basis, as I think Ritesh also highlighted. This is all from my side. We can now open the floor for questions. Operator, over to you.

Moderator: The first question comes from Manik Taneja with Axis Capital.

Manik Taneja: Ritesh, congratulations for the new assignment. I just wanted to get your thoughts on a couple of things. First of all is a book keeping question with regards to segmental margins across the industry. Is there any one-off regards to the Healthcare segmental margins in the current quarter? That's question number one.

The second question was with regards to the point that you made around significant right shoring of business.

If I look at the overall portfolio, the offshore on-site revenue mix has been between 25 to 75 or in that deal for almost last 10, 12 years. Do you think this moves in a very significant manner going forward? And would that be driven by just offshoring of the existing business or by virtue of expansion of service side?

Dinesh Jain: I think on your margin or accounting question, I think there are a few one-offs in the Healthcare side of it.

One is that as we are seeing a new customer growth, so there is a ramp-up cost, which we had in this quarter.

We have one account where we need to make a small provision for bad debt. So I think those are the two -- one is a one-off, one is not a one-off, but in the regular course of work - so that has impacted the margin for the quarter.

Manik Taneja : So would it be possible to call that out, the impact?

Dinesh Jain: It's not that high. I think margin is slightly lower, but I don't want to really put the number, but there is a one-off.

Ritesh Idnani: And let me address the question that you asked, Manik, on the onshore to offshore mix itself. I think the comment you made is a valid one. But at the same time, while we've been focusing on it for some time, and what you will see in the recent past is we've had a positive move in terms of just increasing the mix by a couple of percentage points. I still see opportunities for improvement there. But you're also right, it's not going to come just on account of moving existing work to offshore, but also in terms of new business that comes, which will also move offshore as well.

One of the things to bear in mind in the world we live in is this is not going to be just about labor arbitrage, but also technology arbitrage that I think is going to come into play with how we're able to render services to our customers. And I think that's something that's going to be very critical.

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Number two is several of our customers continue to appreciate the fact that they're able to offer that blended delivery model itself. So on one hand, we are looking at right-shoring resources wherever relevant and optimizing our current delivery infrastructure. But at the same time, one of the things that also creates differentiation for us in the marketplace is the fact that we have a blended delivery model. So in summary, we do expect runway and improvement in the onshore-offshore mix, but at the same time, it's going to come also from expansion of our existing business and adding new business.

Mani

k Taneja: Sure. And one last question before I get back to the queue. Your comments with regards to expecting good traction in Healthcare in second half led by payers, is that largely a function of the typical seasonality of the Healthcare payer business because of the open enrolment season?

Ritesh Idnani: Well, I think it's coming on a few different accounts, right? So one of the things that I think is gaining traction and currency for us in the payer segment is the fact that, a, we work with a lot of great logos in those accounts

itself, right? So we have a good existing client mix that's there as well as a very solid pipeline in terms of new logos that we are going after where we have a seat at the table.

What we are seeing in several of these existing accounts is we might be there in one or two of the functional areas and there's an opportunity to extend and expand our footprint, gain more share of wallet, be able to integrate what we do, particularly on the back of the digital intake platform that we have, which allows us to have end-to-end capabilities across, as an example, maybe digital intake and these are some of the capability sets that create competitive differentiation for us in the marketplace. Clients are very receptive to that in the payer space. They are looking to optimize the way they run their business, and this creates opportunity for us to be a value-added partner to them. So the ability to combine technology and operations in a meaningful way, drive transformation in that portfolio and deliver an outcome, I think, creates opportunities for us to be beneficiaries of the kind of pipeline we're seeing in the payer segment.

Moderator: The next question comes from Nikhil Chaudhary with Nuvama.

Nikhil Chaudhary: Congratulations on new role. My first question is regarding Ritesh, it's been almost two years since we have

growth even in terms of your commentary for the business segment, mortgage business continued to face challenges and expect it to remain -- or at least delivery moderate growth only. We are not seeing rebound despite of increase in delinquencies. While in CMT, we are -- at least due to top client basically moving to -- towards higher offshoring, revenue growth is getting impacted. So just want to understand, given you must be working on strategy win, maybe it's a bit early, but what's the road map to take revenue growth, let's say, from low single digit to high single digit first and then ultimately to double digit? Any thinking, any road map you have?

Ritesh Idnani: So thank you for that question, Nikhil. As I elaborated in my opening comment, the one Firstsource theme is what we are looking to drive across the organization, and it has seven broad themes itself, right? The primary objective of everything that we achieved through the one Firstsource theme will allow us to get top quartile revenue growth, concurrent with an improvement in margins itself. And what we shared today is my thought process in terms of how we see the current landscape and also how I'm trying to reposition ourselves to leverage on the foundation that we have our existing strength.

We work with several household brands, as I talked about, in the domains in which we have as well as my prior experiences in scaling businesses is profitably itself. Our intention there is to drive the top quarter

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revenue growth itself. And what I'm hopeful of is, as we get into the next two quarters going into the end of the fiscal year, we can continue to give you a more detailed picture of how this is developing itself. But one of the first things that we are seeing already is a significant amount of activity -- deal activity, you can also see that in terms of the best quarter of deal wins that we've had in the last four quarters. And as we speak, they are in various stages of ramp. You can also see this in the

net headcount addition numbers as well as our facilities built out. And we expect to see this in the next two quarters and beyond. But what I'm also trying to ensure is, we are able to maintain this on a secular basis. And that's one of the key priorities as well from my perspective.

Nikhil Chaudhary: Sure, Ritesh. My second question is regarding your comment on Gen AI that disruption due to Gen AI is creating opportunity for you and you are training some AIOP offerings, right? Can you please give more color, maybe quantify if possible?

Ritesh Idnani: Absolutely. So let me address this from a wider context of the BPO industry as a whole. Most enterprises today are still early in their adoption cycle. And in fact, most of our clients were caught flat-footed with the pace of advances in the AI field itself. And as you know, every enterprise client today has been asked by their Board about what their AI strategy is?

They are currently engaging with technology products services companies for advice and guidance and most of the efforts today are actually on using the time to focus on data quality to ensure that the AI can add maximum value and experimenting with POCs to figure out how they can best leverage Gen AI within their organizations. We've realized that the cost to compute and the cost to infer is still substantial and hence, several enterprises are struggling to make business cases stack up, and which is why they're going with this fast experimentation cycle, which we are also engaged with. As I mentioned, we've got an inventory of more than 100-plus use cases, we're working across several POCs, which are moving towards pilots and so on and so forth.

Secondly, I expect this to also lead enterprises to get more selective and where they want to invest in proprietary large language models and also where it may be economical to outsource. If you take an area like customer service, as an example, today, only 27% of the market is actually outsourced.

So there's a tremendous opportunity for players like us to continue to, a) take share of wallet from large players, but, b) also as the overall market expands, and this is where a lot of customers are currently in active dialogue, so say can they increase the percentage of work that's outsourced offshore leveraging technology itself and Gen AI adoption in some sense, could lead a significant expansion of the share where enterprises

will increase the amount of work that they have outsourced. We are already seeing green shoots on this front. My personal take is that I believe that companies such as Firstsource are ideally positioned to be a net gainer from this trend, given our right size were neither too big to suffer from incumbency disadvantage nor too small to lack domain experience and a roster of quality clients with a sizable wallet, but where we continue to have headroom for growth.

And finally, I also expect Gen AI adoption to open up new market opportunities and new revenue streams. For example, we have the opportunity to partner with technology companies who are developing domain or function-specific LLMs. Given our deep domain and data knowledge, we're actually doing a lot of work already on the data infrastructure side, whether it's around data annotation, data labeling with several leading

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consumer tech companies. And this is an opportunity which will continue to grow as enterprises prepare the data to be relevant for use and maximizing the outcomes with AI itself.

We're also seeing the emergence of new services around AIOps, and that's gaining significant currency and traction in the marketplace itself. So overall, I think this is something that we feel good about in terms of how it's likely to play out in the marketplace.

Moderator: The next question comes from Dipesh Mehta with Emkay Global.

Dipesh Mehta: Okay. So two questions.

s. First about I think you earlier in your one Firstsource framework alluded to white spaces. So if you can help us understand the identified white space across segments and any plan to expand into from the major verticals, three verticals where we are to add any fourth vertical kind of thing?

Second is about cross-sell and up-sell. Now you indicated about some of the identified client partners and all those. And so if you can help us understand how -- what changes you are making in go-to-market which can help you to create strong even after a strong deal closures? So if you can provide some sense around it.

Ritesh Idnani: Thank you, Dipesh, for your question. Let me address the first point and then come to the second part of the question. So if you think about our current footprint in existing accounts, in several of the accounts we might be present in one or two capability areas. So we might be doing, as an example, collections and customer experience for a bank, but there's probably opportunity to increase our share of wallet in just those areas itself within the bank. We might also have the opportunity to, let's say, service some of their assets, whether it's consumer loans, mortgages, credit cards, et cetera, from a back-office loan processing standpoint. We might also have the opportunity to help them in their risk and compliance, financial crimes, fraud and so on and so forth as capability sets. Each one of these represent areas where we can either increase share of wallet or expand into areas that we might not be present in. And this is where -- this is what I mean by the white spaces that we see in several of these accounts that we currently partner with.

Your second question was related to -- the second point in the first question was related to other new verticals that we might be thinking about. Look, the three verticals that we play in, and I'll also include utilities in this, but if you think about banking, financial services, Healthcare, communications, media, technology and the utility space, we address a substantial part of the industry addressable spend itself. So on one hand, our focus is to continue to go deep in these verticals because that's what creates competitive differentiation for us.

I'm a firm believer of the maximum that less is more, and it's better to be an inch wide and a mile deep rather than try to be everything to everybody. But at the same time, look, there might be opportunistic areas that we might choose to get in, it could be in an emerging geography, which we might say, "Hey, look, it's worthwhile for us to try and get going there. and leverage the industry verticals that we're already in " to get into those geographies from a new market standpoint. It could also -- there could also be opportunities coming about where we might say, "Hey, there's a tuck-in acquisition to get a foot in the door in a new vertical." But those kinds of things are more opportunistic rather than something that we are actively planning for.

The second question that you had was related to how we are thinking about our account management structure and how do we plan to scale up our footprint in these accounts itself. One of the areas of opportunity for us is where we have several accounts, which I would call a strategic logo, and these have the potential to give us several tens and hundreds of millions of dollars in terms of the opportunity or the addressable spend in those

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accounts itself. One of the things that's critical to realize that potential is to have dedicated team structures, which can allow us to interact with senior stakeholder relationships, multiple buying centres and create as well as close the opportunities that come as a consequence of that. And that's where one of the things that we are looking to do is to continue to step up investments where those opportunities

s exist. Have dedicated people

whose life depends on growing those relationships itself and realize the full potential that these accounts represent. Dipesh, does it address your questions?

Dipesh Mehta: Yes, it does. The last question is just about the margin. Now we are marginally turning our guidance to 11% and 11.5%. So any specific headwinds which you are forcing in H2, considering any investment plan or something? And how one should look medium term, you indicated profitable top quartile growth, but whether margin also would be top quarter in once we look medium-term perspective?

Ritesh Idnani: So, let me address this on two fronts. So one is we have indicated that from an EBIT margin standpoint, our guidance for H2 is 11% to 11.5% from an EBIT perspective. And we want to continue to operate with that even with some of the investments that we want to continue to make in the business itself.

What I am confident of is of improving our margin trajectory over the medium term without compromising our growth aspirations. And I see multiple levers for that. We talked a little while back the on-site to offshore shift is an obvious one. And while we've been focusing on that for some time, I still see an opportunity for improvement out there.

But in addition to that, right, there are multiple levers that exist, whether it's the employee pyramid, whether it's span of control, how we staff our delivery models, how we look at right shoring resources across functions, optimizing our current delivery infrastructure, I think we have spent an enormous amount of time already in the 8 weeks that I've been here detailing out all the value levers that exist for margin improvement itself. And I think we expect that this will result in improvement from the levels we are at. What I want to also add is, I'll be able to give you a more concrete sense of our revenue growth and our margin aspirations with our Q4 results, but I am confident of improving our margin trajectory over the medium term without compromising our growth aspirations.

Moderator: The next question comes from Jalaj with Svan Investments. Please go ahead.

Jalaj: I had two questions. One was with regard to the cash flow statement. I do see in the working capital adjustment, that there is a reversal entry for loans and advances, almost INR160 crores. Could you throw a little light on it as to what does it stand for?

Dinesh Jain: I think there's a reduction in the liability. I'm not sure which line item you're referring to.

Jalaj: changes in working capital just below the trade receivables.

Dinesh Jain: This is related to the investment of about GBP 15 million as part of the extension of our contract with the Top client that we highlighted in Q1FY24. Of this GBP 9.5 million was paid in H1FY24 and the balance will get paid in FY2025. [This part was added after the Q2FY24 earnings call.]

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Jalaj: Sure, sure. And second question was with regards to -- for Ritesh, you mentioned that our aspiration is to go to top quartile performance. So maybe in the short term -- in the medium term to long term, so you partially did touch up on that, but I just wanted to have a what would it take us to be there in terms of service lines offering? Do they need to be expanded or do we have enough bandwidth in terms of offerings right now? So what would be the strategy to be there? What would it take to be there?

Ritesh Idnani: So thank you for that question. If you go back to what I talked about in the 'One Firstsource' framework itself and where the opportunities are, right? One of the things that you will see in the context of that was, a, the opportunity to cross-sell and up-sell in our existing accounts itself, right? And this is adding the share of wallet in the existing work we do, but also expanding capabilities in those accounts.

So the s

second thing that we also talked about is not just take the five service lines that we have today, whether it's collection, CX, trust and safety, data and analytics, right, and the entire digital piece itself, but the objective around that is to ensure that we are able to bring those capabilities in every account itself, right? That's critical from our vantage point. At the same time, we are also actively strengthening our footprints from a delivery standpoint in Eastern Europe, South Africa and Latin America. I think it's a combination of each one of these things. It's not one or the other, right? So all of these levers together when deployed collectively result in a very focused execution framework creates the playbook or the foundation for top quartile revenue growth. So it's not one or the other, but the ability to bring all these together to enable that.

One of the questions that came a little while back also is having a dedicated team, which is the other area that we're also focused on to say, look, if there is a strategic account that we believe has headroom for growth, let's make sure that there is a person who's focused on trying to grow that relationship in a meaningful manner. So that becomes also an additional lever that's there. So it's a combination of all of these things. Identifying the right accounts for growth, knowing the white spaces in those accounts, having a plan to deliver against that, having the right set of capabilities to be taken to those accounts and having the right kind of delivery and execution capabilities to back up what we need. Bringing all of these together creates the secret sauce for secular growth, which ends up in top quartile.

Jalaj: Got it. And one more question, if I may. So there has been this discussion of the rightsizing or moving from on-site to offshoring. So where are we on those -- in terms of, if I were to say, let's say, 100% of the old accounts are the pie which is, so renews would come, so we would see this movement? I'm asking this

because there might be revenue loss, margins would be accretive. But since the on-site billing and offshore billing are slightly different. So how much of the percentage of the portfolio has already been converted or of that which can be in this sense?

Ritesh Idnani: So without getting into specifics of what percentage of our portfolio, etc., I think the way to view this is on two counts. Number one, in several of our existing accounts, we see the opportunity to move some of the work that we might be doing from onshore to offshore where relevant, but also at the same time, take new business offshore as well. Clients value us for the end-to-end capabilities that we're able to bring and the blended delivery mix that exists in our model itself. Secondly, the world we are moving to is no longer just about labor arbitrage, but it's also about technology arbitrage and the ability to bring that to bear to drive meaningful transformation and business outcomes, I think, matters to our customers. If you are able to bring a couple of those things together itself, what we will be able to do is going to be revenue accretive as well as margin accretive. And I think that's what I'm working closely with the entire leadership team on.

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Moderator: As there are no further questions, I would like to hand the conference back over to Mr. Ritesh Idnani for closing comments.

Ritesh Idnani: So thank you all for joining the call and the interaction. I just want to close with a few final points. I am pleased with our strong order bookings during the quarter. We are now in execution mode on these deals and the ramp-up should accelerate our growth momentum over H2 FY24. More importantly, pipeline replenishment in the quarter was also significantly healthy despite the strong deal wins.

This gives me confidence on the trajectory in the m

edium term. We have realigned our strategic focus under

the one Firstsource framework with the seven strategic themes that I talked about upfront, and we are now putting this into action. I look forward to continued interactions with you. Thank you once again for joining this conversation.

Moderator: On behalf of Firstsource Solutions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Have a good day.

Call: Feb 2024

8th February 2024

To:

National Stock Exchange of
India Limited (Scrip Code: FSL)
Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex
Bandra (East), Mumbai - 400 051 BSE Limited (Scrip Code:
532809) Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board
of Directors on 7th February 2024

Please find enclosed the transcripts of the Analysts earnings call conducted on 7th
February 2024 for the meeting of Board of Directors held on 7th February 2024, for your
information and records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the
Company's website, at <https://www.firstsource.com/investor-relations/>

We request you to take the above on record.
Thanking you, For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

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Q3FY24 EARNINGS CONFERENCE CALL "
FEBRUARY 07, 2024

MANAGEMENT :
MR. RITESH IDNANI,
MD & CEO
MR. DINESH JAIN
CFO
MR. PANKAJ KAPOOR
HEAD STRATEGY & IR

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Moderator : Ladies and gentlemen , good day and welcome to the Firstsource Solutions Limited Q 3 FY '24
Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during

the call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

On this call, we have Mr. Ritesh Idnani – MD and CEO, Mr. Dinesh Jain – CFO and Mr. Pankaj Kapoor – Head of Strategy and Investor Relations to provide an overview on the Company's performance followed by Q&A.

Please note that some of the matters that we will discuss on this call, including the Company's business outlook are forward-looking and, as such, are subject to known and unknown risks. These uncertainties and risks are included, but not limited to what the Company has mentioned in its prospectus filed with SEBI and subsequent annual reports that are available on its website.

I now hand the conference over to Mr. Ritesh Idnani. Thank you, and over to you, sir.

Ritesh Idnani: Thank you and hello everybody. Thank you for taking the time to join us today to discuss our “Financial Results” for the third quarter of FY 24. My name is Ritesh Idnani, and I am the CEO at Firstsource.

I will start today with an update on the progress we have made during the quarter on various initiatives under the “OneFirstsource” framework that I had detailed out in the last earnings call.

I will then move to discuss our quarterly performance and outlook for FY24.

The OneFirstsource framework defines our blueprint for the strategy refresh across the organization and is aimed at driving top quartile revenue growth with improvements in margin over the medium term. During the third quarter, we have made meaningful progress across several of these initiatives.

Let me start at the outset by detailing our efforts on simplifying the organization design and realigning the leadership team:

As I had mentioned in the previous call, we have streamlined the organization's structure along four go-to-market business units to remove overlaps, establish clear accountability, and ensure faster decision-making. So, North America now has three broad industry verticals. Venkatgiri continues to head our Healthcare and Life Sciences business. We hired Vivek Sharma during the third quarter to head our Communications Media and Technology verticals with additional responsibility for the North America Banking and Financial Services verticals as well. Vivek has had an impactful career running sales globally at Infosys BPO and I am excited to have him with us. He will also oversee our build-out in the emerging geographies such as Australia and New Zealand. Europe remains a geographical business unit for better synergies across verticals and continues to be headed by Rajiv Malhotra.

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Our service portfolio is now aligned into six capability units to identify wide spaces in our portfolio, build adjacencies, and improve client experience. Ashish Chawla, who built a strong EdTech practice for us from scratch, has taken over as the leader of our CXN consulting capability units. Arjun Mitra continues to lead our world-class collections practice. Back-office, which is typically domain-specific, is integrated to the respective market units. Besides these mature service lines, we are also seeing significant demand coming from emerging services such as Trust and Safety and Data and Analytics.

With the organization redesign largely over, the businesses are now moving rapidly in putting in place specific plans around the priority areas they have identified to drive growth in their

respective businesses and building the next level of leadership to support their sales efforts.

Next, let me talk about our progress in bringing technology into everything we do. We are institutionalizing the process of evaluating how we can leverage technology in every proposal that we are participating to have a wider engagement with our client base and increase the share of wallet as well as the share of transaction and outcome-based commercial models. You will recall our deal win from ETS announced last quarter where we are engaged for both ops and technology services. We are currently engaged in several such discussions for similar tech and operations deals in both Europe and North America.

We are also expanding actively our partner ecosystem and have recently hired a leader to drive technology partnerships across the organization. He will also work on improving our existing services and developing new ones to support businesses in achieving higher growth. We believe that the quality of our client portfolio and our market leadership in chosen verticals are truly differentiated, and we continue to double down on our efforts to amplify the Firstsource brand amongst different constituencies, including industry analysts and advisors. We recently hired Aniket Maindarker as our Chief Marketing Officer to lead our efforts in this area.

The passion and commitment of our workforce is our superpower, and we want to make Firstsource a great place to work for our employees and be an employer of choice. In Q3, our ongoing commitment to enhancing the employee experience within the OneFirstsource framework remained a top priority. We successfully maintained high employee engagement by conducting personalized interactions, doubling the one-on-one sessions, including 70+ town

halls and several skip meetings. This concerted effort resulted in a trailing 12-month double-digit reduction in our attrition in Q3 even as we doubled our hiring to over 1,800 + candidates per month. We are also focusing on automation and deploying technology internally to improve our hiring process and make it more efficient and effective for new joiners. We also continue to work on a skilled refresh across levels and functions and expand our leadership training and development programs. There was a close to 25% increase in the average learning hours across our employee base during the quarter.

Finally, we remain laser-focused on optimizing our cost and driving efficiency. We have identified specific tracks to work on such as right-stopping the execution model, right-shoring of both production and support headcount, optimization of overheads, adoption of automation and AI tools to reduce time to deployment and improve speed to competency and benchmark our current contract commercials.

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We are seeing a strong interest amongst our clients for our revamped go-to-market strategy and our increased engagement with them, especially to structure large transformational programs. We are also doubling down on reinvigorating our sales engine to build the foundation required for achieving consistent revenue growth over the long term. Our combined deal wins in the last two quarters are 30% higher year-on-year, and we exited Q3 with the highest ever pipeline in the history of the Company. This has encouraged us to left shift our investment plans. We intend to fund these investments mainly through internal cost optimization and efficiency as such, while the interplay of various puts and takes can have impact on our margins in a specific quarter, we expect that to be in a narrow band and we remain confident of a structural improvement in margins over the medium term.

In summary, we continue to believe that the discontinuities caused by the macro and technology shifts are opening opportunities which Firstsource is very well positioned to take advantage of,

given the quality of our client portfolio and our market leadership in our chosen verticals. I am pleased with the progress we have made in Q3 in these areas we have identified for a strategy refresh. I am also encouraged by the early signs of this in our deal pipeline as well as the enthusiasm amongst our employee base that gives me confidence in achieving our target of top quartile revenue growth with improvement in margins over the medium term.

Q3FY24 Financial Performance

During Q3, our revenue grew 6.1% year-on-year and came in at INR 16 billion. In US\$ terms, the growth was 4.8% year-on-year and 3% quarter-on-quarter at US \$192 million. In constant currency, our revenue grew 3.4% quarter-on-quarter after staying flattish over the first half of FY24. This is in line with our previous commentary in Q2 of a growth acceleration over the second half of FY24. EBIT margin was 10.7%. This is down about 60 basis points quarter-on-quarter from Q2 FY '24 normalized EBIT margin, but higher by about 134 basis points versus Q3 of last year. Our net profit was INR 1.3 billion and our diluted EPS was INR 1.84 for the quarter.

Let me now talk a little bit about our deal wins :

Deal Wins

We continue to participate actively in both the cost optimization as well as the process transformation agendas of our clients. We are also actively hunting for sole source opportunities both in our existing portfolio of clients as well as a new set of logos. The success of our strategy is evident in our deal wins in Q3, which was the highest in the last three years. Let me highlight a few notable deal wins :

- I am pleased to inform you that we have been selected by one of the top five banks in the UK, one of our longstanding clients for a large transformational deal. This would be one of the largest deal wins for Firstsource in the last five years and underscores the importance of the relationships we have built and the value Firstsource delivers to its clients. It's also testament to what we are trying to do on the cross-sell and up-sell side.
- We also won additional business from a leading utility Company in the UK, another existing client to provide core customer support.

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- We continue to expand our footprint in one of the leading media and entertainment companies by adding new complex service queues.
- Firstsource won additional business from one of the large North American telecom and

media companies globally, another existing client, to provide account management services.

- We expanded footprint and wallet share in one of the top five health care insurance providers in the U.S. for providing claims processing services.
- We also further strengthened our relationship with a large managed Healthcare Company in the U.S. with additional business for customer support and claims processing.
- We further strengthened the multi-decade relationship with one of the largest managed Healthcare and insurance companies in the U.S. with additional business for providing clearinghouse support services.
- And finally, we were selected by a leading online real estate player to provide support for its property management services business.

While the overall demand environment remains conservative, we stay focused on creating value for our clients and remaining disciplined on execution. Concurrently, we are continuing to work on scaling new sub-segments in our chosen set of focus verticals and selectively expanding our offerings to adjacent verticals.

Let me now provide you a deep dive into our Q3 performance and outlook for each one of our industry verticals:

Vertical commentary

A. Banking and Financial Services

In the 3rd Quarter, our BFS vertical was down 3% quarter-on-quarter and 5% year-on-year in constant currency

terms, primarily due to softness and business volumes. As you know, this vertical comprises three broad sub-segments for us: mortgage, collections, and customer experience.

Mortgage

Our mortgage business was down sequentially and year-on-year due to the market cycle. While the broader demand remains sensitive to changes in mortgage rates both in refinance and purchase business, we continued with our efforts to weatherproof our portfolio by expanding our footprint in servicing, reverse mortgage and adjacent sectors of real estate.

We had notable success, as I mentioned earlier, with a leading online real estate player, which selected Firstsource as a strategic partner. We had also secured a significant size new campaign from a reverse mortgage lender, another existing client.

And finally, our efforts to bring in technology interventions into our sales propositions in the form of advanced automation and Gen AI is also attracting encouraging interest from customers.

Let me turn my attention to the collections side of the business:

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Collections

While our collections business was marginally down, that was primarily because of the growing shift in execution to offshore. Our focus here has been to increase our footprint both geographically as well as expand into other industry verticals beyond Financial Services to telco, utilities, Healthcare and retail.

We are also working to shift our execution to offshore or nearshore, and we have made steady progress on all of these initiatives in Q3. For instance, in one of our large clients in the segment, our service footprint has expanded into credit card and back-office apart from the core loan collection business.

During the quarter, we also went live at one of the largest European banks where we are working with the collections business in the UK.

We added multiple new clients in the segment during the quarter as well as expanded our execution capacity in Mexico where we are servicing five collections clients from them. We expect growth to recover in Q4, even though the seasonal lift-up that we typically see is likely to be muted this year due to the reduced share of third-party collections.

Customer Experience (CX)

As you know, we are one of the largest CX providers in the banking and Financial Services vertical leveraging our healthy mix of locations for voice and messaging services to drive efficiency and deliver meaningful outcomes for our customers. We are seeing excellent demand from banks that are diversifying both their overall retail banking and commercial banking portfolio with market improvements.

Emerging segments

And last but not least, we are making steady progress in our efforts to broaden our portfolio in the banking and Financial Services side in areas such as risk and compliance, financial crimes, fraud, and auto finance. Overall, we continue to expect modest growth in this vertical in

Q4.

B. Healthcare

In the 3rd Quarter, our Healthcare vertical was up 3% year -on-year and 5% quarter -on-quarter in constant currency terms.

Payer

This was driven by the payer segment, where revenue grew met the single -digit on a year -to-year basis and double -digit sequentially, led by ramp -ups across clients. While the macroeconomic environment has been relatively stable for health plans, they continue to explore more opportunities for cost optimization and acquisition to drive member expansion. We are seeing opportunities to partner with them to provide disruptive propositions to help them be more competitive and relevant to their member base across the entire value chain, whether it be enrollment claims, billing, appeals and grievances, etc. We are also in advanced talks for a few large, structured deals in this segment, including a couple of sole -source transactions.

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Our strategy to focus on strategic accounts is playing well. We had two large deals in this space in Q3 from our existing clients that I have already mentioned. We also added a couple of new logos in this segment in Q3. We expect ramp -ups in these deals, which should reflect in healthy revenue growth in the fourth quarter as well.

We continue to also focus on building out our BPaaS offerings, and during the 3rd Quarter, we hired a dedicated person to drive our build -out strategy in this area. We are also seeing encouraging traction on Gen AI, where discussions are moving from POCs to live projects.

Provider

Revenues in this segment were stable sequentially and marginally higher on a year -on-year basis. Our focus here is to improve profitability by driving offshoring, as well as widening the service offerings. We have seen an uptick in the number of discussions with clients for offshore revenue cycle management. Our first such win was in Q1 of this year that's scaling up well. We have had multiple additional wins and are currently in conversation with several clients in this space. The current wave of technology -enabled disruption is providing an opportunity for us to take share from traditional revenue cycle management players who largely build a people -based business.

Overall, we expect good growth momentum in the Healthcare vertical in the fourth quarter as well, largely driven by the payer segment.

C. Communications, Media, and Technology (CMT):

Our CMT vertical grew 10% quarter -on-quarter and 2.6% year-on-year in constant currency terms, driven by ramp -ups across multiple clients, offsetting the drag from the onshore to offshore transition underway in our top client.

As you are aware, our client portfolio in this vertical comprises some of the leading names and global brands in telecom, digital media, EdTech, consumer tech, and the E-commerce space. We have a sharp focus on three core segments: growing our B2C support, building our B2B presence, and systematically investing in building our capabilities and expanding our client base in the born-digital new -aid segments. We are encouraged by the progress thus far and the traction we are seeing with our pipeline conversions.

Our engagement with ETS is also scaling well. In October, we went live with our first global capability center for the EdTech vertical in Hyderabad with multi -disciplinary skills in the areas of assessment operations, data analytics, and emerging tech. We continue to expand our footprint in the university and EdTech provider space globally with solutions that help transform all facets of the learner experience from admissions to graduation.

We also expanded our partnership with a marquee consumer tech Company in training their AI tool, leveraging our AI Ops framework. In Q3, we also added another consumer tech Company as a client supporting their AI research team in localization of their chatbots.

We are seeing healthy momentum in our telco business where we had multiple wins, not just in our top client, but we also added additional lines of business with our top client in North America and adding three new logos in the telco space in the quarter.

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Overall, we expect a healthy momentum in this vertical in the fourth quarter with ramp -ups in recent deal wins.

D. Diverse

And finally, I will round off with a quick word on our diversified vertical, which mainly comprises the energy and utility space. It grew 1.5 x year-on-year and 14 % quarter -on-quarter in constant currency terms. We continue to see a strong demand in the energy market, even as we make fresh inroads in our client base in this vertical.

Geographical Commentary

In terms of geographies, the U.S. was up 6 % year-on-year in constant curre

ncy terms, while

Europe was flat mainly due to the optical impact of on -site to offshore shift in our top client.

Sequentially, we had a well -rounded growth with the U.S. growing 3.3 % quarter -on-quarter, while Europe grew 3.6 % quarter -on-quarter.

We expect the growth momentum in the U.S. to be continued to be led by the Healthcare and CMT verticals. Growth should be higher in Europe, where we are working with a dedicated focus on client acquisition across all verticals, as well as investing in beefing up our sales team.

Operations

On the people's side, we added a total of 1 ,994 new colleagues in Q3, bringing our total employee base to 25,947 employees at the end of December 2023. This is the highest net addition in the last 12 quarters and is across geographies. As you may note, we have added 16% to our base over the last two quarters, and this, in some sense, reflects our strength of our executable order book. The trailing 12 -month attrition for the quarter was 33.8 % at offshore and 43.3% at on site, compared to 36.1 and 44.8 % in Q2. We expect these metrics to trend down further in the coming quarter, though at a more moderated pace, helped by improved outcomes of our employee value -related interventions.

Progress update on GenAI

And finally, to give you a progress update on the Gen AI side, we continue to make solid progress on our Gen AI initiatives. Our library of use cases expanded to over 130 cases across industries that can be used to jump -start conversations. We have completed over 35 proof -of-concepts during the quarter. We are focusing our efforts on pre -built co -pilots that can be quickly integrated to live engagements. We are working extensively also to elevate our existing platforms and IP, leveraging AI.

Recognitions

And finally, on the awards and recognition side, I am proud to report that we achieved a score of 62 in the Dow Jones Sustainability Index in the very first year of our participation. This places us in the top 96 percentile, and amongst the top five within our peer group that includes both India -listed scale IT services companies as well as global BPO providers.

Guidance

In summary , I am pleased with our performance in Q3 of F Y24. Our healthy order bookings during the quarter, as well as a good deal pipeline, sets us well for Q4. With nine months of the

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fiscal now over, we narrow our expectation for constant currency growth in F Y24 to be between 0.5 to 1.5 %, and our normalized EBIT margin to be at the lower end of the 11 to 11.5 % range. With that, let me turn the call over to Dinesh to give you a detailed color on the quarterly financials and related matters. Dinesh?

Dinesh Jain: Thank you, Ritesh , and hello, everyone.

Let me now walk you through some of the financial details ;

Financial Performance

- Revenue for Q3 FY24 came in at INR15,966 million or US\$192 million. This implies a year-on-year growth of 6.1% in the rupee term and 2.8% in constant currency terms. I am happy to report that we have returned to the year -on-year growth in constant currency terms after contraction in the previous fourth quarter s due to the portfolio changes in our Mortgage and Healthcare businesses.
- For the nine month s of FY 24, cumulative revenue was INR46,658 million or US\$564 million. This implies a YoY growth of 4.5% in rupee terms and flat in constant currency terms.
- We reported operating profit of INR1,709 million in Q3 FY24, up 21.2% over Q3 FY23 and translate to EBIT margin of 10.7% , up 134bps on year -on-year basis. This is down around 60 bps sequentially from 11.2% we reported in Q2 FY24, adjusted for a few one -time charges.
- As you know, we rolled out our annual compensation hike and promotion in Q3. We also saw higher costs related to ramp ups in some of the recent deal wins. We were able to

offset

this partially through cost optimization and efficiency gain resulting in the net impact of only 60 bps in Q3.

- For the nine months, our operating profit was INR5,132 million or up 34% over nine months FY23 and translate EBIT margin of 11%. Adjusted for one -time charge in Q2 FY24, our EBIT margin in 9 months was 11.2%.
- Tax rate was 20% for the quarter and 19% for the 9 months which is within the range which we guided between 18 to 20%. Profit after tax came in at INR1,287 million or 8.1% of the revenue for the quarter.
- As you will recall, we have other income of INR598 million in Q3 FY23 on account of a change in the fair value of the liability for purchase of non -controlling interest and also the contingent consideration on the acquisition. Adjusted for that, our net profit in Q3 FY24 was up 18.5% year -on-year basis.
- For the 9 months, profit after tax was INR3,812 million. This is higher by 42% on a year-on-year basis after adjusting for the other income in the base.
- DSO came in at 62 days versus 66 days in the Q2. You may recall, we had called out that the spike last quarter was mainly due to delay in collection s, most of which have been now subsequently collected. As a result of this and of course higher revenue, our cash flow from operations improved significantly in Q3.
- We stepped our CAPEX during the quarter to INR275 million as we prepared the execution infrastructure to fulfill the recent order wins. We have added new sitting capacities in Bangalore, Mumbai and Philippines during Q3. We continue to invest in creating additional capacity given the strength of our deal wins.

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- We also use some of the cash generation to retire both working capital debt as well as the long-term debt during Q3. Our net debt stands at INR4,398 million as of December 31st, 2023, versus INR6,653 million as of September 30th, 2023, which implies a reduction of INR2,255 million during the quarter.
- ROCE for 9 months is 15.3% versus 13.4% for FY23.
- Our cash balance including investment stood at INR2,556 million at the end of the quarter.
- Our hedge book as of December 31st, which as follows : we have coverage of GBP 59.5 million for the next 12 months with an average rate of 105 to pound and coverage of US \$82 million with an average rate of 84.4 per US\$.

I am pleased to share that the Board of Director declared an interim dividend of INR3.5 per share on the face value of INR10 per share same as last year.

This is all from my side . We can now open up floor for the question. Operator , over to you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Manik Taneja from A xis Capital. Please go ahead.

Manik Taneja: I just wanted to pick your thoughts on a couple of things. Some of your peers as well as you have spoken about softer volumes compared to the initial client volume estimates that customers typically tend to provide through the course of calendar year 2023. Are you still seeing that play out or there is some amount of stability on that front? That's question number one.

The second question that I have is that some of your peers have spoken about insourcing that they have seen in a couple of instances. Are you seeing any signs or discussions around this front at any of your clients?

The third question was a clarification question . We have seen several leadership reinforcements over recent months , where are we in that journey now ? Would be great to get your thoughts on that.

Ritesh Idnani: Thank you , Manik , for the question. Let me try and address the questions one after the other. The first question that you had was in terms of what we are seeing in the macroeconomic environment itself, client spend, volume so

on and so forth. Let me just start by saying we still

see the macro duality in some sense still playing out. What I mean by that is on one hand , while clients remain cautious in the uncertain macro environment , we also find that they are actively moving on programs where they see opportunities for meaningful cost optimization not just by leveraging outsourcing and offshoring but by reimagining the process itself and bringing in elements of technology including AI and automation. We have seized that opportunity and continue to engage with both our existing clients as well as exploring new logos with solutions that create value for them. So, that duality in my mind is likely to continue either way.

The second question that you had was related to the insourcing side. Actually , let me just take a step back and share with you how I see this trend in a larger context. The narrative for insourcing or global capability construct s in the last 12 months has moved from pure cost arbitrage to co-location and co -innovation. And here , there is a little bit of a paradox on one

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hand. Between 200 to 250 new centers are being established every year across various GCC hubs. Out of these about 55 to 65 % are de novo. That is the enterprise is setting up their own centers, but the rest are provider assisted. And the newer provider supported global capability centers even in an insourced environment our focus around collaboration, around cutting-edge tech and proxies, but what we're also seeing is a growing number of clients who are exploring divestitures of their offshore capital. In fact a number of such cases today is almost 5x of normal years and even more than what we saw post the global financial crisis. Part of this has to do with the impact of higher interest rates on working capital and thereby expensive debt servicing which is pushing companies with global capital footprints to consolidate and divest to free capital itself. The other part has to do with the advent of AI and the uncertainty around its impact making companies rethink their entire strategy of deploying large pools of resources on their roads. As Firstsource what we are trying to do is to position ourselves to take advantage of both these trends. We've created a comprehensive playbook when clients want to insource that has components of design, build and operate in partnerships with real estate firms, global talent agencies, and legal and regulatory advisors. This makes it easier for us and clients to get off the ground quickly and reap the benefits of co-location and co-innovation. We've also set up a team to focus on divestitures, especially in sectors we operate in and the geographies we operate in or on our radar itself.

So, we think a combination of both of those allows us to take advantage of either the insourcing flat setting up for global capability centers or on the other hand it allows us to take advantage of what might play out in terms of captive divestitures itself.

The third question that you had was related to the leadership and the off design and so on and so forth. We've rolled out the new org. structure effective from first of Jan. Portfolio alignments as I discussed in my initial commentary at the market and capability unit levels have happened. We're now firmly in execution mode. Having said that look there are still areas where we continue to explore the right talent. We'll keep making interventions as and when we see a requirement itself.

Manik Taneja : If I can pick your thoughts on one more question. You spoke about both an interest and push from our end to since rely we drive more offshore delivery across some parts of our vertical service offerings. What is driving that because historically the kind of work that we used to do in certain segments say for example on the

provider side those used to be typically on shore

delivery because of compliance or because of regulatory reasons. So, is there something else that we are trying to sell now on both healthcare as well as possibly on the collection side?

Ritesh Idnani : Let's talk a little bit about the healthcare segment itself. So, on the provider side I do expect that the build up of enrollment will be gradual over the next 9 to 12 months, but on the provider side what we have focused on is on broad basing our portfolio. We are quite excited right now by the offshore revenue cycle management market where we believe that the current wave of tech led disruption is providing an opportunity for us to take share away from traditional revenue cycle management players who have largely built a people-based business.

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Similarly, on the payer side our strategy to focus on strategic accounts is playing well. We had good wins in this space in the third quarter and we see a very healthy pipeline as well. Therefore, we expect good growth momentum in the healthcare verticals in the coming quarters.

Moderator: Thank you. The next question is from the line of Jalaj from Svan Investments. Please go ahead.

Jalaj: I wanted to pick your brains around the conversations around the highest deal wins. Could you talk a little about quantification of the numbers or the order book, how it does look like?

Ritesh Idnani : We do not get into specifics around the numbers yet in terms of the deal wins or the size of the pipeline itself, but what I want to talk a little bit about is the pickup in our deal wins that you see whether it's in terms of the fact that our deal wins in the third quarter were the highest in the last three years or the fact that we exited third quarter with the highest ever pipeline in the history of the company. It's simply the result of the rigors that we've brought in our engagement with all our clients. What we are doing differently now is to participate more proactively in both the cost optimization and the process transformation agendas of our clients.

We're actively hunting for sole source opportunities, both in our existing portfolio of clients as well as the new set of logos. And we are finding clients responding favorably to our efforts which is therefore then translating into the strength of our deal wins and pipeline. What you also will see is in terms of profile these deals are across the board. In example, in Q2 we had a large deal in the EdTech sector which was essentially a new logo. In Q3, we got a deal from our large

financial services plan which was one of our existing customers in space.

This kind of stuff in some sense is reflective of how we are going to market and the fruits of the rigors that we're deploying in the process how that's yielding results for us.

Jalaj: And one last question maybe so you touched upon the top quartile growth, so what sort of peers are we comparing the growth rates to?

Ritesh Idnani : So, that's a good question. I think what I would do is when we come back in at the end of Q4, I will be providing more detailed commentary in terms of what the top quartile revenue growth will be as well as talk a little bit about what those numbers would look like in terms of either the revenue side or in terms of margin itself because a lot of this is not just about the current quarter or the near term, but it's also about how we are building a business for the medium to long term itself so that we can continuously outperform itself.

Jalaj: And one last question if I may. So, when do you expect the BFS vertical to pick up per say seeing the basically the discussions with the clients we are having right now and any sort of improvement in terms of operating leverage and since we are spending a lot in the terms of technology

and seeing the growth in top line, so when do we expect it would reflect ?

Ritesh Idnani : So, let me talk a little bit about the financial services vertical and then talk a little bit about the margin side .

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If you look at the growth that we're seeing today in our financial services portfolio , we won a large deal for instance with an existing client in the UK which is in the financial services space and that in some sense reflects resilience in what we're seeing in the portfolio itself.

What we are also seeing as a secular scheme which we think bode well for us is where clients are increasingly looking for service providers who offer an integrated capability across front office and back office so that they are truly end -to-end from a domain standpoint. This actually plays well for us because we are one of maybe a handful of providers who have that end -to-end capability ; most players end up over in vesting on one area or the other.

If you look at the mortgage space in particular the trajectory for 2024 suggests , based on all the commentary that I'm sure you read as much as I do that there is likely to be an easing of mortgage rates which should increase the refinance demand.

What we are however doing though and this is this is more important than anything else , we are deeply engaged with our clients to help them build a search readiness playbook with the right mix of people and digital / AI intervention and as we have been broad basing our service portfolio we are not just talking to the mono liners in the mortgage space, but we are talking to mid-tier regional banks as well as broad basing our portfolio beyond origination to servicing and HELOC and other segments of the real estate sector.

We are also seeing growth in our Fintech space and our collections business is a great hook there to land in the Fintech spaces as well as especially if you take a lot of the BNPL players in the segment. A lot of them are dealing with the large collections portfolio and our world -class leading capability in collections certainly is helping in that regard. So, there are a number of things that we feel good about in the context of our current capabilities and how they're geared up for the financial services space itself.

Now the question that you had related to margins and what we end up seeing . One of the things that I talked about right upfront in the context of our commentary is we are investing in building a deal funnel as well as refreshing our sales engine. Our intent is to fund these investments mainly through internal cost optimization and efficiency gains and while we may see minor impact on our reported margins in a specific quarter itself, we remain confident of a structural improvement in our margins over the medium term. The fact of the matter is, I mean, if you just take two data points into account, we had the largest set of deal wins last quarter and we also exited the quarter with the highest pipeline ever in the history of the company.

Just put those two things in perspective. It means that when these deals land and we hire people, there is a cost of growth that's going to come about and that's going to be playing out in a quarter itself. Now while we try to optimize for that through internal cost optimization and other efficiency initiatives that we are constantly working on , it could still result in a blip on quarter -to-quarter basis .

Our intent is to make sure that we're building a resilient and durable business with margin improvement over the medium term . So, that's probably the way to think about it.

Moderator: Thank you. The next question is from the line of Shradha from AMSEC. Please go ahead.

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Shradha: Two questions here, Ritesh. First

It is you've indicated kind of increased offshoring trend in certain segments of business es like Healthcare and Collections. So , do you see this as a risk to revenue just like we saw 300 bps to 400 bps headwind to revenue in FY24 because of higher offshoring from our top client in CMT vertical?

Ritesh Idnani : No, I do not see this as a risk. What we are seeing is two sets of things. On the one hand, we are seeing a propensity to move offshore and near shore in some of our clients potentially being an opportunity where we can take additional volumes from them. We're also seeing the amenability on their part to look at that part of the business from an offshore standpoint benefit us.

As we broadened our portfolio on the provider side as an example and we started playing in the mid-to-back end of the revenue cycle side a lot of that work gets done offshore. So , naturally there's a tendency to move to work offshore as opposed to otherwise. We feel good about it if anything else between the locations that we have today in the mix, our ability to service whether it's our healthcare clients or our collections clients, our location makes across onshore, near shore and off shore positions us really well and actually in a way having locations in country in the US and UK in our minds it's going to be a net positive over the long run medium to long term.

Shradha: But from a more near-term perspective getting into next year, do you see this more as a headwind? I'm talking more from a near term perspective .

Ritesh Idnani : No, we don't see it as a headwind.

Shradha: And secondly while you've narrowed your guidance band for FY24, the ask rate CQGR still is very wide from 2% to 6% to get to the top end and the low end of the guidance range. So , at this point in time just wanted to check your comfort on whether you are more comfortable being at the lower end or at the mid end given the fact that you don't expect the usual seasonality in the collections business that plays out every year to happen this year?

Ritesh Idnani : Look I will only say this we do not specifically provide guidance on any specific quarter. So, I'm not going to comment on the math that you just provided. But having said that let me just reiterate the following : we had a good set of deal wins in the last two quarters that are in various stages of ramp up as we speak. You can also see this in the net headcount addition numbers as well as the facilities build out that we're doing. We feel good about where we will end up at the end of the quarter and for the full fiscal itself on the back of that. So, our purpose of narrowing the band was to give you more color as we approach the end of the quarter itself as you start looking at where we might end up for the full fiscal itself.

Shradha: And just one more question , I think you indicated that we did see some decline in our mortgage business and this has come after 2-3 quarters of stability that we had seen in the previous 2-3 quarters. So, could you just highlight what exactly happened because if I recall well, you had indicated that if kind of reached the bottom in mortgage revenue. I mean most of your clients have reached that the bare minimum of mortgage revenue that they can be at. So, from that perspective would we not be expecting a gradual ramp up each quarter?

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Ritesh Idnani : Look, I am not too perturbed about what you might see as a marginal drop quarter-on-quarter in the business itself in the mortgage business as you are aware that business is down in the high single digits for us as a percentage of revenue , number one.

Number two , we feel very comfortable with the deal wins that we've had in this space and the ramps that are happening as we speak. We also continue to have an active pipeline in the mortgage side and our leadership position in this

space augurs well for what's coming down the pipe. So, if nothing else actually we are playing on offense out there. We have created a search readiness playbook which we think works well for us and when the Fed chooses to relax interest rates as well. So, overall, I wouldn't read anything into what you might have seen as a minor aberration one quarter to the next.

Shradha: Any quantification around how much does mortgage contribute to overall revenue now?

Ritesh Idnani : We're not getting into specifics of numbers, but what you can see is that it's not material enough that it should matter to the portfolio and that's the bigger point that I want to highlight out here is I think again as in our endeavor to build a business which is resilient and durable, we want to make sure that we take some of the macro discontinuities away from the way we're growing the business itself . That's the reason why we're continuing to broaden our portfolio. That's the reason why we feel that how we are putting the foundational blocks in place sets us up well for top quartile industry growth.

Moderator: Thank you. The next question is from the line of Nikhil Choudhary from Nuvama . Please go

ahead.

Nikhil Choudhary: My first question is on deal wins, so just want to understand which segment and which geography is driving this growth. And second thing is regarding growth in being 30% for first half and when headcount growth being 16%, is it fair to assume that between ACV and TCV. ACV growth is more or less similar to head count while TCV is growing much more faster?

Ritesh Idnani : So, let me respond to the first part of the question which is where have we seen the deal wins itself. The deal wins are broad based across industry sectors. So, we've seen that across industry verticals and across geographies. So, if you look at growth that we are experiencing both in the US and Europe and in the European markets, we see the deal wins playing out. Similarly, we also see the deal wins playing out across financial services, healthcare, communications media tech as well as our diversified portfolio itself.

I don't want to specifically comment on the TCV, ACV math because deals have different timelines. They're not necessarily drawn out in the manner that you might have been drawing a conclusion out there. What I think you should take away is the fact that we've had two consecutive quarters of meaningful headcount addition and that in some sense is a reflection of the strength of that executable order book itself. So, the very fact that we are adding headcount supported by the fact that the deal wins continue to go up and last quarter was the highest deal wins that we've had as well as the pipeline that is there. I think these are all I would think as lead indicators in terms of how it's likely to play out from a revenue standpoint as well.

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Nikhil Choudhary: On similar line basically our deal wins tend to be very strong, but in a scenario where mortgage volumes comes back, that will be more discretionary and still not captured in this deal wins?

Ritesh Idnani : So, it's a good question. I'm going to give you two different perspectives. A lot of the independent mortgage companies that might be there, the monoliners who only specialize in mortgage, a lot of them may still be looking for a capacity in terms of how they ramp itself. As and when the origination volumes do come back, I would expect that it won't be discretionary, but they're looking to potentially build out the business for what's likely to play out. I mean, sometimes these things are in a cycle. The next cycle that ends up playing out where interest rates are coming down creates a market move towards maintaining a certain threshold of people to support that volume itself. What

I do expect is, the way we are preparing ourselves and what is resonating with our customer base is the fact that we can provide a combination of a people plus technology solution a nonlinear capability to help them ramp up to what might come down the pipe.

Let me give you an example of that. Take underwriting, which is one of the key areas in the mortgage value chain itself, the ability to have a digital underwriter as an example. Leveraging AI along with the human in the loop is going to be a differentiated capability for organizations to ramp up as volumes come back and I think these are the kinds of opportunities that we feel very good about.

Moderator: Thank you. The next question is from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh: Couple of questions. First, in collection business, you indicated we are not expecting usual seasonality in Q4. So, can you help us understand what is changing in the business or why it is not happening usual seasonality, but you indicated obviously growth to happen, but not the optics seasonally which we usually see.

Second question is about top client, top client did well this quarter despite off sources. So, just want to understand what led to it and whether it is because Q3 is generally higher volume quarter for that client whether it is usual seasonality or something more to it?

Third question is about the EBIT margin, now it is down 60 bps and we alluded to some of the reasons like salary high promotion, ramp up, but obviously there is an offsetting factor of significant offshore shift. So, considering all these factors put together it seems revenue is growing broadly in line with the way you expected, margins seem to be lagging. So, if you can provide some sense around how one should look at?

And one question on other income side last quarter we indicated that non-controlling interest related and contingent reversal largely behind, but again this quarter we are seeing some movement. So, whether this is the last quarter, or do you expect it to continue?

Ritesh Idnani : So, let me start by talking a little bit about the collections for business itself.

First and foremost, we continue to see significant traction in our collections business across first party collections, third party collections and legal collections. It's a world class capability. We

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continue to add significant clients as well as consolidate our position with several of the top banks that we are the number one collections provider for. We've added several new clients in this space particularly in the Fintech side as well. When I talked about the fact that the seasonality in Q4 may not be as much as what we typically see, we still expect the strength of what we've seen on the headcount as well as the deal wins itself should bode well in terms of what reported growth should look like in general.

Related to the top client, we don't typically talk about a specific client itself and what played out there, but what I do want to say is that we continue to actively engage with all our large clients, and we are continuing to seek and gain new business from them. So, I think you're going to see that as a secular theme just by virtue of the engagement that we are seeing with them itself. I'm going to give a headline message on the EBIT and then I want to call Dinesh to comment on the EBIT and the other income side.

One of the things to bear in mind is that we are investing in building our deal funnel as well as refreshing our sales engine. We are continuing to fund some of these investments mainly through internal cost optimization and efficiency gains and therefore while on one hand we may see minor impact one quarter to the next on reported margins, we do believe in the medium term this business

is set up for a structural improvement in margins itself.

So, on one hand, you may see cost of growth playing out in a particular quarter, but I wouldn't read much into that. So, I actually think from that perspective we're still very much on track for the guidance that we provided last quarter as well as what we reiterated at the beginning of my commentary for the current quarter of where we will end up on the EBIT margin side. So, we will still be in that 11% to 11.5% range that we had talked about as well. Dinesh, you want to add anything further to that.

Dinesh Jain: No, I think you're right. I think most of the efficiencies are also part of the overall operating margin which we are showing, and I think the cost of increments are higher; it's almost 120 to 130 basis on account of increments and promotions in Q3 and once you offset with some of the efficiencies, the net is 60 bps.

And Dipesh on other income, you're aware that last year we had two of the acquisitions where the contingent consideration did not get paid and that were part of the other income. So, you can see INR60 crore was the other income in the Q3 last year which in Q3 of the current year is a much smaller number of around 13 crores and is more on account of one of the transactions in the mortgage businesses.

And going forward we don't see any major other income coming in the coming quarters. There will be a last trench in March 31st, but the number will be very small.

Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: On the BFSI front since we are still kind of seeing a cut down. So, when we say that we want to grow into a leader quadrant, do you think outside of this vertical it would be practical, or you see a lot of hope in revival in the growth for this vertical as well going into FY25?

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Ritesh Idnani: Let me just break this down into different areas where we are seeing the demand. So, we do believe that BFSI will continue to grow and be a meaningful part of our portfolio itself. The work we do on our customer experience side today across a bunch of banks and Fintechs and so on and so forth is certainly something that is differentiated, and we believe that that allows us to keep expanding and taking a share in that space itself.

Our collections capability is world class and also differentiated because there's nobody else in the market who has that end-to-end capability across first party collections, third party collections and legal collections powered by a digital collections platform that we bring to bear from an IP perspective.

Third, if you look at the specific processing capabilities that we have built a long different asset and liability lines in the financial services space whether it's mortgage, consumer loans, the deposit side of the house specific capabilities around KYC, AML, financial crimes, fraud, etc. We believe that all of these areas continue to grow at a rapid clip itself.

Our ability to bring all of these capabilities under one roof to customers creates the opportunity for us to build a story in all the markets in which we operate. Therefore I feel that we have a full arsenal of capability, we have a lot of the clients base that is there and our opportunity, if I go back to the one first source framework that I talked about, is how do we continue to just cross sell and upsell into these accounts itself and that that to me is the piece that we are working hard on and we're seeing some good green shoots of the same.

Moderator: Thank you very much. We'll take that as a last question. I would now like to hand the conference back to Mr. Ritesh Idnani for closing comments.

Ritesh Idnani: Thank you all firstly for joining the call and for your questions.

I just want to close out with a few final points. I'm satisfied with our progress on the strategy refresh under the OneFirstsource framework. We're seeing a very strong interest among clients for our revamped go to market strategy and we're engaging actively with them especially to structure large transformational programs. As you can see this is reflected in our deal wins in Q3 which were the highest in the last 3 years even as we closed the quarter with the highest ever pipeline in the history of the company.

We're also executing well and our headcount addition in Q3 was the highest in the last 12 quarters. This has boosted our confidence in the medium-term growth outlook and as such we are bringing forward some of our planned investments. We intend to fund these investments primarily through internal cost optimization and efficiency gains and while this may have a minor impact on margins in any specific quarter, we remain confident of a structural improvement in our margins over the medium term. That's all from our side. We look forward to interacting again with you in the next quarterly call. Thank you.

Moderator: Thank you very much. On behalf of Firstsource Solutions Limited that concludes the conference. Thank you for joining us ladies and gentlemen. You may now disconnect your lines.

Call: May 2024

4th May 2024

To:

National Stock Exchange of
India Limited (Scrip Code: FSL)
Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex
Bandra (East), Mumbai - 400 051 BSE Limited (Scrip Code:
532809) Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board
of Directors on 3rd May 2024

Please find enclosed the transcripts of the Analysts earnings call conducted on 3rd May
2024 for the meeting of Board of Directors held on 3rd May 2024, for your information
and records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the
Company's website, at <https://www.firstsource.com/investor-relations/>

We request you to take the above on record.
Thanking you, For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

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"FIRSTSOURCE SOLUTIONS LIMITED
Q4FY24 EARNINGS CONFERENCE CALL"
MAY 03, 2024

MANAGEMENT:
MR. RITESH IDNANI,
MD & CEO
MR. DINESH JAIN
CFO
MR. PANKAJ KAPOOR
HEAD STRATEGY & IR

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May 03 , 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Firstsource Solutions Limited Q4 FY24 Earnings
Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you
to ask questions after the presentation concludes . Should you need assistance during the conference call,

please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

On this call, we have Mr. Ritesh Idnani - MD & CEO ; Mr. Dinesh Jain - CFO and Mr. Pankaj Kapoor - Head of Strategy and Investor Relations to provide an overview on company 's performance followed by Q&A.

Please note that some of the matters that we will discuss on this call, including the company 's business outlook are forward -looking and as such are subject to known and unknown risks. These uncertainties and risks are included, but not limited to what the Company has mentioned in its prospectus filed with SEBI and subsequent Annual Report that are available on its website.

I now hand the conference over to Mr. Ritesh Idnani. Thank you and all to you , sir.

Ritesh Idnani : Thank you. Hello, everybody. Thank you for taking the time to join us today to discuss our “Financial Results ” for the 4th Quarter and full year of FY24.

My name is Ritesh Idnani, and I am the MD and CEO at Firstsource.

I would like to start this call by thanking each one of our 27,940 Firstsource rs, whose passion and commitment to consistently deliver value to customers has indeed been our true superpower. It helped us report yet another strong quarter with industry leading revenue growth that was broad based and well distributed across verticals and geographies. I am also pleased to report that we ended FY24 with the highest ever net new ACV wins in a single year. Despite that, we exited FY24 with a very robust and healthy deal pipeline, giving us confidence in sustaining the momentum over the coming quarters as well.

Let me now give you some details of our Q4 and FY24 performance :

1. Financial Performance

Our revenue grew by 7.3% year-on-year and came in at Rs. 16.7 billion in U.S. dollar terms . The growth was 6.2% year-on-year and 4.9% quarter -on-quarter at U.S. \$201 million . In constant currency , the revenue grew at an industry -leading 4.2% quarter -on-quarter after growing 3.4% quarter -on-quarter in the third quarter . We have now had two consecutive quarters of industry -leading growth. EBIT margin was 11%. This is broadly stable quarter -on-quarter and lower by 60 basis points versus Q4 of last year, but up 30 basis points was Q3 of this year. Our net profit was Rs. 1.3 billion and the diluted EPS was Rs. 1.9 for the quarter. For FY 24, our revenue grew by 5.2% year-on-year and came in at Rs. 63.4 billion . In U.S. dollar terms, the growth was 2% year-on-year to U.S. \$765 million . In constant currency terms, the revenue growth was 1.1% within our guided range of 0.5 % to 1.5% . EBIT margin was 11%, up 160 basis points versus last year and again within our guided band of 11 % to 11.5% . Our net profit was Rs. 5.1 billion and the diluted EPS was Rs. 7.34.

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2. Deal Wins

As you will note, FY24 has been a story of two halves for us . While our revenues were largely flat in the first half, I am pleased with the growth acceleration we have seen in the second -half of the year. Further, we have picked up on our participation on the cost optimization, revenue generation and technology and process transformation agendas of our clients. We are also proactively hunting for sole sourced opportunities both in our existing portfolio of accounts as well as a new set of logos. The success of our strategy is evident in our deal wins in FY24 that was the highest ever in ACV terms.

Once more, in each of

the last 3 quarters, including Q4, we have had at least one large deal win. We also added 9 new logos during Q4, bringing the total count to 41 new clients in FY24.

Further, while we enter and expand the nature of our business implies the concentration of deal wins from existing clients , I am also encouraged by the fact that new logos are coming at deal sizes that are over 60% higher than last year.

Let me highlight a few notable wins we had in Q4.

- We have been selected by a large cooperative financial institution in the UK for services in the areas of financial crime and compliance. This is a significant sized deal and a net new logo for us.
- We also secured additional business from a large retail bank which is an existing client to provide customer support and back -office services.
- We added one of the oldest and largest education services company for their transformation initiatives.
- We also want new business for management of low dollar claims denials and follow up of unpaid insurance claims from one of the top ranked hospitals in the US.
- We were selected by a major player in the US Healthcare Delivery System to manage claims operations spanning their commercial, Medicare and Medicaid divisions.

3. Vertical Standpoint

Our focus on creating value for our clients even as we continue to work on scaling new sub segments in our chosen set of focused verticals helped us with a fairly broad -based revenue growth in Q4. Let me now give you a deep dive into our performance and outlook for each one of our verticals :

a. Banking and financial services (BFS)

In Q4 FY 24, our BFS vertical was up 1.7% quarter -on-quarter in constant currency terms, though it was down 3.3% year-on-year due to the base effect on our mortgage portfolio.

Elevated interest rates remain an overhang in the sector, but we do find clients who are focused on cost optimization initiatives to drive efficiency in their entire operations. As I have highlighted earlier, we have been investing in strengthening our sales and solutions team in this vertical to broaden our footprint in existing clients as well as expand our footprint into adjacent segments. I am pleased with the progress we have made in this direction during Q4.

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For example, in our mortgage business, our technology led proposition is resonating well with customers who are increasingly exploring non-linear execution models to prepare for potential cyclicality in the business. We also find several of our large clients in this space increasingly amenable to entrusting us with end-to-end responsibilities for functions versus the component based model of the past. There is also a growing acceptance for offshore based structures.

We also saw increased volumes in our collection services with card issuers. With credit card spending reaching record highs and delinquencies also on the rise, we are seeing a positive momentum in our efforts to add new logos in this segment.

As you know, we have a very strong presence among retail and commercial banks where we work with several of the top banks in the US and UK, a large transformational deal from one of our longstanding clients that we had announced in Q3 is well on the way for ramp up. We also successfully renewed a large engagement with this client in Q4. We are also engaging more actively with advisors and industry analysts to amplify our value proposition in the segment. We are seeing an encouraging response to our efforts in this regard.

We are also targeting new segments within the Financial Services vertical with specialized service offerings in the areas of financial crimes and compliance. We are also making strides in building societies, next generation banks and fintech players. During the quarter, we added six new logos in this vertical. While there could be seasonal

moderation in business with the card issuers in Q1, we expect it to be marginal.

Overall, we are seeing a good buildup in our deal pipeline and outlook for this vertical.

b. Healthcare

In Q4 FY24, our Healthcare vertical was up 5% year-on-year and 3% quarter -on-quarter in constant currency terms. We had two large deals in this vertical in Q3 from our existing customers. These deals have ramped up well. We also added two new logos in this vertical in Q4.

As you may be aware, the US healthcare industry saw its most severe cyber attack earlier this year at one of the largest clearing houses that left stakeholders grappling to address vulnerabilities in their operations and mitigate financial damages. Our teams worked overtime to support our clients manage their processes during this unprecedented disruption. While we saw a minor impact in our provider business due to a sudden drop in transactions in Q4, it was more than offset by increased volume on the payer side due to changes in regulatory preferences and strengthening of cyber security measures across the industry.

At a more structural level, the US Healthcare market is in a transition phase working through post pandemic dynamics in both the workforce and the way patients utilize care. This is driving up costs and affecting the revenue of provider organizations who are concurrently also facing growing pressure on reimbursements from payers. As a result, their ability to survive and thrive is increasingly dependent on their efficiency, productivity and optimizing revenue capture. The market for revenue cycle management solutions is estimated at US \$25 billion and is growing at a fast pace of double digits per year on a CAGR basis. We are taking a tech led offshore centric approach to gain share in this market from the traditional RCM players who have largely built a people-based business. Our acquisition of QBSS announced today is in line with that strategy. I will talk more about this acquisition later.

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In the payer segment too, falling reimbursement rates have been putting significant pressure on the P&L of major health plans. Consequently, we are seeing a large uptake in transformative initiatives within the payer segment that is reflected in a 60% jump in our ACV wins in this segment in FY24 and our pipeline gives us confidence that the momentum should sustain in FY25 as well.

We are also seeing a substantial interest in our generative AI based solutions within the payer sector, and while the provider sector has historically been slower to adopt GenAI initiatives, we anticipate client's involvements to increase in the coming quarters.

Overall, we expect growth to stay strong in the vertical in the near term.

c. Communications, media and technology (CMT)

Our CMT vertical was up 9% year-on-year and 8% quarter -on-quarter in constant currency terms in Q4.

While there has been an ongoing transition from onshore to offshore operations in our top client, we

continue to win additional business . We had equally strong growth outside of our top client as well with other logos. For us, this vertical is made of three broad segments, Telecom and Digital Media, EdTech and Consumer Tech.

Let me give you a little bit of color on each one of these sub segments :

We are seeing a healthy momentum in our Telecom and Media business. As you know, companies in this segment are large , but also mature outsourcers. As such, we are focusing on their transformation agenda and bringing in our entire service portfolio. Our proposition as a disruptive challenger brand is resonating well both within our existing customers as well as new logos. We are seeing a healthy deal pipeline buildup in this segment.

In EdTech, our engagement with E TS is scaling well. We continue to actively engage with multiple providers in this segment globally with differentiated

solutions that cover the entire learner life cycle from

admissions to graduation . We are encouraged by the progress thus far and the traction that we are seeing with our pipeline conversions. We added one new logo in this segment in Q4.

In Consumer tech, we continue to expand our footprint amongst the marquee consumer tech logos with the non-traditional service proposition that are seeing good traction in the marketplace. We have a healthy deal pipeline and are hopeful of converting some deals in the coming quarter in this sub segment.

In summary , while movement of specific processes from onshore to offshore and our top client could remain an optical headwind in the near term, we see a healthy trajectory in the overall vertical given the strong deal pipeline.

d. Diverse

Our diverse vertical, which mainly comprises energy and utilities, grew almost 50% year-on-year and 7% quarter -on-quarter in constant currency terms. We continue to see a strong demand in the utilities and energy market even as we make fresh inroads with our existing clients in this vertical.

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4. Geography

We had a well distributed growth in terms of geographies within the US and Europe with both growing at 4% quarter -on-quarter respectively in constant currency terms . In FY24, our business in the US grew 1% year-on-year and Europe grew 5% as the optical impact of onsite to offshore shift in our top client was offset by a ramp -up in other large clients.

We expect the growth to remain broad based across both geographies in the coming quarters given an equally strong portfolio of deal wins and pipelines across the board . We have strengthened our sales teams in both geographies who are working with a dedicated focus on client acquisition as well as expanding our share of wallet within existing accounts. From the macro perspective, companies in the UK are facing the dual challenges of an economic slowdown and rising national minimum wages. As such, there is growing recognition of the need to pivot towards offshoring and outsourcing. We are also expanding our sales effort in the public services sector in the UK and are making selective moves in continental Europe also supporting the European operations of our large UK clients . In the US, we expect the growth to be driven by healthcare, communications, media and technology, as well as BFS given the strength of our FY24 exit deal pipeline.

5. People

Coming to our people in Q4 FY24, we welcomed 1993 new colleagues bringing our total employee count to 27,940 as of 31st March 2024. Similar to the last quarter, our addition was across geographies. As you may note, we have added 25% to our base over the last three quarters. This is amongst the highest in the industry and reflects the strength of our executable order book. Also two-thirds of our gross addition over the last three quarters has been an offshore underlying the shift in demand patterns that I have highlighted earlier . Our trailing 12 month attrition rates for the quarter stood at 30.8% offshore and 42.5% onsite compared to 33.8% and 43.3% in Q3 and 42.3% and 44.9% respectively in Q4 FY 23. We anticipate these metrics to continue trending downwards in the coming quarter, albeit at a more moderated pace, supported by the positive outcomes of our employee value focused initiatives .

6. Awards and Recognitions

In Q4, Firstsource was named as a leader as well as an innovator in the “2024 NelsonHall NEAT Vendor Assessment ” for “CX Services Transformation ” underscoring our capabilities and harnessing the latest in technology and GenAI to drive efficiency, add value and build an enhanced customer experience for the end customers of our clients. Another analyst, the Everest Group, rated us as a “Major Contender ” in their “Intelligent Process Automation PEAK Matrix Assessment in 2024 ”. We were also recognized

by

Microsoft amongst the “First Movers in AI for our FirstSense AI platform ”. I am also proud to report that Firstsource is featured as a “Member of the S&P Global Sustainability Yearbook in 2024 ”. Over 9400 companies were assessed for this, and yet only 759 companies were included in the 2024 Sustainability Yearbook globally, of which we were one of them. We remain steadfast in our commitment to operate

responsibly and sustainably. During the quarter, we also signed up for the United Nations Global Compact UNGC Declaration.

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7. Acquisition of QBSS

Expanding capabilities by adding adjacencies across our services portfolio is integral to the strategy redesign. Our acquisition of QBSS fits squarely year. QBSS gives us an expanded scale to play in the mid and back-office revenue cycle management market that is growing at double digits per annum and is seeing a rapid adoption of offshoring by healthcare providers looking to optimize their cost structure in the post pandemic world.

QBSS brings us strengths in areas such as medical coding, denial management, AR follow-up, and clinical documentation. It also gives us access to the physician billing market, which is a new market segment for FSL. The combination will give us an unmatched ability to offer lower cost, technology led, higher efficiency, end to end, revenue cycle management services for hospitals, physician practices and large integrated health systems. This will also allow us to capture the next wave of outsourcing of revenue cycle management, which is going to be technology and AI led and disrupt other traditional people-based RCM players in the marketplace.

With that, let me turn over the call to Dinesh, who will provide a detailed color on our quarterly and annual financials and related matters. I will come back to talk about our strategic priorities, our long-term growth aspirations, as well as our FY25 outlook.

Dinesh Jain : Thank you, Ritesh and hello, everyone.

Quarterly Performance

Revenue for Q4 FY24 came in at Rs. 16,705 million or U.S. \$201 million. This implies a year-on-year growth of 7.3% in the rupee term and 6.2% in a dollar term. In constant currency, this translates to a year-on-year growth of 4.5%. It follows the 2.8 % growth we reported in Q3. This is in line with our previous commentary of the growth acceleration over the second-half of FY24.

We reported operating profit of Rs. 1,830 million in Q4 FY 24 up 1.7% over Q4 FY23 and this translates to EBIT margin of 11% is down 60 bps on year-on-year basis. This is up 30 bps sequentially from 10.7% we reported in Q3FY24 as the seasonal drag from our annual compensation hike and promotion effected in Q3, which got normalized in Q4.

Profit after tax came in at Rs. 1,335 million or 8% of the revenue for the quarter.

Annual Performance

For fiscal year FY24, the revenue stood at Rs. 63,362 million or U.S. \$765 million. This implies a year-on-year growth of 5.2% in the rupee term and 1.1% in the constant currency term. This was within our guidance of 0.5% to 1.5% band.

Our operating profit was Rs. 6,962 million or 23.6% over FY 23 and translated to EBIT margin of 11% adjusted for onetime charge which we had in Q2 FY 24. Our EBIT margin for FY24 was 11.1% within the 11% to 11.5% range we guided previously.

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Profit after tax for FY24 stood at Rs. 5,147 million. As you will recall, we had other income of Rs. 1,342 million in FY23 on account of changes in the fair value of the liabilities for purchases of a non-controlling interest and contingent consideration. Adjusted for that, our net profit for FY24 is higher by 26.8% on a year-on-year basis.

Coming to the other financial highlights for the quarter and the year :

The tax rate was 16.2% for Q4. For FY24, the effective tax rate

was 18.3%, which is the lower end of the previously guided range of 18 % to 20%.

DSO was stable quarter-on-quarter at 62 days in Q4. Cash balances including investment stood at Rs. 2,081 million at the end of Q4. This is after the dividend payout of Rs. 2,406 million.

Our net debt stood at Rs. 6,042 million as of March 31st, 2024, versus Rs. 4,398 million as of 31st December 2023 and Rs. 6,159 million as of 31st March 2023 implying increase of Rs. 1,644 million during the quarter and reduction of Rs. 117 million during the year.

We also stepped up our CAPEX, especially in the second-half of FY24 as we prepared for the education infrastructure to fulfill the recent order wins. We have added new seating capacities in Bangalore, Mumbai and Mexico in Q4. We continue to invest in creating additional capacity given the strength of our dollar wins.

ROCE for the FY24 is 15.4% versus 13.4% for the FY23.

Our hedge book as of 31st March was as follows. We had coverage of GBP 67.2 million for the next 12 months with an average rate of 106 to the pound and coverage of US \$62.5 million with the average rate of

Rs. 84.52 to the dollar.

Let me now share some detail about the acquisition of QBSS, which we announced today.

QBSS reported revenue of U.S. \$14.6 million in FY24 that has grown at CAGR of 23% over the last two years. We are acquiring a 100 % stake in the company at a purchase consideration of \$39.2 million. This includes upfront payment of \$25.9 million, a deferred compensation of \$5.6 million and annual base payment of \$7.8 million, which is linked to achieving predefined milestones to be paid over a period of 2 years from the date of closure of the transaction. We plan to integrate this acquisition during the current quarter itself. We will be funding the transaction through internal accruals. QBSS primarily delivers services from offshore, as such, it will be both margin and EPS accretive.

This is all from my side. I will hand it over back to Ritesh to talk about our strategic priorities and the outlook.

Ritesh Idnani : Thank you, Dinesh. Our FY24 results reflect the deep trust our clients have in us. During the year, we extended our contract with our top client as their primary outsourcing partner for another 10 years. Another of our longstanding clients, one of the top five banks, expanded their relationship by selecting us for a large transformational program, making it one of the largest deal wins for Firstsource in the last 5 years. While these are only two headline examples, we have been gaining new business at an accelerated pace across all our clients.

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I attribute this to two key drivers :

- First, our scale is just right to gain from the discontinuities caused by the macro shifts. As our clients move from a growth playbook to a growth and efficiency playbook, they are looking for a partner who has a deep understanding of their operating environment, has the ability to bring technology and operations together to deliver business outcomes and has the scale to execute effectively and efficiently. We pick all the three boxes. Unlike our scale peers, we are not constrained to proactively leverage technology to disrupt existing people-based execution models. At the same time, we have the advantage of having end-to-end capabilities and a strong referral network of our clients, some of whom are amongst the largest players in their respective verticals and our household brands. We today see the opportunity to benefit from taking share from both scale players as well as undifferentiated smaller players in the market by virtue of our position in the market.
- Second, our revamped go to market strategy has been resonating well with our customers. As I mentioned in the last earnings call also, we have been doubling down on our investments to reinvigorate our sales engine.

Over the last six months, we have expanded our sales team by a third and assigned a dedicated client partner for a defined set of accounts where we see significant headroom for growth. The client partner has clear ownership to identify white spaces, develop a structured account plan, take proactive proposals to customers and work with them to develop a pipeline of large transformational opportunity. The current strength of our deal pipeline gives us confidence that we are indeed on the right track.

You will recall reinvigorating our sales organization is one of the themes of the One Firstsource framework I had outlined as the playbook for strategy refreshed across the organization when I had joined. During Q4 of FY24, we have made meaningful progress across several of these initiatives. Let me highlight a few of them.

One of the key themes of the One Firstsource playbook is to bring technology in everything we do. We are institutionalizing the process of evaluating how we can leverage technology in every aspect of our business, whether it be customer facing or internal functions. This includes building technology led propositions to disrupt incumbents in our target set of accounts and infusing our existing frameworks and platforms with the latest technologies to continue to improve their relevance and attractiveness in the marketplace. During Q4, we also hired Hasi Trivedi as our Chief Digital & AI Officer to lead our efforts in this area.

Expanding capabilities by adding adjacencies across our services portfolio is integral to the strategy redesign. I have spoken already about our acquisition of QBSS. During Q4, we also hired Akash Pugalía to lead our expansion plans in the Trust & Safety services market.

We continue to invest in amplifying the Firstsource brand. Our new brand positioning, we make it happen that we are announcing today reflects the reinvigoration in our go-to-market strategy that is now more direct, proactive and laser-focused on solving the client's business challenges by combining our domain centric team with cutting-edge tech, data and analytics. We have also stepped up our engagement with industry analysts and advisors. We are putting increased focus on driving thought leadership in the respective domains and capabilities that we excel in. I would encourage each one of you to read the research blogs our team has put out on our website.

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Our commitment to make Firstsource a great place to work for our employees and be an employer of choice remains a top priority. We continue with heightened employee engagement through personalized interaction, while also doubling the frequency of town halls to facilitate greater leader employee engagement across different levels in the organization. We are also placing a strong emphasis on internal talent development where we have started a program to identify and train employees who can be tasked to seed and build delivery teams for new engagements. The program fostered over 750 internal moves across various roles through such seeding initiatives in FY24. We are also streamlining our internal processes to improve the onboarding experience of new hires. We continue to work on a skilled refresh across levels and expand our leadership training and development program. This concerted effort yielded a remarkable double-digit reduction in the overall trailing 12 months attrition coupled with an impressive over 40% reduction in the early attrition rate in Q4 FY24.

As you are aware, we have also been working diligently on cost optimization and driving operational efficiencies over the last 6 months as part of the One Firstsource framework. To give you some examples, we have improved our span of control by a factor of two over the last 6 months even as we stepped up our hiring. We have consolidated our global payroll system to

offshore and centralize employee related shared

services. We are using the cost savings that come from several of these initiatives to fund our investments in expanding the frontend sales organization, upscaling our account management teams, building capabilities and amplifying the Firstsource brand. As we also mentioned in our last earnings call, we have brought forward some of these investments given the strength of our pipeline and our client conversations. Having said that, our intent is to fund these investments mainly through internal cost optimizations and efficiency gains, as such, while the interplay of various puts and takes can have our impact on our margins in any specific quarter, we expect that to be in a narrow band and we remain confident of a structural improvement in margins over the medium term.

In Summary :

We believe that the quality of our client relationships, our market leadership in chosen verticals and the passion and commitment of our workforce provide us a solid foundation to take advantage of the opportunities caused by the macro and technology shifts. I am also pleased with the progress we have made over the last two quarters in each of the areas we have identified for a strategy refresh. Our organization structure is now streamlined, key leadership is in place and our sales engine is executing well. We also remain laser-focused on driving efficiencies in our operations while investing prudently for growth. This gives us confidence to aim for a US \$1 billion exit revenue run-rate by FY26 on an organic basis and expand our EBIT margin at an annual run rate of 50 to 75 basis points each year over the medium term post the initial investment phase.

For FY25, we expect our revenue to grow in the range of 10 % to 13% in constant currency terms. This is net of the impact of residual offshore shift in our top account and the contribution from the QBSS acquisition. We also expect our FY25 EBIT margin to be in the band of 11 % to 12%, including the upfront investments we are making in our business.

This concludes our opening remarks and we can now open the floor for questions. Operator, over to you.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Shradha from AMSEC. Please go ahead.

Shradha: So, just a couple of questions. Growth in FY 24 in the second half was strong. But if you look at the overall growth in FY24 it was broadly led by just one vertical CMT and on a smaller base by diverse industry, should we look at growth strategy in FY25 in terms of whether it will be a broad base growth across verticals, will this still last in favor of one or two verticals?

Ritesh Idnani: Thank you Shradha for the question. If I look at the outcome from Q4 of FY24. One of the elements that I talked about in my opening remarks was the fact that our growth in the quarter was broad based across verticals and geographies. Number two, we have added several new logos across industry verticals and not just restricted to one or the other. And number three, we have had good client traction as well as wins in existing accounts across all industry verticals itself. That gives us confidence that the growth that we will see in FY 25 will be broad based across verticals and geographies.

Shradha: Right. And in terms of if I can deep dive into BFS, how to catch sub segments like mortgage playing out, we have seen some stability in the mortgage sub segment over the last two quarters, but incrementally what are you picking up in terms of growth rates for this particular sub segment in FY25 and beyond?

Ritesh Idnani: So, without getting into specifics Shradha, what I will say is our mortgage business segment was largely stable in Q4. That may be the typical quarterly volatility in that part of our portfolio, but

if you look at what

we have been seeing, we have been making concentrated efforts to proactively increase our footprint, both from a market segmentation standpoint, beyond mono liners to mid-tier and regional banks, as well as expand our service portfolio into the servicing and HELOC market. And even venturing into adjacencies on the real estate vertical side. We feel that our efforts in those areas are getting results with some of the

wins that we have had in the last two quarters. So, while there may be quarterly aberrations which are difficult to call out, we think we are well on track in terms of weather proofing our business from a longer term perspective, and continue to be encouraged by the wins that we are seeing in the financial services side, including the mortgage segment.

Shradha: Fair enough. And just one last question if I could, on this acquisition, what incremental capabilities are we getting from what organically we provide in the RCM sub segment in the healthcare provider sub space ?

Ritesh Idnani: So, if you look at where we historically played, we derived a bulk of our business in the revenue cycle side on the front end of the revenue cycle value chain around the eligibility front. And then on the back end around, the AR follow up and collections side of the house. What the QBSS acquisition gives us is, actually three sets of things, number one, it gives us capabilities in the mid to back off back end of the revenue cycle value chain, particularly around coding, denials management, clinical documentation, improvement, so on and so forth. Number two, it gives us about close to about 1800 people who are all offshore based, and allows us to enter a segment of the market which is the physician market that we weren't historically playing in. So, now we can provide this combined set of capabilities which is really end-to-end across hospitals, the physician segment as well as the large integrated health systems. And third, what I am very enthused by also is the technology capabilities that come with the acquisition because a lot of those are tech and AI led which allow us to disrupt the traditional revenue cycle management and some of the competitors in the Firstsource Solutions Limited

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space who have largely built people based models. So, we think this combination allows us to compete very strongly in the marketplace.

Shradha: That's helpful. And just one last question, strong cash flow position, our debt numbers haven't changed much vis-à-vis FY23. So, what does the debt repayment schedule look like for us?

Ritesh Idnani: Dinesh, you want to take that.

Dinesh Jain: Year-on-year we have reduced the debt by almost 1.17 million, although the last quarter it has increased. And we believe normally these are all working capital debt which we used to take for the support of the businesses. Probably this will remain around similar levels for the next year.

Moderator: Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Ritesh two questions from my side. In your long-term guidance in your basically, the mid to long term guidance that you have given in terms of \$1 billion exit rate by FY26, just wanted to harp upon what is the kind of assumption that you are building upon while giving this guidance. So, is it basically just driven by the company level deal wins and the execution that you expect or is there also a bit of an element of favorable macro that comes into play, either on the mortgage side or on the healthcare side or any other businesses that you might be working in?

Ritesh Idnani: So let me start by saying that when I came on board in the very first earnings call, one of the first comments that I ended up making was that we are trying to build a business that's resilient and durable over the long term as opposed to being exposed to

any cyclicity or macro elements and try and minimize that to the extent possible. As we have provided our medium term guidance and said that we are looking to get to a billion dollar exit run rate in FY 26. The intent behind that is reflecting the same design principle which is, we want to minimize the impact of the macro. And if there is a macro tailwind, that's a net positive, that's icing on the cake.

Our guidance is today based on how we see the business shaping over FY25 as of today, I'm happy with the way actually today we are navigating the macro uncertainties keeping our focus on supporting our clients proactively in their transformation agenda and identifying opportunities to expand our footprint both within our existing clients as well as our new logos. And, I also feel confident of our revamped go to market strategy and the rigor that we are bringing in our execution. It's a combination of several of those things. So, if you look at the consistent theme that we have seen over the last two quarters, and little more that I've been here, we have had a consistent uptick in our wins, we exited this fiscal year with the highest deal wins from an ACV standpoint, we still feel very comfortable with the pipeline and the quality of the pipeline that we have. We have had three consecutive quarters of headcount addition, and as in this business we don't build a proactive bench. So, what we see in our headcount addition reflects the pickup in our deal momentum, and is a proxy for the strength of our executable order book. So, I will leave it at that but those are really the variables that make us feel comfortable about providing you the guidance of exiting FY 26 with a billion-dollar run rate business.

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Vibhor Singhal: Got it, that was very helpful. And since you touched upon the employee addition, in this quarter the employee addition through the entire year of course has been very strong for us. How do you see that going forward, we have got a very good guidance for next year in terms of the revenue growth that we are expecting, do you believe these are similar run rate of net headcount addition might continue or given by what we are targeting the growth that we are expecting the headcount addition might accelerate?

Ritesh Idnani: Look, it's not a very straightforward question to respond Vibhor. But, because our business also has a lot of there are elements which might require headcount addition, and there are elements where you are able to deliver on the back of the technology platforms that we use to render our services itself which, so when you look at that combination that is there, while we do expect on one hand, we will continue to add headcount going forward also to support the growth that we have forecast for FY25. It's very hard to say whether or how it is going to compare in terms of what we saw this quarter or thereabouts. But what we do feel very comfortable about at this stage is the fact that, is the guidance that we have provided for FY25, and we think we had come to support that guidance.

Vibhor Singhal: Got it that was really helpful. On the margins just to basically understand again the medium-term guidance of 50 to 70 basis points expansion each year, post the investment phase. So, how do we define the investment phase, is there a time period that we are looking at or are there any milestone that when we reach, this much of investment, or this is the capability that is when the investment phase ends, and that unfolds that we are looking for that kind of expansion?

Ritesh Idnani: So, let's start by the guidance that we have provided for FY 25, we have given an EBIT range of 11% to 12%, which in some sense is reflective also the fact that we do see opportunities for expanding the margin on one hand, but on the other hand also if you recall what we have tried to do

in the business is based on

the quality and the strength of the deal pipeline, and what we are seeing in the marketplace, we have also brought forward some of the investments that might have otherwise, probably played out over a slightly longer period itself, we think that those puts and takes will continue, in the near term as well. But let me give you a broader perspective of how we are thinking about margins. I am very confident about improving our margin trajectory over the medium term, without compromising on our growth aspirations or the investment plans. We have multiple levers for that, and we are laser focused on tracking the progress on all the same on a regular basis.

For example, the onsite offshore shift is an obvious one where we have been focusing on for a while now. And you have seen some of that right in our offshore revenue share that's gone up by close to 6% in the last four quarters, including this quarter. Also, two-third of the gross addition that we have had in headcount in the last three quarters has been at offshore.

So, there is a clear shift in demand patterns that we are taking advantage of. We are also working to optimize our sourcing and staffing strategies, we are closely looking at our employee pyramid, and how we staff our project delivery teams, we are also looking at right-shoring the resources across operations and operations support functions.

Technology, AI, and automation is something we have been looking at actively across the lifecycle of an engagement to drive further efficiencies. And we have also been actively looking at opportunities to centralize, automate, and offshore roles where relevant and support functions. I had also highlighted in my Firstsource Solutions Limited

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opening commentary about how we are using automation and AI in our onboarding and training process to improve the speed to competency. So, given all of these different levers that are in place, I'm actually very confident that we will be able to improve our margins over the medium term with the numbers that I cited of 50 to 75 basis points per year.

Vibhor Singhal: Got it. If I may just squeeze one last industry level question. We announced this acquisition in the healthcare industry. We have been doing really well in the industry any which ways. There are a lot of other players also, not just our direct competitors in the industry, but in the broader IT industry itself. Everybody is focusing a lot on the healthcare segment. Do you believe that the competition in this industry is becoming very, very high at this point of time, especially given that everybody expects the healthcare spends to go up post COVID. So, do you see competition going very high and do you believe this spend is going to continue or could it be just some pent-up demand post COVID that is being addressed at this point of time. And in a couple of years' time it might just maybe plateau out and we are left with not that big demand, but too many players who are competing for that pie?

Ritesh Idnani: So, let me start by giving a macro comment on the US healthcare industry right. You all know the numbers better than I do, but if you look at the amount of money that's spent in US healthcare that's give or take about one-sixth of the US GDP and continue to go up considerably. One of the reasons why that ends up happening is because of inefficiencies, waste and abuse in the system that's there. And a lot of the root cause of that is incentive misalignment between different players in that ecosystem itself. At a more structural level, this market is in a transition phase, we are working through post pandemic dynamics in the workforce, as well as the way patients utilize care itself. This in some sense is driving up cost, and affecting the revenue provider organizations who are facing significant pressure on reimbursements from payers.

If you look at the healthcare provider market, most of these companies are either losing money or are very low single digit margin shops, and therefore their ability to survive and thrive, in some sense is increasingly dependent on their efficiency, productivity and optimizing revenue capture. That's where we have an opportunity with what we bring to bear to impact the provider side of the equation.

Now, if you take the payer side, different set of issues, Medicare rates just came down, so there is this constant theme of falling reimbursement rates. And that's putting significant pressure on the P & L of major health plans. So, our ability to impact the MLR and ALR of the healthcare payers, is creating opportunities, in terms of the transformation initiatives that a lot of these payer organizations are driving, that in some senses is what is contributing to also the ACV wins that we have in the segment, but also the quality and quantity of our pipeline and therefore we feel comfortable that, that momentum should sustain through this current financial year as well.

Now, your other comment was that look, a lot of players are showing interest to space, what I think holds us in good stead, is what I will go back to an opening comment that I made when I just joined, what differentiates Firstsource more than anything else is the fact that we are not trying to be everything to everybody, we have a set of verticals that we play in, where we are an inch wide and a mile deep. We want to remain in that swim lane and continue to double down where we build deep domain, end-to-end capabilities, front to back, lead with technology, data and analytics. Our ability to bring all of these attributes consistently creates a competitive moat, and differentiation for us in the healthcare space. And that's the reason we are able to hold our own against players in the marketplace. The other element that Firstsource Solutions Limited
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also helps us is the fact that we can move nimbly and at speed to respond to the business challenges that our customers in the space are facing and that creates differentiation also. So, therefore, we feel comfortable with what we are seeing in the healthcare vertical, both across the payer and the provider side.

Moderator: Thank you. The next question is from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh: Couple of questions. So, I just want to get a sense on trust and safety. Now, we have a leader also for the scaling that business. If you can give some sense about the focus area in that business and the focus area which we identify to scale it what would be the addressable market for the identified pocket of the trust and safety space. The second question is about platform automation and analytics, the service line which we report, if I look the overall narrative of tech lead team, the softness is a bit puzzling. So, if you can give some sense why platform automation analytics service line is showing some kind of softness. Third question is about investment, partly you alluded but I'm yet not clear. So, I just try to get more clarity. How long do you expect this investment phase to last because you indicated post that phase 50 to 70 bps expansion in EBIT margin. So, whether it is one year, two-year, three-year investment kind of phase, if you can give some sense on it. I have one data question, but first you answer these three, then I can have the data related question subsequently. Thanks.

Ritesh Idnani: All right. Thanks, Dipesh for the question. Let me start by talking a little bit about the trust and safety space and how excited we are with the addition of Akash Pugalia to lead the trust and safety vertical. I want to give you a little bit of color on Akash. He comes to us from Teleperformance where he was running a \$1.2 billion business and managing the trust and safety vertical

globally. And before that, he was at Accenture where he led the global trust and safety business. I'm excited that he has come on board to help spearhead our efforts and create a disruptive challenger brand in the trust and safety space. The trust and safety market is a fast growing market. More than \$50 billion in TAM and if you look at the way this market has evolved about five to seven years back this market didn't exist and as we came into vogue with the emergence of the big tech players Facebook and Google and Apple and a few other names Twitter, et cetera who wanted support from a content moderation standpoint. So, a lot of the work that was done at that point in time was largely people reviewing different content across different media to see whether something was objectionable, abusive, so on and so forth.

With the advent of tech lead solutions and AI, we are firmly in the realm of trust and safety 2.0. Our opportunity out here is on two counts.

1. This is no longer in the realm of just big tech, but it's a cross industry play every brand and every industry is looking to monitor the content that comes from a reputational risk standpoint, as it pertains to their brand itself, we see an opportunity there across all industry verticals.

2. The entire place now tech lead, so our ability to offer a disruptive proposition out here allows us to capture the TAM that's there with all industries, but also disrupt some of the traditional players who have built a business which is again being people based. And this combination allows us to build what would be a very credible business.

So, that's my response to trust and safety and why we feel excited about the opportunity there.

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The second question that you had was around platforms, automation, and analytics. I wouldn't read anything into any specific quarter from a numbers standpoint or a percentage contribution, what I will say is that, technology and everything we do is a firm part of the agenda that manifests itself in every deal that we respond to, every existing client that we do work for where we are trying to see where the opportunities are for us to continuously transform the way we run their operations. And that, in a nutshell is why we feel

comfortable about it. What we have also done in this space, is as you recall one of my first hires when I came on board was getting head of partnerships to be the custodian of all the work we do with a startup ecosystem. And we are seeing some very good results working with several startup companies who bring some of their IP which allows us to deliver cutting edge solutions which solve specific problems that our clients are facing in each of their domains. One proxy of some of the work that we are doing in the platform's automation and analytics side is the recognition that Microsoft just gave us as being an AI first mover. So, in some sense, it's a proxy, but also a good reflection of the work that we are doing which is now getting recognized across the board as well. That would be my response to your second question. If you wouldn't mind, could you repeat the third question again?

Dipesh: Sir investment phase, which you indicated how long it will last, post which you said 50 to 70 bps expansion?

Ritesh Idnani: Yes, so let me take a little bit of a step back and tell you where we are making the investments first. So, we are making investments in broadly three areas.

1. In expanding our sales and accounting, and I spoke about how our sales teams have grown by a third over the last six months.

2. On the capability side where we are doing both leadership hires as well as beefing up our solutions teams. For example, we hired Hasit as our Chief Digital and AI officer to modernize our services and platforms by continuing to infuse them with the latest technologies. Akash, who we talked about earlier, joined us with a mandate to grow our trust and safety practice.

3. Amplifying the Firstsource brand. Aniket Maindarkar who joined us earlier this year is leading our efforts to expand our relationships, and visibility in the industry analysts and advisors community. And you have also seen the refresh in our brand positioning, that's more dynamic and in line with our larger aspirations.

Our original intent was to space these investments over a period in time, but seeing the positive feedback that we are receiving from customers, we have decided to bring forward some of these. At the same time, we remain prudent and mindful of our intent on margin management and also some of these investments would be ongoing so it's difficult to call out the exact quarter by when we will be done making investments because the landscape around us continues to evolve. But I do believe a large part of this is front loaded.

Dipesh: No, I was not looking from a quarter perspective, but I'm looking from year perspective is it a two year journey, three year journey, if you can give some sense around it?

Ritesh Idnani: So, what I would say is that in the medium term which I would define as a three to four year time horizon, our expectation is that we should be able to get 50 to 75 basis points each year in the medium term itself in the next three to four years, so it's not about and which would probably play out starting in the next 12 to 18 months itself, you will start seeing some of that playing out.

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Dipesh: So, in a way let say this year we are closer to 11, if somebody is looking for FY27, one should look 50 into number of years, that is one way to look at it?

Ritesh Idnani: I don't want to get into specific guidance. But what you should think about here is that, in a medium term time horizon we do think there is an opportunity to get margins up 50 to 75 basis points every year. And our current year guidance is also reflective of that and the fact that we do expect it to be between 11% to 12% from an EBIT standpoint.

Dipesh: Fair point. And last two things, trust and safety you said content moderation. Now there are multiple areas right data security, cyber security, conduct behavior, all those we would be largely restricting ourselves into content moderation and it is text or video and all those things covered there?

Ritesh Idnani: It would be all of that.

Dipesh: Okay, great. And last is about data related thing maybe Dinesh can help me out, on the acquisition, amortization related charges. How once should look at it?

Dinesh Jain: We have not done the allocation analysis on this one. So, I will come back to you exactly how much we are looking at because this required a purchase price allocation study to be conducted which will be done in this quarter. So, then I will come back about the value of amortization.

Moderator: The next question is from the line Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Ritesh, I just wanted to get your thoughts on a couple of things. One is that you have been talking about new client deals being significantly higher than what we have seen in the past. If you could dwell a little deeper into it, is this basically driven by clients need for optimization or a function of our proactive pursuits, that's question number one. The second question was with regards to the increase in the offshore delivery mix that we are seeing for you as well as for industry. If you could give us some broad sense as to how should we be thinking about the profitability metrics between the local and onshore delivery that we have been accustomed to in the past versus offshore delivery mix and how should we be thinking about this mix probably over a three-to-five-year period.

Ritesh Idnani: Thank you, Manik. So, let me address the first question that you had on new client

wins. What I will say

is, there are two or three themes that are playing out. Number one, is the fact that in several of these

discussions where we are taking a proactive proposal which addresses the cost optimization, process transformation and revenue growth agendas of our clients, we are seeing strong receptiveness. That is contributing to some of the wins that we are seeing at a much larger value than what we might have seen in the past where we may not have necessarily taken those proposals at the same velocity itself. The second thing that we are also seeing is, is one of the comments that I made, is in a lot of accounts where we may not be there, but maybe some of our scale peers are there or some of the other smaller undifferentiated competitors might be there as incumbents in those accounts where we may not be present. Our opportunity to provide a truly disruptive proposition as a challenger brand, is also yielding results because we are playing on offense and our ability to go out there and win on the back of that is certainly supported with the kind of innovative solution that we are taking to the marketplace itself. Third, what is Firstsource Solutions Limited
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also helping us in several of these new wins is what are the attributes of what Firstsource really stands for. In the verticals in which we play we are deep domain; we are end-to-end with tech data and analytics lead. And that combination, is allowing us to provide unique solutions that can help address the expectations of our customers itself and therefore when we go to any new clients situation, that secret sauce is helping us. These are the three things that are contributing to the value of the deals that we are seeing amongst the new logos that we are winning in the marketplace itself.

Your second question was related to the offshore, onshore mix and how should one think about it. I will say one thing which is, if you look at the last three quarters, the contribution from offshore has gone up by almost six percentage points. And we expect that some of that will continue to play out going forward as well, in terms of how we see the outlook for the business. What we do see also at the same time and this might sound seem a little paradoxical, but I do think it's a competitive advantage having the local footprint in the US and UK, or in the primary markets in which we operate is actually a source of competitive advantage. Because several of these clients, increasingly, are caught in an environment where they want to work with a provider who is culturally sensitive and attuned to the local environment. They are mindful of the implications of going out there and offshoring right at the outset. And they might look for somebody to help transform the way they work and then move work offshore as well. So, our local footprint actually, in several instances is serving as a source of competitive advantage. So, while I do expect as a secular team, we will continue to see progress on the contribution from offshore. We do think the footprint that we have onshore is also serving as an advantage. Third is, we are also trying to with our existing customers, where we may have some sort of an onshore footprint, also trying to increase the amount of work that we do offshore and therefore increase our share of wallet in those accounts. And that endeavor is also yielding results. So, it's really a combination of all of these three, it's not one or the other.

Manik Taneja: Sure. Basically, when one thinks about the CX opportunity over there, over the course of last 12, 18 months, you have seen consolidation amongst the bigger players, is that driving some sort of growth opportunity for midsize players like us, given the client vendor concentration risk that customers may see with some of the large CX players, that's question number one. And the second related question was,

in our case we have

historically had limited presence in Philippines. Do we see this dynamic change over the course of the next few years?

Ritesh Idnani: Yes, so let me address that Manik. So, we see opportunities playing off on three fronts on the CX side.

Number one, what we are taking in the CX market, which is deep domain for a particular vertical itself, and let me give you examples of that. When we are talking to an EdTech customer we are talking about the learner experience and what we can do there. When we are talking to a healthcare payer, we are talking about a member experience and what that means. When we go to a media company we are talking about a subscriber experience. Each one of these is very, very deep from a domain standpoint, and that ability to combine it with the CX capabilities with technology allows us to benefit from the opportunity set that's out there. The second thing to just bear in mind is also the CX markets still, even though it's the largest part of the TAM for the global BPO industry, it is still sufficiently under penetrated from an outsourcing and offshoring standpoint. There's still a significant part of that business, which is almost two third, which is still in source. What I do expect to play out over the next three to five years, is the fact that that percentage of outsourcing and offshoring will go up. It may not necessarily happen in a linear fashion, but in a nonlinear fashion, taking advantage of some of the technologies that are available in the marketplace. And we think we can be a beneficiary in that expanded TAM, that ends up playing out in that market. So, that's the second Firstsource Solutions Limited
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comment I want to make. The third comment I want to make is, we also see opportunities to benefit at both ends of the spectrum, on one hand we expect to benefit from the large, pure play CX players who may have grown by bulking up and doing all acquisitions where as you rightly call it out there could be concentration risk. And several enterprise clients are citing that as a cause of concern where they may look to diversify. The second thing that also is playing out with some of the large players is they may not be moving fast

enough to bring the necessary benefits from a transformation standpoint, and therefore playing on defense as opposed to playing on offense. At the same time, at the other end of the spectrum, the CX market also has a long tail of smaller undifferentiated players who are trying to be everything to everybody. We see an opportunity to take share from both ends of the spectrum and that in turn will contribute to the growth of our business which will allow us to build a resilient, durable tech lead CX business itself, and that's something that we feel comfortable with.

Your second question was related to Philippines. We do expect our footprint in the Philippines to continue to scale up. In fact, we have just taken an additional facility out there to support some of the deal wins and the pipeline that we have seen in the Philippine market itself. So, certainly that's in line with that expectation.

Moderator: Thank you, ladies and gentlemen. We will take that as the last question. I would now like to hand the conference over to Mr. Ritesh Idnani for closing comments.

Ritesh Idnani: Thank you for joining the call and your questions. I just want to close with a few final comments. As I have highlighted in the past, the discontinuity is caused by the ongoing macro and technology shifts are creating market opportunities. And my focus is to use our strong foundation to take advantage of these opportunities. Our revamped sales engine is working well. This is reflected in our deal wins in FY 24 that were at an all-time high and we have now had at least one large deal win for three successive quarters. Our Q4 closing pipeline is up 25% year-on-year and gives u

s confidence for the guidance that we have provided. We are also executing well and we had another quarter of robust hiring.

I'm particularly excited by the QBSS acquisition that enables us to upscale our play in the fast-growing offshore revenue cycle management market.

Overall, I'm satisfied with the progress on the strategy refresh under the One Firstsource framework. And we are optimistic about realizing our long-term growth aspirations.

That's all from our side. And we look forward to interacting with you again in the next quarter call. Thank you.

Moderator: Thank you. On behalf of Firstsource Solutions Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

1st August 2024

To:

National Stock Exchange of India
Limited (Scrip Code: FSL)
Exchange Plaza,
Plot no. C/1, G Block,
Bandra -Kurla Complex
Bandra (East),
Mumbai - 400 051 BSE Limited (Scrip Code:
532809)
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board of Directors on 30th July 2024

Please find enclosed the transcripts of the Analysts earnings call conducted on 30th July 2024 , after the meeting of Board of Directors held on 30th July 2024 , for your information and records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the Company's website, at <https://www.firstsource.com/investor-relations/>

We request you to take the above on record.

Thanking you,
For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

Encl.: A/a

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"FIRSTSOURCE SOLUTIONS LIMITED
Q1FY25 EARNINGS CONFERENCE CALL"
JULY 30, 2024

MANAGEMENT:
MR. RITESH IDNANI,
MD & CEO
MR. DINESH JAIN
CFO
MR. PANKAJ KAPOOR
HEAD STRATEGY & IR

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Firstsource Solutions Limited Q1FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

On this call, we have Mr. Ritesh Idnani - MD & CEO; Mr. Dinesh Jain - CFO and Mr. Pankaj Kapoor - Head of Strategy and Investor Relations to provide an overview on company's performance followed by Q&A.

Please note that some of the matters that we will discuss on this call, including the company's business outlook are forward -looking and as such are subject to known and unknown risks. These uncertainties and risks are included, but not limited to what the Company has mentioned in its prospectus filed with SEBI and subsequent Annual Report that are available on its website.

I now hand the conference over to Mr. Ritesh Idnani. Thank you and over to you, sir.

Ritesh Idnani: Thank you. Hello, everybody, and thank you for joining us today to discuss our financial results for the first quarter of FY25.

Before I start with the discussion on our performance, I would like to thank each one of our 29,231 Firstsource rs around the world for their extraordinary work and commitment to our clients, which resulted in delivering another strong quarter for us.

Q1 is a milestone quarter for us from multiple dimensions. We clocked our highest quarterly revenues ever in the history of the Company and our growth in the quarter is in the top decile among our peer group. What pleases me even more is that this strong growth has come in a quarter that has historically been a seasonally muted quarter for Firstsource. We also won three large deals in Q1 and despite that we exited the quarter with a very strong and robust pipeline.

1. Financial Performance

Let me now give you some more color on our Q1 performance .

Our revenue grew by 17.1% YoY and came in at Rs.17.9 billion. In U.S. dollar terms, the growth was 15.4% YoY and 6.7% QoQ at US \$215 million. In constant currency, the revenue grew at 6.5% quarter -on-quarter. I would like to point out that this is our third consecutive quarter of strong sequential revenue growth and a revenue growth of 3% + CQGR over the last four quarters places us in the top decile of the broader IT and IT - enabled services industry.

EBIT margin for the quarter was 11%. This is broadly stable quarter -on-quarter, lower by 70 basis points versus Q1 of last year and within our guided 11% to 12% band for Firstsource Solutions Limited

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the financial year. Our net profit was Rs.1.4 billion and the diluted EPS was Rs.1.92 for the quarter.

2. Deal Wins

Let me now turn your attention to the deal wins for the quarter .

We continue to leverage our deep industry and functional expertise and our partnerships in the technology ecosystem to improve our participation in the process transformation agendas of our clients. We signed three strategically large deals in Q1, another first for Firstsource . As you are aware, we consider a deal with ACV of over US\$5 million as a large deal. We expect these deals to ramp up in a phased manner over the coming quarters. We also added ten new logos during the quarter.

Let me highlight a few notable wins :

- We won a large deal from a Fortune 500 managed Healthcare Company in the US, one of our existing clients for member and provider services and end -to-end claims processing services leveraging AI and automation.
- We also expanded our footprint and wallet share in one of the top five Healthcare insurance companies in the US for providing digital intake, cl

aims

and provider data management services. This is on the back of our digital intake platform that allows us to ingest both structured and unstructured data.

- We won a large deal from a premier SaaS platform for the freight industry in North America for providing customer service and back -office operations. This was also a new logo for us.
- Another new logo addition with a scale deal was from a leading pension

administrator in the UK to improve their service coverage.

3. Vertical Commentary

Let me now provide you a deep dive into our performance and outlook for each one of our industry verticals .

a. Banking and financial services (BFS)

In Q1FY25, our BFS vertical was up 4% QoQ and 2.2% YoY in constant currency terms.

Traditionally, Q1 has been a seasonally muted quarter for us in this vertical, but we were able to counter the trend this year due to our concentrated efforts over the past few quarters to reduce the macro dependency in the portfolio. For example, while elevated interest rates remain an overhang in the mortgage market, our focus on engaging on the cost optimization programs with our customers is helping us expand our market share, especially amongst our line of our customers. Our AI use cases for the segment are also seeing strong interest from customers looking at non-linear execution models to prepare for the expected volume upcycle in their business.

As you recall, we have made several key hires over the last couple of quarters to strengthen our sales and solutions team in this vertical. This is also helping us gain

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access to several potentially large logos and expand our pipeline as well as have focused execution on cross-selling additional service lines in our existing accounts.

We continue to make progress in our efforts to broaden our portfolio in this vertical, both in terms of market segment as well as in terms of our service offerings. For example, our collection services are seeing strong traction amongst fintech players and our competitors for this offering are largely other SaaS players in this space. We are also seeing growing interest in our new service offerings around financial claims and compliance.

We added five new logos in this vertical in Q1. Overall, we expect a sequentially improving growth trajectory in this vertical through the rest of FY25.

b. Healthcare

For Healthcare , Q1 was a strong quarter. Our revenues grew 15% quarter-on-quarter and 26% year-on-year in constant currency terms, helped by ramp ups in the deal wins that we've had in the recent quarters, particularly in the payer segment.

Medicare utilization has been on the rise in the US and along with weaker payment rates and high medical costs, this is putting pressure on the margins of healthcare insurers. This has led to a surge in transformative initiatives across our payer clients as they seek ways of optimizing their cost structures. We had two large deal wins in this segment in Q1 and we continue to see a very strong pipeline with several potentially large deals across the large client base, giving us confidence of maintaining the growth momentum in this segment in FY25.

Our provider business has also been stable. As you recall, we announced the acquisition of QBSS in the last quarter. QBSS is strong in the mid office revenue cycle management market and complements our strength in the front and back-office markets, thus enabling us to now go to market with a significantly enhanced end-to-end value proposition. The integration of our teams is progressing well.

We also had our first joint deal win in Q1 and the synergies helped us close an additional two transactions in the very first quarter of integration. We added two new logos in this vertical, one each in the payer and provider business. Overall, we expect growth to remain strong in the vertical, driven by the pa

yer segment.

c. Communications, media and technology (CMT)

We saw strong growth of 17% year-on-year though the revenues were largely flat quarter-on-quarter in constant currency terms. As you know, for us, this vertical is made up of three sub segments - Telecom & Digital Media , EdTech and Consumer Tech . Let me give you a color on each one of these.

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We are seeing a healthy momentum in our telecom and media business. As you know, companies in this vertical are large but mature, outsourced. As such, we are positioning ourselves as a challenger to the existing ecosystem by bringing in our entire service portfolio. Our proposition is resonating well with both our existing clients and new. We added one new logo in this segment in Q1. We also see a good deal pipeline including

a couple of large deals in advanced stages.

In EdTech, our engagement with ETS continues to scale up. We are also expanding business and other logos that we have added over the last few last few quarters.

In Consumer Tech, we continue to expand our footprint amongst the market. Consumer Tech logos with a nontraditional service proposition that is seeing good traction in the market. For example, we are working with two of the largest Consumer Tech brands in training their AI models, leveraging our AI OPS framework. We also added a third logo during the quarter.

In Q1, we also won a large deal from a new logo, a premier SAS platform provider that I referenced earlier. Overall, we added three new logos in this vertical. We continue to have a healthy deal pipeline out here and are hopeful of converting some of these deals in the coming quarter. Overall, while movement of specific processes from onshore to offshore in our top client could remain an optical headwind in the near term, we expect good growth in the overall vertical given continued ramp ups in other clients as well as the healthy deal pipeline.

d. Diverse

Lastly, our diverse vertical, which mainly comprises Utilities & Energy grew 34% year-on-year in constant currency terms in Q1. In sequential terms, revenues in this vertical declined by 3% quarter-on-quarter due to seasonally lower volumes in one of our large accounts. We expect the same to recover in Q2. We are also making concerted efforts to expand our client portfolio in this segment.

4. Geography

Growth in Q1 was driven by the US with a 12% quarter-on-quarter growth and a 24% year-on-year growth in constant currency terms. We saw a 3% quarter-on-quarter decline in Europe due to quarterly volatility in a couple of clients. Besides the optical impact of plant on site to offshore shift in our top client.

From the macro perspective, companies in the UK are facing significant cost pressures that is leading to increased conversations around carve-out deals. We also see a growing recognition of the need to pivot towards offshoring based on the pipeline. We expect Europe to see a stronger second-half in the US we expect a more broad-based growth across verticals.

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5. People

Our total employee count was 29,231 Firstsource as of 30th June 2024. Our trailing 12-month attrition rate for the quarter stood at 32% compared to 35.4% in Q4 FY24 and 41.7% in the same quarter last year. We expect this metric to continue to trend downwards in the coming quarters, albeit at a more moderate pace supported by the positive outcomes of our employee value focused initiative. Aimed at enhancing retention and satisfaction. Additionally, during the quarter, we also launched First ALUM. This is a platform to create a first source alumni network to encourage our former employees to stay connected to development in first source as well as keep them informed of potential opportunities to resume their association with in the Company with

er for themselves or for their network and finally, to contribute to opportunities within the broader Firstsource community.

6. Awards and Recognitions

We also won several awards during the quarter and let me talk about the same. In Q1, we were recognized as a disruptor amongst the service providers to the Healthcare provider industry by HFS research for our full life cycle RCM offerings. During the quarter, we also committed to Science-Based Targets Initiatives reinforcing our commitment towards reducing carbon emissions as per the set guidelines.

With that, let me turn over the call to Dinesh to give a detailed color on the quarterly financials and related matters. I will come back after that to talk about our progress on the strategic priorities as well as the outlook for FY25.

Quarterly Performance

Dinesh Jain: Thank you, Ritesh and hi! everyone.

Revenue for Q1 FY25 came in at Rs.17.9 billion or \$215 million. This implies a year-on-year growth of 17.1% in rupee term and 15.4% in dollar term. In constant currency, this translates to a year-on-year growth of 14.8%. On a sequential basis, our revenue growth is 6.5% in constant currency term. I am happy to report that we have returned to double-digit year on growth in constant currency and after 11 quarters that were affected by the portfolio changes in our mortgage businesses.

We reported operating profit of Rs.1,970 million in Q1 FY25, up 10% over Q1 FY24. This translates to an EBIT margin of 11% similar to last quarter and down 70 bps on YoY basis. As you are aware, we have been making significant investment in our businesses. A large part of this has been in hiring leadership, sales, solution and technology talent that has associated upfront costs. Despite this, we have been able to keep our margin stable. We have also advanced our annual wage revision cycle from Q3 to Q2. While this will pose some headwinds in our margin in Q2, we remain confident of staying within our guided band for FY 25. Profit after tax came in at Rs.1.35 billion, or 7.6%, of the revenue for the quarter.

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Coming to the other Financial Highlights for the quarter :

The tax rate was 19.1% for the quarter within our previously guided range of 18% to 20% for FY25. Reported DSO moved up in the quarter to 68 days in Q1, mainly due to some delay in collection of couple of healthcare accounts. Almost all of these were collected in the first two weeks of July and normalizing to that, our DSO is at 61 days. The cash balance including investments stood at Rs.2.1 billion at the end of the Q1. Our net debt stands at Rs.9.7 billion as of June 30th, 2024, versus Rs.6 billion as of March 31st, 2024. This increase was mainly due to the higher working capital requirement which we have due to the higher revenues as well as some DSO delay. We also converted some short-term working capital loans to a long-term to gain advantage of the interest cost arbitrage which is as of today in the market. During the quarter, we also paid the cash consideration of Rs.2 billion for the acquisition of QBSS. I am happy to report that we have completed the integration of QBSS during Q1 itself.

We continue to invest in expanding our execution infrastructure. In Q1, we have added two new seating capacity in Chennai and Philippines. We are also investing in additional capacities in Hyderabad and Mexico.

Our hedge book as of 30th June were as follows: We have coverage of GBP 72.8 million for next 12-months with average rate of Rs.106.9 per Pound and coverage of \$133.2 million with an average rate of 84.6 to a US\$.

This is all from my side. I will hand the call back to Ritesh to talk about our strategic priorities and outlook.

Ritesh Idnani: Thank you, Dinesh. As you will recall, One Firstsource framework has been our playbook for the strategy refresh across the organization over the last

three quarters.

Our Q1 Results are a testimony of our focused execution on each one of the seven themes that we outlined as part of this playbook.

In the interest of time, let me highlight the progress we have made on a few of these themes in Q1. One of the foundational tenets of the One Firstsource Playbook was the simplification of organization design and realignment of the leadership team. During Q1, we hired Sohit Brahmawar as our new President and Chief Operating Officer. Sohit has over 25 years of rich and varied experience across global organizations, and in his most recent stint, he was leading a global team of over 50,000 people as the chief delivery officer.

During Q1, we also made several senior hires to fill identified gaps in sales, solution design, technology and delivery operations across market units and capability units. We also added muscle to our technology and partnerships team. I believe we now have the

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team in place to deliver on a medium-term growth aspiration. What gives me confidence is the quality of leadership talent we have been able to attract, and I see that as a validation of both our core strengths, our revamped go-to-market strategy and our ability to build a resilient, durable and differentiated business with industry-leading growth. Given the healthy momentum we are experiencing, we continue to invest to ensure that we can capitalize on the momentum with our differentiated proposition in the market today.

During Q1, we also completed the setting up of a customer advisory board that includes experts across verticals, such as financial services, healthcare, communications, media and technology. These are industry veterans who held senior leadership roles in various globally reputed companies. We intend to leverage their deep domain knowledge and experience to improve our value proposition, guide our strategic thinking and amplify

the Firstsource brand in the marketplace.

Our investments in reinvigorating our sales engine are also yielding results. In Q1, we won three large deals. We've also identified a set of both existing accounts as well as the basket of new logos where we are making a concerted effort to drive growth. Our success in rapidly refilling and growing the deal pipeline gives me confidence that we are on the right track.

Another key theme of the One Firstsource Playbook was to bring technology and everything we do. This includes building technology-led proposition to disrupt incumbents in our target set of accounts and infusing our existing frameworks and platforms with the latest technologies to improve their relevance and attractiveness in the marketplace. Today, we also announced the launch of "reAI," a suite of AI-led offerings, solutions and platforms to drive digital transformation of clients in a responsible manner. The offerings are aimed at each stage of the transformation journey, starting with the discovery phase where we partner our customers in assessing and benchmarking their AI readiness, discovering the use cases, selecting the optimal platforms to the mature phase where we help with data engineering, building of AI platform stacks and verification and training on LLMs. We are also infusing our current platforms across Healthtech, Fintech and CX with AI to significantly enhance their operational efficiencies and improve business benefits to customers while continuing to deepen our partnerships with innovative startups and hyper scalers. In my view, reAI is a prime example of how we are leveraging the current tech disruption to our advantage.

Finally, I would like to draw your attention to our margins that have remained in a narrow band over the last four quarters despite the stepped-up investment. This underscores our efforts on cost optimization and driving operational efficiencies as part of the One Firstsource framework

ork. We've identified 24 specific margin levers where we see meaningful scope for improvement, some, like offshoring or right-shoring resources, are already in play, which you see in the business mix, while others like increasing the span Firstsource Solutions Limited
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of control as well as consolidation of onsite delivery locations, would have a more visible impact over the coming quarters. We are also taking a hard look at our portfolio to identify accounts with sub-optimal profitability and pushing for corrective steps there, including reviewing the contract commercials. Overall, I feel comfortable with our ability to drive a consistent improvement in our margins, which would have a more visible flow through in our reported margin starting next year, even as we keep them in a narrow band during our investment phase in the near term.

In summary, I am pleased with the progress we have made in the last three quarters in each of the areas we've identified for the strategy refresh.

Business Outlook :

For the Fiscal Year '25, we now expect our revenue to grow in the range of 11.5% to 13.5% in constant currency terms. This is ahead of our initial guidance of 10% to 13%. We also remain optimistic of achieving a US \$1 billion revenue run rate by Q4 of FY 26. For operating margins, we continue to expect our FY 25 EBIT margin to be in the range of 11% to 12%. This is inclusive of the impact of upfront investments that we are making in the business. Post the investment phase, we expect our EBIT margins to improve by 50 to 75 basis points each year over the medium-term as we have stated earlier.

This concludes our opening remarks, and we can now open the floor over for questions.

Operator, over to you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: So, it is basically two questions from my side, lots of strengths in the results in this quarter. So, I think the only pocket of weakness which we could find was possibly the CMT vertical. So, as you had alluded last quarter as well, I think this quarter this vertical will see the weakness because of the onsite to offshore shift for the top client. So, what is the outlook on that client and the vertical. Is the onsite to offshore shifts that you were expecting is it complete or is it going to come in the next couple of quarters? And taking that along with what will be the kind of growth rate that we are expecting or let's say what the growth outlook for this segment for FY 25 on an overall basis?

Ritesh Idnani: While I don't want to talk about a specific client, but what I can tell you is that we continue to engage very actively with all of our large clients in this vertical and we continue to gain new business from them. Specifically on our top client, you're aware that we are working on moving some components of the work from onsite to offshore and this

transition is happening in phases. So, there could be some volatility on a quarter -on-quarter basis, but I wouldn't read too much into it. On a full-year basis, it's in line with our estimates and it's already factored in our guidance. So, there's nothing new out there that you need to think about there. It's in line with our guidance that we provided in the beginning of the year. At the same time, what I also want to talk about is our CMT

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vertical from an overall pipeline standpoint continues to be very robust and we are seeing traction both in the Telecom & Digital Media space, as well as in the EdTech side, and finally in the Consumer Tech side. So, we are seeing a broad-based growth across all the three sub-segments out here and you will see some logo conversions in the coming quarter as well.

Vibhor Singhal: Second qu

estion is on the Healthcare vertical. Of course, this quarter saw a very sharp jump in revenues because of QBSS as well as of course the ramp up of deals. So, again, in this front, is the initial ramp-up of most of these deals complete and hereafter we could expect a normalized run rate, or do you believe there could be some sharp volatility in the revenue run rate in this vertical going forward? On an overall basis, just wanted to cross verify that we would expect Healthcare vertical to grow above the Company average for FY 25?

Ritesh Idnani: So, let me start at the outset by saying, we do expect the Healthcare vertical to grow above the Company average for the year, and we do expect that growth to be largely driven by the payer segment, and #3 we expect the growth in the payer segment to be broad-based across a wide range of clients as opposed to a particular client itself. So, those are three comments that I just want to make right at the outset. On the payer side, what I think is helping us is the fact that our strategy to focus on strategic accounts is playing well and we had good deal wins in the space even in Q1. What you have seen some of the growth that we experienced in Q1 is a function of the deal wins that we had in the last three quarters and a lot of that ramp continues to happen in phases. So, it's not like everything is fully out there. But at the same time, we also see a very healthy pipeline in the payer segment and that's what makes us confident about the outlook for the segment itself. On the provider side, we are focused on broad basing our portfolio. So, we are quite excited by the potential in the offshore RCM market where the QBSS acquisition now allows us to aggressively compete with the technology-led end-to-end capability on the RCM side. We had two joint deal wins in the quarter, which is a validation of the rationale for acquiring QBSS in the first instance and I think we continue to build up on top of that.

Vibhor Singhal: Just one last question for Dinesh. I think you mentioned the wage hike has been kind of moved from Q3 to Q2. Given that we are in July and large part of the wage hike would already have been rolled out, what is the likely impact on margins that we are expected to see on the gross level of the wage hike and where do you expect the margins for Q2 to land up, would we be able to negate that drop by other levers or do you expect a drop in margins in Q2?

Dinesh Jain: No, I think as I said, we will continue in the same band range of 11% to 12% and I think wage hikes are in the same lines what we are historically doing. I don't want to comment specifically on percentage, but I think the margin guidance will remain within 11% to 12%.

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Moderator: The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: I just wanted to pick your brains with regards to the revision in terms of guidance given the qualitative commentary that you shared, the deal wins that you've spoken about as well as the likely trajectory across industry segments, the implied growth arithmetic for the next three quarters appears to be quite conservative. Just trying to understand what exactly is driving that? The second question was with regards to the metrics or the improvement in terms of offshore revenue mix. While I understand there is an element of the acquisition consolidation as well, but would be great to simply get your sense in terms of how should one be seeing this metric move over the course of foreseeable future as well as the likely tailwind that's emerging because of this phenomenon?

Ritesh Idnani: Let me start with the first question on the guidance itself. So, Manik, our guidance is based on a line of sight in the business over FY 25 as of today. So, I don't want to qualify it in any manner or comment on what

you alluded to in the quarter -on-quarter growth calculations itself. But from our vantage point, what we are trying to do is to keep our focus on supporting our clients proactively in the transformation agendas and identifying opportunities to expand our footprint, both within our existing clients as well as new logos. Our sales engine is chugging well. I feel confident of our revamped go-to-market strategy as well as the rigor that we are bringing in, in our execution. And that's quite honestly what gave us confidence to raise the guidance from 10% to 13% that we provided at the beginning of the year to 11.5% to 13.5% now. I would like to leave it at that spot now based on what we see because we are trying to make sure that this is the best possible visibility that we have at this point in time. With regards to your second question on the offshore, onsite mix, the one thing you would have seen as you look at just the last four quarters itself, right, our revenue by delivery from an offshore -onshore standpoint, if I go back to Q1 of FY '24 to where we are today, we were at about a 25 - 75 mix and we are now at about a 35 -65 mix. What you will see is just the renewed focus on continuing to try and balance that mix out towards the greater offshore concentration and that's something that all of us in the leadership team are driving very clearly. I don't want to comment on what it might play out on a particular quarter itself or what this outlook might assume, but what you should take away is that as a secular team, the offshore to on shore mix should continue to move directionally in the same manner as it has over the last four quarters.

Manik Taneja: How should one be thinking about the margin profile for offshore delivery of our business compared to the typical onshore or nearshore delivery, that will be great to get your inputs on that?

Ritesh Idnani: Look, obviously the offshore delivery comes at a higher margin than the onshore delivery. Look, there are a bunch of puts and takes out here, right. So, think about the last three quarters also, we've been trying to play a very fine balancing act between what investments we need for the business, what cost takeouts we need to do to ensure that we can continue to support the growth that the business demands and to ensure Firstsource Solutions Limited

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that we are able to build something that's truly resilient and durable. So, while we might end up getting some margin benefits from the greater offshore concentration, some of it we are also in the near-term trying to leverage in the context of maybe supporting additional investments that we also need for the business as well. So, that's the way we are trying to balance it out, but suffice to say, at a summary level, the offshore margins are obviously higher than the onshore margins that we get.

Moderator: The next question is from the line of Jalaj from Svan Investments. Please go ahead.

Jalaj: I had a few questions. First of all, could you break the growth in healthcare vertical both organically and the inorganic part? On the organic, what part has come from a payer and a provider, some directional view over that?

Ritesh Idnani: So, let me address the first one, which is if you take our overall growth for the quarter itself, a couple of percentage points is what we've got from QBSS from a contribution standpoint. We are not breaking out the payer -provider mix itself in terms of the revenues because what we are starting to see is increasingly also a convergence, where a bunch of payers have provider offerings and vice versa. So, the rider capability sets is emerging. So, we are also starting to view the business in that context where it's more integrated than otherwise.

Ritesh Idnani: And there is a bunch of overlaps that end up happening. So, from that vantage point, as much as we talk about the capability

sets and where we see traction, this is the way we are actually viewing the revenue split.

Jalaj: So, no quantification of QBSS contribution this time? Could I have the number the re?

Ritesh Idnani: I mentioned the number. The overall growth is about 2% from QBSS. So, the rest you can do the math.

Debashish: This is Debashish from Svan Investments. So, one more question apart from what Jalaj asked. Sir, if I see our guidance, obviously, this is including the inorganic contribution that we have. So, even if I assume that flattish performance for next three quarters will be easily achieving this kind of numbers. On the one side, we are talking about higher order book, higher pipeline. On the other side, we remain very, very conservative. Is it because of the uncertain macro scenario or it is like we are trying to be competitive?

Ritesh Idnani: Look, I think the way to think about it is given the strong growth that we had in Q1, it was natural to raise the lower end of the guidance, right? The guidance band, however, is influenced by a variety of variables. For example, how we see the pipeline converting, the pace of ramp up of deals that we have pulled on.

It is very difficult to quantify each and every variable for you. At the same time, it is

difficult for me to comment on the macro variables as well. In fact, you may have a
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better view on the trend of these variables , right? Because if I listen to the Fed Chairman every month, the commentary out there could vary , right?

So, the reason that we are trying to build this out is to say that our guidance is based on what we are seeing in our business as of today. We are not making any assumptions on the macro variables on which we have no influence whatsoever .

So, anything that happens out there is purely an upside to the numbers. And from our vantage point, we are trying to make sure that with that visibility of data and pipeline, pace of ramp up of deals , etc., where do we stand at this point in time is what we are trying to provide visibility to and this is the best that we could do at this stage.

Debashish: So, should we assume that because considering the size that we are operating to, I don't think macro has a very large role to play in our performance. Should we consider that despite macro performing, our order book and everything is giving us sufficient confidence that we will be able to possibly meet our higher end guidance or possibly cross that?

Ritesh Idnani: I think it 's fair to assume that, and this is one of the things that you probably heard me say right at the outset, which is we are trying to minimize the impact of the macro on our business itself. We want to make sure that we are able to provide a degree of predictability to how we grow the business. What we have tried to do at this stage is to say obviously we had a strong Q1 .

We want to make sure and based on the fact that we ended up having that strong Q1, we upped the forecast of what we thought we could achieve, but it 's based on obviously a set of variables that I talked about and we are trying to provide guidance given the contours of that itself. So , there is no assumption on macro at all . Whether it 's on the interest rate side or otherwise, we think that any of that can potentially just end up being an upside.

Debashish: One last question , sir. If I see our employee cost, obviously you and CFO sir has already touched upon on this, but if I see an employee cost despite shifting towards offshore, it has not come down significantly over the period of last two, three quarters, and I am assuming large part of that is because of the senior hiring that we had done, which has given a positive boost to our revenue and the cost per employee.

So, by what time we can expect some operating revenues to pay out h

ere because the

kind of offshore shifting that we had in last three, four quarters, it should have a very positive repercussion on our margin performance ? So, by what time we can see a significant impact on our EBIT level margin or EBITDA level margin performance of operating leverage in a margin performance ? Thank you so much for answering that question.

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Ritesh Idnani: No, thank you for asking that question. So, look, let me take a step back and just give you a flavor of where those investments are happening today, right? So, we are making investments in broadly three areas.

First is in expanding our sales and account teams itself. I have spoken about how our sales teams have grown by almost a third over the last six months itself.

Second is on the capability side where we are doing both leadership hires as well as beefing up our solutions teams itself. For example, I spoke about relAI earlier, where we continue to modernize our services and platforms by infusing them with the latest technology. Similarly, we are building out our trust and safety practice . Akash Pugalia, who joined us last quarter and is based in the Bay Area, is leading that effort for us, right?

The third area that we are also investing in is amplifying the Firstsource brand and expanding our relationships and visibility in the analyst and advisor community. You would have seen that also in the refresh in our brand positioning, that 's more dynamic and enlarged with our aspirations.

While some of these investments would be ongoing, I expect the bulk of our initial investments on the people front and areas such as leadership, sales and solution teams should be largely over by the next quarter.

So, a lot of our initiatives around cost optimization and margin improvement should gradually get visible over H2. And as I have stated earlier also , that's why we expect to

still operate in the band of 11 to 12 %, but starting next fiscal , we expect to see the margin uptake of 50 to 75 basis points every year.

Debashish: So, sir, aspirationally , should we look at a kind of 15 %-16% margin in this business over the period of next 4-5 years, is it a possible number?

Ritesh Idnani: The simple answer that I would give is that our peers are typically in the 14 % to 15% EBIT range, this business and is continued to undergo a fair amount of shifts also.

Those shifts demand investments and capabilities to ensure that the business continues to be relevant and contemporary . So, the way we are designing the business is that we should converge to the 14 %-15% over the next three to four years and that 's where we are keeping our current line of sight too.

Moderator: Thank you. The next question is from the line of Shradha from Asian Market Securities . Please go ahead.

Shradha: Just a couple of questions related to GenAI . One of the large IT services companies indicated that the productivity improvement because of implementation of GenAI can be as huge as 50 % in some of the BPO offerings . So, what are your views on that and Firstsource Solutions Limited

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what is the kind of ask from clients in terms of fast -back of productivity improvement today?

Ritesh Idnani: Thank you , Shradha , for the question . I can 't comment about the peer group and what they might be seeing out there . What I can see is only what we are seeing in our business and let me respond to this in a few different streams , right, in terms of the impact of GenAI and what we are seeing in the marketplace itself.

First and foremost , today and some of this has not changed even over the last three months when we did the last earnings call , there are a lot of POCs (proof of concepts) that are still being executed. There is very little that 's actually moving into a production

n
environment itself.

What I think is critical though is the ability to take AI and provide the art of the possible of how the landscape might shift over the next few years and that 's one of the things that we are certainly taking to our customers, and which is one of the reasons why I think we are able to win out there in the marketplace itself.

What I do expect is that AI will certainly cannibalize some of the lower end of the BPS services but it 's not material enough. New business opportunities using AI is far bigger and at the same time what I am also seeing is data, AI /ML operations, tech led trust and safety will be a new frontier to expand our business using AI.

Data is the lifeblood of artificial intelligence which is why companies specializing in data management and processing are faring well right now . And from our vantage point , we see an opportunity to play in that space and generate incremental revenue , while at the same time using AI also as an efficiency tool where it's embedded in the solutions that we are taking to market.

One of the other things that 's also creating an opportunity for us is to play on offense and take share from some of the larger players who might not be willing to go out there and use disruptive propositions in the marketplace. So, we are also seeing opportunities out there to take share from some of the larger incumbents as well as from undifferentiated players who may not be bringing some of these capabilities to the forefront.

So, net-net from our vantage point , while AI is out here as a secular team is here to stay. We also believe it can be a net positive in terms of how we are approaching the business itself and that 's manifested in some of the outcomes that we are seeing.

Shradha: And another question is, you know, we have seen a good amount of offshore shift and I believe that that is to do with the top account in CMT and despite that , I look at the segmental margin in CMT , that's down almost 300 bps Q-on-Q. So, any color on that front would be helpful.

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Ritesh Idnani: I wouldn 't read anything into it. It's probably just one quarter of play or something. Some of that will reverse itself out in the next quarter. So, there are a bunch of other things that we are working on in the same space. So, between our telecom and digital media clients , between our consumer tech clients and with our EdTech clients, we continue to also make some investments in the business. We are building out for capacity for some of the pipeline that we are seeing in the space as well. So, this is natural to put and take

in a quarter itself.

Shradha: And just last thing again talking about the guidance, Ritesh. I mean, I understand that we have raised the guidance, but looking at how we entered into FY 25, probably, the extent of upgrade is not very encouraging, especially given the fact that if you look at the lead indicator like employed growth numbers, that itself is up 5% in this quarter and also we are talking of getting into three strategic deals in this quarter and probably the season, the collections business seasonality that plays out every year in second half. So, would it be possible for you to quantify the areas where you are a bit cautious on and which is why the guidance is talking of flattish growth in the next three quarters?

Ritesh Idnani: So, the first comment and I tried to cover this in my opening comments as well, Shradha, is that we are expecting broad-based growth across verticals and across geographies. At the same time, we are also expecting growth across capability areas as well. So, we are not seeing a weakness. Some of these verticals and capabilities may grow at a faster pace than the other, but we are seeing broad-based growth. That being said, I just want to rei

terate the same comment on the guidance itself. We had a strong Q1 that gave us comfort and confidence to raise our guidance from 10% to 13% earlier to 11.5% to 13.5%. It was natural for us to raise the lower end of the guidance.

But at the same time, I want to make sure that the guidance band is influenced by multiple things that we want to be careful about. Whether it's when does the pipeline convert, the pace of ramp-up of deals, all of those are variables that play out with one quarter to over one quarter, two quarters, etc.

So, I want to be mindful of that. And it's difficult for us to quantify each and every one of those variables, and that's the reason why we have decided to stick to the guidance of 11.5% to 13.5%. It's the best visibility that we have based on how we see the business today.

Moderator: Thank you. The next question is from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh: First of all, the Q1 performance, whether it was largely in line with management expectation at the beginning or it is better than that? And whether we witnessed any Firstsource Solutions Limited
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preponement kind of thing in terms of revenue conversion than what you might have anticipated at the beginning?

Second question is about if I go to the past, Sourcepoint related non-controlling stake purchase, I think one of the installments was due in April'24. So, if you can provide some details about how that played out.

Third is about the Group Chairman interview, I think where he made a comment about 2.5x profit growth in next three years. Whether management is also in sync with those kind of expectations from the business?

And last is more about AI, partly your answer, but I have a slightly different twist to the question. Whether in terms of your client interaction, increased interest in AI led to any kind of higher level of productivity expectation from clients? So, when the deals are getting structured, are we seeing clients expecting, let's say, year two, year three onwards, higher productivity built into the contract? Thank you.

Ritesh Idnani: Thanks, Dipesh, for all those questions. Let me actually take the second one first and ask Dinesh to comment on the Sourcepoint piece, and then I will come to the three other questions that you had.

Dinesh Jain: So, I think, Dipesh, we paid the last installment in April, which was US\$ 2.5 million, and now no more payment, in respect of any of the acquisition or the transaction that was with the Sourcepoint is now pending in the books. All has been closed.

Dipesh: One was, I think when we announced it, was also due in April'25. So, now is it no longer due?

Dinesh Jain: No, no, it was for three years. So, FY24 was the last one which we have done.

Ritesh Idnani: I think the first question was related to how we felt about the quarter that went by relative to our forecast. Look, we knew it was going to be a strong quarter, and sometimes it comes back to the comment I made even when we were talking about the guidance, right? At any stage in the life cycle, sometimes you don't know when some of the pipeline might convert, when the deals might ramp up, etc. So, we feel good about how we did in the quarter. We thought it was a strong performance.

I am going to address the third question, the last question that you had related to the commentary that Dr. Goenka made on CNBC. Look, very simply put, we raised our guidance for constant currency growth to 11.5%-13.5%. We maintained our EBIT

margin guided band at 11 %-12% in FY 25, including the ongoing accelerated investments in the business. We have also maintained our aspirations for a \$1 billion run rate by the 4th Quarter of FY 26, as well as improving our margins by 50 to 75 basis points each year over the medium term. Both these levels of commentary pretty

much align to the same end -state itself . So, there is nothing which is out of sync.
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What I would also say, which you didn 't talk about, so let me bring it to the table anyway, is he talked about targeting three large deals in a quarter. We actually did that in the quarter that went by. And we have been making a focused effort to rev up our sales engine. So, we feel good about how we are building out this business itself, both from a growth capability as well as from a margin standpoint. And that 's what gives us comfort in terms of how we are setting this up for a more resilient, durable business over the long haul.

I know you had one more question, which I think I missed.

Dipesh: So, the question is about increased interest in AI, whether client s are asking for higher level of productivity, the way deals are getting structured, year two, year three onwards?

Ritesh Idnani: So, I think what I am seeing is that clients, you know, we are participating very actively with customers on their revenue growth, cost optimization and process transformation agenda and how we can bring in tech into those solutions.

What you will see with that is not necessarily a linear headcount -based pricing model , but you are seeing innovative commercial constructs and a lot of it particularly where we are actively hunting for sole source opportunities , both in our existing portfolio accounts as well as new logos. We are seeing the opportunity to construct the deal on our own and that gives us the flexibility to determine the kind of benefits that are possible where we can reduce the total cost of ownership for our customers for t hat scope of work itself.

Now the way we might bring that about might be through higher productivity . It might be by bringing in the promise of what AI can bring to bear so on and so forth , but eventually it comes down to can you take a customer from point A to point B . Where I think there is an opportunity for us is today , clients don 't know what they don 't know, and service providers are not competing on an even keel.

So, it's not an apples to apples playing field. And that gives opportunity for nimble, agile, innovative providers like us who are challenging the status quo to go out there and disrupt and try and bring solutions which help address complex business problems. That is where I think we are able to win in the marketplace today.

Moderator: Thank you. We have the next follow -up question from the line of Vibhor Singhal from Nuvama Equities . Please go ahead.

Vibhor Singhal: Just a couple of follow -up questions from my side. One is in the headcount addition that we saw in this quarter, how much is linked to the Q BSS acquisition and how much was the basically headcount addition in our own Firstsource company ?

The second thing is , Ritesh, you have mentioned that, I mean, we have seen the increase in offshoring from 25 % to 35% over the past two, three quarters. Where do

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you think with the current business mix that we have, given that many a times it 's a regulatory requirement to have higher on-site people, the mix of GenAI that we are looking at, what could be the upper ceiling for this number? I am not asking for a timeline that we did ever reach that, but what do you believe could be a potential cap that, okay, that is a number that could probably be where it would be difficult to reach in that sense? And lastly, a question for Dinesh again . In terms of our net debt position, what is our basically outlook on this? How do we expect this net debt to come down over the next few quarters? And is there a timeline that we have in our business plan made as to when would we be likely looking at a net cash company?

Ritesh Idnani: Dinesh, you want to take th

e question first, and then I will come to the first two questions that we have all had.

Dinesh Jain: Yes. So, I think net debt position, as you see, I think most of the cash flow this quarter has basically slightly a higher DSO. That 's the reason the cash flow is slightly weak and at the level . I think the debt levels has increased. Otherwise, we expect, that every

quarter whatever the surplus cash remains , which we expect to be between, \$10-12 million, which we generate every quarter, we should utilize to repay these borrowings, which is the norm which we have considered as of today. But I will not be able to give you exact time line when it will be, but if you really model it, most likely that is equal to around \$110 million to \$115 million, it should be probably within 6 to 8 quarters, when the normal cash generation should make it net debt zero.

Vibhor Singhal: My other two questions , Ritesh, if you could.

Ritesh Idnani: Yes, Vibhor. So, the remaining two questions that you had, let me address the second one first and then come to the first question on the headcount. So, it's hard to put a specific number on where we expect that mix to get to. What we know is we are trying to directionally continue to move towards the higher offshore revenue contribution from a delivery standpoint. So, I think as a secular team, it will continue to go that way . But one of the things that also allowed us to differentiate ourselves in the market, right, A, we play in regulated markets, particularly financial services and health care . Regulated markets require oftentimes that the work is done in country in the market itself.

Number two, it allows us to take on a process end to end. And those are actually key differentiators in the market. In fact, one of the deals we won last quarter, we were up against a couple of our large IT services brethren whom we were competing with, and they could not show the in -country footprint. And that was one of the reasons why we actually ended up winning the deal was because they just didn 't have the comparable capability set. We think that that is actually a differentiator for us if used in th e right way.

So, I know I am not giving you a very specific answer on the number which you are looking for, or even a time horizon, but I think what you will end up seeing is directionally

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this number moves in the right, continues to move upwards. I don 't know what 's the ceiling for it, which is what you are asking for . And it 's hard to say whether it 's going to happen over three quarters, six quarters, four quarters, etc. But you should expect the mix to continue to trend in favor of offshore. That 's the second question.

The first one , so one of the areas of focus for us also , Vibhor, is to reduce the linearity in our business as well. Right? So , there are elements which require headcount addition and QBSS had some tech capabilities. They have their platforms that they use to deliver some of the coding work that they do as well as some of the AR follow -ups and so on and so forth. We are able to deliver a lot of services to day on the back of the tech platforms and IP that we have. So, when you look at a combination of some of these things, that is going to have a bearing on how headcount addition actually plays out every quarter. So , it is going to be a combination of some linear work and some nonlinear work itself.

I will give you another example. We launched our Collections as a Service capability last quarter . And that actually allows customers to build a cutting -edge digital collections capability with minimal human intervention. And it 's largely configurable right from the get-go. And those are the kinds of things that actually allow us to differentiate ourselves in the market.

And I kind of referenced it upfront in my commenta

ry that in a market like that, we don 't even run into the traditional IT services and BPO companies. We run into other SaaS players who have a similar platform. So, there is minimal human touch , you will see this playing out this quarter as well as the next quarter as well that as we add revenue, some of that revenue may not have a direct correlation to headcount.

Vibhor Singhal: Just one last follow -up on the second question So, you are saying that while it would be difficult to give a ceiling to the offshoring number, but even from current levels, we have ample scope to take that number high. Is that understanding correct?

Ritesh Idnani: Yes, absolutely. That 's correct.

Moderator: Thank you . Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Ritesh Idnani for closing comments.

Ritesh Idnani: Thank you for joining the call and for all of your questions. I just want to close with a few final points. We remain laser focused on leveraging our strong foundation to gain from market opportunities that are caused by the ongoing macro and technology shifts.

We have started FY25 with strong revenue growth. Our revamped sales engine is working well, which is reflected in our strong deal wins as well as deal pipeline in Q1. That has also given us confidence to raise our FY25 revenue growth guidance to 11.5 % to 13.5%. Our leadership rebuild is also on track. Our ability to attract top quality talent

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is yet another validation of both our core strengths, our revamped go -to-market strategy and our ability to build a resilient, durable business with industry -leading growth.

Overall, I am satisfied with our progress, and we are optimistic about realizing our long-term growth aspirations of achieving \$1 billion revenue run rate business by Q4 of FY26 while continuing to expand margins. That's all from our side and we look forward to interacting with you again in the next quarter call. Thank you.

Moderator: On behalf of Firstsource Solutions Limited , that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Call: Oct 2024

30th October 2024

To:

National Stock Exchange of India
Limited (Scrip Code: FSL)
Exchange Plaza,
Plot no. C/1, G Block,
Bandra -Kurla Complex
Bandra (East),
Mumbai - 400 051 BSE Limited (Scrip Code:
532809)
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board of Directors on 28th October 2024

Please find enclosed the transcripts of the Analysts earnings call conducted on 28th October 2024 , after the meeting of Board of Directors held on 28th October 2024 , for your information and records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the Company's website, at <https://www.firstsource.com/investor-relations/>

We request you to take the above on record.

Thanking you,
For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

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"FIRSTSOURCE SOLUTIONS LIMITED
Q2FY25 EARNINGS CONFERENCE CALL"
OCTOBER 28, 2024

MANAGEMENT:
MR. RITESH IDNANI,
MD & CEO
MR. DINESH JAIN
CFO
MR. PANKAJ KAPOOR
HEAD STRATEGY , IR & ESG

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Moderator : Ladies and gentlemen , Good Day and Welcome to the Firstsource Solutions Limited Q2FY25 Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

On this call, we have Mr. Ritesh Idnani - MD & CEO; Mr. Dinesh Jain – CFO , and Mr. Pankaj Kapoor - Head of Strategy , Investor Relations and ESG to provide an overview on company's performance followed by Q&A.

Please note that some of the matters that we will discuss on this call, including the company's business outlook are forward -looking and as such are subject to known and unknown risks. These uncertainties and risks are included, but not limited to what the Company has mentioned in its prospectus filed with SEBI and subsequent Annual Report that are available on the website.

I now hand the conference over to Mr. Ritesh Idnani. Thank you , and over to you, sir.

Ritesh Idnani: Hello, everybody. Thank you for joining us today to discuss our Financial Results for the second quarter of FY25. My name is Ritesh Idnani, and I am the CEO at Firstsource.

Before I start with the discussion on our quarter performance, I would like to welcome our colleagues from Ascendos or the A -Team as they are known who joined us last month. I would also thank them and each one of our 32,898 Firstsourcers around the world for their relentless commitment to deliver value to our clients that has driven our growth to the top decile of the broader tech and tech -enabled services industry over the last four quarters including Q2.

1. Financial Performance

I am happy to report yet another strong quarter from a revenue growth standpoint. Our operating margins excluding the one -off costs related to the Ascendos ' acquisition was stable , and we sustained the accelerated momentum in deal wins with three large deals again in this quarter. Our deal pipeline continues to remain healthy.

Let me now give you some more details on our quarterly performance :

Our revenue grew by 25% YoY and came in at Rs. 19.3 billion. In U.S. dollar terms, the growth was 23% YoY and 7.1% QoQ at \$230 million. In constant currency, revenue grew at 6. 9% quarter -on-quarter. Adjusted for one month of Ascendos' revenue, our growth was 4.2% in constant currency terms. As you may note, this is the fourth straight quarter where we have delivered over 3% QoQ constant currency revenue growth.

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EBIT margin for the quarter was 11.1%, excluding one-time charges related to the Ascendos' acquisition. This is broadly stable , both on a QoQ and a YoY basis. Our net profit was Rs . 1.4 billion and the diluted EPS was Rs . 1.96 for the quarter.

2. Deal Wins

We continue to participate actively in the process transformation agendas of our clients. In Q2, we repeated our success of Q1 by signing three strategically large deals. As you are aware, we consider a deal with AC V of over \$5 million as a large deal. We expect these deals to ramp up in a phased manner over the coming quarters.

We also added 13 new logos during the quarter, the highest in the last two years. What I find most satisfying is that in both Q1 and Q2, we have added a new logo through a large deal. I believe this underlines our success in leveraging our deep industry and functional expertise, our partnerships in the technology ecosystem, and our ability to proactively bring automation and AI into the mix that 's resonating well with our clients.

Let me highlight a few notable wins during Q2 :

- We won a large deal from one of the largest telco

companies in Australia. This

is a new logo for us and is a cross -tower deal

- We were selected by one of the top 5 mortgage companies in the US, one of our long -term existing clients, for a 5 -year deal to power enterprise -wide transformation initiatives
- We expanded our footprint and wallet share in one of the top 5 Healthcare insurance companies in the US for claims processing
- And we won an additional large deal from a large cooperative financial institution in the UK for services to their retail customers

3. Vertical Commentary

Let me now provide you a deep dive into our performance and outlook for each of our industry verticals :

a. Banking and Financial Services :

In Q2FY25, our BFS vertical was up 1% QoQ and 3.3% YoY in constant currency terms. We added 5 new logos in this vertical in Q2. We had healthy deal wins in Q2 in this vertical, including a large deal win from a top 5 home mortgage company in the US that I referenced earlier.

We continue to make good progress in our efforts to broad base our portfolio in this vertical, both in terms of market segments as well as our service offerings. For example, our AI -infused digital collection platform is seeing growing interest among customers. Recently, we also announced our investment in building our own domain -centric, large -language model specific to the mortgage industry.

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Overall, we expect a sequentially improving growth trajectory in this vertical over FY25.

b. Healthcare

For Healthcare , Q2 was again a strong quarter. Our revenues grew 10% QoQ and 38% YoY in constant currency terms. Growth was well distributed across both the payer and the provider segments. We added five new logos in this vertical. The payer segment has seen the typical slowdown in decision -making ahead of the open enrollment period and the impending U.S. presidential elections. That said, we continue to see a very active and healthy pipeline on the payer side.

The integration of QBSS acquisition is on track and it has also been rebranded as Firstsource Provider Services. We have redrafted our revenue cycle management services catalog to include QBSS capabilities and build a technology -first proposition, leveraging both our proprietary technology assets as well as our partner ecosystem. This is resonating well with both industry analysts and clients.

We had two joint deal wins in Q2, including a new logo. We expect a steady and distributed growth in this vertical in the coming quarters.

c. Communications, media and technology (CMT)

We saw a 1% QoQ and a 22% YoY growth in this vertical in constant currency terms.

We added two new logos in Q2 in this vertical. In the Communications and Media business, where most clients are large but mature outsourcers, our strategy to position ourselves as a challenger to the existing ecosystem by bringing in our entire service portfolio, helped us win a large deal in a new logo that I mentioned earlier.

In the technology segment, we continue to expand our footprint among the marquee consumer tech logos with both traditional and non -traditional service propositions. One of the new logos we added in this vertical is one of the fastest growing online marketplaces in the U .S. We continue to see a strong deal pipeline in this vertical.

d. Diverse

Lastly, coming to our diverse portfolio that grew 49% QoQ and 85% YoY in constant currency terms. This includes the retail vertical that came through the Ascensos' acquisition and our traditional business from utilities companies. We see a healthy deal pipeline in this portfolio in both the verticals , which should translate to a broad -based growth in the coming quarters.

4. Geographical commentary

Let me now provide you a commentary from a geography standpoint :

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From a geo

graphy perspective, growth in Q2 was driven by the U S, with an 8.3% QoQ and a 30% YoY growth in constant currency terms. We expect the growth to get more distributed across verticals in the second half in the US

Europe grew 3.6% QoQ, our organic revenues excluding Ascensos' were down about 4% QoQ . However, companies in the UK are facing significant cost pressure that has led to them increasingly exploring offshore or nearshore delivery options even in some of the previously awarded deals. This caused some delays in ramp -ups in some of the strategic deals , which is normalized now. We are also seeing increased conversations around cardboard deals leading to significant and healthy build -up in our deal pipeline in Europe. We expect revenue growth to improve over the next two quarters as we had outlined earlier as well.

5. People

On the people front, we ended Q2 with a total headcount of 32,898 Firstsourcers. Our trailing 12-month attrition rate for the quarter was 31%, a reduction from 32% in Q1 FY25 and 39.8% in Q2 of last year. We anticipate this downward trend to continue in the coming quarters, though at a more gradual pace driven by the success of our employee value-focused initiatives, aimed at improving retention and satisfaction.

I am also pleased to report that Firstsource is now certified as a great place to work across four key geographies, India, the Philippines, UK and the U.S., underscoring our commitment to creating an environment where every Firstsourcer feels valued, empowered and motivated to contribute their best.

I am also proud of the diversity of our workforce. Women employees form 46% of our workforce and with Ascensos in Australia now coming into the fold, we now have employees working across 10 countries in the world.

6. Awards/recognitions and sustainability

Let me now turn your attention to some of the awards, recognitions that we received during the quarter as well as update you on our initiatives on the sustainability front.

I am happy to share that Firstsource continues to be positively recognized by leading analysts for bringing significant value to clients and offering innovative tech solutions in our focus markets. To mention a few, in Q2, Firstsource was named as a 'Leader' by Everest Group in their assessments for Healthcare payer BPaaS solutions and a 'Major Contender' and 'Star Performer' for the Healthcare provider Revenue Cycle Management Operations. Everest also ranked Firstsource as a 'Leader' for the lending services operations.

Last month, we also released our ESG report for FY24 along with our very first TCFD report. Both these reports are live on our website, and I would encourage each one of you to look through them.

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7. Ascensos acquisition

Let me now provide you a little bit of a brief on our acquisition of Ascensos that we announced last month. Let me start by giving you a brief background of the Company: Ascensos was founded in 2013 and is headquartered in Scotland, UK. It is focused on providing BPM services to clients in retail, consumer and e-commerce verticals. Its services portfolio covers the full front, middle and back-office spectrum that includes customer experience services management, digital transformation and customer insights and analytics. It has close to 2,500 employees spread across the UK, South Africa, Romania, Trinidad and Tobago and Turkey and has capabilities of providing customer support across 11 different languages including languages as varied as Arabic, Mandarin and Lithuanian. It has deep and long-standing relationships with some of the top high street retail brands in the UK and the average tenure of the top 5 clients is more than four years.

Coming to the strategic rationale for this acquisition. As you are aware, expanding our footprint in high-growth markets and

strengthening our capabilities are key pivots to our strategy refresh under the One Firstsource framework. Our acquisition of Ascensos aligns to this objective at multiple levels.

i. Ascensos enables us to jumpstart our presence in the retail and e-commerce segments, a strategically important and fast growing vertical. This market is a \$35 billion market globally from a TAM standpoint, which is growing at double digits every year. Ascensos adds some of the most iconic UK retail brands to our client list and broad bases our revenue portfolio, our key tenet of the One Firstsource Playbook.

ii. Ascensos brings to us a scale presence in several strategically important global delivery locations. For example, its presence in South Africa improves our attractiveness to the clients and prospects in the UK who are actively exploring economical outsourcing capacities in the same time zone. In fact, one of our existing clients in the UK has already awarded us additional business in South Africa post the acquisition.

iii. And equally importantly, Ascensos provides us with delivery capabilities in 11 non-English languages. This fills a critical gap in our portfolio and now positions us very well to offer multilingual support to several of our large global clients, especially those in the consumer tech space.

iv. And last but not the least, the culture fit between the two organizations was exceptionally good. Both organizations are nimble, agile, scrappy, and are

customer obsessed. And that was one of the primary reasons, amongst the others, that drew us to Ascensos.

Over the medium term, we see significant revenue synergies from the combination of Ascensos' deep domain knowledge in retail and e-commerce and Firstsource's capabilities in AI, automation and transformation.

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With that, I will turn the call over to Dinesh to give a detailed color on the quarterly financials and related matters. I will come back to talk about our progress on the strategic priorities and the outlook for FY25. Dinesh.

8. Quarterly Financial Performance

Dinesh Jain: Thank you, Ritesh, and hello, everyone.

Let me start by taking you through our "Quarterly Financials" numbers:

Revenue for Q2FY25 came in at Rs. 19,254 million or US\$230 million. This implies a YoY growth of 25% in the rupee term and 23.4% in the dollar term. In constant currency, this translates to a YoY growth of 22.7%.

We have consolidated Ascensos from September 1st, so we have one month contribution from Ascensos in the quarterly numbers. I am happy to report that our constant currency revenue growth excluding Ascensos' contribution was 19.6% in Q2.

This is the highest growth YoY in constant currency terms in last 12 quarters.

Our operating profit was Rs. 2,081 million in Q2, which is up 27.3% over Q2 of last year.

This translates to an EBIT or operating margin profile of 10.8%. This includes 30 bps impact of one-time charges related to Ascensos' acquisition. Excluding that, our normalized EBIT margin in Q2 was 11.1% versus the 11% which we reported last quarter. We have been able to keep our margin stable despite giving out the annual wage hike to our employees effective 1st July and continuing to make investment in our business segments. Our normalized margin in H1 is 11%, which is our within-guided band of FY25.

Profit after tax came in at Rs. 1,382 million or 7.2% of the revenue for the quarter.

Coming to the other Financial Highlights for the quarter:

The tax rate was 19.2% for the quarter, which is within the guided range of 18-20%.

Reported DSO came down to 65 days in Q2 from 68 days in Q1 as I spoke last time that there are some of the one-off delays which have got normalized this quarter.

We have a healthy cash conversion this quarter. Our OCF to EBITDA was 79% and FCF to PAT was 101%. Our cash balances incl

uding investments stood at Rs. 2.3 billion

at the end of the quarter 2. Our net debt stands at Rs. 12 billion as of September 30th, 2024.

We have paid Rs. 3 billion to our Ascensos' acquisition during this quarter. As we have reported earlier, we have acquired 100% stake in a company at a purchase consideration of GBP 42 million, which includes 9.5 million GBP as an earn-out linked to achieving predefined milestone in the next two years.

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We continue to invest in expanding our execution infrastructure in Q2. We have added new seats at capacities in Chennai, Hyderabad, Philippines and Mexico.

Our hedge book as of September 30th was as follows. We have coverage of £75.6 million for the next 12 months with an average rate of 109.3 to the pound and coverage of \$141.3 million with an average rate of Rs. 85 per dollar.

This is all from my side. Now I will hand it back to Ritesh to talk about strategic priorities and the outlook. Ritesh, over to you.

9. Progress on strategic priorities

Ritesh Idnani: Thanks, Dinesh. As you know, the One Firstsource framework has been our North Star for the strategy refresh in the organization over the last four quarters. I am pleased with the progress we are making on each of the seven themes we have defined as part of the playbook and our success so far in translating this progress into business outcomes. I have regularly highlighted our initiatives to build a world-class sales engine that is visible in the continuous improvement in our clients and deal metrics over the last four quarters. To highlight, the number of clients with over \$1 million of revenue has gone up by 4 to 105 in Q2 from 101 a year ago. During the same period, the number of clients with whom we get over \$20 million of revenue has increased from 8 to 11. Similarly, we are now clocking three large deal wins in the quarter versus just about one deal a year

back.

This quarter, I would like to take you through the progress we are making in areas that are under the hood but equally critical for realizing our aspiration to build a resilient and durable business with industry-leading growth.

One of the foundational tenets of the OneFirstsource Playbook is to institutionalize our efforts to cross-sell, up-sell our entire service portfolio into both our existing accounts as well as to take them proactively to new prospects. I believe multi-tower relationships are critical for us to grow ahead of the industry by gaining wallet share in our large clients.

Let me give an example of what we are doing with our collections business. As you know, Firstsource is one of the top companies globally with end-to-end capabilities ranging from first-party collections to third-party collections and legal collections. Traditionally, our portfolio was centered on debt collections for large U.S. credit card issuers. However, over the last four quarters, we have made considerable progress both in expanding in adjacent market segments as well as non-BFS verticals. For instance, we are working with some of the top fintech companies in the U.S. and UK that are major brands in the areas of personal lending, BNPL, and personal finance.

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We have also been making steady progress in cross-selling collection services to our existing non-BFS clients in verticals such as Healthcare, communications and media and utilities. One of the large deal wins that we had in Q2 is a multi-tower deal that included both customer experience and collection services.

Another theme of the OneFirstsource Playbook is to bring technology in everything we do. This includes building technology-led propositions to disrupt incumbents in our target set of accounts and infusing our existing frameworks and platforms with the latest technologies to improve their relev

ance and attractiveness in the marketplace. In Q2, we announced a partnership with Microsoft under which we will be leveraging Azure OpenAI services to provide generative AI-powered solutions and platforms to our clients. We are also making accelerated progress with reAI, our suite of AI-led offerings, solutions and platforms introduced in the last quarter to drive digital transformation of clients in a responsible and ethical manner.

Last week, we also announced an investment in building our own domain-centric large language model specific to the mortgage industry that leverages our deep domain expertise to tailor-make sector-specific AI-driven services and platform offerings. This LLM would significantly reduce the cycle time for pre-qualification and formal loan applications, creating a seamless digital end-to-end process for loan application and fulfillment. Another example is of our digital collections platform where we have infused AI to drive personalization at scale with an empathy-first mindset. We engage with the customer using the most effective channel at the most effective time of the day with a personalized and dynamic payment plan. And we have used AI for persona-based segmentation to make our communication emotionally intelligent. While these are early days, we have already seen more than a 10% uplift in our collection efficiency with the revamped platform.

Overall, I am pleased with the progress we have made over the last four quarters in each of the areas we have identified for a strategy refresh. What I also find encouraging is the growing client recognition of our efforts. We recently hosted our first-ever client event in the UK that saw close to 100 CXOs participating over two days, and each one of them shared positive feedback on our relationship.

Turning to the business outlook. For FY25, we now expect our revenue to grow in the range of 19.5% to 20.5% in constant currency terms. This includes about 5% contribution from Ascensos over the 7 months in FY25. For operating margins, we expect our normalized FY25 EBIT margin, excluding one-time charges related to the acquisitions, to be in the 11% to 11.5% band.

This concludes our Opening Remarks, and we can now open the floor for questions.

Operator, over to you.

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Moderator: Thank you very much, sir. We will now begin with the question-and-answer session.

The first question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Congratulations to the leadership for another solid quarter. I just wanted to pro be you

with regards to the outlook or the revised outlook both on an organic basis as well as including the acquisition. Given the growth trajectory that you have been showing in the first half of this year, as well as how the deal wins and which once again gets consistent, would be interesting to know why our implied ask rate for the guidance actually remains very conservative, practically very modest growth through the next few quarters, next couple of quarters. That's my question number one.

The second question is a bookkeeping question with regards to the headcount for the quarter. If you could help us understand how much of the incremental headcount team in the quarter was aided by the Ascensos ' consolidation ?

Ritesh Idnani: Thanks , Manik , for your questions. Let me first provide some color on the outlook. You know, before we started Q1 or FY25 itself, our guidance was 10% to 13 %. If you realize at the end of Q1, we updated the guidance to 11 .5% to 13 .5%. And the question that I was asked then also is, what's your view on the outlook? And I am going to reiterate some of the points I made then because it's kind of consistent in a way.

When we provide guidance , it's based on our line of sight on the business at that point in time and

at this stage over the next two quarters of FY25 as it stands today. So, I don't want to qualify it in any manner or comment on what this might translate into in terms of Q oQ growth calculations. But what I have said earlier and which continues to remain consistent is our guidance does not build any changes in the macro environment. And if there is something out there, that's potentially an upside.

We are also keeping our focus at this stage on supporting our clients proactively in their transformation agendas and identifying opportunities to expand our footprint, both within our existing clients as well as new logos. Our sales engine is chugging well. I feel confident of our revamped go -to-market strategy as well as the rigors that we are bringing in our execution. And that's frankly what gave us confidence to raise the guidance to 14 .5% to 15 .5% organically, excluding the 5% contribution that we expect from Ascensos for the rest of the year. So , I will leave it at that in terms of what I end up seeing.

Your second question was related to the headcount. Ascensos gave us close to about 2,500 people. The rest of it is all organic. And that's in terms of the breakdown of the headcount that we added through the bottom.

Manik Taneja: And if I can just ask one more, you had spoken about the aspiration to get to a billion dollar mark sometime in FY26. And now with this Ascensos' acquisition, I would reckon we will probably hit that mark much earlier. Do you want to re visit that timing?

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Ritesh Idnani: So, again, my comment would be fairly simple in some sense that at this stage, this is the visibility that we have and we are not going out there to update what might be a guidance at the end of every quarter itself. As you know, this was a medium -term aspiration that we had put out there, which is that we would look to hit a billion -dollar run rate business by Q4 of FY26 . Obviously, we have had good growth in the first two quarters, but I would leave it at that and probably come back as the environment around us becomes more visible.

Manik Taneja: And the last question was with regards to this qualitative commentary that you shared on BFS, something that you even alluded to during the prior quarter's earnings call, at that point of time also mentioned that one should expect a sequentially improving growth trajectory in BFS through the rest of the year. Just to understand that better, does that mean basically sequential growth rates will see further improvement or exploration or is that just suggesting that you expect to see growth in th e vertical for the subsequent quarters?

Ritesh Idnani: So, Manik, firstly, let me just state that one of the things that we talked about specific to BFS itself , is in the quarter, we added five new logos. So, we had pretty good new client additions as well as existing client expansion as well. And that is what we feel good about as we look at the rest of the financial year also in terms of the outlook for BFS. That said, macro environment continues to be uncertain as you know . While the FED lowered interest rates , if you look at just the last 30-year mortgage rates over the last three weeks, it has actually gone up from the initial drop from 6.08% to 6.44%. You also look at Fennie Mae data about 80% of outstanding fixed rate mortgage loans are at 5% or less from an interest rate standpoint. So, on one hand, we feel good about the logos we have added, we feel good about the existing clients from an expansion standpoint and yet there does end up being some of the macro uncertainty that is there. So, I think that is where I would leave it at, but I think we feel good about what we end up seeing in the BFS space right now.

Moderator: Thank you. We will take the next question from the line of Shradha from AMSEC. Please go ahead.

Shradha: Com

ing on the guidance bit again, if I look at the implied ask rate for the organic guidance would essentially imply a decline in revenue over the next 2 quarters and given the typical seasonality that we see in our business every year due to collections and also because you are talking about pipeline built-up being very strong in other verticals. So, what essentially is driving that seasonal weakness in the implied guidance for the next 2 quarters on an organic basis purely?

Ritesh Idnani: I want to reiterate one of the comments that I made upfront itself that our revised guidance is based on our line of sight on the business over the next two quarters of FY25 as it stands today, right. We obviously had a set of deal wins. We added 13 new logos in the quarter that went by and all of that obviously is a net positive, but there is Firstsource Solutions Limited
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always the timeline by which deal ramps happen and so on and so forth and we are just mindful in terms of what we see visible at a point in time. I think that is one part of the question. The second is, I think the way we are trying to build the business a lso is to minimize the impact of the macro, as I have stated earlier as well, and therefore in some sense, we continue to see the benefits of that, just take collections as an example. If you look at credit card delinquencies, on one hand, they have continued to trend upwards, but the US consumer as an example has continued to remain resilient. So, I don't end up seeing any causality out there one way or the other. So, what we are trying to do is to build a business in each one of our industry verticals, which is independent and minimizing the impact of the macro itself. And that is the way we see it at this stage. So, what I am essentially saying is today, the guidance that we are providing is based on the data that we are visible as of now and at the same time, it does not bear in mind any impact of the macro itself. So, if anything else, that is an upside.

Shradha: And Ritesh, if I got you right, did you mention that the UK business declined organically for us in this quarter?

Ritesh Idnani: Excluding the Ascensos , that is right.

Shradha: So, is it more to do because of the offshoring impact in the large UK account or is it to do with the BFS UK being weak? So, any colors on the UK business would be helpful?

Ritesh Idnani: I think I had mentioned this even when we did the Q1 commentary that we expect Europe to be soft in Q2 as well. But at the same time, we also said that this is going to pick up in the second -half of the year and if you look at several of our recent large deal wins, they are not the regular headcount centric deals, but these are more strategic deals where we are participating in the transformation agendas of our clients by bringing in AIML, automation, including our partner ecosystem. Some of these deals are also sole sourced where we have gone in and shaped the deal composition and structure and ramp up in some of these deals follows a very different trajectory compared to a regular RFP led deal itself and that is the reason why we have been highlighting and you may recall my comments earlier also that these deals will reflect in the revenues in a phased manner and not necessarily in a linear way. But we feel pretty good about the pipeline that we have in Europe as well as the deal wins that we have had in the last couple of quarters.

Shradha: And any particular comments would you like to make around the top account in UK? Is it trending as per expected lines or any weakness outline is there, anything there?

Ritesh Idnani: So, Shradha, if you recall, starting Q1 of this year, we stopped commenting on a specific account itself, but suffice to say that we continue to have a very deep relationship with our top account.

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Moderator

: Thank you. We will take the next question from the line of Jalaj from Svan Investments. Please go ahead.

Jalaj: I just wanted to understand one thing for the acquisition, which is the Ascensos acquisition. If I see the last 3 years numbers for the topline, it has been more or less stable. So, could you give us a broad outline, so you did mention the rationale behind the acquisition, but is it a slow-growing business or is it a matured business per se? How do you see it? And what sort of synergy do you foresee coming from here?

Ritesh Idnani: So, let me start by again reiterating the rationale for when we acquired Ascensos . As I said upfront, it broad bases our footprint, which is in line with what we had outlined in the One Firstsource framework and Ascensos has a very large footprint with leading High Street retailers in the UK that was very attractive to us. There is zero overlap between the businesses, and it is a complete complementarity, if you will. They have a very large nearshore footprint in locations like South Africa, Romania, Trinidad & Tobago and Turkey, all of which are locations that Firstsource is not in and at the same time they also have deep relationships as well. So, these were obviously some of the elements that prompted us to look at the combination itself. At the same time, over the last 3 years or so, they have increasingly gone from being a business that had a large footprint in the UK to increasing their footprint in the offshore and nearshore locations itself, and that is one of the reasons why what you might have gleaned in terms of their financials was relatively flat . We feel actually pretty good about the outlook for the business. The pipeline is healthy and at the same time, we do believe that the retail and e-commerce vertical is a vertical that has significant tailwinds. The target addressable market is about 35 billion. So, it is a meaningful size , and I think coupled with some of the capabilities that we can bring to bear , it actually gives us the opportunity to potentially grow that business as well.

Jalaj: And what sort of margin profile does the company bring in?

Dinesh Jain: Your question is around the margin profile for Ascensos?

Jalaj: Yes.

Dinesh Jain: Yes, it is, I think it is slightly lower than what our margin, but I think in the similar lines only, not that materially different.

Jalaj: And one last question if I may, so if I were to see the revenue growth per se from the buckets of the clients, it looks like that majority of growth has come from ex of top 10, at least for this quarter, if I were to compare sequentially, what explains that with the new logos which are helping us grow faster, some light onto that or some flavor on that?

Ritesh Idnani: If anything else, that is probably validation of what we are trying to do with the One Firstsource framework. If you look at one of the tenants for the One Firstsource Firstsource Solutions Limited

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framework, it is cross selling and up selling into our existing accounts. We had also identified about 50 strategic relationships where we would have the opportunity to increase our wallet share and that is one of the things that we feel really good about because as we scale up as a business and start seeing the outcomes of some of these measures itself, the fact that you are actually broad basing growth and it is not just restricted to the top 5 or the top 10 accounts , is validation of the execution of the strategy. One of the other comments that I also talked about is the fact that take the number of \$20 million accounts that we have, the fact that that has gone up, the number of \$1 million accounts has gone up, I think I feel very encouraged by some of those bottom up metrics because they are truly validation of the success of the strategy that we are executing on.

Jalaj: And one last question quickly. So, UK,

you mentioned that ex of the acquisition, there was a degrowth per se, so is it just the macro environment there per se or something specifically is happening in the geo because your acquisition again comes from the same geography?

Ritesh Idnani: We feel that the UK economy, the companies out there , are under a significant amount of pressure to re-examine their cost structures as well as the opportunities that might be available to them to be competitive. And that creates a play for us to partner with them in their transformation agendas, whether it is around their cost competitiveness, whether it is around improving their revenue growth or whether it is around the process transformation itself. Our pipeline in Europe continues to be very robust and we have a number of large strategic deals also in the pipeline and we also expect that some of the deal wins that we have had in the first 2 quarters will start bearing fruit in the second - half of the year as we had outlined even at the end of Q1. So, I wouldn't read anything further into the Q2 number there.

Moderator: Thank you. We will take the next question from the line of Pratyush from White Oak Capital. Please go ahead.

Pratyush: Ritesh, I wanted to circle back on the collections part that you were speaking, so please elaborate more on sort of the disconnect because delinquency rates, at least in credit card loans are going up and up for the last 5 , 10 and 12 quarters, right? So, is there more that lead lag effect here or is there something nuanced here and why our collection business is not like the correlated to the delinquency rate?

Ritesh Idnani: First and foremost, Pratyush, thanks for the question. I think the collections business for us continues to grow and I think one of the reasons is because we play end to end across first party, third party and the legal collection side and underlying all of it is the digital collections platform itself. The comment I was just making on the macro is that if you look at the last several quarters, not just related to this quarter or otherwise, credit card delinquencies have consistently picked upwards, and you would think that is just a net positive for the business itself, but the US consumer in particular has been fairly

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resilient. So, it is not like the delinquency has translated to a loss that loss has in turn resulted in a charge off and so on and so forth. But that being said, look, I think what we have been able to do is through our competitiveness in this marketplace itself, through the capabilities that of our digital collections platform, which is now infused with AI and ML and is truly cutting edge and in fact we don't run into the traditional IT services or BPO players in this space, but more SaaS players from the Silicon Valley. I think what we are able to do is to offer something that is truly aligned to what enterprise customers are looking for and that is what I think is driving our growth. So, again, it goes back to the tenants that I earlier talked about that we are in some sense trying to minimize any impact of the macro, but instead try and continue to grow our business in a broad-based fashion and I think that is bearing out here as well.

Moderator: Thank you. The next question is from the line of Aayush Rastogi from B&K Securities. Please go ahead.

Aayush Rastogi: I just wanted to pick your brains on the healthcare segment. So, you called it out that you are kind of facing some kind of tepidness on the payer side of the segment. So, when shall we expect this recovery to be there because our healthcare business has shown good results on QoQ basis, so just trying to understand what is the sort of demand we are seeing in the payer side of the business, and when do we expect that it should be getting bounced back?

Ritesh Idnani: So, as I mentioned in my opening comment,

healthcare has been a key driver of growth for us in the recent quarters led by the payer segment. In Q2, we saw more distributed growth with both the payer and the provider segments doing equally well. Also on the payer side, our strategy to focus on our key strategic accounts is playing really well and we have a healthy pipeline, but typically, in Q2 and Q3, what you end up starting to see is some of the decision timelines on these deals gets pushed out because of open enrollment on one hand as well as this year, because of the typical uncertainty that you have seen on account of the US presidential elections. But again I am not too fussed about it one way or the other. I think we expect it to bounce back just because of the quality and quantity of the pipeline as well as the deals that are in advanced stages to come back in the next quarter itself. On the provider side, we continue to broaden our portfolio. So, we are quite excited actually by the offshore revenue cycle management market where the QBSS acquisition is helping us to compete with the technology led end to end capabilities and so far we have had four joint deal wins since the announcement of the acquisition itself, which is in a way of validation of the rationale for acquiring QBSS in the first instance.

Aayush Rastogi: And second is on communication media and tech vertical, so if I see for like starting from 3Q FY22 to 3Q FY24, so we have been posting one of the good set of numbers in 3Q for the communication media and tech in 3Q FY22 or 3Q FY23 or 3Q FY24. So, should we assume that the same trajectory is kind of a thing that one can expect for this vertical? I am not asking for any sort of numbers, but in terms of trajectory, if one

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has to map, then should we expect the same kind of bump for the same vertical in future?

Ritesh Idnani: Let me take a step back and probably provide you a little bit of color on each of the communications, media and the technology verticals. The only reason I am doing that is because I think each one of these sub segments has different attributes or characteristics itself. In the communication/telecom space, that is a very mature crowded market. Our positioning out there is as a challenger who is coming out there to disrupt the traditional ways of working and using that with the tech first AI led approach in terms of how processes are getting reimaged and so on and so forth and that is yielding results as you saw even in Q2. We actually entered the Australia & New

Zealand market with one of the largest deals in the telecom space and that came on the back of a disruptive strategy itself.

If you take the media side of the house, a lot of the media companies are struggling to make the pivot from a paper-based environment to more of a digital environment itself. There is also a significant amount of issue in terms of subscriber base and whether they can actually go out there, not just acquire, but also retain their existing subscribers. And a lot of those companies, particularly newspapers, publishers, etc., are looking for a full transformation agenda to help revamp the way they run their business itself. Our storyline there to help them change their business model make the pivot and do that in a manner that allows them to impact both the revenue as well as the bottom line is extremely attractive to them along with the proven track record of executing against that and we continue to see pipeline to work with several newspapers and publishers along those dimensions.

The tech space is a little different. Here we work with two kinds of players. On one hand, we work with several companies which are themselves trying to disrupt traditional industries, whether it is on the EdTech side, one of the wins that we had last quarter was with the company, which was in the freight and logistics space

, but was disrupting

traditional freight and logistics providers with the SAS platform and several of these companies are again looking for a full-fledged transformation agenda. The second part of the tech space that we work with is with several companies in Silicon Valley and a lot of the work that we are doing out here is providing the plumbing that is required to ensure that they can have the right trained data sets that feed into the foundational models itself. A lot of this work is project based. It has quick turnaround times. It requires significant critical thinking skills and it requires to work in close tandem with these big tech companies because the nature of work is first time, but at the same time it has a significant runway in terms of growth itself. So, we see today across all of these segments pipeline that is very attractive and we feel good about therefore the opportunity that is there. Also, given the size of this unit for us, I think the opportunity to grow exists just on account of what we have from a pipeline perspective. Hopefully that addresses your question.

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Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: So, my question is that Ritesh, don't you see the need for upgrading the guidance on the organic basis because there is no point doing it, given the historical precedence or to say that is there an upside risk to the current guidance because you are baking in the potential downside, but if things are smoother than what you are thinking, you could eventually do better than that? So, that is question number one. Question number two is also to understand the need for investment in the business because it seems we are in a decent business trajectory and a double digit organic growth may sustain beyond FY25, so will that be accretive by nature or there could be some conflicts in terms of margins going forward as well? And lastly, on the ETR, if you could give a flavor in terms of how it should pan out in FY26 and FY25?

Ritesh Idnani: Sorry, could you repeat the third question again, Rahul?

Rahul Jain: Third one was basically an effective tax rate if you could guide for near to medium term?

Dinesh Jain: I think our band was 18% -20%, we did 19.2% in current quarter, but we see that it will be within that range for the full year.

Ritesh Idnani: So, Rahul, let me reiterate the comments that I made on the guidance front, right?

Before we started the fiscal year FY25, our guidance was 10% -13% because that is what we had visible at that point in time from a line-of-sight standpoint. At the end of Q1, when we saw the demand environment being significant in terms of what we saw plus the fact that we had very strong Q1, we upgraded the guidance to 11.5% -13.5%. At the end of Q2, we are back out here with a good set of numbers in Q2 as well and again, we are at the point where we have upgraded our organic guidance given what we have today from an environment perspective. It is based on a line of sight of the business over the next 2 quarters as of today as we see it, I am not getting into qualifying it in any manner or comment on the Q-on-Q growth calculations or what it means. But what I will say again is our guidance does not build any changes in the macro environment that represents potentially an upside. Our simple objective is to keep your focus on supporting clients proactively on their transformation agendas and identifying opportunities to expand our footprint, both within the existing accounts as well as landing new logos. What I also feel good about is the fact that our sales engine is

chugging well. I feel confident of our revamped go-to-market strategy and the rigor we are bringing in our execution and that is what gave us the confidence to raise the guidance to 14.5% -15.5% excluding

the 5% contribution we expect from Ascensos for the year. I will leave it at that. What was your second question?

Rahul Jain: Yes, that was more on the margins to understand it. Do we see there are needs for investment in some which could be beyond this year, or you think the margin profile should be accretive going forward if the growth sustainability stays?

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Ritesh Idnani: So, I will just say one thing. Let me give you some background. If you look at some of the investments that we have made, there have been broadly 3 areas, right. The first has been an expanding our sales and marketing team and our account management teams. If, right, I spoke about how our sales team has grown by over 40% in the last 6 months. We largely over in this area, though, we will keep adding a few people as we see the need. The second is on the capability side where we have beefed up our leadership team as well as the solution that hires. We have accelerated some of our investments, especially around investments in modernizing our services portfolio by infusing AI and automation, some of which I talked about earlier. But I talked about rely and also more specifically about the investment in the mortgage specific large language model as well. So, while we continue on one hand to drive cost optimization initiatives to fund these investments, given some of the accelerated investment plan on the capability modernization also in the coming quarters, the way to think about this is that the optical flow through of those into reported margins that we were expecting could get pushed out, but we expect our margins could remain in a band. And at the same time, I also want to reiterate this does not change the trajectory of the 50 to 75 basis point improvement that we expect every year over the medium term from FY26.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Ritesh Idnani for closing comments.

Over to you, sir.

Ritesh Idnani: So, firstly, thank you all for joining the call and for your questions. I just want to close out with a few final comments. We are making steady progress on our revamped go-to-market strategy and remain laser focused on building a resilient and durable business with industry leading growth. Our sales engine is working well. We have had three large deal wins in each of the last two quarters as well as our Q2 closing pipeline has been healthy. There is an upward movement in the number of clients across all the revenue markets. The Ascensos acquisition gives us a strong near-shore footprint, which we plan to leverage well with some of our existing large UK as well as US clients. Our solid growth in H1 gives us a good base to raise our FY25 revenue growth guidance to 19.5% -20.5% which we believe should place us in the top decile of the industry in terms of revenue growth. That is all from our side and we look forward to interacting with you again in the next quarter call. Thank you all and I wish you a very happy and festive season. Thank you once again.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Firstsource Solution Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Mar 2025

10th February 2025

To:

National Stock Exchange of India
Limited (Scrip Code: FSL) Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex
Bandra (East), Mumbai - 400 051 BSE Limited (Scrip Code:
532809) Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board of Directors on 7th February 2025

Please find enclosed the transcripts of the Analysts earnings call conducted on 7th February 2025, after the meeting of Board of Directors held on 7th February 2025, for your information and records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the Company's website, at <https://www.firstsource.com/investor-relations/>

We request you to take the above on record.
Thanking you, For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

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"FIRSTSOURCE SOLUTIONS LIMITED
Q3FY25 EARNINGS CONFERENCE CALL"
February 07 , 2025

MANAGEMENT:
MR. RITESH IDNANI,
MD & CEO
MR. DINESH JAIN
CFO
MR. PANKAJ KAPOOR
HEAD STRATEGY , IR & ESG
Firstsource Solutions Limited
February 07 , 2025

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Moderator : Ladies and gentlemen , Good Day and Welcome to Firstsource Solutions Limited
Q3FY25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

On this call, we have Mr. Ritesh Idnani - MD & CEO; Mr. Dinesh Jain – CFO ; Mr. Pankaj Kapoor - Head of Strategy , Investor Relations and ESG to provide an overview on the Company's performance followed by Q&A.

Please note that some of the matters that will be discussed on this call, including the Company's business outlook are forward -looking and as such are subject to known and unknown risks. These uncertainties and risks are included but not limited to what the Company has mentioned in its prospectus filed with SEBI and the subsequent Annual Report that are available on its website.

I now hand the conference over to Mr. Ritesh Idnani. Thank you , and over to you, sir.

Ritesh Idnani: Hello , everybody . Thank you for joining us to discuss our Financial Results for the third Quarter of FY 25.

Before I start with the discussion on our quarter performance, I would like to thank each one of our 34,144 Firstsourcers around the world whose passion and commitment to consistently deliver value to clients helped us report yet another strong quarter.

1. Q3 Results

Our revenue grew by 32% YoY and came in at Rs. 21 billion. In U.S. dollar terms, the growth was 30% YoY and 8.4% QoQ at US\$ 249 million. In constant currency, revenue grew 7.6% QoQ . This is the fifth straight quarter where we have delivered over 3% QoQ constant currency revenue growth. EBIT margin for the quarter was 11.1%. This is broadly stable both on a Q oQ and YoY basis. Our net profit was INR 1.6billion and the diluted EPS was INR 2.27 for the quarter.

2. Deal wins

In Q3, we signed three large deals. As you are aware, we consider a deal with ACV of over 5 million as a large deal. This is the third straight quarter of at -least three large deal wins and despite that, our Q3 exit deal pipeline was among the highest ever. This gives us confidence in sustaining the accelerated momentum in deal wins in the coming quarters. I believe that the strength of our deal wins and pipelines reflects our success in leveraging our deep industry and functional expertise, our partnerships in the technology ecosystem, and our ability to proactively bring automation and AI into the Firstsource Solutions Limited

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mix that is resonating well with our clients. I would also like to highlight that several of these deals, including those in the pipeline, are transformative in nature with a staggered ramp -up curve that is different from standard deals and hence will translate into reported revenue over an extended period .

Let me highlight a few notable wins in Q3

- We were selected by one of the top 10 healthcare payers in North America, an existing customer , to process their entire claims operations.
- One of the top three consumer tech companies in North America also selected us for providing GenAI services. As part of the deal, we will be helping in developing and evaluating content across multiple different domains and validating and optimizing their GenAI model.
- We also expanded our business with one of the largest utility companies in the UK, another existing client with additional business across their customer support and collections operations.

During the quarter, we also added 13 new logos, including five strategic logos. We defined a strategic logo as one where we see the potential of at -least US\$5 million of annual revenue.

3. Vertical Commentary

a. Banking and Financial Services

In Q3 FY25, our BFS vertical was up 1.6% QoQ and 8 % YoY in constant currency terms. We added seven new logos in this vertical in Q3. As I have highlighted earlier, we have invested over the last few quarters in strengthening our sales and solutions team in this vertical, particularly in North America, to broad base our presence in existing clients and expand our footprint into adjacent segments. We are now taking a much wider and integrated capability portfolio to clients and prospects, which is visible both in our sequentially improving revenue trajectory over the last three quarters and buildup in our deal pipeline .

b. Healthcare

Q3FY25 was expectedly a modest quarter . Our revenues were flat quarter -on-quarter , they were up 31% year-on-year in constant currency terms. We added five new logos in the vertical. You may recall we highlighted a temporary softness in the payer segment due to the typical slowdown in deal decision making ahead of the open enrollment period and the impending US presidential elections in our last earnings call. Deal conversations have resumed actively over the last few weeks , and we expect closures on several of these deals in Q4.

c. Communications, Media and Technology (CMT)

We saw a 3 % QoQ and 14% YoY growth in this vertical in constant currency terms. We added one new logo in Q3. This has been one of our fastest growing verticals driven by Firstsource Solutions Limited

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expansion amongst marquee consumer tech logos with both traditional and non - traditional service propositions. During Q3, we added one of the largest consumer tech companies as a client for our AI services through a large deal. We now work with four of the top five consumer tech companies in the US. Overall, we see a healthy deal pipeline in this vertical that is well diversified across traditional media and communication players as well as new age tech companies.

d. Diverse

Our diverse portfolio grew 80% QoQ and 193% YoY in constant currency terms due to the full quarter impact of the Ascensos acquisition. We see a healthy deal pipeline in this portfolio in both the retail and utilities verticals which should translate into a broad - based growth in the coming quarters.

4. Geograph ical Commenta ry

In Q3, growth was well distributed with North America growing at 1.3% QoQ and 28% YoY in constant currency terms and Europe at about 22% QoQ and 28% YoY. We expect growth to remain broad -based across our three core verticals in North America. In the UK, companies are facing significant cost pressure that has led to clients increasingly exploring offshore or nearshore delivery options. We are seeing strong interest from clients to leverage our expanded nearshore capabilities in South Africa and Romania, with two of our existing large clients signing up in Q3. We are also seeing increased conversations around carve -out sales, leading to a significant build -up in our deal pipeline in Europe. During Q3, we also started execution on our deals with a telco major in Australia. We continue to see a strong deal pipeline in Australia and are optimistic on the growth in this region.

5. People

On the people's front, we added 1 ,246 net hires in Q3, ending with a total headcount of 34,144 firstsourcers . We have now added a total of 6,204 hires in the first nine months of FY25, compared to 2,929 during the same period last year. This robust hiring underscores our ability to meet business demands while maintaining a strong talent pipeline. Our trailing 12 -month attrition rate inched up marginally to 31.4% from 30. 6% reported in the last quarter. During Q3 FY25, we launched an enterprise -wide initiative to enhance skills on the GenAI and digital transformation side, where to date, employees have completed close to 150,000 learning hours. I a

Iso take pride in sharing

that Firstsource continues to thrive as a diverse and inclusive workplace, with women comprising 46% of our workforce.

6. Awards /recognitions and sustainability

I am happy to share that First source continues to be positively recognized by leading analysts for bringing significant value to clients and offering innovative technology solutions in our focus markets. During Q3, Avasant rated Firstsource as one of the top Firstsource Solutions Limited

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5 leaders amongst 15 top tier providers offering Mortgage Business Process Transformation services. ISG recognized us amongst 'The Booming 15' based on the annual value of commercial contracts awarded in the past 12 months. I am also proud to report that Firstsource achieved an ES G score of 81 by S&P Global that puts us in the top 99th percentile of the Dow Jones Sustainability Index of 2024 and amongst the top five in our peer group that includes both Indian and global IT and ITES services

companies.

7. AccunAI

Today, we have also announced a small tuck-in acquisition of a firm called Accun AI. Dinesh will provide you the financial details of the same. AccunAI is a Jaipur-based startup that is doing excellent work in the areas of AI development services. Their AI data engine has technology companies build and evaluate their AI models. We have been partnering with them for the past few months and decided to bring the platform in-house. We believe this improves our competitive positioning in the fast-growing market. I will now turn over the call to Dinesh to give a detailed color on the quarterly financials and related matters. I will come back to talk about our progress on the strategic priorities and the outlook for FY25.

8. Financial Performance

Dinesh Jain: Thank you, Ritesh, and hello everyone. Let me start by taking you through our quarterly financials. Revenue for Q3 FY25 came in at Rs. 21,024 million or US\$ 249 million. This implies a YoY growth of 32% in rupee terms and 30% in US\$ terms. In constant currency, this translates to a YoY growth of 28%. This is the highest growth YoY in terms of constant currency in the last 14 quarters. Our constant currency revenue growth over the nine-month period for FY25 is 22%.

Our operating profit was Rs. 2,333 million, up 37% over Q3 of last year, and translates to EBIT margin of 11.1%, same as normalized margin in Q2. We continue to keep our reported margin in a narrow band despite continued investment in our businesses. Our normalized margin in nine months for FY25 is also 11.1%, which is within our guided band for FY25.

Profit after tax came in at Rs. 1,603 million or 7.6% of the revenue for the quarter, implying a 16% QoQ and 25% YoY growth.

Our Q3 reported profit includes a net one-time gain of Rs. 88 million. This includes a writeback of Rs. 651 million for adjustment on contingent consideration payable for earlier acquisitions. While our combination is working well and the businesses are meeting their financial targets, the earn out was also linked to certain non-revenue or profit target which are unlikely to be met, hence this write-back. We also taken a charge of Rs. 284 million for change in estimate useful life of intangible assets from earlier

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acquisitions, and a one-time cost for a potential credit loss of Rs. 130 million with respect to certain customer contracts, and a special bonus provision of Rs. 150 million has been also done.

Other financial highlights

The tax rate was 20% for the quarter. For nine months also, we are about 20%, which is in line with our earlier guidance.

Reported DSO was slightly higher at 67 days in Q3, which is normally the soft collection quarter, especially in the US, versus 65 days in the Q2. We expect it to normalized by Q4.

We had a strong cash con

version in this quarter. Our FCF to PAT was 159% in Q3 and 78% for 9MFY25. Our cash balance, including investment, stood at Rs. 2.5 billion and our net debt was Rs. 10.2 billion at the end of Q3.

We continue to invest in expanding our execution infrastructure. In Q3, we have added new seats at capacities in Bangalore, Hyderabad, Mumbai, and the UK.

Our hedge book as of 31st December was as follows: We had coverage of GBP 74.9 million for the next 12 months, with an average rate ranging from Rs. 106 to Rs. 114 per pound, and coverage of US \$168 million, within a range of Rs. 85.5 to Rs. 88.5 to the dollar.

As Ritesh mentioned earlier, we announced a small tuck-in capability acquisition today. We have acquired a 100% stake in Accun AI, a provider of AI development services based out of Jaipur, India. It is a startup which is also a vendor to Firstsource for AI development services and crowdsourcing. We liked their capabilities and decided to bring them in-house for a total purchase consideration of Rs. 80 million, and this was a 100% acquisition.

I am also pleased to share that the Board has declared an interim dividend of Rs. 4 per share.

This is all from my side. I will hand over back to Ritesh to talk about our strategic priorities and outlook.

9. Strategic priorities and outlook

Ritesh Idnani: Thanks, Dinesh. As you know, the One Firstsource framework has been our north star for the strategy refresh in the organization over the last five quarters. I am pleased with the progress we are making on each of the 7 themes we have defined as part of this playbook and our success so far in translating this progress into business outcomes.
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Let me highlight a few client metrics. Over the last 12 months, our count of clients with over \$1 million, \$5 million, and \$10 million revenues has gone up to 3, 3, and 1 respectively. The share of revenues from our top five clients has come down to 29.2% versus 35.8%, and our top 10 clients to 43.5% from 52% in Q3 of last year. These are visible signs of the success of our initiatives to broad-base our revenues and build multiple growth engines. Our deal engine continues to do well ; Q3 marked the third consecutive quarter where we clocked three large deal wins. Our improved growth momentum is helping us gain market share against the basket of our closest globally publicly traded peers based on trailing four quarters reported revenues.

I have previously talked about our initiatives to reinvigorate our sales engines, our efforts to cross-sell or upsell our entire service portfolio, and how we are taking technology-led solutions to our clients. This quarter, I would like to share the progress we are making in expanding our capabilities and improving the visibility of Firstsource with analysts and prospects, both of which are critical to build resilient and durable business with industry-leading growth.

Over the past five quarters, we have made a meaningful realignment of our capability portfolio. This includes both identifying adjacent spaces to expand, organically and inorganically, as well as reimagining the market-facing value proposition of our existing capabilities with an anchor of being 'technology first'. Let me give you examples of each. We established our operations in Australia last year to expand our geographical footprint beyond the traditional markets of the US and the UK. We have seen early success ; you will recall our multi-tower large deal win from one of the largest telco companies in Australia. We followed it up with a win from one of the largest healthcare insurers in Q3 and have a healthy deal pipeline in the region. We expanded our near-shore delivery capabilities through the acquisition of Ascensos announced in September last year. It positions us very well with our clients and prospects, both in the UK and the US

, who are actively exploring economical outsourcing capacities in the same time zone and adds the capability to offer multilingual support to several of our large global clients, especially those in the consumer tech space. Ascensos also enables us to jump-start our presence in retail, a strategically important and fast-growing vertical.

At a relatively smaller but strategically equally important scale, our latest acquisition of our AccunAI expands our capabilities for AI services, especially to our consumer tech clients. We have also done a refresh of our CX portfolio with components of AI tech-enabled CX to drive a 10x improvement in both the customer experience and outcome delivery.

In healthcare, we expanded our capabilities by building a BPaaS service line that combines our operational capabilities with technology and systems integration capabilities of our partner ecosystem to provide a comprehensive and a solid value
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proposition to our payer clients. We have been able to build a strong deal pipeline in this area and are hopeful of meaningful conversions in the coming quarter.

While we make improvements to our front end and execution capabilities, it is equally important to consistently highlight these to industry analysts and our clients and prospects. We have been making significant investments in amplifying the Firstsource brand . To give you a perspective, we received 10 recognitions from five leading industry advisory firms for our market leadership in our chosen domain in CY24. This is twice of the five recognitions from three advisors we received in CY23.

What is more, we are going beyond the traditional set and amplifying our value proposition through innovative channels. For example, we have set up an Advisory Board comprising of industry veterans across business units to leverage their collective knowledge base and take their help to amplify the Firstsource brand across their access network.

We also hosted our first-ever client event in the UK that saw close to 100 CXOs

participating over two days. We are now gearing up for a similar event this month for our US -based clients.

Overall, I am pleased with the progress we have made over the last four quarters in each of the areas we have identified for a strategy refresh. What I find more encouraging is the growing client recognition of our efforts that I see in our deal wins and pipeline.

Business Outlook for FY25:

We now expect our revenue to grow in the range of 21.8% to 22.3% in constant currency terms. For operating margins, we expect a normalized FY25 EBIT margin, excluding one-time charges related to the acquisitions, to be in the 11 to 11.5% band.

This concludes with our opening remarks, and we can now open the floor for questions.

Operator, over to you.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press "*" and "1" on their touchstone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2".

Participants are requested to please use handsets while asking a question. Ladies and gentlemen, we will now wait for a moment while the question queue assembles. We have the first question from the line of Manik Taneja from Axis Capital. Please go ahead .

Manik Taneja: Thank you for the opportunity. I wanted to get your sense with regard to you made a remark that while you continue to win some of the larger deals, the ramp -up may not be in line with the way these deals have progressed in the past. It would be great to essentially understand in detail about that point.

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And the second question was for Dinesh. Some of these reversals as well as one -time costs that we have incurred in the current quarter, if you could dwell de

eper into which

acquisition does this impairment charge relate to? And similarly also talk about the special bonus that has been accounted for in the current quarter. Thank you.

Ritesh Idnani: Thank you, Manik. Let me just give you a flavor of some of the deal wins. So, if you go back in time, right, I think over the last five quarters, we have consistently had a series of large deal wins, and our pipeline has consistently trended upwards itself. The deal wins that we got in Q3 FY24 and Q4FY24, some of them started to yield results, and you started to see that in the revenue numbers come with maybe a one, two quarter lag, depending upon the specific nature of those deals itself . Each of these deals is different. Sometimes it requires an upfront assessment and implementation .

Sometimes it's a gradual ramp. Several of these deals have commercial models which are linked to the outcomes itself. So, they don't necessarily follow always a linear path. What we feel encouraged about is the momentum that we have with the large deal wins, and we think that it will follow a similar pattern to what's laid out for the deal wins that we saw in FY24 in the later part, second half, translating into the kind of momentum and growth that we saw in FY25. And some of the deal wins that we are seeing now, moving pretty much the same way going into FY26 as well.

Dinesh, you want to take the second question?

Dinesh Jain: Yes. So, Manik , this reversal which we are talking about, it pertains to the QBSS acquisition which we announced in the last quarter of FY24. And Board is happy with the performance and they are considering to give a special bonus this time to the employees across organization.

Manik Taneja: And the impairment charges also relate to QBSS?

Dinesh Jain: Impairment charges pertain to previous acquisition which we had done. So , it's not an impairment technically , its reassess ing the intangible pertains to the customer contract and reassess every point of time. It's like reassessing a goodwill, and I think the reassessment is already three years before acquisition , so we felt that some of the ir customers have not been got, what has to be delivered. But I think overall, all the acquisitions are delivering better than what we have thought of originally , except the mortgage acquisition, which you all are aware that due to the industry level changes, this has undergone a slight change. Otherwise , all are performing better, including the ones where we are taking a reversal, I think businesses are delivering more than what we estimated as revenue.

Manik Taneja: And the last one f rom my side, before I get back into the queue, we had in the past, we have been speaking about possibly targeting between 50 to 75 b ps of annual margin expansion beyond the phase of investment that we have done over the last 12-18

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months. Does that outlook still hold true for FY26? Is that how we should be thinking about? And also the expectation was that second half of FY25, we should start to see some of these margin gains play out. So, would be great if you could talk about that as well. Thank you.

Ritesh Idnani: So, let me first state at the outset that we do expect the 50 to 75 basis points playing out in FY26. So, in line with what we have consistently stated. And, what you are also seeing is the fact that with the kind of momentum that we are experiencing in the marketplace and the growth that's there, some of the investments that we made, we had to continue to move forward some of the investments that we are seeing with the growth that is there, some of it is the cost of growth etc. as well. But if you also see pretty much over the last two quarters, you are seeing about a 5/10 bps improvement QoQ from a margin standpoint while we continue to make those investments itself. So, I think wh

at you will see from us is, and I want to almost take a sneak peek into how we are thinking about potentially next year, we want to have industry-leading growth, but while we continue to expand margins as well, and I think that will be the storyline how we are thinking about the business going forward.

Manik Taneja: And also, probably second half should, the pace of expansion should continue, even in second half.

Ritesh Idnani: That's right.

Manik Taneja: Thank you, and all the best.

Moderator: We have the next question from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Yes, thanks for the opportunity. Couple of questions. First about the growth size, whether missing Ascensos, any seasonality because of the exposure to some of the vertical where December is usually strong quarter, because it is first time we integrated for the quarter, if you can view any seasonality playing out in this business?

The second question is about the vertical wide. If you can help us understand healthcare, we earlier indicated about some softness and delay in decision making. Are we witnessing now healthcare is doing better and between payer, provider, how things are playing out for us? And same if you can provide some sense about BFS, particularly sub-segment level, if you can give some further detail about the demand outlook across various segment where we operate and how things are playing out.

And the last question is about margin. Partly you answered, but if one wants to understand usual collection business seasonality playing out, typically between Q3, Q4 kind of thing, or do you think it can be a margin lever entering into Q4? Thank you.

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Ritesh Idnani: Thank you, Dipesh. Those were a lot of different questions but let me try and get to the verticals first and then I will come to the margin side. So, first and foremost, we are not splitting the revenue separately, but one of the things that you can see is that Ascensos, from a revenue standpoint, was there for the full quarter. What I can tell you is the revenue run rate in Q3 was similar to the previous quarter itself from Ascensos' standpoint. What you will also see is, as we are trying to build a business, given that we have a wide portfolio of businesses with presence across multiple verticals and multiple geographies, each of which has a different rhythm itself. So, there could be variations in quarterly performance depending on the trajectory in an individual vertical or geography itself. For example, we highlighted last quarter some of the pause in decision-making in the payer business ahead of the US presidential election. Some of those factors make it create temporary volatility itself. In Europe, given the current macroeconomic factors, we are seeing a significant interest in shifting work offshore. So, there are multiple factors that are influencing the kind of growth and what we are seeing in each industry vertical itself.

So, at the outset, what I just want to give everybody comfort out here is we are trying to build a business that's resonant, which is on a consistent upward trajectory. And you will see our growth will continue to be at a band, which is at the top end of the industry growth rate and I think we have demonstrated that again in the quarter itself.

Now, specific to the healthcare business itself, I want to just give you a few data points in terms of how we are thinking about the business itself, right? And I think it's just important to understand the healthcare business because the way we are approaching that vertical is interesting in a way. First and foremost, one of the things to bear in mind is that for us, one of the key guiding principles has been to have a balanced footprint between the payer and the provider side. And we think in terms of how we have built

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that business itself, that's one of the things that we have perhaps one of the best in the marketplace, that it's balanced between the payers and providers.

Number two, within each segment, it is broad-based across customers so that there is no dependency on a few clients. We are not a two-trick pony or a three-trick pony or stuff like that, but it is broad-based across multiple clients itself.

And number three, we are bringing tech and AI-induced capabilities to solve customer problems. That is what has fueled the growth that we have experienced in the healthcare vertical by over 31% YoY this year so far. And we have had multiple large deal wins in this space. We continue to see a very strong and healthy deal pipeline that's well distributed across clients. We talked about the introduction or modernizing of the offering that we had around the BPaaS side, and that's another area that we think is going to see some convergence in the quarters to come and those are some of the areas that we feel pretty good about from the Healthcare standpoint. Going to the financial services business itself, one of the things if you recall again, we wanted to try and see how we can minimize the dependence on the macro itself. So, while we can't

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eliminate the impact of the macro, but as you can see, interest rates have continued to hold pretty high. The 30-year mortgage since the end of September has continued to rise up again. It's now holding close to 7%. If you look at the Fannie Mae data, about 80% of the outstanding fixed rate mortgage loans are still at 5% or less from an interest rate standpoint. So, it's very clear that refi volumes are unlikely to come back very quickly, and anybody else who is selling you otherwise is probably smoking something else. But if you look at the new housing market, affordability continues to remain stretched. So, overall the macro environment continues to remain uncertain. So, what have we tried to do? We have tried to broaden our portfolio, both in terms of the profile of our clients and the nature of the work that we do for them. They're consciously working to increase, for instance, the share of servicing in our portfolio, which had a higher indexation to the origination side. We have tried to cross-sell from our collection service line into other areas of the business, both on the asset and liability side of the P&L, and that's yielding results. We are adding more new logos and we have built out for instance, the financial services team in North America and that's yielding results. And you will see some of that again. It's probably also the reason why we have added several new logos in the financial services vertical as well. So, overall, I think from a vertical standpoint, we feel good about what we see right now across the growth and that's why you are seeing more broad-based growth across the industry verticals itself. So, just remind me the question on the margin side.

Dipesh Mehta : So, typically on margin collection business, seasonality we used to see in the past, which helps your BFS business into this quarter. So, whether those kind of seasonality benefit also likely to play out?

Ritesh Idnani: You know, this is one we continue to have a very strong and robust capability on the collection side of the house. And it's one of the reasons why I think our integrated capability across first party collections, third party collections, legal collections, all underpinned through a digital collections platform, which is AI and ML infuses yielding results and is allowing to win many logos in the marketplace, as well as expand our footprint in existing accounts. What I will say though is that, I mean, if you take the US market, the US consumer is continuously very resilient. So, you expect that with delinquencies having gone up and all the

se macro indicators that I am sure you are tracking far better than we are, there should be a bearing on the business itself, but it's interesting how some of these things don't necessarily play here. What we are trying to do therefore is to say, can we continue to expand our footprint in the collections business, can we continue to add new logos, and some of that is what is playing out and also contributing frankly to the growth that we're seeing also in the financial services vertical as well.

Dipesh Mehta : Thank you. Dinesh just one question on cash generation. If I look 9 months, our EBITDA growth and OCF growth, OCF growth is far more muted compared to EBITDA growth. If you can help us understand puts and takes there. Thank you.

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Dinesh Jain : I think it was the impact of the first quarter where DSO was very high. I think that was one of the reasons.

Dipesh Mehta: Whether that impact will persist even for the full year or because that time you said it will reverse , but 9 months is still weaker , so you expect it to reverse in Q4 or that impact will be there in the full year?

Dinesh Jain : No, I think it will get normalized in Q4 .

Dipesh Mehta: For the full year , OCF to EBITDA will be normalized kind of thing?

Dinesh Jain : Yes.

Moderator: We have the next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes, hi. Thanks for taking my question and congrats on another solid quarter performance, Ritesh, to you and your team. Ritesh, my question was, I think you partly tried to answer that and I am sure we did this a lot on the overall impact that we are expecting of, let's say, the GenAI and of course the new versions that are coming up in the market in a very frequent manner. I think the initial understanding was that yes , a lot of the BPO transactions or work might be impacted because of the GenAI adoption , but our growth has definitely kind of outshone that and definitely I think it's proven that even in this business there are multiple things that we can do. How are you seeing the trajectory going forward? I mean, in terms of client conversations, are we able to basically get incremental more work like data centralization and all , which is helping us grow in that business? And do you believe that in some part of that cycle, maybe not in the next few quarters, maybe sometime, let's say, maybe over the next 1, 2, 3 years, there would be some cannibalization of revenue. Net -net, we might again go back and grow again in revenues, but do you see some cannibalization of revenue happening to our business or the industry business at some point of time. Any color on that is really helpful ?

Ritesh Idnani: So, thanks, Vibhor, for the question. You are right, the buzz over DeepSeek over the last 2 weeks, I think, crystallized for many people a few important trends that I think have been happening in plain sight .

1. China is catching up to the US in the generative AI side with implications for the AI supply chain.

2. Open-weight models are commoditizing the foundation model layer, which creates opportunities for application builders . And that's what creates in some sense, I think the competitive mode and a source of differentiation.

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3. And scaling isn't the only path to AI progress , so despite the massive focus and hype around processing power, I think what we're also seeing is that algorithmic innovations are rapidly pushing down trading costs .

So, my sense is that if you think about this from a broader AI perspective, and then I will talk a little bit about DeepSeek itself specifically. AI is going to continue to blur the line between BPS and technology services itself and as in the case of any industrial revolution, we are in the early stages of adopt

ion. What we are seeing today is that a

human who leverages AI for their day -to-day work will replace a human who doesn't use AI. So, that's why for us, from our vantage point, making sure that our entire workforce is AI ready becomes extremely critical. We also think that some of the routine simple tasks, the lower end of BPS services will potentially get cannibalized , but new business opportunities as is the case with any technology revolution will be far bigger. We are already seeing that with data, AI, ML operations, analytics will be our new frontiers to expand our business using AI. And today, for instance, in fact, one of the reasons why we brought in the capability that Accun AI brought in-house is precisely because of this data is a lifeblood of artificial intelligence, but a lot of the data is unstructured , AI systems find it difficult to use that data straight off the bat. So, there is a big demand for services to provide enterprises with data that have been correctly annotated prime for training models itself . And today I think we're seeing significant growth with three of the top five consumer tech companies in the world for AI services. In Q3 , we added a fourth logo to that list. What we are doing, Vibhor, is we are bringing consciously AI and automation in every solution. At our size and scale, what it allows us to do is to be the challenger to incumbents, and the combination of deep domain and technology contextualized to the domain, I think is allowing us to take, share, and win against the larger players. At the same time, if you just take the CX market as an example, a large part of that addressable market is still in -source. So, our view is that the percentage of outsourcing will go up there, but it will happen in a nonlinear fashion. And I think that creates an opportunity for deep domain tech players like us to lead and potentially grow at a faster pace.

The last point I would also call is that we have been modernizing our existing platform, infusing them with AI. So, in the last earnings call, you might recall, I talked about how we have a digital collections platform where we have infused AI to drive hyper-personalization with empathy first mindset. Last quarter, we also talked about an investment in building a mortgage domain-centric language model specific to the mortgage process. And this is the kind of stuff that is, I think, creating competitive differentiation and also allowing us to win in the market place. So, for instance, the language model that we have got specific to mortgages is actually reducing the cycle time related to pre-qualification formal loan applications. So, it's allowing us to use that combination of domain and tech to win against undifferentiated players at the smaller end of the spectrum and larger players who may be reluctant to move as quickly from an agility standpoint. Specific to the developments of the last two weeks, we take DeepSeek as an example. We are a services provider, we work with multiple technology

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platforms and partners itself. We work with some of the closed models, we work with some of the open-source models as well. And I think there we are seeing a significant amount of traction. We're also doing a lot of interesting work now around the agentic AI side as well. So, we have got an inventory of use cases where we think the agentic AI capabilities can be brought to the forefront. Earlier this week, I was with a customer where we showcased which parts of the processes can be done using AI agents. Now that's the kind of thought leadership that I think is creating a difference also in the marketplace. Overall, we continue to be net positive with everything that's happening because we think we can move rapidly and nimbly and respond to the developments in the marketplace and have specific solutions which build

up our domain.

Vibhor Singhal: Got it. So, would it be also correct to say that the, if I look at the vertical wise, the verticals which are more B2C focused, like you mentioned consumer tech or the BFSI or even retail, these are the verticals which are probably ahead in the race of using the, I mean, trying to implement these solutions than the typical Manufacturing and the other Energy B2B segments from the industry knowledge that you would have, not just sticking to the process?

Ritesh Idnani: So, let me just give you a flavor. Certainly, a lot of the consumer-facing industries, there are opportunities that are there, and it comes down to every individual customer and their level of maturity in that AI adoption curve itself. But if you think about two broad flavors of how we are playing that market:

1. Number one, through the capabilities that we have from our crowdsourcing and the data engine, ingestion that we are able to do, we are able to support a lot of the consumer tech companies who have their own AI models and we are able to provide the necessary data that feeds into those models. So, that's one way to play it, what I will call is loosely the AI infrastructure side.

2. The other is the AI for business, which is the application layer itself. And that's where you'll have different combinations of things that we are seeing. You might do examples of something maybe in healthcare or maybe the claims side of the house. And you say, hey, maybe some of this can be touchless, no human in the loop for certain parts of the value chain. You might be able to do something on the provider side around appointment scheduling.

So, I think there is an inventory of use cases that we're working with and we're taking those propositions to the marketplace. Several of them either in the B2C or the B2B2C side, which are I think resonating deeply with our customers and prospects.

Vibhor Singhal: Got it. And just lastly, it would be fair to say that we are well past the POC stage and many of the projects in this AI as well as agentic AI space are already revenue generating?

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Ritesh Idnani: So, what I will say is almost everything that we are responding to today in the marketplace has AI embedded in it as a capability. Some of the deals that we are winning and the consistency with which we are winning these large deals is because we have AI embedded in the way we are going to reimagine the process and transform the operation for our customers.

Vibhor Singhal: Got it. Thanks for taking my questions. And wish you all the best.

Ritesh Idnani: Thank you, Vibhor.

Moderator: Thank you. The next question is from the line of Rahul from Dolat . Please go ahead.

Rahul: Hi. Thanks for the opportunity. I think a similar question has been asked, but it would be good if you could help me out in terms of understanding a slight bit of seasonality for the Ascensos business , because it seems you are saying the run rate has remained similar, but if you look at some of the metrics, it suggests there is a far bit more traction. So, is there something more that we should calibrate from a seasonality point of view or it is more a uniform business from a sequential basis?

Ritesh Idnani: No, I think look there has been some seasonal uplift in volume , but then there is also some of the business that was there in the UK itself which is more near shore etc. which kind of neutralized it , so I wouldn't read anything further into that which is why from our vantage point we are seeing from a run rate standpoint, it is pretty much in line with what you saw the previous quarter.

Rahul: And the growth profile of the business was not really exciting when we acquired this business. So, is there anything meaningful that you would have done to stimulate that?

Ritesh Idnani: So, let me take a step back and talk about th

e rationale of the acquisition from the

Ascensos standpoint and what it brought to them and where we are starting to see value levers for growth . So, number one, if you look at the Ascensos service delivery footprint, it was UK, South Africa, Romania, Trinidad, and Turkey. They did not have a footprint in India, Philippines, Mexico. I think that is an opportunity that has gotten created where the ability to take some of those newer locations where we have critical mass and scale has been an opportunity for the clients of Ascensos . I think that's an opportunity.

The second one has been centered around some of the front -end consulting capabilities that we have been able to bring to the Ascensos customers. I will give you an example, we're doing a lot of work around journey mapping and re -imagining the process for several of those clients itself. And that I think is yielding results just in terms of positioning Ascensos even more as a valued partner to those customers. I mean, they were doing phenomenal work with these clients. They were great at the brilliant basics. And now I think we're able to showcase that additional value add for them to change or rethink the way these processes are run. And here I am talking about the end clients .

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The third is I think on the technology front, and I think just the inventory of things that we have, our GenAI studio, the ability to talk about agent ic AI for different parts of the retail value chain. Where's my order? What are you doing on the refunds and cancellation side? Some of that thought leadership is also percolating across to the Ascensos client base as well. So, a combination of all of these elements, I think is creating momentum to the Ascensos client portfolio as well.

Rahul: Yes. And given that we would be doing a very strong organic growth as well in this year, other than, of course, the inorganic contribution. Going into 26, you think there is a need for the constant inputs coming from the inorganic side of the strategy, or you think for now it could be more about consolidating what we have and grow on its own?

Ritesh Idnani: What I will say is that it can never be one or the other. It's always an and kind of strategy.

So, obviously we want to continue to grow the business organically, but you can't build a business based on acquisitions only. So, it's not like we are going out there and saying we are going to hit growth numbers based on acquisitions. I think you start with organic growth, but at the same time, keep looking for opportunities that come either proactively or reactively on your plate and then saying, hey, is there a fit? Is there something that's relevant, so on and so forth . I think that's the way we are trying to architect and build a business. What I will say is that we're not looking to do acquisitions for revenue sake. If you look at all the three acquisitions that we have done in the last one year, each one of them has addressed a specific capability which has been accretive or value accretive to us. And that will continue to remain the philosophy going forward as well.

Rahul: Right. I mean the question was more in the context that it's like almost three in one year.

So, one thing is that it is an important, do we see it as an important thing? I am sure nobody do acquisition for sake of it. My question is, is it like a, it's an important tool that your strategy has to boost the growth? And wherein the organic opportunity and inorganic opportunity both need to be seen to understand what should be the growth compounding from a 3, 4-year perspective. Or it could say acquisiti on would be more a chance event and organic growth is a more defined strategy?

Ritesh Idnani: So, again, as I said, when we are architecting a business plan and we're planning for not just next year, but two years out, three years out, etc. , o

ur growth strategy is

completely centered around what we can drive in the business organically. That being said, acquisitions are binary in nature. Either they happen or they don't happen. You can't plan for a business and a target and a goal based on acquisitions itself happening. So, I think the safe way to think about it is that we will continue to build the business with organic growth. At the same time, acquisitions will be relevant if they plug a capability gap, etc. but as I am sure you understand, a lot of stuff has to come together for an acquisition to happen, it is not just about a capability gap. There has to be a value and a cultural alignment, and so on and so forth. So, these things are binary in nature. So, from my vantage point, I am thinking about this, and our entire leadership team is thinking about this more in the context of saying can we build an industry-leading Firstsource Solutions Limited
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business and do it on the back of organic strategy, and at the same time keep looking opportunistically if there's something that allows us to continue to build out our capability gaps, if any, so that we continue to be relevant in the domains in which we operate. Rahul: Right. And last one from my side, from a profitability improvement perspective, we are seeing that there is going to be a certain increase in profitability that we see. But just to see from a more comforting area of leverage that you see, can you highlight one or two easy picking for you where you say, okay, these are areas where you can straight away see a margin improvement will happen going into next fiscal?

Ritesh Idnani: So, I want to give you one example straight away of how we are thinking about margins, right. And it's probably important to take a step back and say over the last four or five quarters, what have we been doing? We have invested in broadly three areas. The first was in expanding our sales and account team, and our sales team has grown by over 50% over the last 12 months. We have largely done in this area. So, we will continue to add or make changes as we see the need. The second is on the capability side, where we are doing both leadership hires as well as beefing up our solutions team. In fact, we have accelerated some of these investments, especially around modernizing our services portfolio by infusing AI and automation. We talked about some of this in the last quarter when we detailed specifics around RelAI, and our language model of our mortgage services.

The third area that we're doing, spending time on and investing heavily is in amplifying the brand in expanding our relationships and visibility in the industry analyst and advisor community itself. This does not change the trajectory of the 50 to 75 basis point improvement that we expect every year over the medium term from next year. But if you think about one lever, just I want to take you back to Q2 of last year, where our onshore revenue was roughly about 74% and our offshore revenue is about 26%. If you look at where we are today, for Q3 of FY25, that's changed to 60% coming from onshore and 40% going from offshore and nearshore side. That is a meaningful shift. And we think that there is still an opportunity out there. As that plays out, I think you are going to get margin expansion. We're also looking at our employee pyramid and how we staff our project delivery teams. Technology, AI, and automation are changing the way support functions get done. And I say support functions in the context of the work we render to our customers. This is not about the corporate support functions. There are opportunities there to centralize, automate, offshore roles that are relevant as well. We're using automation and AI in our onboarding and training processes to improve speed to competence. All of these, when they all come together, I think among other areas, and

and I am not even detailing all the value levers, but we have got about 24 value levers that we are tracking closely, which I think gives me a high degree of comfort on the 50 to 75 basis points.

Rahul: Right. Just double-clicking on the point, you mentioned. So, one thing is, of course, the mix of the new business that we have acquired as a very big offshore or near-shore Firstsource Solutions Limited
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kind of a thing. But the thing on the like-to-like basis also are business that used to have before this. We'll also see a meaningful shift on the offshore delivery side.

Ritesh Idnani: I think if you look at this, a lot of our existing customers, a substantial part of that incremental growth is coming offshore and nearshore. The service delivery capabilities that we have, the geographical footprint that we now have is a tremendous asset. At the same time, I think one of the things that hold us in good stead is the end-to-end capability that we can offer, particularly in the regulated markets in which we operate.

So, I don't want to take away from the in-country U S, UK, Australia footprint that we have, because I think there is a strategic value to that. But at the same time, I think the ability to increase the offshore and nearshore business at a much faster clip, I think it gives operating leverage.

Rahul: Sure. Thank you for the elaborate answer. That's it from my side.

Moderator: Thank you. Ladies and gentlemen. We have the next question from the line of Girish Pai from BOB Capital Markets. Please go ahead.

Girish Pai: Thanks for the opportunity. Ritesh, you mentioned that if I heard you right, you said that FY26, you are going to have industry-leading growth, and I think that you are talking about organic growth here. Industry growth itself, now that the budgeting cycle is probably done for 2025 amongst your clients, do you think it will be 1.1x, 1.3x, or 1.5x? What is the kind of industry growth pickup that you see in 2025 or FY26? That's question number one. Second, you mentioned that you are going as a challenger in the GenAI projects and taking away projects from incumbents. Are the incumbents not self-cannibalizing or not pushing back or providing their own set of solutions through platforms and stuff like that? Just these two questions.

Ritesh Idnani: Let me quickly respond to the first one, which is, I think we have not made any specific comments about FY26, but I think we will provide more color once we come up with the Q4 numbers and close out FY25. And at that point in time, I think we will provide more perspective. But I gave you a directionally how we're thinking about FY26. Related to the second question, Girish, we are seeing some interesting dynamics playing out. In some instances, the larger incumbents may not be agile and nimble and as responsive to client needs at the point when they arrive. Sometimes it's because they want to be mindful about protecting their existing business, so they're playing on defense and they're reluctant to cannibalize their own revenues. And that could be one of the factors. Some of the larger players that we're dealing with are going through their own internal trials and tribulations with large acquisitions that they have done and they haven't necessarily sorted through all the post-merger integration challenges that come with it. And that forces a lot of these organizations to be insular as opposed to market inside out rather than being outside in. I think these are just two anecdotal things that we're seeing out there in the marketplace that is allowing us to compete, hold our own, and punch above our weight against some of the larger players.

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Girish Pai: Okay, thank you very much.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial.

Please go ahead.

Abhishek Kumar: Hi, good evening. Ritesh, just one question from my side. You mentioned that in the payer segment within your healthcare vertical, there was some slowdown because of the open enrollment period. I mean, that is a bit contrary to what some of your other pure play healthcare peers have said, I mean, they're generally a volume pickup because of the open enrollment period. So, I am just trying to understand the contrast here. Are we into different service lines which doesn't get any benefit from the pickup in volume in Q3? Any color will be helpful here. Thank you.

Ritesh Idnani: Thank you, Abhishek for the question. I am not going to comment on other companies, but I do want you to understand that different companies have different business priorities and different operating spaces in which they run their business. And I talked a little bit about this in terms of giving some perspective. Our intent for our healthcare business is

1. To build a portfolio that is balanced between the payers and the providers
2. Within each segment it is broad-based across clients so that there is no dependency on a few clients
3. We are able to bring tech and AI induced capabilities to solve client problems

This has helped us grow our business by over 31% YoY this year so far. And we have had multiple large deal wins in this space. We continue to see a strong deal pipeline that's well distributed across clients, and so on and so forth. There are segments within this vertical like open enrollment, and you are right, where that naturally gives an uptick in volumes, but we have taken a conscious call to keep our exposure calibrated because volumes in this space could be unpredictable, right, and create a seasonality element to it. What I also want to add is that we can afford to do so because we don't have a concentrated client portfolio.

Our business is far more diverse in terms of the playing field itself. So, we have a choice, and that choice allows us to play the market more selectively than maybe some of our

peers are able to do. And I think that's what I think is probably the operative word in terms of how we have seen the segment play out. But which is why we feel very good about the vertical. We see a very strong pipeline. We think there are going to be some very interesting conversions in this space. So, we feel pretty good from an outlook perspective.

Abhishek Kumar: Thank you and all the best.

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Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Ritesh Idnani for closing comments.

Over to you, sir.

Ritesh Idnani: Thank you for joining the call and for all your questions. I just want to close with a few points. We are on track with our revamped go-to-market strategy. You are seeing that in the numbers. We continue to remain laser focused on building a resilient, durable business with industry-leading growth. And our growth, as you can see, will be industry-leading in FY 25.

Our sales engine is working well. We had three large deal wins in each of the last three quarters. And in spite of that, our Q3 closing deal pipeline was amongst the highest ever. We are adding larger relationships and mining our existing relationships better. There is an increase in the count of our 1 million, 5 million, 10 million plus revenue clients from a year back. Our revenue concentration with our top 5 and our top 10 clients is also down by 7% and 9% respectively, and broad basing that revenue and adding strategic logos, we think creates more opportunities and more headroom for growth. Our improved and expanded capabilities portfolio is resonating well with our clients and prospects. And finally, our revised FY25 revenue growth guidance of 21.8% to 22.3% keeps us in the top decile

for the industry. That's all from our side. I look forward along with my colleagues to interacting with you again in the next quarter call. Thank you again for joining the conversation.

Moderator: Thank you. On behalf of First source Solutions Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2025

2nd May 2025

To:

National Stock Exchange of India
Limited (Scrip Code: FSL)
Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex
Bandra (East),
Mumbai - 400 051 BSE Limited (Scrip Code:
532809)
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board of Directors on 28th April 2025

Please find enclosed the transcripts of the Analysts earnings call conducted on 28th April 2025, after the meeting of Board of Directors held on 28th April 2025, for your information and records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the Company's website, at
<https://www.firstsource.com/investor-relations/>

We request you to take the above on record. Thanking you, For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

FIRSTSOURCE SOLUTIONS LIMITED
Q4FY25 EARNINGS CONFERENCE CALL
APRIL 28, 2025

MANAGEMENT:
MR. RITESH IDNANI,
MD & CEO
MR. DINESH JAIN
CFO
MR. PANKAJ KAPOOR
HEAD STRATEGY, IR & ESG
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Moderator: Ladies and gentlemen, good day and welcome to the Firstsource Solutions Limited Q4 FY25

Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

On this call, we have Mr. Ritesh Idnani – MD and CEO; Mr. Dinesh Jain, – CFO; and Mr. Pankaj Kapoor – Head of Strategy, Investor Relations and ESG to provide an overview on the Company's performance followed by the question-and-answer session.

Please note that some of the matters that we will discuss on this call including the Company's business outlook are forward-looking and as such are subject to known and unknown risks. These uncertainties and risks are included but not limited to what the Company has mentioned in its prospectus filed with SEBI and consequent annual reports that are available on its website.

I now hand the conference over to Mr. Ritesh Idnani. Thank you and over to you, sir.

Ritesh Idnani: Thank you and good morning, good afternoon, good evening depending on where you are joining us from. Hello everybody and thank you for joining us today to discuss our financial results for the fourth quarter and full year FY25.

I am pleased to share that this has been a milestone quarter for us; we achieved an annualized revenue run rate of US\$1 billion delivering this four quarters ahead of our aspirational goal of Q4FY26. Also, the incremental revenue we added in FY25 was more than double the cumulative addition of the previous three years. We are humbled by these achievements, and I would like to sincerely thank each one of our 34,651 Firstsource rs around the world, whose passion and commitment to consistently deliver value to clients, helped us reach these milestones.

1. Q4 & FY25 Results

Our Q4 revenue grew by 29.4% YoY and came in at INR 21.6 billion. In US \$ terms, the growth was 24.3% YoY and 0.4% QoQ at US \$250 million. In constant currency, revenue grew 2.1% QoQ to close a tad above US\$250 million. The EBIT margin for the quarter was 11.2%; this is higher by 10 basis points and 20 basis points on a QoQ and YoY basis respectively. Our net profit was INR 1.6 billion and the diluted EPS was INR 2.28 for the quarter.

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For the full year, our revenues grew by 25.9% in rupee terms and 23.3% in dollar terms.

Our constant currency revenue growth was 22.6%, above the higher end of our guided band of 21.8% to 22.3% that we have provided in Q3FY25. Our EBIT margin for FY25 excluding one-offs was 11.1% within our guided range of 11% to 11.5%. Our PAT for FY25 stood at INR 5.94 billion, a growth of 15.5% over last year on reported basis.

2. Deal Wins

In Q4, we signed five large deals. As you are aware, we consider a deal with ACV of over \$5 million as a large deal. Overall, we won 14 large deals in FY25, including four deals that are over US\$10 million of ACV, this is the highest we have had in the history of the company. Our total ACV intake in FY25 was also the highest ever.

I believe the strength of our deal wins both in numbers and scale, reflects our success in leveraging our deep industry and functional expertise, our partnerships in the technology ecosystem, and our ability to proactively bring automation and AI into the mix, that's resonating well with clients and prospects.

Let me give you an example of the same:

We won our largest deal in healthcare this quarter from one of the mid-market health plans in North America. This happens to be a new logo for us as well. This is a five-year business process as a

service or BaaS deal for us with an ACV well over \$50 million in steady state.

I would like to emphasize that several of our large deal wins, including the BaaS deal I just referenced are transformative in nature and have a staggered ramp up curve that's different from standard deals. Hence, while they add to our longer range growth visibility, their conversion into reported revenue happens over an extended period of time. You may want to factor this in your annual revenue growth expectations.

Let me now highlight a “Few other notable wins during Q4”:

- We won a large deal from a global leader in financial technology solutions in the U.S. for both CX and back-office Services.
- We also won additional business from a trusted provider of employee benefits and pensions administration in the UK with a large deal for transforming their contact center operations.

- We were selected by one of the Top10 healthcare payers in North America, an existing client , for ensuring accuracy and compliance of claims processing.

I have spoken earlier about our plan to leverage the near shore footprint that came to us through the Ascens os acquisition with some of our large existing clients. In Q4, we expanded our relationship with one of the leading media and entertainment companies in Firstsource Solutions Limited

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the UK and among our top five clients with the large customer support deal that would be delivered from South Africa.

During the quarter, we also added 7 new logos including two strategic logos. As you are aware, we define a strategic logo as one where we see the potential of at least a US\$5 million annual relationship. In FY25, we added 43 new logos, which include d 12 logos that we consider as strategic.

3. Vertical Commentary

a. Banking and Financial Services

In Q4FY25, our BFS vertical was up 5% QoQ and 12% YoY in constant currency terms. We added one new logo in this vertical in Q4. The growth was driven by ramp up in the recent deal wins and the seasonal strength in our collections business. As you are aware, we have been focusing our efforts in this vertical on broad -basing our presence in existing clients and expanding our footprint into adjacent segments. To support this , we have strengthened our sales and solutions teams and are now bringing a wider set o f capabilities to the table. We are starting to see the impact of all of these efforts in the marketplace. The new logo we added in Q4 came through a large deal , and our exit pipeline for the quarter is about 20% higher than where we were a year back. This gives us confidence in sustaining healthy growth in this vertical in FY 26.

b. Healthcare

In Healthcare , we saw modest sequential growth in Q4, largely due to the lingering effect of the deal -decision -making pause we mentioned in Q2. The good news is that the momentum is clearly picking back up. We added four new logos in this vertical and closed the quarter with multiple large deal wins, including a couple that are highlighted earlier in the commentary. In fact, Q4 was a record for us in terms of ACV won in this vertical. What's working well here is our ability to proactively stitch together cr eative , nonlinear deal structures, the kind that really resonate with customers, especially given the tough environments that they're operating in. The BPaaS deal I mentioned earlier is just one illustration of the same. As you will note, even with some softness in the second half, this vertical grew 30% YoY in FY25. We expect that momentum to carry forward into FY26 as well.

c. Communications, Media and Technology (CMT)

Our CMT vertical delivered 6% growth QoQ and 12% YoY in constant currency. We added two new logos in Q4. This has been one of our fastest growing segments, thanks to strong traction amongst leading consumer tech brands, both within our traditional offerings as well as some of our n

ewer non -traditional solutions. We continue to see a well-balanced pipeline here, spanning traditional media and communications players as well as digital -first and new-age tech compan ies.

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d. Diverse

Lastly, coming to our "Diverse Portfolio ," which comprises of our Retail and Utilities business . We saw a 9% QoQ decline in constant currency terms , primarily due to seasonal softness in the retail business. We see a healthy deal pipeline in this portfolio in both the retail and utilities verticals, which should translate to a broad -based growth in the coming quarters.

4. Geographical Commentary

From a geography perspective, North America grew at 3% QoQ and 30% YoY in constant currency terms. We expect growth to remain healthy and broad -based across our three core verticals in North America. Europe was down 3% QoQ , mainly due to the seasonal softness in our UK -centric retail business. Clients in the UK are navigating a fair bit of macro uncertainty currently, and that's pushing them to move faster towards offshore or nearshore models. We have secured significant incremental business from two of our large UK clients

to be executed out of South Africa over the last two quarters . We're seeing similar interests from others as well , although these conversations typically take time to convert. Our pitch for transformational programs is also resonating well with clients and prospects. I spoke earlier of a large transformational deal win in Q4 from a UK based pensions administrator. Australia continues to perform well for us , with strong growth on the back of recent deal wins. During the quarter, we also opened our onshore delivery center in Melbourne and launched a dedicated AI Innovation Lab . The lab will collaborate with universities on AI, engineering, robotics and digital initiatives . Overall, we are optimistic about our trajectory in this region.

5. People

We ended FY25 with a total headcount of 34,651 Firstsource rs after adding 507 net hires in Q4. For the full year, we brought in 6,711 new hires compared to 4,922 in FY24 which is reflective of the strength of our deal pipeline as well as delivery ramp -up. Offshore and near shore hires made up 80% of our gross additions, which aligns with the demand shifts we have been talking about. Attrition continues to improve ; our trailing 12 -month attrition rate dropped to 29.8% in Q4, down from 31.4% last quarter and we expect this trend to continue. We're also investing heavily in upskilling. We delivered over 200,000 digital learning hours during the year, covering areas like GenAI, automation and domain -specific skills. Internal talent mobility is another area we have prioritized, and over 2,500 internal moves were made under our internal seeding initiative in FY25. Finally, I am proud to share that Firstsource was recognized among India's top 50 Best Workplaces™ for Building a Culture of Innovation by All by Great Place to Work®. It's a great validation of our people -first approach.

6. Awards/recognitions and sustainability

I am happy to share that Firstsource continues to be positively recognized by leading analysts for bringing significant value to clients and offering innovative technology solutions

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in our focus markets. During Q4, Everest Group recognized us Amongst the Front Runners for Gen. AI in the healthcare sector. ISG once again recognized us Amongst the Booming -15 Based on the Annual Value of Commercial Contracts Awarded in the past 12 -Months . I am proud to report Firstsource was included in the prestigious S&P Global Sustainability Yearbook for the second consecutive year , this time with an even greater impact , earning recognition as an "Industry Mover" and achieving a "Top 5% S&P Global CSA Score" amongst the 7,690 companies

assessed during 2024 -25. We were also awarded the "Silver Medal " in the 2025 Eco Vadis assessment . With an overall score of 71 /100 we ranked in the 91st percentile globally, placing us amongst the top 15% of the companies worldwide for excellence and sustainability. These recognitions underscore a collective effort of every member within our organization, and we remain steadfast in our commitment to operate responsibly and sustain ably.

With that, let me turn over the call to Dinesh to give a detailed colour on the quarterly and annual financials . I will come back to talk about our progress on the strategic priorities as well as the outlook for FY26.

7. Financial performance

Dinesh Jain: Thank you, Ritesh and hello , everyone. Let me start by taking you through our quarterly financials . Revenue for Q4FY25 came in at INR 21.6 billion or US\$250 million. This implies a year-on-year growth of 29.4% in the rupee term and 24.3% in US\$ terms. In constant currency, this translates to a YoY growth of 25%. We reported operating profit of INR 2.4 billion in Q4FY25, up 32.4% over Q4FY24 and translates to EBIT margin of 11.2%, up 10 bps sequentially and 20 bps on YoY basis. Profit after tax came in at INR 1.6 billion or 7.4% of the revenue for the quarter. Our Profit after tax grew 22.6% YoY and 6.1% QoQ adjusted for the non -recurring items reported in the earlier quarters.

Annual performance

For fiscal year FY25, our revenue stood at INR 79.8 billion or US\$944 million. This implies a Year -on-Year growth of 25.9% in the rupee term and 22.6% in constant currency terms that was a little above our guided band of 21.8% to 22.3%. Our operating profit was INR 8.8 billion, up 26.5% over FY24 and translates to EBIT margin of 11.0%. Adjusted for the one -time charges in Q2FY25, our EBIT margin for FY25 was 11.1%, within the 11 -11.5% range we had guided previously. Profit after tax for FY25 stood at INR 5.9 billion. This translates to a year -on-year growth of 21.7% adjusted for non -recurring items.

Other financial highlights

The tax rate was 20.3% for Q4. For FY25, the effective tax rate was 19.7% within the previously guided range of 18 -20%. We expect it to be in 19 -21% range in FY26.

DSOs stood at 70 days in Q4. There were some delays in collections in a couple of accounts all of these were subsequently collected in the first two weeks of April. Normalized for that, our DSO would be 67 days.

Our cash balance, including investments, stood at Rs 2.2 billion at the end of Q4. This is after the dividend payout of Rs 2.8 billion during the quarter. Our net debt stands at Rs 13.2 billion as of 31st March 2025 versus Rs 10.2 billion as of 31st December 2024 and Rs 6 billion as of 31st March 2024.

We added new seating capacities in Hyderabad, Bangalore, Philippines and Australia in Q4. Our capex in FY25 was more than double that of FY24, as we prepared the execution infrastructure to fulfil the order wins. To give a perspective, we added over 7,000 seats in FY25, versus 2,000 plus we added in FY24. We will continue to invest in creating additional capacities in FY26 as well given the strength of our executable order book and pipeline. RoCE for FY25 is 15.6% versus 15.4% for FY24.

Our hedge book as of 31st March 2025 was as follows: we had coverage of GBP 74.6 million for the next 12 months with an average rate of Rs 110.3 per Pound and coverage of US D 167.1 million with an average rate of Rs 86.1 per US\$.

This is all from my side. I will hand our call back to Ritesh to talk about our strategic priorities and outlook .

8. Strategic priorities and outlook

Ritesh Idnani: Thanks Dinesh. As you know, the One Firstsource framework has been a north star for the strategy refresh in the organization over the last six quarters. I am pleased with the progress we are making on each of the seven themes we have

defined as parts of this playbook and

our success so far in translating this progress into a business outcome is evident in the consistent improvement in key client and deal metrics.

In the last four quarters, we added thirteen clients with over US\$1 million in revenue, five with over US\$5 million, and two with over US\$10 million. The share of revenues from our Top 5 clients has come down to 29.4% versus 36.4% and Top 10 clients to 43.7% from 52.6% in Q4 of last year. Our strategy to position ourselves in new accounts as a challenger to the existing ecosystem by bringing in a differentiated technology -first solution is working well. I would like to highlight that of the 14 large deals we won in FY25, 5 of them were from new logos. This includes the BPaaS deal I spoke of earlier. These are visible signs of the success of our initiatives to broaden our revenues and build multiple growth engines.

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Our deal engine continues to do well; we ended FY25 with five large deal wins in Q4 after clocking three large deal wins in each of the previous three quarters. The combined ACV of deal wins in FY25 was up over 60% versus last year and our exit deal pipeline is higher by over 30% versus Q4FY24.

Our improved growth momentum has helped us gain almost half a percent of market share over the last four quarters against the basket of fifteen of our closest global publicly traded peers, based on trailing 4 quarters reported revenues. This is a testament to the focus we have put in place over the last 6 quarters to use our strong foundation to take advantage of the market opportunities being created by the ongoing macro and technology shifts.

AI and other emerging technologies have potential to fundamentally reshape the BPO industry, and the macro uncertainties are only accelerating the pace at which enterprises globally are adapting to this change and demanding a similar response from their partners. We believe AI can potentially turn the traditional business model of the BPO industry on its head, because it shifts the axis from labor arbitrage to technology arbitrage. The traditional labor-linked strengths like large scale global delivery centers, optimized employee pyramid and shared services factories could become weaknesses. And just a token use of AI and automation for incremental productivity gains will not help. In our view, companies who will be able to pivot their entire business model to the new axis will be the net gainers from this shift. Thus, size will be a critical success factor. As past experiences show, both very large and sub-scale companies find it difficult to adapt to such transformative changes in the industry model.

At a billion-dollar revenue run-rate, we believe we are at the right scale to be the disruptor. We are large enough to drive a significant impact for our clients, yet agile enough to innovate

rapidly. Unlike our larger peers, we are not restrained by excessive bureaucracy or legacy operations, allowing us to proactively capitalize on AI -driven advancements and emerging industry shifts. To this end, we announced last month our UnBPOTM playbook, that is our blue print of how the new order would look like and how we are preparing ourselves to succeed in that.

For example, today, we are proactively creating responses to RFPs with solutions that have AI and automation at the core and where we partner with tech companies to bring the latest platforms to complement our domain and process knowledge. The BPaaS deal I spoke of earlier or the work we are doing at ETS are just two examples of this. In my previous conversations with you all, I have highlighted how we have transformed our training program to make it aligned to an individual's learnability instead of a one -size-fits-all structure. Overall, the UnBPOTM playbook reimagines the BPO business model from every angle with

the AI lens through its ten tenets. In the two months since its launch, we have seen a very
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strong interest from clients and prospects, many of whom have asked for follow -up workshops with their senior leadership teams to explore the tenets and assess their preparedness for the UnBPOTM model. The radical thought process behind UnBPOTM has also improved our visibility with industry analysts, several of whom have published extensively on the concept and are amplifying it with our target audience.

Overall, I am pleased with the progress we have made over FY25 in each of the areas we have identified for a strategy refresh. What I find more encouraging is the growing recognition of our efforts that I see in our deal wins and pipeline and with the UnBPOTM playbook, we are getting mindshare right at the CXO level among our clients and prospects. All these are critical ingredients to build a resilient and durable business with industry leading growth.

Outlook

Finally, to the FY26 business outlook. We expect our revenue to grow in the range of 12% to 15% in constant currency terms and our EBIT margin to be in 11.25% to 12% band in FY26.

This concludes with our opening remarks, and we can now open the floor for questions.
Operator, over to you.

Moderator: Thank you, sir. The first question comes from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Congrats to the Firstsource team for a very solid quarter yet again. Ritesh, my question was on a couple of remarks that you mentioned in your opening prepared remarks. You mentioned that our size at US\$1 billion is probably the perfect size. We are large enough to drive changes in a client's portfolio and yet small to be agile enough. Does this revenue size also work in our favor in an environment like this in which there is an overall macro overhang and more of vendor consolidation? Do you think at this point of time relatively smaller players like us tend to lose out? Or do you think with our capabilities we are able to mitigate that as well?

My second question is basically on the overall demand environment. We are almost one month into Q1, probably one of the most uncertain quarters that this industry has seen because of the tariff situation. Any color on what the client conversations are looking like , is there more of indecision and delayed decision making?

Ritesh Idnani: Thanks, Vibhor, for your questions. Let me start by addressing the first comment that you made, which is around size. Look, one of the things that we have been consistently saying is that we are not that small that we don't get a seat at the table, and we are not that large
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that the banks of bureaucracy come back to bite us. And I think that has held true in the way we have operated and executed in the current environment. Again, one of the things we have consistently said is the current environment has scope for divergent growth. We are not immune to macro headwinds, but I think one of the things that we are doing is we are engaging with our clients, highlighting our strengths, keeping our focus on execution. And I think that's what's helping us to continue to win in the marketplace.

In fact, we have been winning consistently against larger players as well as undifferentiated players of which this industry has a longer tail and is gaining market share. For example,

the large deal we won , a new logo in Australia was against several large players. What we are doing, and this is what honestly is helping us, is bringing our capabilities to the forefront . Building on the deep domain experience that we had, the inch -wide multi strategy, proactively going to our existing accounts and expanding footprint. Our new logo hunting is also a lot more structured now. And all of this is a

combination of all these factors that I think is allowing us to hold our own and we think that opportunity continues to exist in the current environment as well.

Your second question was related to the macro. Let me just state one thing , I think we have been seeing macro duality for some time now. I think it's just the degree that has gone up, particularly over the last four, six weeks or so.

Few things to bear in mind. One is that the BPM services are not as linked to discretionary spend as the traditional IT services. And that would also therefore have an impact on what we see and say about the environment versus what our IT services peers might end up saying. And while clients have been cautious, I also think that we are finding that they are moving actively on programs where they see scope for meaningful cost optimization not just by leveraging, offshoring, but also by reimagining the process itself and bringing elements of technology arbitrage to the forefront.

We have sized that opportunity and continue to engage with both our existing clients as well as new logos with solutions that create value for them. At our scale, we believe that the outcome of such conversations will have a higher impact on our growth than the macros itself.

Vibhor Singhal: Got it . That was really helpful. Also, the weakness that we saw in the retail segment was that very much client and seasonality specific as you called it out? Or was there also some overhang of the tariff related uncertainty that we have seen with other companies in the retail sector?

Ritesh Idnani: No, I think at least from our vantage point and for the cohort of clients that we service, this was just a regular seasonality that you see in the retail business.

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Vibhor Singhal: Got it. Thanks for taking my questions and wish you all the best.

Ritesh Idnani: Thank you, Vibhor.

Moderator: The next question comes from the line of Girish Pai from Bo B Capital Markets. Please go ahead.

Girish Pai: Thanks for the opportunity. So, FY26 guidance of 12% to 15%, how much of this is inorganic? And if you can just look back on FY25, can you just split that into the organic and the inorganic piece?

Ritesh Idnani: So, I think if you look at the guidance itself, I am not going to comment on the math, but let me give you a flavor of what is sitting in the guidance itself, and I think we will get into the specifics out there. We have give or take from our vantage point, the 12% to 15% is the range at which we have provided. That guidance today is based on what we see is our line of sight for the business over FY26 as we see today and it does not build any changes in the macro environment itself. And what also it includes is, you know, it includes some of the deal wins that we have had, but we have also been saying that several of our last deal wins, including the BPaaS deal I spoke about, are transformative in nature and have a staggered ramp -up curve that's different from standard deals. So, those are some of the variables that have gone into the guidance itself. And what I will say is we are not making any assumptions on the macro variables on which we have no influence. But those are some of the things that have gone into the actual numbers itself.

Girish Pai: No, I wasn't, okay, I was asking about inorganic elements to both the FY26 guidance as well as FY25 performance. How much was that?

Dinesh Jain : We have around 3% which have been factored in the FY26 guidance and for FY25 it was around 7% as part of inorganic.

Girish Pai: Okay. Ritesh, how did Q4 of FY25 pan out? I mean, when the quarter started, were you expecting a certain number from a revenue perspective? Did the final actual numbers meet your expectations or were they higher or lower?

Ritesh Idnani: I think we feel good about where we entered the quarter at. And let me just

take a step back,

I mean, if you look at this in the context of a full year itself basis, our Q4FY25 at a billion dollar run rate business was four quarters ahead of guidance. So , we obviously feel very good about the fact that we exceeded the guidance that we had provided to all of you in terms of performance itself.

The way we looked at Q4, we knew going in that we have a wide portfolio of businesses with a presence across multiple verticals, multiple geographies, each of which has a different rhythm. Example, you might recall we spoke in October last year about the pause in decision-making in the healthcare-payer business ahead of the U.S. presidential elections. And that had a lag effect on the revenues in this vertical in the last two quarters. But if you look at the deal wins and the deal momentum, they were fairly strong. Similarly, if you look at in Europe, we saw a significant interest in shifting work, which again we had talked about, which would cause some deflation in reported revenue growth. Likewise, in retail, we knew that the January to March quarter after the November-December holiday period would be a seasonally soft quarter in the retail market itself.

So, I think we had baked in all these elements when we had provided guidance. And relative to what we have provided in the guidance at the end of Q3, I think we feel good about it because at the end of the day we are trying to build a business which is resilient, which is on a consistent upward trajectory. So, you will see our growth will continue to be at a band which is at the top end of the industry growth rate. And that's what we feel good about.

Girish Pai: Okay. My last question is regarding visibility on the guidance you have given of 12% to 15%. The current ACV or TCV that you have clocked till 4Q, will that be good enough for you to deliver the lower end of the band or do you think you need to win more deals going into FY26 for you to deliver that lower end of the band?

Ritesh Idnani: So, look, the guidance band of course is influenced by multiple things, right? For example, how we see the pipeline converting, the pace of ramp up of deals that we have won, etc. While it would be difficult for me to quantify each variable for you, but what I would like to emphasize is that our guidance is based on what we are seeing today in our business. What we are not making any assumptions as I stated earlier is about the macro variables over which we have no influence. And I am guessing that that's what you are trying to get a flavor, but we feel good about what we see at this stage.

Girish Pai: Okay, thank you.

Moderator: Thank you. The next question comes from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Hi, thank you for the opportunity and congratulations once again on a steady performance. I basically had a couple of questions. One was with regards to our segmental margins if I look at the CMT vertical in particular. This is vertical, if I understand correctly, you are going to see significant offshoring at your largest customer and some of which would basically translate to better margins. But if I look at the progression of margins in this vertical through Firstsource Solutions Limited

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the course of FY 25, we have only seen margins come off. So, if you can talk about what's driving that.

And the second question is with regards to our growth outlook across industry segments. If you want to take a stab across which verticals will lead growth, if you could give us some sense in terms of which other industry segment that you would expect to lead in terms of contribution in FY26?

Ritesh Idnani: Thanks, Manik, for your question. On the CMT side, I would just state that some of what we saw out there is the cost of growth. We had a bunch of deals

, new logo signings, etc. and

some of the initial ramp-ups that need to happen to get the deals in steady state and so on and so forth is really what depressed the margin, if you will. But otherwise, we don't see anything out there that is a cause of concern. I think it will get back to where it needs to. That's the simple response that I would give on CMT.

On the growth outlook for FY26, the first comment I would make is that we are seeing this across the board, all industries, I think will end up growing. And they will grow at a reasonably healthy pace. So, it's not that we are seeing one grow more than any of them being laggards, if you will. We think the healthcare business will provide us meaningful growth. Some of our work in the utility space will grow, but it's on a smaller base, so the percentage growth will appear higher. And that's what we end up seeing in terms of business. But at the same time, financial services will continue to hold steady for us from a growth standpoint, as will be our CMT business as well.

Manik Taneja: Sure. Could you talk about the broad split-up of your CMT vertical across the traditional

telecom and media customer base, as well as new consumer tech logos that you basically made inroads in the course of the last 18 -24 months? So, my question was with regards to the broad construct of the CMT vertical. Historically, this was a business which was largely related to traditional media and telecom customers. Over the course of the last 18 to 24 months, you have made headway with consumer tech customers. If you could give us some sense as to how the broad split up between these two categories of customers would be right now?

Ritesh Idnani: Got it. So, we don't provide a breakup between the three sub-segments itself, if you will, within the CMT vertical. But what I can tell you is that today we are seeing growth in all the three segments. The tech segment is growing at a faster pace just by virtue of the fact that it's on a smaller base of revenue relative to the telco and the media side of the house. But we have a very active pipeline deal conversion in the telco and the media side of the house as well, apart from growth in existing accounts. So, I think all three segments will grow. Tech will grow at a faster pace.

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Manik Taneja: Thank you and all the best for the future.

Ritesh Idnani: Thank you, Manik.

Moderator: The next question comes from the line of Shradha from Asian Market Securities. Please go ahead.

Shradha: Congrats Ritesh, on a very strong execution once again in this quarter. Couple of questions. We have seen through all quarters of FY25 that we followed a beat and raise kind of a strategy wherein we raised guidance all through all quarters of FY25. While I understand that macros are volatile, but given the kind of exit pipeline that we are sitting at, so do you think there is some conservatism baked into our FY26 guidance as well?

Ritesh Idnani: So, again, I just want to provide some element of the philosophy that was there. If you go back in time to FY25, I think it was critical for us to provide and create a degree of predictability and certainty to the business itself. And that kind of played out in the way we started the beginning of the year when we guided it to 10% to 13% and then it ended up being a beat and raise itself. And it was important to create that degree of trust in terms of being able to consistently deliver and eventually achieve industry-leading growth. Obviously, when we provided guidance in this environment today, what I will say is that we had a good set of deal wins, as you heard from the commentary in Q4. We are exiting the year with a good pipeline. We are confident of converting some of that also in the current quarter trajectory for FY26, but given the transformative nature of some of these deals that

flow into the reported revenues will be over several quarters. So, at least what we are trying to do is, you know, when we look at the guidance band, we are trying to say it's influenced by a set of variables for how we see the pipeline converting the pace of ramp up of deals that we have won. It's difficult for me to quantify each and every variable, but what we are trying to do is to ensure that our guidance is based on what we are seeing in our business today.

We are not making any assumptions about macro variables over which we have no influence. And we remain focused on building a business model that's consistent and predictable growth trajectory. And that, in a nutshell, is what has gone into the 12% to 15% number itself.

Shradha: That's helpful, Ritesh. And secondly, on the deals that we have closed in this quarter, and given that you have called out that there is a staggered ramp of schedule of these deals, so just wanted to check, is there any upfront investment or employee take over kind of a thing also in any of these deals? And how should we look at the margin profile of the large BPaaS

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deals especially and the other four deals that we have closed? Are they in line with the company average or how should we look at the initial margin flow of these deals?

Ritesh Idnani: Yes, so as is the case with several of the large deals, you end up having some puts and takes, there would be some upfront investments that would come into play, etc. But we do expect that these deals would certainly be in line with the company expectations from a margin standpoint.

Shradha: Right. And in that context, when we talk of almost 100 bps improvement in our FY26 margins, and given the fact that we have already seen a 900 bps improvement in our offshore mix in FY25 itself, so what are the levers in hand that we are trying to pull up to get

to the guided margin band in FY26?

Ritesh Idnani: Yes, so Shradha, I think there is a lot of work that we are doing. And if you look back at just the last three quarters, and the thesis that we were executing on FY25 for us, the FY25 storyline was industry -leading growth and range -bound margins because we knew we had to invest in the business itself. And obviously, we were doing cost takeout on the other hand to improve margins, which we could then reinvest back in the business. And that's how the margins ended up being relatively stable its elf, if you will.

If you look at the last three quarters, you start seeing an upward trajectory coming in, in the margin story itself where we went from 11 % to 11.1 % to 11.2 % over the last three quarters. And we believe that, you know, there is an opportunity with all the different areas that we are working on to continue to expand the margins itself. Now, where is that going to come from, obviously, we expect some more right -shoring will lead value ; we are working on stuff that we can do on the transformation side within o ur existing accounts itself in terms of what we can do from an automation, AI, process excellence perspective. There is opportunity around the operational parameters itself, things we do around the quality and workforce management side. There are some accounts which are low margin and what we can do to continue to shore up margins in those accounts is an opportunity ; how can we rationalize the talent cost ; what can we do around pricing and change requests ; how can we further bring down attrition and reduce shrinkage in the business , there are some policy changes that we have done ; some facilities that we will let go of, which are spare capacity.

So, it's a combination. It's a pretty comprehensive plan. We have got roughly about 37 margin levers which sit under these nine broad buckets that I called out. That essentially is the margin walk, if you will, that we are working on as a company to try a nd get

to be in the
11.25% to 12% range.

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Shradha: That's great. Thanks, Ritesh. And if I can squeeze in one last question for Dinesh. So, any thoughts on the debt position? How are we looking at reducing our debt over the next few quarters, a year?

Dinesh Jain: All cash flows to the debt repayment. That's the only thing I can say.

Shradha: Got it, got it. Yes, okay. Thank you.

Moderator: The next question comes from the line of Dipesh Mehta from Emkay Global Financial Services. Please go ahead.

Dipesh Mehta: Thanks for the opportunity. Couple of questions. First, I think I missed the FY26 acquisition contribution, which you said. So, if you can clarify what the number was . On the business side, I think if I look, let's say cash generation, it remained fairly weak , 58% OCF/ EBITDA conversion compared to our traditional closer to 65 -75% kind of range. So, if you can provide some sense o n how one should look OCF to EBITDA.

Second about healthcare. Provider business was soft for some time. Can you provide some sense about how provider business is doing for us, considering the deal intake as well as pipeline?

Another question is about decision making velocity. We have a very strong deal intake this quarter. But things have worsened in the last few weeks. So, whether we are seeing any implications because of it on decision making velocity, which could have rami fications for Quarter 1, Quarter 2 deal closure? If you can provide some sense around it. Thanks.

Dinesh Jain: Inorganic c ontribution to the acquisition for FY25 was 7% and for FY26 guidance it will be around 3%. And EBITDA to cash conversion, as I mentioned in my opening remarks , there are two clients where we have a slight delay. Otherwise, our normalize OCF to EBITDA is 65%. And we are confident that I think going forward also, it will be around that level or slightly better.

Ritesh Idnani: And on the remaining two questions, let me give you some flavor on the provider business itself in terms of what we are seeing out there and where the opportunity set could be. So, the first thing to bear in mind is that look, if you take the healthcare overall market in the U.S., then it's just important to bear this in context, right? Roughly about US\$4.8 to US\$5 trillion of spend, growing at about 5.2%, 5.3% on a CAGR basis for the next 4 to 5 years. And some of those are secular themes, ageing population, increased spend, etc., which is contributing to that growth that is playing out.

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If you take the addressable market for us, in that give or take, that's roughly about US\$200 billion from a TAM standpoint. Of that US\$200 billion, if you break it out, roughly about US\$120 billion is on the payer side, about US\$80 billion is on the provider side. If you further break that down into the degree of penetration that is there, both the markets, the payer market is a little bit more penetrated at 22% to 24%. The provider market is hovering around 19% to 20% or thereabouts.

The secular theme playing out on the provider side is where a lot of physicians are becoming part of large hospital health systems. So there is an opportunity with our full-service capability in the revenue cycle management side to capture and be a beneficiary in any consolidation efforts that continue to play out because there are very few players who cut across the front office to mid office to back office of the revenue cycle management value chain itself. So that's an opportunity that is there. Second is, we are again 1 of the few players who've got both capabilities on the physician side as well as on the hospital system side as well. A lot of players end up getting indexed to one versus the other. So that gives us an opportunity. And third is we are using a tech-led approach out there for different

steps

in the value chain, and we think that that again plays to our benefits. Take something like autonomous coding or what we are doing around areas like denials management, where we are using AI-based denial management before something even comes through in the system itself.

Some of these are challenging the traditional labour-intensive methods that have been used. And we think all of that actually plays well for us in terms of growing the business itself. And that's the reason why when I think somebody else asked a question, how do you see growth playing out for FY26? I said we expect all our verticals to grow, but we expect healthcare to lead the way in some sense.

Your next question was related to decision-making. So the commentary I would make is that one, the discretionary side of the house is probably the area where obviously you start seeing almost an immediate impact, but then a substantial part of our business is annuity recurring business of which we have greater visibility. And that's why you might end up hearing commentary which is different than what some of our traditional IT Services peers might be saying. That said, look, we are not immune to any of the macro headwinds. We are watching it very, very closely as well. We are engaged very deeply with all our existing customers. And at this stage, we are trying to see how we can help them and use the current environment actually to our advantage to provide them proposals which allow them to create operational efficiencies further in their business.

At the same time, also use the opportunity to potentially take advantage of some of the technology shifts that are happening, particularly on the AI side, and allow them to be a beneficiary of the same. So that's at least how we are playing the current environment in

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terms of interacting with our customers. Be very vigilant, stay close to your customers and keep going back to them with ideas on what else they can do. And I think that certainly helps us in the current environment.

Dipesh Mehta: Yes, thanks for detailed answer. I have one question if I can squeeze on the BPaaS deal which you referred. You said about, let's say, it is transformational in nature and that's why ramp up is slightly different. Can you help us understand what the variables are, let's say, as a part of ramp up? And how should one look at it?

Ritesh Idnani: Yes, so this is a unique deal in a way where we'll be managing the core administration processes end-to-end in a BPaaS construct, where we are managing a consortium of partners. And this is in line, again, with the UnBPOTM tenant where we said we can't do it all ourselves, but we will be the orchestrator who's managing a symphony of partners to deliver an end outcome to customers itself. In this context, the customer has 4 lines of business which will transition from their current technology landscape to the one that we are going to build over the next 24 months in a phased manner. The contract has a non-linear construct in the form of a Per-Member Per-Month (PMPM) model. So you will see the revenue flow-through also happen accordingly in this fashion. So that is a little bit of color related to the transaction itself. And that's the reason why, even in my initial commentary, the comment that at least we ended up making is that these deals have a staggered ramp-up curve that's different from standard deals and it's something that you may want to factor, when you are assuming the annual revenue growth expectations itself.

Dipesh Mehta: Thank you.

Moderator: Thank you. The next question comes from the line of Shalini Gupta from East India Securities. Please go ahead.

Shalini Gupta: I have a few questions. One is that what is the view on staff cost? For example, when you hit a top line of US\$1 billion plus, then by how much do you expect staff

costs will go up?

Because I understand you may have a bench and you may want to utilize the bench a little more, things of that sort. So by how much do you expect the staff costs to go up on a broad basis? My second question is what is the utilization rate? And the third question is why is the revenue per employee falling?

Ritesh Idnani: So first and foremost, Shalini, as you said, you may not be completely familiar with the Firstsource business. We would love the opportunity to come and talk to you separately about it, and give you a little bit more color on what we are doing. But let me give you some flavor .

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The BPO business, some of the questions that you asked, I know are very pertinent, especially in the context of the IT Services side. But if you take the BPO business, it's a business where you don't keep a bench, typically. You hire only when there is a definitive order on the table. So it's not a business where you're looking at keeping a certain percentage of people on the bench, waiting for business to come through, so on and so forth.

The second is, and therefore, that should address the staff costs and the utilization piece, but also the business model is shifting where the traditional metrics that have been used in the industry around linking revenue to headcount, every person you add in a linear manner creates revenue, those paradigms are shifting meaningfully. We already see a large part of our business being in a non -headcount -based model, which is more outcome -based or some other form of a non -linear construct, whether it's contingency -based, a gain -share model, so on and so forth. And therefore, those metrics may not necessarily hold true.

The third question that you have, which was related to the revenue per employee falling, I have to look at the actual numbers, but if you look at the last 4 to 5 quarters, we have consciously increased the percentage of workforce that we have in offshore and near -shore locations, which come at a lower revenue realization than what you'd see typically in -country in the U.S. or U.K. or Australia itself. So that's by design more than anything else.

Shalini Gupta: Yes. And could you just say by how much do you expect your staff costs to go up in FY26?

Ritesh Idnani: I think we'll come back to you offline on that. I am not sure the context of that specific staff cost to go up. End of the day, we've provided guidance in terms of how much we expect revenue to go up by. We have also provided guidance on our EBIT line as well. So obviously, there is a bearing in terms of how different other components play out itself, but we'll catch up offline on this.

Shalini Gupta: Yes sir. Thank you.

Moderator: Thank you. The next question comes from the line of Girish Pai from BOB Capital Markets. Please go ahead.

Girish Pai: Yes, so we've had 4 good quarters from an order -in-flow perspective, 3 large orders in the first 3 quarters and 5 large orders in Q4. What's the outlook going forward, because you said the pipeline was up quite a bit by the exit quarter of FY25?

Ritesh Idnani: So I think one of the things that you heard me say as well is that over the last 4 quarters, we've been making a very focused effort to rev up our sales engine. I've spoken at length about it as well, and that I think is what has allowed us to build a consistent flow of large

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deals every quarter. We've been very conscious about also is to exit the quarter with a very healthy pipeline, and we remain focused on improving the odds of conversion itself. So I think just basis that, we feel pretty good about sustaining or in fact, continuing to take advantage of the deal pipeline and hopefully continue to win a meaningful number every quarter as well.

So, I think the other data point that I had also

mentioned in my initial commentary is that the

combined ACV of deal wins in FY25 was up over 60% versus last year. And our exit deal pipeline is higher by over 30% versus Q4 of FY24. So , if I just look at those as metrics itself, those are good lead indicators of how we see FY26 also playing out.

Girish Pai: Okay. My last question is regarding seasonality. Will there be a 1H versus 2H kind of

situation, 1H being better than 2H or something like that?

Ritesh Idnani: See, one of the thing to bear in mind is, in the past, if you look at it, our 2H used to be stronger and our 1H used to be traditionally, if you leave aside FY25, but prior to that, I think what we have tried to do is that, is to build a business that's resilient, that's on a consistent upward trajectory. So you will see that our growth continues to be in a band, which is at the top end of the industry growth rate.

Obviously, some of the retail seasonality will play out in Q4 of every year, just because of the nature of what it is. But I think one of the things that we have tried to do is to ensure that we account for the variations in quarterly performance that would happen, depending on the trajectory in an individual vertical or a geography, and still continue to have growth in a band, which is at the top end of the industry growth rate. I think that in a nutshell is what we are striving towards. So rather than saying 1H or 2H will play out in a certain way, we want to make sure that we are just creating that sequential predictability in the business itself.

Girish Pai: Okay, thank you.

Moderator: The next question comes from the line of Jalaj from Swan Investments. Please go ahead.

Jalaj : So, my first question was with regards to the discussions you've had with the clients in the last one month or so, has there been a difference in the outlook or the way they are discussing the new deals or the ramp ups specifically? And an added question to it would be, has there been a deceleration of pipelines or growth per se, sizable in the last 15, 20 days or the 1 month?

Ritesh Idnani: So let me respond to the second question first. No, we have not seen a deceleration in the pipeline over the last one month.

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On the first question, we continue to remain very, very close with our customers, talking to them every day. I mentioned it a little earlier as well. Our objective is to try and see how we can continue to align with their strategic priorities. There is a degree of uncertainty. Plus several of them operate in businesses which may be subject to some of the macro headwinds more directly. One of the things that I think is important to bear in mind is that the traditional BPM businesses does not have the same kind of discretionary pressures as what the IT Services side has. And therefore, you might end up seeing some of the discretionary projects being the first off the block.

At the same time, there's also a huge AI overhang because everybody knows that they've got to try and get onto the AI bandwagon and re-imagine their entire business model itself and how they run their processes. So those conversations continue in full swing. And I don't think any of that is changing, because I think a lot of clients know that they have to do that to continue to remain relevant.

So from our vantage point, our objective is to continue to take those dialogues to them, on a continuous basis itself. But we've watched this very closely. That's where I will leave it at, at this stage.

Jalaj : Understood , thank you. And this is with regards to margin and when I see that the offshore revenue, there has been a sizable jump in the last two years in the offshore revenue, if I am comparing year on year, basically, still it has not percolated to the margins. So I know partially it is because of the investments, but would you believe that this should start

showing

up in the coming quarter? Or what would it take to get the margins to move up from there?

Ritesh Idnani: So I think I responded to this a little while back. I talked about some of the levers that are value unlocks that are there from a margin standpoint. And if you look at the year gone by, the thesis was very clear. We wanted to deliver industry-leading growth while keeping range-bound margins, because we knew it was important to invest in the business. So there was almost a conscious effort to do that. And if you look at, as you rightly said, if you're taking more work offshore, it should be margin accretive. But the fact that we were investing in the business, there was a conscious effort to try and use the margins, to try and build out some of the investments that we needed. There was an effort to take out costs, so that we could create and expand the go-to-market team, which in turn is then contributing to the revenue growth that we are enjoying. At the same time, if you look at the last 3 quarters, we've already started to string together a story where there has been consistent margin expansion. The 11% went to 11.1% and 11.2% for Q4 of FY25. And we think with the 37 margin drivers clubbed under 9 odd initiatives, we have a very clear plan on how we can achieve the 11.25% to 12% band that we have provided for as well. So, look, several of the things will play out as I mentioned earlier.

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Jalaj : Sure. One last question , so the 12% to 15% growth, what would it take to reach the upper end of the band and the lower end, as in what assumptions have gone in? I understand that macro is not a key variable here, but what are the assumptions for both the ends of it? Just wanted to understand that.

Ritesh Idnani: So look, I am not going to comment on the specific math, but let me give you a flavour again of the guidance philosophy, right? It's based on our line of sight of the business over FY26 as we see today. It does not build any changes to the macro environment. And as far as the deal wins are concerned, one of the things that are there, several of our large deal wins in the recent quarters, including the BPaaS deal I referenced, they are transformative in nature. They have a staggered ramp up curve. And while these deals give you better, longer term growth visibility, their conversion into reported revenue happens over an extended period. So that's one of the things to bear in mind.

We also had a good set of deal wins in Q4. We are exiting the year with a good pipeline. So we are confident of converting some of that also in the current quarter. Those large deal wins give us a good visibility on the growth trajectory for FY26. But given the transformative nature of those deals, their flow-through into the reported revenues will be over several quarters. That's one thing to bear in mind. But I think we feel good about some of the overall metrics that are there in the business itself, with the ACV uptick that has happened, the deal pipeline being substantial, all of which should allow us to give us a good sense of visibility to the 12% to 15% number that we have provided.

Jalaj : Thanks a lot.

Ritesh Idnani: Thank you, Jalaj .

Participant: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Ritesh Idnani for the closing comments.

Ritesh Idnani: Thank you for joining the call and your questions. I just want to close with a few points. We are leading the industry in revenue growth. We closed FY25 at a US\$1 billion exit revenue run rate, four quarters ahead of our earlier guidance. Our incremental revenue addition in FY25 is more than double of what we added in the previous 3 years. Our sales engine is working well. We had 5 large deal wins in Q4, including the largest ever deal in healthcare in the h

istory of the company. We totaled 14 large deals in FY25, and our total ACV intake in FY25 was the highest ever. We are adding large relationships and mining our existing relationships better. There is a significant increase in the count of our US\$1 million, US\$5 million, US\$10 million revenue clients from a year back.

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Our top 5, top 10 client concentration is down by 7% and 9% respectively over the last 1 year, reflecting the broad-based growth in our portfolio. Our longer-term aspirations are intact. We believe that our FY26 revenue growth guidance of 12% to 15% should keep us in the top decile of the industry. We remain laser-focused in improving our margins by 50 to 75 basis points each year and bringing them in line with our peers over the next 3 to 4 years. That's all from our side, and we look forward to interacting with you again in the next quarter call. Thank you all.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Firstsource Solutions Limited, that concludes this conference. You may now disconnect your lines.

Call: Aug 2025

1st August 2025

To:

National Stock Exchange of India
Limited (Scrip Code: FSL)
Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex
Bandra (East),
Mumbai - 400 051 BSE Limited (Scrip Code:
532809)
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board of Directors on 30th July 2025

Please find enclosed the transcripts of the Analysts earnings call conducted on 30th July 2025, after the meeting of Board of Directors held on 30th July 2025, for your information and records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the Company's website, at
<https://www.firstsource.com/investor-relations/>

We request you to take the above on record. Thanking you, For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

FIRSTSOURCE SOLUTIONS LIMITED
Q1FY26 EARNINGS CONFERENCE CALL
JULY 30, 2025

MANAGEMENT:
MR. RITESH IDNANI,
MD & CEO
MR. DINESH JAIN
CFO

Firstsource Solutions Limited
July 30, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Firstsource Solutions Limited Q 1FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded .

On this call , we have Mr. Ritesh Idnani – MD and CEO ; Mr. Dinesh Jain, – CFO to provide an overview on Company 's performance followed by the Q&A .

Please note that some of the matters that we will discuss on this call including the Company 's business outlook are forward -looking and as such are subject to known and unknown risks. These uncertainties and risks are included but not limited to what Company has mentioned in its prospectus filed with SEBI and consequent annual reports that are available on its website.

I now hand the conference over to Mr. Ritesh Idnani. Thank you . And over to you , sir.

Ritesh Idnani: Thank you. Hello, everybody. Thank you for joining us today to discuss our Financial Results for the first Quarter of FY26.

Before I start with the discussion on our quarter performance, I would like to thank each one of our 34,495 Firstsourcers around the world whose passion and commitment to consistently deliver value to clients gave us a healthy start to FY26 and keeps us on track to deliver another year of industry -leading growth despite macroeconomic and geopolitical uncertainties.

Our Q1 Result reflects continued progress on our strategy refresh in the organization over the last seven quarters. Our revenue grew 23.8% YoY and came in at Rs.22.2 billion. In U.S. dollar terms, the growth was 20.7% YoY and 3.6% QoQ at US\$259 million. In constant currency terms, our revenue grew 1.6% QoQ and 19.2% YoY. EBIT margin for the quarter was 11.3%, up 10 basis points QoQ and 30 basis points on a YoY basis. Our net profit was Rs.1.7 billion and the diluted EPS for the quarter was Rs.2.4. This now marks seven consecutive quarters of sequential revenue growth and four consecutive quarters of margin expansion.

Coming to the business highlights .

1. Deal Wins

In Q1, we signed four large deals. As you are aware, we consider a deal with AC V over \$5 million as a large deal. Our total AC V intake in the quarter is amongst the highest over the last five quarters. Let me highlight a few of those deals:

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- One of the leading dental health plans in the U S selected First source to transform their claims and contact center operations, leveraging AI.

- Firstsource was also selected by one of the largest provider -sponsored health plans to provide member contact services across multiple states.

- A leading regional medical center in the U S chose First source to provide consulting and RCM services to help them improve their billing and collections processes.

During the quarter, we also added 17 new logos. This is the highest addition of new logos in a quarter over the last three years and along with continued traction in our large deal wins, underlines the strength of our revamped go -to-market engine, our deep industry and functional capabilities, and our ability to bring automation and AI into the mix that is helping us gain market share even in an uncertain environment. What is more , the new logo addition is happening at a larger scale. The average deal size from the new logos has increased by 16% over the last four quarters.

Our new client additions in Q1 include nine strategic logos. As I have stated in the past, we define a strategic logo as one where we see the potential for at least \$5 mn+ relationship , and we run a structured

program to handhold and monitor such relationships to grow them at an accelerated pace. In fact, one of the large deals that we won in Q1 was from a strategic logo we had added in Q 3FY25.

I would also like to highlight that there has been a market shift in both the scale and profile of our large deal wins. Over the last five quarters, we have won deals that are multi -year, sole-source deals that have been proactively designed, and deals that have non -linear commercial constructs such as the BPaaS deal that we announced last quarter. To give you some more color, a combined ACV from such deals has increased by almost 5x, and the average size of a large deal has increased by over 40% over this period. These deals have contributed meaningfully to the internal visibility of our long -term growth markers and guide our optimism on sustaining top -docile industry growth in FY26 despite the macro uncertainties. However, majority of them are not regular outsourcing deals, but large transformative programs and hence have a staggered ramp -up curve that is different from standard deals. Thus, their conversion into reported revenue happens over an extended

period in a non-linear manner. You may want to keep this in mind while building your annual revenue growth expectations.

Let me now provide you with a deep dive into our performance and outlook for each of our verticals .

2. Vertical commentary

Starting with banking and financial services , in Q1 of FY26, our BFS vertical was flat QoQ and grew 7% YoY in constant currency terms. We added two new logos in this vertical during the quarter. As I have highlighted earlier, we have invested over the last few quarters

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in strengthening our sales and solutions team in this vertical, especially in North America, to broad base our presence in existing clients as well as expand our footprint into adjacent segments. We are now taking a much wider capability portfolio to both clients and prospects, and this has helped lower the macro -dependency in the business. For example, while interest rates continue to remain elevated and remain an overhang in the mortgage market, our initiatives such as consulting -led workshops to identify areas of cost takeout have helped us expand our market share, especially amongst our monoliner customers. We are also partnering more closely with mid -size banks and fintech players as they step up investments in platform modernization and look to elevate the customer experience.

In healthcare , we saw a sequential growth of 2.3% and a YoY growth of 13.5%. We added eight new logos in this vertical, and all our large deals in the quarter were in this vertical. Healthcare continues to be strong and strategic growth vertical for us. Our broad execution footprint across the healthcare value chain and relationships with 12 of the top 15 health plans in the U.S. put us in the leadership position to address our client s' evolving needs.

While the sector is seeing regulatory and cost headwinds, client decision -making has been steady and deal ramp -ups are on track. We remain confident of an accelerating growth trajectory in this vertical, supported by the visibility from recent large deal wins.

Our CMT vertical delivered 6% growth QoQ and 18% growth YoY in constant currency. We added seven new logos in Q1. This remains one of our fastest -growing segments, driven by strong engagement with a lot of the technology companies in Silicon Valley across both our core offerings as well as newer , non-traditional solutions that support the integration of AI into their foundational models and their product ecosystems. We continue to see a well -balanced pipeline here, spanning both traditional media companies as well as digital -first and new -age technology companies.

Lastly, coming to our diverse portfolio , which

comprises our retail and utilities business, we

saw a 3% QoQ decline in constant currency terms, mainly due to seasonal softness in the utilities business. However, we see a healthy deal pipeline in this portfolio, in both the retail and utilities verticals, which should translate to a broad -based growth in the coming quarters.

3. Geographical commentary

From a geography perspective, North America grew at 5% QoQ and 22% YoY in constant currency terms. We expect growth to remain healthy and broad -based across our three core verticals in North America. Europe was down 7% QoQ , mainly due to seasonal softness in our UK -centric utilities business. As we highlighted earlier, macroeconomic softness and regulatory changes in the UK have led to many clients to accelerate their shifts towards offshore and nearshore delivery locations over the last few quarters. We believe that a large part of this transition is now behind us, and we expect the optimal growth to normalize from Q2 onwards.

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While decision -making has been elongated in the broader market, our pitch for transformational programs and near-shore delivery capabilities are resonating well with clients and prospects in the region. We added 17 new logos in Q1 and exited the quarter with a well -qualified deal pipeline, the highest in our history. Australia continues to perform well, with strong growth on the back of ramp -up in deals that we won in FY25. Overall, we remain optimistic about our trajectory in this region.

4. People

On the people front, we had a closing headcount of 34,495 associates, which is a decline of 156 versus the last quarter. We continue to right-shore our delivery headcount with close

to 80% of gross hires at offshore and nearshore locations in Q1. Our trailing 12 -month attrition rate declined further to 28.9%, which translates to almost a 13 -percentage -point decline over the last eight quarters. I am also proud to share that First source was ranked amongst India 's Top 100 Best Companies to Work for in 2025 by the Great Place to Work and was also named amongst the Top 100 Inspiring Workplaces both in the US and UK. We were also named amongst the top three Indian employers in the UK by Grant Thornton.

5. Awards/recognitions and sustainability

Firstsource also continues to be positively recognized by leading analysts for delivering strong client value and driving innovation through technology -led solutions in our focus markets. Everest Group ranked us amongst the Top 25 BPS companies globally, but more importantly recognized us as the fastest growing on an organic revenue basis. ISG also featured us in the Booming 15 based on the annual value of commercial contracts awarded over the last 12 months, now for the third consecutive quarter .

On the ESG front, we achieved an A score in the Supplier Engagement Assessment from CDP. Earlier this month, we also released our 2025 ESG report , outlining our progress as well as our priorities across environmental, social, and governance dimensions.

6. Pastdue Credit acquisition

As you may be aware, we recently announced that we have signed an agreement to acquire Pastdue Credit (PDC) , a company headquartered in Scotland. The acquisition is subject to regulatory approvals and is expected to close in the current quarter. As you know, we Rank in the top three companies in the US debt collection market. However, our footprint in the UK debt collection market has been small. The proposed acquisition of PDC was done with an objective to plug this gap. The UK debt collection market has an addressable market size of close to £2 billion, and we believe it is ready for digital disruption. PDC gives us a strong foothold to bring our technology and AI -led digital collections capabilities to this market. They have strong relationships in the utilitie

s, telecom, financial services , and the public sector with minimal client overlap. We see significant scope to take our largest service portfolio and our near -shore , offshore delivery capabilities to PDC 's client base. I believe Firstsource Solutions Limited
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that PDC is a strong asset with deep client relationships. It has been growing its revenues at a double -digit and has higher margins. So, it will be both margin accretive as well as EPS accretive.

With that, let me now turn over the call to Dinesh to give you a detailed color on the quarterly financials . I will come back to talk about our progress on our strategic priorities as well as the outlook for FY26.

Dinesh Jain: Thank you, Ritesh , and hello, everyone. Let me start by taking you through our quarterly financials :

Revenue for Q1FY26 came in at Rs 22.2 billion or US\$259 million. This implies a YoY growth of 23.8% in the rupee term and 20.7% in US\$ terms. In constant currency, this translates to a YoY growth of 19.2%.

Our operating profit stood at Rs 2.5 billion, up 26.8% over Q1FY25 and translates to an EBIT margin of 11.3%, up 10 bps sequentially and 30bps on YoY basis, and within our guided band of 11.25% to 12%. You will notice a sharp, 15% QoQ jump in the other operating costs. This is mainly due to the higher partner costs. As you know, we are actively leveraging our partner ecosystem to pioneer new service offerings and deliver value to clients, like the BPAas deal we announced in Q4. So you will see part of our e xecution costs moving out of manpower costs to other operating costs.

Profit after tax came in at Rs 1.7 billion or 7.6% of the revenue for the quarter. Our Profit after tax grew 25.2% YoY and 5.4% QoQ on reported basis.

The key highlight for the quarter was our strong cash conversion. Our OCF to EBITDA was 102%, highest in the last six quarters driven by improved working capital management. Normalization of Capex pushed FCF to PAT to 196%, again the highest in last six qu arters. Effective tax rate was 20.6% for Q1 which is the within the guided 19 -21% range for FY26. DSOs came down to 65 days in Q1 versus 70 days in the previous quarter.

Our cash balance including investments stood at Rs 3.1 billion at the end of Q1. Our net debt stands at Rs 11.2 billion as of 30th June 2025 versus Rs 13.2 billion as of 31st March 2025 and Rs 9.7 billion as of 30th June 2024.

We continue to invest in expanding our execution infrastructure. In Q1, we added new seating capacities in Mumbai, Bangalore and Gurugram.

Our hedge book as of 30th June 2025 was as follows: we had coverage of GBP 88.5 million for the next 12 months with an average rate of Rs 112 per Pound and coverage of USD

179.1 million with an average rate of Rs 86.7 per US\$.
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As Ritesh mentioned, we recently signed share purchase agreement to acquire Pastdue Credit Solutions in the UK. The acquisition is subject to FCA approval and should hopefully come through the course of the current quarter. The total consideration is GBP 2.2 million which includes the upfront payment that will be paid post the regulatory approvals, as well as the earnouts that will be paid over the next 12 months linked to defined targets. This is all from my side. I will hand over back to Ritesh to talk about the strategic priorities and outlook.

Ritesh Idnani: Thank you, Dinesh. As you are aware, enterprises today are navigating through twin challenges of a significantly elevated level of uncertainty in the global economic and geopolitical environment and a concurrent technological disruption that is fundamentally altering how businesses operate, compete, and create value. This convergence of unpredictability and transformation requires us to rethink traditional models, accelerate innovation cycles, and build more agile operating structures.

The UnBPO playbook that we introduced earlier this year is our blueprint of how the new order is taking shape and how we are preparing ourselves to succeed in it. UnBPO is not just about bringing gen AI or agentic AI into our solutions and services, rather, it is a reimagination of the entire business model from every angle.

The UnBPO approach blurs the line between services and software and creates the services as a software paradigm as technology gets infused in all parts of the services ecosystem through modular platforms, automation and AI-driven workflows, often delivered through non-linear commercial constructs. From an addressable market perspective, services and software can no longer be seen as distinct buying categories. In fact, a leading research analyst, HFS, estimates the services as a software market as a \$1.5 trillion TAM. We are already putting this model into action. For instance, for a health plan in the U.S., we have implemented a gen AI-powered automation solution with claims decision agents and copilots to completely redefine the claims operations landscape for all of their lines of business, including Medicare, Medicaid, and Marketplace. This is estimated to drive a meaningful cost save over the deal term, even as we shift towards an outcome-based commercial model. One of the largest building societies in the world has partnered with us to completely reimagine its banking and services operations, economic crime prevention, and customer support, covering over 16 core processes and 99 sub-processes. Our UnBPO approach to design scalable workflows using AI, automation, and analytics is aimed at improving the net promoter score as well as bringing savings of over 50% over the next three years.

One of the core elements of UnBPO is the re-engineering of talent sourcing and deployment models. Traditional markers like headcount addition as a lead indicator of business demand are becoming less relevant and optimization of the employee pyramid as a margin lever is

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being redefined, as AI agents and gig-workforce get co-deployed along with human agents and contract commercials shift to output/outcome-based structures.

The recruitment process itself, which has historically been manual, time-consuming, and has high administration costs, needs to be reimaged. We have automated the entire process for volume hiring from automating job posting and parsing of candidate applications to doing initial AI-based interviews and AI-based assessment, all resulting in improved efficiency while ensuring a seamless experience for candidates and recruiters. The pilots have shown up to 50% reduction in the hiring cycle time, which implies lower associated costs. We plan to have 2/3rd of our volume hiring through this process by March 2026. Another foundational tenet of UnBPO is the orchestration of strategic partnerships to co-create unique value propositions and pioneer new service offerings, unlike the traditional model that uses partnerships mainly to fill skill-gaps. At Firstsource, we recognized this early. You may recall, one of my first hires after joining the company was a leader dedicated to drive technology partnerships across the organization. Since then, we have onboarded over 50 strategic partners to augment our capabilities – both within our focus verticals as well as horizontal offerings. These include hyperscalers to innovative startups who help solve specific pain points and business problems for our customers.

A great example of how we are bringing this altogether is the \$50 million plus ACV BPaaS deal that we announced last quarter with a mid-market U.S. health plan. This is a highly integrated solution where we are orchestrating partnerships with more than eight different vendors to deliver an end-to-end claims administration service. These initiatives

are just a few examples of how UnBPO is not just a concept, but a live working model that is already delivering tangible outcomes for our customers. We are systematically rewiring the way value is created and delivered in our industry. Importantly, this is seeing a strong inbound interest from clients and prospects, many of whom have asked for follow-up workshops with their C-suite leadership teams to explore the tenets and assess their readiness for the same.

Overall, I am pleased with the progress we are making on our agenda to build a resilient and durable business with industry-leading growth. Our large deal wins have now been three or more for the past five quarters. We are adding new logos at an accelerated pace, and we continue to improve on the mining of our existing client portfolio. At the same time, we have been diligent in ensuring that we fund our investments in go-to-market initiatives and capability expansion through an identified set of cost rationalization programs. As you can now see, Q1 is the fourth straight quarter of sequential margin expansion.

This gives us the confidence to raise our revenue guidance for FY 26 to 13% to 15% in constant currency. This does not include any contribution from Pastdue Credit Solutions Firstsource Solutions Limited
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since we are still awaiting regulatory approvals for the transaction. We continue to see our FY26 EBIT margin in the 11.25% to 12% band in FY 26.

This concludes our opening remarks. And we can now open the floor for questions. Operator, over to you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Girish Pai from Bank of Baroda Capital Markets. Please go ahead.

Girish Pai: Ritesh, this increase in guidance at the lower end, from 12% to 13%, was it because Q1 turned out to be better than what you expected? Or is it that you are expecting the next nine months to be better than what you were anticipating three months back?

Ritesh Idnani: As we have stated in the past as well, our guidance is based on a clear line of sight that we have to the business over FY 26. And when we raise the lower end of the guidance, clearly the way we have tried to do this is it's based on having a very clear line of sight to the lower end of the guidance and the upper end of the guidance is based on how things such as pipeline conversion, etc. play out over the guided period.

Our guidance also does not include any changes in the macro environment, but at the same time, as you are also aware, while we are not commenting on specific numbers, directionally we do expect that the guidance assumes an accelerated growth trajectory.

Girish Pai: How are demand conditions today compared to, say, three months back? Are they worse, better or broadly the same?

Ritesh Idnani: So, on one hand, the macro uncertainty as well as the geopolitical environment continues to play out. So, it is not that we are seeing anything different out there. So, I think that's been a constant pretty much over the last several quarters.

However, I think the proposition that we are taking to the market continues to resonate. I think the fact that we are able to present differentiated propositions and now, particularly on the back of the UnBPO playbook, which is almost creating a reset of how processes and workflows are reimagined in every corporation, is creating demand. And I think that's presenting opportunity to us.

So, we think there is going to be duality in terms of how different players in the market might perceive the current environment, but at this stage for us, if I just look at the lag indicators as well as the lead indicators, if I take the outcomes for Q1, we obviously had a very good quarter from a new logo addition standpoint, 17 new logos, of which nine were strategic logos, which is for us an all-time high. What that

does do is it broadens our client base and gives us a very solid foundation for growth.

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At the same time, we exited the quarter with a pipeline which is the highest in our history, which gives us again a very strong set of deals to bank on in the quarters ahead as well. And that gives us comfort and confidence in terms of what we are seeing in the environment, but more importantly, in our ability to differentiate in what might be still an uncertain macroeconomic environment.

Girish Pai: Just two last questions. One is the \$1 billion mark has been achieved already, at least from a run rate perspective. Any new targets that you want to set for yourself? And when is that going to happen? And the quantum of the hike? Would it be similar to what you had in the previous years?

Ritesh Idnani: No, thanks for that question, Girish. As you are aware, we reached our \$1 billion aspiration 4 quarters in advance of what we had publicly guided. For us, in some sense, this is a proof point that our strategy refresh is in the right direction. And personally for me, the focus is really on building a consistent, predictable, and high-growth business model so that we create a future -proof organization. At the same time, we keep reviewing our long -term aspirations internally. And I will be sharing any updates with you in due course as we are ready to discuss this in public itself. So, that's comment one.

On the wage hikes itself, as you are aware, different players have responded to this in the marketplace in a variety of ways. From our vantage point, we will be having the annual wage hike in two phases this year. The first phase will cover junior employees and will be effective from July 1st. We will cover the middle and senior management in the next phase that will be effective from October 1st, 2025. As you know, we typically absorb the impact of wage hikes. So, from a margin perspective, you should still see a sequential margin expansion through the year.

Girish Pai: So, on this wage hike part, were the wage hikes in the previous years were given altogether at one shot on 1st of July and therefore, this year's wage hike split in two quarters, is that a little different?

Ritesh Idnani: So, last year we gave the wage hike all at one shot in July, on July 1st itself. Prior to that, there was a little bit of variability in terms of how we did it. And this year, I think just given the environment and what we are seeing, we are just being, you know, we are staggering it in two phases across the entire organization.

Moderator: The next question is from the line of Shradha Agrawal from AM SEC. Please go ahead.

Shradha Agrawal: So, congratulations on a steady quarter, Ritesh, once again. And two questions. First is on your acquisitions policy. So, in less than two years of time frame that you have been around, we have seen you doing three acquisitions already. So, what is our policy and acquisitions going forward?

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And secondly, given that we have wage hikes coming through in 2Q and 3Q, so what is our confidence level on achieving our margin guidance for the year given that start to the year, at least on margin front, has been a little tepid?

Ritesh Idnani: Yes, no, thank you for the question, Shradha. Look, there is no change in our inorganic thesis itself, right? We have a dedicated corporate development team that actively keeps looking for opportunities that will enhance our capabilities, assist us in furthering the depth and domain that we already have and bring in process or analytics to add significant value to our existing clients. At the same time, we have had a very strong preference for companies that will be EBIT and EPS accretive, like what you saw with PDC. At the same time, there is no defined frequency or targets in terms

of number of acquisitions itself.

What is critical for us is we will not look to do acquisitions for revenue sake, but it has to have a very clear value to us, either in terms of plugging a capability gap or giving us distribution access in our chosen markets itself. So, just from that vantage point, that's the way we are approaching the entire acquisition side of the house.

Your second part of the question was, with the wage hikes, does it have any bearing in terms of margins? No, we continue to retain the margin band. As you are aware, we have 37 clear drivers that are there in the business. And we feel very good about the progress that we are making on the same. And we feel that these will continue to yield results in the quarters to come. So, we feel comfortable retaining the margin guidance that we had of 11.25 to 12 %. And at the same time, if you go back a year ago, one of the comments that I had made was that we will have a 50 to 75 basis point margin improvement every year starting FY 26. We still continue to believe in the same.

Shradha Agrawal: No, this is coming from the context that much of the offshore shift is already in our base now. So, incrementally going into second half of the year and with the investments continuing the large scale ramp up that we have signed in FY 25, so what are the main

margin levers that we have to pull up margins from the 1Q number that we have reported?

Ritesh Idnani: Yes, we still think that the onsite to offshore shift is still an opportunity for us. I don't think we are completely done then. But at the same time, we are also continuing to put work on optimizing our sourcing and staffing strategies. We are clearly looking at the employee pyramid and how we staff our teams as well. Technology, AI and automation is something that we are looking proactively across the life cycle of the engagement to drive further efficiencies. We are also looking at opportunities where we can centralize and automate and offshore roles, where AI and agentic AI workflows can come into play. We had also identified opportunities where we can do more for less and not add any additional headcounts.

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So, I think each of these levers in themselves is a part of those 37 margin drivers that we have. And I think that in turn gives us confidence in terms of meeting the guidance that we had provided .

Moderator: The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Ritesh, two questions from my side. One is the banking vertical was a bit soft this quarter . But just to dig deeper into that, anything that you would call out, what are the conversations in the sector like? And that was the flattish quarter and this was more like a quarterly aberration.

Secondly, just wanted to take your comments on the overall industry landscape that we are looking at right now, given the context that one of our large competitors was acquired by an European firm very recently in a mega billion -dollar deal. So, what exactly is the prospect that we are looking at? A company acquiring a large competitor in terms of size is the Gen AI thing is becoming more and more beneficial for the BPO industry and that is where we see the value. Anything that you can give a color in that context would be really helpful.

Ritesh Idnani: Let me start by addressing the question on the financial services side and then I will come to the industry landscape and what we were seeing. So, look at our financial services vertical as almost two different storylines . One in terms of what played out in North America and one in terms of what played out in Europe.

If you look at our Europe revenue contribution, that actually declined QoQ and some of that is because of the difficult, an uncertain environment that's been out there, which we have been consistently calling ou

t. The net effect of that is there has been a rebalancing of some of the work between onshore to nearshore and offshore. And we pretty much believe that we are at the tail end of that. So, that obviously has created a deflationary effect on the revenue side. We feel very good actually about the pipeline that we see in Europe with the banks building societies as well as the fintech . So, actually, we are exiting the quarter with a very strong pipeline in Europe.

North America has actually been very resilient for us. We have seen success both in front office as well as back -office work as well as some of the newer segments that we have been focusing on putting effort in. At the same time, we have also benefited from expanding our footprint in some of our collections -only accounts, which was a key focus in the cross -sell, upsell side to expand into other service lines. So, again, actually, the pipeline in North America on the financial services side is pretty healthy and strong. So, we think that this quarter is, I wouldn't read too much into the numbers or the growth there. We fe el good about the vertical.

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Industry landscape, I won't comment specifically about the transaction itself, but what I think you should look at it is, if anything else, it's validating what we have been calling out with the un -BPO playbook. The traditional boundaries between IT and operations are blurri ng. The traditional boundaries between front -office and back office are blurring. And one of the things that I talked about in my opening comments about the entire services as a software playbook, I think, things like these are probably validation of where the industry I think is headed for as well.

However, it doesn't change any other competitive dynamics for us. Firstly, I think our positioning through what we are doing with un -BPO is very distinct. We are not trying to become a systems integrator or replicate the traditional IT plus BPO model. Our focus is

actually on re-imagining the entire operations and process value chain by bringing AI, modular platforms, outcome-based models together to transform how clients buy and consume capabilities from us. And we are going to our clients and prospects with this differentiated value proposition, and they are clearly liking it. Secondly, clients actually value agility and co-creation areas where we can move much faster than larger players. Our right size is clearly one of our core competitive advantages. And you can see that both in the number and nature of our recent deals.

One of the final things I will make as a comment is, I think we are in the classic innovator's dilemma play. And if you go back in time from a historical standpoint, large players tend to be reluctant to cannibalize. They tend to play on defense, and they are slower to respond. And we believe size does not matter as much as relevance does. And therefore, this opportunity actually is well suited for players of our size where we have the right depth of domain, the technology contextualized to the domain, the ability to drive business outcomes, and the nimbleness, agility, and scrappiness to move at speed to solve complex business problems for our clients. And I think, therefore, you will see maybe combinations of this sort almost as a defensive play to try and account for lack of revenue growth otherwise.

Vibhor Singhal: So, basically, I mean, even if, let's say, a large IT services company is looking at acquiring a BPO business, you don't see that they are a combined offering of services plus BPO, you don't see that as a threat to the pure BPO model that we continue to maintain, given our size that you are looking at. Is that right understanding that you are trying to convey?

Ritesh Idnani: I think yes, that's absolutely correct. And I want to draw your attention to a couple of industry reports that

came out. So, Everest published a report last year where they called out the fact that the companies that are growing the fastest in the operation space are the pure play BPO players, not the integrated IT plus BPO players. And a lot of it I think will come down to depth of domain. I actually don't think that players who don't have anything to stand on will also grow.

So, pure play BPO players who are everything to everybody and therefore nothing to anybody will also struggle. But I think if you have a clear competitive moat which is on the Firstsource Solutions Limited
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back of depth of domain and then you are able to use technology which is very specific to the domain, I think there is a very clear proposition to continue to win business and differentiate yourself in the marketplace.

Vibhor Singhal: Just one last bit of peace if I could just care for an explanation. The headcount, just trying to wrap my head around the headcount reduction. So, in this quarter, we had basically the offshore percentage jump up. We had good growth in the revenues. But at the same time, the headcount actually came down. I mean, just trying to understand how these dynamics are coming. If we had a higher offshoring, the headcount reduction looks to be a bit off place. Anything that you would want to comment on or any trend that we can draw from this?

Ritesh Idnani: Actually, you know, one of the things that we have now been saying consistently for the last few quarters, Vibhor, is the fact that the causality between revenue and headcount is increasingly going to get lesser and lesser as you get into more and more non-linear commercial constructs itself, right? So, you are going to start seeing that. And even with our numbers, if you look at our reported currency in the last three quarters, the revenue has gone up. Our headcount has been around 34,000. And some of that is a function of what I think is going to play out more and more as we sign up for deals which have a very different commercial construct.

Specific to the quarter that went by, two things. One is you saw our CMT vertical grew at a fairly rapid pace. In fact, it was the fastest growing vertical for us in the quarter. And if you look at a lot of the work that we do out there, particularly with clients in Silicon Valley, several of those pieces of work draw on a gig-sourcing model. So, you don't need to hire a permanent headcount to deliver the capabilities that are there. And so you can get the revenue, but you don't necessarily need headcount in the same correlation. So, some of that also played out.

Moderator: The next question is from the line of Jyoti Singh from Arihant Capital. Please go ahead.

Jyoti Singh: Sir, I just wanted to understand, like you discussed about UnBPO business. So, how is your UnBPO strategy and AI investment translating into deal wins or margin improvement?

And going forward, what percentage of revenue today is influenced by digital AI, that transformation deals? And how do you see this evolving in the next 12 to 18 months?

And another on the client responding on AI-led productivity modeling, CX, and collections.

And are pricing models changing as a result?

Ritesh Idnani: Let me maybe take a step back since this is the first time we have been talking about the UnBPO playbook in a larger sense. If you look at the traditional outsourcing model, which was labor arbitrage over the last 25 years, it was built for headcount scale, it was built for process, it was built for predictability. It was built for standard services.

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However, the world around us does not exist in the same fashion. That is not what clients are expecting today. Today's clients don't associate, headcount is not value, location is not capability, process is not progress. And if you go with those as the

fundamental shifts that

are there and tech arbitrage usurping whatever labor arbitrage did over the last 25 years, that's the radical mindset shift that we are hoping to impact through the UnBPO playbook itself.

That's why we feel this is an opportunity to rewrite the rules of an industry that has operated in a certain way for the last three decades. What are we seeing as a consequence of that? I think most organizations and enterprises that we deal with, recognize the fact that they need to change, and they need to change fast, especially in an environment which is moving very rapidly because they know that every industry, not just the IT and BPO sector, etc., every industry is going through its own innovator's dilemma moment. And they know that if they do not change, that could mean that they become increasingly less competitive itself. And I think that's the opportunity, and which is why we feel that the UnBPO playbook is receiving such wide traction in the marketplace. So, your third question was related to the CX and collection services. One of the things that's always held us in good stead, if you take our collections business as a case in point, has been the fact that it has been largely outcome-based in terms of the commercial construct that we have. Clients place a certain amount of debt with us. Our revenues are linked to the amount of debt that we can collect. So, there is clear skin in the game. We are able to bring in AI and ML in our digital collections platform to improve the propensity to pay. And all of these as commercial construct are very different than billing for time, which 75% of the IT and BPO industry still does on a time and material basis.

Same on the CX side. Our view is that we can, more than only about 30% to 35% of this industry is outsourced today. Our view is that over the next five years, the percentage of outsourcing will go up, but it will happen in a non-linear fashion. And that I think gives us the opportunity to bring in disruption at scale and at the same time improve share of wallet.

Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: A couple of questions. First about the margin guidance. If you can give us some sense about what are the puts and takes for lower end and upper end, the way we expect trajectory to play out, what are the variables which you consider to give the range? Second thing is about the PDC acquisition. Now that acquisition operated significantly higher margin than ours. Just want to understand, because we do have a sizable collection business, whether our margin profile will be less identical in the collection business. And if let's say margins are different, what explain the margin difference and whether it is replicable into our business? So, we have that expansion in the margin. That is second question. Third question is about healthcare margin. Now your healthcare margin is maybe fairly low compared to let's say if I look your historical last 5-10 year average kind of thing. If you can

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provide some sense about the expected trajectory improvement, I understand because of some of the investment, or deal are likely to ramp up in the over period of time. But just to understand pace of exploration, because it may surprise us positively sometimes, sometimes negatively. So, how one should understand it? Thanks.

Ritesh Idnani: Thank you for those questions, Dipesh. So, look, at any point in time, there are always various puts and takes in the quarter itself. So, as we look at how the margin piece plays out, but as I mentioned earlier, we have got about 37 broad margin drivers. That's what we are tracking very closely. You have seen over the last 7-8 quarters our onshore, offshore mix has moved fairly meaningfully. 80% of the incremental headcount that

we are doing still

is offshore and near shore. And we still see continued opportunities for that number to

improve. So, that can be a continued opportunity from a margin perspective. We are also continuing to rationalize some of our facilities, particularly as we move work away from near shore and onshore to the offshore facilities itself. And as that does, it frees up some of the rentals and lease capabilities that are there. We are also looking at some of our low margin and some of the accounts that might not have been yielding the right kind of margin profile to see if we can go out there and improve margins where appropriate. That's helping. We are backfilling for any attrition in a very intelligent fashion. So, we are not going out there and just assuming that we can go out there and we should just go out there and automatically backfill, but instead relooking at every element from an ops excellence standpoint, whether it's around the employee pyramid, the spans, and then trying to see whether there are opportunities, etc. So, it's a combination of all of these factors that play out at any point in time in any quarter. And these, I think, give us a collective degree of comfort on expanding, continue to expand the margins itself over the rest of the year.

Dipesh Mehta: So, if I look at PDC, the proposed acquisition, their margin profile is almost 2x of where we operate. I am referring to their last year's performance. So, the question is two parts. First is whether our collection business operated similar margin profile. If the answer is no, whether we can replicate a superior margin of PDC?

Ritesh Idnani: So, firstly, I don't want to talk more about PDC just because we are still awaiting the regulatory approvals, but what we will do is once the acquisition itself is closed and we get the approval from the FCA, I think we will come back and talk more specifics, both in terms of the financials and what it would mean. So, I would request that we hold off on that question until that point in time, because I don't think it's fair for me to comment on something that's still a transaction underway, pending regulatory approval.

Dipesh Mehta: Yes, but part of the question you can answer, whether our internal collection, Focus on U.S. market, whether our margin profile would be similar to PDC?

Ritesh Idnani: It's higher.

Dipesh Mehta: Understood. And maybe last part of the question, if you can answer for healthcare?

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Ritesh Idnani: So, I think one of the things to see with the healthcare business, if you look at some of the wins that we have had, we have had a larger percentage of wins on the payer side of the business. And historically, the provider side of the business has had a higher margin profile. So, some of the rebalancing of the portfolio that you are seeing is probably what is causing the margin shifts QoQ, but also as some of these deals are ramping up, there is also the cost of growth that's playing out as well for these deals. So, I think as this normalizes, you will see some of the margins also picking up. I mean, even take this quarter that went by, all of our large deals happened in the healthcare portfolio. So, there is going to be a cost of growth that plays out. But I think as we are looking at this, some of those are the puts and takes that we are looking at in a quarter to still continue to deliver margin expansion while accounting for some of the wins that play out.

Dipesh Mehta: Understood. Thanks.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Hi, thank you for the opportunity. So, Ritesh, congratulations on the steady performance. I basically had a question with regards to some of the recent industry developments, wherein we have seen a few companies going private, some of

them being acquired. And given we have also been acquisitive in the recent period, just wanted to get your thoughts with regards to M&A strategy. Would we always look at smaller tuck-in acquisitions or given the opportunity that we have in the international market, some of these assets are fairly cheap and given the multiples that we enjoy here in India, would love to get your thoughts on this one.

Ritesh Idnani: So, I think I kind of gave a little bit of a flavor of our approach towards M&A. So, at end of the day, I am very clear that we have to have a very strong organic growth business as well.

M&A is incidental, it's a dart on the board, if it sticks, great. We have also said in terms of design principles for our inorganic thesis is, we will not do acquisitions for revenue sake, even if the multiples are low or very attractive or stuff like that. End of the day, we want to make sure that we are very prudent with our capital allocation. Where we do acquisitions, it's primarily for plugging capability gaps or for distribution access. And then, we are continuously evaluating targets, whether they are small tokens, they could also be larger in size. But we also want to be meaningful that we also want to be prudent that we are doing stuff that fits in line with where we want to take the business itself. So, it's not an acquisition for acquisition sake.

Manik Taneja: Sure. The second one, while you called out 37 margin levers, over the course of last 4 to 5 quarters, we have seen our onsite offshore mix improve rapidly. But the margin expansion has been limited. Some of it is on account of investments that we continue to make. Would love to get your thoughts as to what's the margin sensitivity to the onsite offshore mix in our business?

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Ritesh Idnani: We do expect that there is opportunity for the onsite offshore mix to continue to improve, even though we are sitting right now at about a 80:20 mix in terms of our headcount itself. I am not getting into the specifics in terms of the sensitivity of a percentage point or what that moves. But what I can tell you is that it's a meaningful lever for us to unlock. Last year for us was an investment year and that was something that we are very clearly called out as well. Therefore, you do not end up seeing the benefits of some of the onsite to offshore mix reflected in the margins itself. But our view is that we have done a substantial part of those investments. Some of the incremental stuff that's there is around capability expansion, but again, those are spread out. So, we expect to meaningfully continue to expand margins, taking advantage of levers such as the onsite to offshore mix, taking advantage of what we are doing around, whether it's around intelligent attrition backfilling, rationalizing spans, looking at automation, improving margins and low margin accounts. I think all of those levers and facilities, rationalization, each of these is kicking in and giving us benefits itself. So, which is why we feel comfortable with the guidance and continue to improve 50 to 75 basis points YoY.

Moderator: Thank you. The next question is from the line of Girish Pai from BOB Capital Markets. Please go ahead.

Girish Pai: Yes, thanks for the follow-up opportunity. Just one question, Ritesh. You mentioned that headcount is no longer a lead indicator, and you also mentioned that the deals that you won, they staggered and the conversion is going to happen over an extended period of time. So, then, for the external world, what are the things to look at to kind of try to estimate how the growth would be? Or we will have to blindly depend on the guidance that the management is going to give.

Ritesh Idnani: So, if you look at the parameters, which are really a function of the health of the business itself, the guidance is obviously a very key in

indicator because again, when we have provided a range out there, we have also been very clear to say that the lower end of the guidance is something that we have a very high order of certainty and visibility to. And the upper end of the guidance is linked to where we stand in pipeline, late stage of deals, likely order of conversion, those kinds of variables, etc. But at least that gives you a starting point in terms of where the business is likely to net off. And then, you start looking at some of the other variables that are there, which come into play. If you look at the deal wins itself, the number of new logos we are adding, the cross-sell upsell that's playing out, because you are starting to see a very clear movement in terms of the number of \$1 million relationships, number of \$5, \$10, \$20, \$50 million relationships. So, you know that when, as those things are playing out, that's creating opportunity for potential growth and also increases the degree of confidence in the guidance itself. So, my sense is, it's really a combination of all of those things, which eventually supplement what we are providing out there, in terms of numbers.

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Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Sir, my question specifically is that on the collection business, what I understand is that there is a larger component, so is this also relevant in this acquired business? Or do you think there is a lot of fixed components and outcomes, and there is more of an uptick on it? And the reason I am asking this question is that if it's sort of outcome-driven, then the market volatility may exist depending on our collection efficiency?

Ritesh Idnani: I don't want to comment on the specifics of the PDC business, again, because we are in that pending regulatory approval period itself. So, talking about the profile of the business and what characteristics it has may not be appropriate entirely. But what I would suffice to say is that the way the previous owners have built the business as well, there is an opportunity there where they have looked at how they can get more and more of their

business also in an outcome basis itself. And at the same time, they have got some of the digital capabilities. And I think those are areas where we can take the broader skill set that we have built as well to the UK market. And that was actually one of the primary motivations for us to go there as well. So, as you heard, I think somebody else asked the question, our collections margin profile of our existing business before PDC, our margin profile is higher. So, clearly, there could be some opportunities that could exist out there. But we have to get into the next phase. And some of that will come into play once we complete the regulatory approval process.

Rahul Jain: But more generally, if you could just give color on the outcome based as part of the total pricing, is there a way to look at the mix of pricing as a function of outcome based versus fixed base?

Ritesh Idnani: So let me start by saying more than 75% of the industry today bills on a time and material basis across IT services and BPO. That's the industry metric. For us, more than 50% of our business comes from nonlinear commercial constructs. That's the parallel to draw. And that's the matrix that we are tracking to see how we can continue to take advantage of the leadership that we have in understanding nonlinear commercial constructs on the back of deep domain to continue to bolster and strengthen our leadership itself. But I want to give you those two markers to understand where the industry is at and where we are at relative to the industry.

Rahul Jain: Yes, thanks for the input. Sorry to keep asking, but what my understanding historically from our research is that the collection bu

siness were higher among our portfolio because of its function of the collection efficacy. But yes, I will take more input once you incorporate this entity. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Ritesh Idnani for closing comments.

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Ritesh Idnani: So, firstly, thank you all for joining the call and for your insightful questions. I just want to close with a few final comments.

Our sales engine is working well. We had four large deal wins in Q1. That's the fifth straight quarter of three or more deals. We added 17 new logos, our highest quarterly addition over the last three years.

We are adding larger relationships and mining our existing relationships better. In the last four quarters, we have added 41 clients with over a million dollars in revenue, 13 with over \$5 million in revenue, 4 with over \$10 million of revenue, and 2 with over \$20 million in revenue. The share of revenues from our top 5 as well as our top 10 clients have come down by 5 % and 8% respectively, reflecting the strength and the broad basing of the portfolio itself.

Our longer -term aspirations are intact. Despite the macro uncertainties, we have raised the lower end of our revenue growth guidance band. We believe that our FY 26 revenue growth guidance of 13% to 15% should keep us in the top decile for the industry. We remain laser focused on improving our margins, continuing down the trajectory of having 4 consecutive quarters of margin expansion to improve our margins by more than 50 to 75 basis points each year and bring them in line with peers over the next three to four years. This is all from our side, and we look forward to interacting with you again in the next quarter call. Thank you.

Moderator: Thank you. On behalf of Firstsource Solutions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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(CIN: L64202MH2001PLC134147)

6th November 2025

To:
National Stock Exchange of India
Limited (Scrip Code: FSL)
Exchange Plaza,
Plot no. C/1, G Block,
Bandra -Kurla Complex
Bandra (East),
Mumbai - 400 051 BSE Limited (Scrip Code:
532809)
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board of Directors on 4th November 2025

Please find enclosed the transcripts of the Analysts earnings call conducted on 4th November 2025, after the meeting of Board of Directors held on 4th November 2025, for your information and records.

This information is also hosted on the Company's website, at
<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the Company's website, at <https://www.firstsource.com/investor-relations/>

We request you to take the above on record.

Thanking you,
For Firstsource Solutions Limited

Pooja Nambiar
Company Secretary

FIRSTSOURCE SOLUTIONS LIMITED
Q2FY26 EARNINGS CONFERENCE CALL
NOVEMBER 04, 2025

MANAGEMENT:
MR. RITESH IDNANI,
MD & CEO
MR. DINESH JAIN
CFO

Firstsource Solutions Limited
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Moderator: Ladies and gentlemen, good day and welcome to the Firstsource Solutions Limited Q 2FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded .

On this call , we have Mr. Ritesh Idnani – MD and CEO ; Mr. Dinesh Jain, – CFO to provide an overview on Company 's performance followed by the Q&A .

Please note that some of the matters that we will discuss on this call include the Company 's business outlook are forward -looking and as such are subject to known and unknown risks. These uncertainties and risks are included but not limited to what Company has mentioned in its prospectus filed with SEBI and consequent annual reports that are available on its website.

I now hand the conference over to Mr. Ritesh Idnani. Thank you . And over to you , sir.

Ritesh Idnani: Thank you. And hello, everybody. I want to thank each one of you today for joining us to discuss our financial results for Q2FY26 . Before I start with the discussion on our quarterly performance, I would like to thank each one of our 35,997 Firstsourcers around the world for their relentless commitment to delivering value to our clients.

Q2 is the sixth straight quarter of double -digit year -on-year revenue growth, and the seventh consecutive quarter of sequential revenue growth for us, despite the continued macroeconomic and geopolitical uncertainties. Our revenue grew by 20.1% YoY and came in at Rs. 23.1 billion. In U.S. dollar terms, the growth was 15.2% YoY and 2.3% QoQ at US\$265 million. On a trailing 12 -months basis, our revenues have now crossed a billion dollars. In constant currency terms, our revenue grew 2% QoQ and 13.8% YoY. EBIT margin for the quarter was 11.5%, up 20 basis points, and 70 basis points on a QoQ and YoY basis, respectively. And this marks the fourth straight quarter of margin expansion. Our net profit was Rs. 1.8 billion, and the diluted EPS for the quarter was Rs. 2.54.

In H1FY26, our revenue grew 16.4% in constant currency terms. EBIT grew 27.4% and our PAT grew 27.6% over last year in rupee terms. Coming to the business highlights .

1. Deal Wins

In Q2, we signed four large deals. As you are aware, we consider a deal with an ACV of over \$5 million as a large deal. Let me highlight a few of them.

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- We expanded our footprint into the collection services as a top retail bank in the UK, one of our long -standing customers. This is our largest deal for collection services in the UK market.
 - We were also selected by one of the top 10 Healthcare payers in North America, an existing client , for claims data capture services using our digital intake platform.
 - One of the leading loan subservicing providers in the US selected us for providing first-party collection services.
 - We also won additional business from one of the largest communications and media companies in the UK for customer onboarding and account services processes that are currently managed by in -house teams.
- During the quarter, we also added 10 new logos, which include 4 strategic logos. As you are aware, we define a strategic logo as one where we see the potential of at least US\$5 million of annual revenue. And we run a structured program to handhold and monitor such relationships to grow them at an accelerated pace.
- Let me give you some additional color on this program:
- We added 19 strategic logos over four quarters between Q2FY25 and Q1FY26. Of this, in 13 logos, we have been able to hit our aspirational target of a US\$5 million relati

onship size

within these four quarters. Of the balance six, four were added only in Q1, so we still have a couple of quarters of runway ahead of us.

Q2 also marks two years of the strategy refresh we started under the One Firstsource Framework. One of the key objectives of the program was to broad base our client footprint and curate new growth engines. I am happy to report healthy progress on that front. The share of top 5 and top 10 clients has come down by 6.2% and 9% respectively over the last 8 quarters. Importantly, this has happened even as we continue to grow our large accounts. As I mentioned, two of the four large deal wins in this quarter are additional business from our top five accounts. This gradual but constant dilution reflects the success of our focused account management strategy which is driving a faster growth in our non-top 5 accounts. In fact, more than 50% of the ACV of the 22 large deals we have reported over the past six quarters is from deals with non-top 5 clients. You can also see this in our \$5 million plus accounts that have jumped to 39 in Q2FY26 from 26 in Q2 of last year.

I am also pleased to report that our deal pipeline crossed a billion dollars for the first time in the history of the company. Our continued progress gives me confidence that we are on the right trajectory to deliver sustainable, profitable, and industry-leading growth.

2. Vertical commentary

In Q2FY26, our banking and financial services vertical grew 4% QoQ and 11% YoY in constant currency terms. We added three new logos during the quarter.

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As you are aware, we have made targeted investments over the past few quarters to strengthen our sales and solutions organization in this vertical, particularly in North America, with the objective of deepening client relationships and expanding into adjacent segments. Our sales teams are now taking a broader technology-enabled capability portfolio anchored around agentic AI, automation, and data-driven transformation. These investments have helped diversify our revenue base and reduce the macro dependency in the business. In our Mortgage Operations, for instance, we have adopted a consulting-led approach, proactively delivering AI-enabled cost takeouts and process reengineering solutions, especially to our monoliner customers. We are also partnering more closely with regional banks and FinTech customers as they accelerate platform modernization, embed AI across customer journeys, and enhance their digital experience. We are exploring expansion opportunities in large banks as well, leveraging our incumbency and collection services, particularly for compliance and risk management. Our deal pipeline at Q2 exit was amongst the strongest in the past four quarters, giving us confidence in sustaining broad-based growth in the coming quarters in this vertical.

In healthcare, we saw a YoY growth of 6% and a QoQ growth of 3% in Q2. We added three new logos during the quarter. Healthcare continues to be a strategic growth vertical for us, and we continue to see a strong traction, especially in our payer business. Recent regulatory changes are expected to significantly increase administrative costs in both the provider and payer segments as the mix shifts from pure volumes to higher complexity workflows.

We believe that our broad execution footprint across the Healthcare value chain, relationships with 12 of the top 15 health plans in the U.S., and an ability to combine technology-first solutions, analytics and domain expertise puts us in the leadership position to address our clients' evolving needs.

We exited Q2 with a pipeline that's almost 2.5x versus last year. Ramp up in our previously won large deals are also progressing well, and we are confident of an accelerating growth trajectory in this vertical over the second half of FY26.

Our communication

Media, technology and media vertical delivered a 15% YoY growth in constant currency terms, though it was down by 1% on a sequential basis. We added four new logos in Q2. While project transitions led to an optimal quarter-on-quarter volatility this quarter, it remains one of our fastest growing segments, driven by strong engagement with leading consumer tech brands across both our core offerings, as well as newer non-traditional solutions that support the integration of artificial intelligence into the product ecosystems to make the frontier models more solid. We continue to see a well-balanced pipeline there spanning traditional media and communications players, as well as new age tech companies.

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Lastly, coming to a diverse portfolio, which was flat QoQ in constant currency terms, primarily reflecting the sluggish demand environment in the UK. As you are aware, this portfolio mainly includes our business with utilities and retail accounts in the UK market. We have a healthy deal pipeline in both these verticals. However, we expect the growth in this portfolio to remain modest in the coming quarters as well.

3. Geographical commentary

From a geography standpoint, North America grew at 3% QoQ and 16% YoY in constant currency terms. We expect growth to remain healthy and broad-based across our three core verticals in North America.

Europe continues to be soft. Let me provide you with some color and context around the same. As you know, our business there is largely concentrated in the UK market, where muted economic growth and higher labor costs from recent regulatory changes have pushed many clients to accelerate their move towards offshore and nearshore locations over the past few quarters. We believe that much of that transition amongst our existing clients is now behind us.

We have also been taking proactive steps to make the business more resilient by broadening both our geographical as well as our vertical presence. We have also set up operations in Dubai this quarter to double down on opportunities in the Middle East, and our proposed acquisition of Pastdue Credit will help us further our footprint in the utilities market. A pitch for transformational programs and nearshore delivery from South Africa has been resonating strongly with customers. For example, in Q2 FY26, we renewed our contract with a large media client well ahead of expiration and with an expanded scope. With another large communications and media clients, one of our top five, we have been gaining additional estate, mostly from their in-house teams, leveraging our South Africa delivery capabilities.

As I mentioned earlier, one of our large deal wins in the quarter was net new business from an existing large client. We exited the quarter with a well-qualified deal pipeline. That said, we expect the pace of recovery in the European market to remain gradual as decision-making cycles continue to take longer than usual.

In Australia, we continue to win additional business with existing clients while building a pipeline of new logos. We see Australia as a long-term growth driver for us and continue to make strategic investments in the region. You would have also seen recently the strategic partnership that we have signed with Monash University, one of Australia's leading research and innovation institutions to co-develop next-generation AI solutions across key verticals as well as core AI capabilities.

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4. People

On the people front, we had a closing headcount of 35,997 associates, which is an increase of 1,500 people versus the last quarter. Close to 80% of the gross hires were at offshore and nearshore locations. Our trailing 12-month attrition rate declined further to 28%, which translates to almost 12 percentage point decline over the

last eight quarters. I am also proud

to share that Firstsource was named amongst "India's Best Workplaces for Women" by Great Place to Work® in 2025 and also secured the Infini-T Award in the Visionary Organization Category for our Innovative use of technology and analytics in talent acquisition.

5. Awards/recognitions and sustainability

Firstsource continues to be recognized by leading industry analysts for delivering strong client value and driving innovation through technology-led solutions in our focus markets. During Q2, we were named the "Horizon 3 Market Leader" amongst the best service providers for mortgage reinvention by HFS Research, recognizing our technology and digital-led transformation capabilities. Everest Group also recognized us as a "Major Contender and Star Performer" in its Financial Crime and Compliance Operations Services Peak Matrix Assessment 2025. Avasant rated us as a leader in its Mortgage Business Process Transformation 2025 RadarView™ 2025. ISG featured Firstsource in its "Booming 15 List" based on the Annual Value of Commercial Contracts awarded over the past 12 months for the fourth consecutive quarter.

I am also pleased to share that Firstsource won the "Golden Peacock Award" for "ESG 2025" and just received the "3rd Prithvi Award" from the "ESG Research Foundation". These awards reflect not just external validation, but the collective commitment of our teams to drive sustainable and responsible growth.

I will now turn over the call to Dinesh to give a detailed color on the quarterly financials. I

will come back to talk about our progress on the strategic priorities and the outlook for FY26.

Dinesh Jain: Thank you, Ritesh and hello, everyone. Let me start by taking you through our quarterly financials. Revenue for Q2FY26 came in at Rs. 23.1 billion or US\$265 million. This implies a YoY growth of 20.1% in the rupee term and 15.2% in the US dollar term. In constant currency terms, this translates to a YoY growth of 13.8%.

Our operating profit stood at Rs. 2.7 billion, up 28.1% over Q2 of last year, and translates to an EBIT margin of 11.5%, up 20 basis points QoQ. As Ritesh earlier mentioned, this is the fourth straight quarter of sequential margin expansion and translates to a 70bps improvement in the last four quarters. This is in line with our stated objective of a 50-75 bps margin expansion every year.

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Our margins improved sequentially despite the annual wage hike during the quarter that covered over 90% of our employees. We were able to achieve this due to our ongoing efforts to right shore talent, optimize delivery structure and proactively bring technology and AI interventions in our execution.

There is an exceptional income of Rs 19 million below the operating line which is the net impact of the gain of Rs 244 million due to fair value adjustment of the contingent consideration and a charge of Rs 225 million due to impairment of intangible assets, both on account of an earlier acquisition.

Profit after tax came in at Rs 1.8 billion, a YoY growth of 30%.

Effective tax rate in Q2 was 20% which is within the guided 19-21% range for FY26.

DSOs inched up marginally to 69 days mainly due to quarter spillover of collections in a few accounts. Our normalized DSOs continue to be in 65-67 days range.

In H1, our revenue grew at 16.4% in constant currency terms and 17.8% in US dollar terms. Our EBIT has grown 27.4% YoY and our PAT has grown 27.6% over last year.

Cash conversion continued to be healthy. Our OCF to EBITDA in H1 was 82% and FCF to PAT was 155%.

Our cash balance, including investment, stood at Rs. 2.9 billion at the end of Q2. Our net debt stands at 10.8 billion as of 30th September, 2025, versus 11.2 billion as of 30th June and 13.2 billion as of 31st March 2025.

Our hedge book as of 30th September was as follows: We had a coverage of GBP 95.3 million for the next 12 months with an average rate of 112.7 per pound. Coverage of US\$196.8 million with average rate of 86.6 to a dollar.

During the last earning call, we have announced a share purchase agreement to acquire Pastdue Credit Solutions in the UK. The transaction is yet to close since we are still awaiting FCA approval for the transaction. As such, our reported Q2 financials do not include Pastdue Credit.

During Q2, we made a strategic minority investment in AppliedAI, an AI company. Ritesh will give you more colour on this.

This is all from my side. I will hand over the call back to Ritesh to talk about our strategic priorities and the outlook for the year. Ritesh, over to you.

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Ritesh Idnani: Thank you, Dinesh. As you are all well aware, enterprises today are navigating through twin challenges of a significantly elevated level of uncertainty in the global economic and geopolitical environment and a concurrent wave of technological disruption that's fundamentally reshaping how businesses operate, compete, and create value. This convergence of unpredictability and transformation requires us to rethink traditional models, accelerate innovation cycles, and build more agile operating structures.

The UnBPOTM playbook we introduced earlier this year is our blueprint of how the new order is taking shape and how we are preparing ourselves to succeed in the same.

The traditional model based on labor arbitrage merely added more people at a lower cost base to reduce the cost of operations without fundamentally correcting the underlying inefficiencies in the process. Even RPA took a similar approach - automating existing workflows rather than fundamentally redesigning them. We believe these models are fast approaching their sell-by date in today's environment, where clients have understood that the value realization of AI is not from incremental productivity gains, but in leveraging it to

drive step-change improvements in efficiency, customer experience, and business outcomes. In effect, this is technology arbitrage replacing labor arbitrage.

Our strategic investments in AppliedAI and Lyzr announced earlier today are aligned with this direction. Let me tell you a little bit about both these companies and the investments. AppliedAI uses a proprietary large work model to learn workflows across functions, identify friction points, and re-engineer them for improved efficiency and business impact. Take the traditional mortgage process as an example. It has multiple teams manually working on reviewing applications, verifying documents and credit histories, and coordinating with underwriters in a workflow that's rule-driven, repetitive, and often prone to delays or errors. RPA and workflow tools have automated fragments of this chain, but the process itself continues to remain inefficient. AppliedAI changes that by rethinking the process end-to-end. From document intake to underwriting to approvals. It identifies friction points like redundant checks or handoffs and re-engineers the process using data-driven intelligence. For instance, AppliedAI can dynamically triage applications, based on risk profiles, route low-risk cases straight to auto-approval, and surface only exceptions for human review. Lyzr, on the other hand, brings the power of agentic AI, autonomous agents that take inputs from the user or from enterprise systems, process this data using algorithms and machine learning models, and finally execute the appropriate action, all with minimal human input. Continuing with the mortgage example, we are working with Lyzr to build an agent marketplace featuring a document verification agent that extracts and validates applicant data from uploaded documents; a credit analysis agent that pulls credit data by APIs and flags potential risk patterns; a communication agent

that interacts with applicants in natural language to request missing documents or scheduling calls, and a compliance agent that ensures every step adheres to regulatory rules as well as maintains an audit trail.

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This is UnBPOTM in action, transforming mortgage processing from a manual, linearly sequenced workflow into a self-learning adaptive system that delivers faster approvals, higher accuracy, and superior customer experience, while significantly reducing cycle time and cost of operations.

We are also seeing a clear pattern in how AI is expanding the scope of our client touchpoints and opening entirely new marketplaces, many of which did not exist even 24 months ago. One example of this is the data-as-a-service market. Over the past 2 years, we have built execution expertise on multiple services across modalities, ranging from prompt creation and prompt engineering to training data and model development, as well as ancillary services around data labelling and data annotation.

We now work with 4 of the top 5 consumer tech companies to help make their frontier models better. For example, we are training the AI agent at one of the largest hyperscalers on multilingual text data across 8 languages. For a global marketplace for curated short-term accommodations, we support the onboarding of hosts by validating their credentials to ensure authenticity and trust through advanced AI-based tools.

Overall, I am pleased with the progress we are making on our agenda to leverage the current fault lines created by technology and macroeconomic shifts to drive disproportionate market share gains. Our improved growth momentum has helped us gain 0.5% of market share over the last 8 quarters against a basket of 15 of our closest global publicly traded peers, based on trailing 4 quarters reported revenues.

We continue to see our constant currency revenue growth for FY26 in the 13% to 15% range. This does not include any contribution from Pastdue Credit Solutions, since we are still awaiting regulatory approvals for the transaction. We also continue to see our FY26 EBIT margin in the 11.25% to 12% band in FY26.

This concludes our opening remarks and we can now open the floor for questions.

Moderator: The first question is from the line of Girish Pai from BOB Capital Markets. Please go ahead.

Girish Pai: Ritesh, I just wanted to get a sense of how the quarter panned out. Was it up to your expectations or was it a tad weaker than what you anticipated to?

Ritesh Idnani: Thank you for the question, Girish. Look, the Q2 performance was in line with our expectations for the business as a whole. In specific parts, the growth may have been higher or lower versus estimates, but that's true for every quarter that you end up seeing.

Girish Pai: Okay. And in terms of \$20 million plus bucket of clients, you see the number falling from 11 to 9 on a QoQ basis. Were there any specific client-specific issues which led to this?

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Ritesh Idnani: You know, what I would always recommend here is, suggest to look at the trend in client bucket movement on a YoY basis and over a slightly longer -term time horizon, because the QoQ movement could be misleading or there could be changes that could happen because of currency movement, it could be because of a program ending or as we have been highlighting in some instances due to business shifting, particularly from an onsite delivery to offshore or nearshore, as has been the case for some of our UK -based large clients itself. But I wouldn't read anything further into that.

Girish Pai: Can I have the margin walk for the quarter between Q1 to Q2 in terms of puts and takes , I think you had a salary hike plus there must have been some forex movement.

Dinesh Jain: I think as we indicated already in m

y comments, yes, there is some currency movement and also the salary hike, but I think lot of effort gone in the operations efficiency, as well as you can see that as the revenues are growing, we have a lot of accounts where the productivity gains are coming as this progress. So, I think the large contributions are from them, which is offsetting the cost side of it.

Girish Pai: Okay. Thank you.

Moderator: The next question is from the line of Shradha Agrawal from AMSEC. Please go ahead.

Shradha Agrawal: Congratulations on a steady quarter. How should we read the growth cadence for second half, given that you have been indicating that the deals won in FY25 have a staggered wrap -up schedule? This is also in context to the 4% headcount addition that we have seen in this quarter. So, any visibility on how the next 2 quarters should look like?

Ritesh Idnani: Thanks for the question, Shradha. I think the way to probably view it is, maybe let me try and connect a few different dots so that you can understand how we are seeing, but I think conceptually, we are expecting that there is going to be an accelerating growth trajectory in H2, and that's one of the first things that I want to state right at the outset. As far as deal wins go itself, I have been highlighting now for the past few quarters that we are now increasingly winning deals that are either sole -sourced or have a non -linear commercial construct. And these are not regular outsourcing deals, but large transformation programs and hence have a staggered ramp or curve that's different from standard deals itself. So, what they do is that they improve the visibility from a long -term growth standpoint, but the conversion into reported revenue happens over a slightly extended period in a non -linear fashion itself. And I will give you one example, the Healthcare BPaaS deal that we announced in Q4 is probably the best example of that. As I mentioned in my prepared remarks, we expect it to start showing up in numbers from Q3.

Some of these deals take time to start because of regulatory reasons or if it requires a certain level of readiness from the client side itself. For example, this quarter itself, the large Firstsource Solutions Limited

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collections deal that we won at one of the UK -based retail banking clients will go through the process of FC A approval, given the regulated nature of work before we kick it off. So, there are multiple factors that will influence that quarter -on-quarter growth itself. But what we try to do is avoid talking about some of these specific factors each time, because they are just a reflection in some sense of how dynamic the operating environment itself is there for us. But what we do want to do is to make sure that we continue to build a business that's resilient, that's on a consistent upward trajectory over a long term. That's what I would probably urge you to look at as you think about how the next half also plays out and where we expect an accelerated growth trajectory itself.

Shradha Agrawal: So, if I get you, Ritesh, right, I think you are indicating that there's been some delay in regulatory approvals on the BPaaS deal, which is why we are expecting a ramp -up more towards 4Q rather than 3Q, which was earlier expectation.

Ritesh Idnani: No, we are saying that we should start seeing the Healthcare BPaaS deal to start contributing revenues from Q3 itself. What I would also urge you to look at is the net headcount addition itself, right. So, if you take the 1,500 people that we have added, it's the highest that we have had in the last 6 quarters as we prepare for an accelerated growth in the second half of FY26.

Shradha Agrawal: Right. And just one question. If I look at your margin guidance, that remains unchanged, but we have already done close to 11.4% EBIT margin in the first half. So, unless we are seeing something which is a

headwind in the second half, why didn't we look at narrowing the margin guidance for the year?

Ritesh Idnani: There's no specific reason why we didn't narrow the margin guidance. But I think it's fair to assume that, look, there are always puts and takes in a quarter. We continue to remain very confident of the 50 to 75 basis point s guidance that we had started off the beginning of the year as. But as you are aware, as you rightly called out, we are already sitting at H1 with 11.4% year -to-date number. And we feel comfortable that with the margin guidance range, probably trending clo ser to the higher end of this number and closer to the 12% number than what we see with 11.25% itself.

Shradha Agrawal: Just one related question . We have seen a good jump up in depreciation, and depreciation to sales is almost at 4.7% now. So, how should we look at the run rate in depreciation going ahead?

Dinesh Jain: We got into a larger building within Mumbai . So, we have closed out some of our centres and we moved to a standalone building. So, it's always once you get a new building, the depreciation charge will be higher because we must have given up the old depreciated asset. And that is the reason for increase.

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Shradha Agrawal: We should expect a similar run rate to continue going ahead?

Dinesh Jain: Yes, because now the new base, so I think similar numbers will be continued.

Shradha Agrawal: Okay, this is it. Thank you, sir.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Hi. Thank you for the opportunity. Both the Healthcare segment and Diverse Industries over the course of time, I would say some of the dilution on Diverse Industries happened with the acquisition last year. Could you help us understand how is the cost opt imization program related to that acquired business going, given you also spoke about some growth challenges in general in Europe?

The second question is with regards to the Healthcare segmental margins. Over there our margins have come up over the course of last 2, 3 years as you are investing in building up the payers business, and as the profile of the business moved away from the provider segment. Given now you have a footprint in almost 12 of the 15 top health plans, what's the roadmap for improvising the margin profile over here, given the kind of margins that some of our peers in this space make?

Ritesh Idnani: Thank you, Manik, for those questions. Let me start with the diverse industries and the question that you had with the acquisition that we had done last year of the retail asset , Ascensos . There are clearly opportunities that exist out there that are baked into some of the areas that we have identified, which are part of the 50 to 75 basis point s improvement that we can see over this year and the subsequent years itself.

So, clearly, there are areas that we are working on right now as we speak, whether it's on the G &A side, whether it's related to things that we can do around improving operational parameters, more automation, e tc. So, some of those are the elements that we are working on, not very different than some of the standard parameters that we would look at for unlocking value across the company as well.

What I think is also important to understand is that the retail pipeline continues to be robust in terms of what we are ending up seeing as well. So, we feel good about how the acquisition itself has played out with the capability set that we have acquired, and we feel comfortable with the margin improvement opportunities that exist with the acquisition.

With reference to Healthcare, I think your observation is right. Our payers business has grown at a faster clip compared to the provider business, and as some of that cost of growth has also played out, some of th

at potentially diluted the margins. But we see an opportunity

for some of the standard operational parameters to improve as well, which the team has

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identified and working on. We also see opportunities in some of the areas to drive greater automation. Some of that is baked into the nature of the transformation that we have committed and as some of that plays out, you will start seeing margin unlocks coming in that business as we ll.

So, again, I would say that there are 2 or 3 contributors. We think that within the Payer business, some of these deals, as you move past the cost of growth phase itself and the transformation benefits kick in, you should start seeing opportunities natural ly for the margin

profile to improve. Number 2 is the existing value unlocks that we have identified in the business itself should also be net additive on the margin side as well.

Manik Taneja: Thanks, Ritesh. The last question was just a clarification question for Dinesh. This particular asset for which we have reversed the contingent consideration table or the adjustment on that front, if you could help us understand which acquisition does it pertain to?

Dinesh Jain: It was the UK asset which we bought last year.

Manik Taneja: Which was Ascensos.

Dinesh Jain: That's right.

Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Yes. Thanks for the opportunity. A couple of questions. Continuing with the prior question, just want to understand the impairment what we took for the asset which we acquired last year. So, if you can use some contour, whether it's the performance or synergy benefit what we anticipated is not playing out or how to understand that part?

Second question is about the assumption. Now we maintain the guidance range, so if you can help us understand what the lower -end assumption versus upper -end assumption would be. And if you can provide some qualitative aspect, how we expect some of those assumptions to play out.

Last question is about the UnBPOTM approach we are indicating. Is it possible to give some quantitative kind of thing? Let's say how many clients where we are seeing some kind of adoption of the approach? Or it is very wider approach and the way we sell is UnBPOTM approach and difficult to provide some number around it? But if you can provide some qualitative aspects around some of it, that would be helpful. Thank you, sir.

Dinesh Jain: Yes. So, Dipesh, as you are aware that these are some of the revenue estimations which the acquisition should have resulted into, but hasn't happened, which is specific to some customers. And when you do the acquisition, you also create an intangible asset, which is

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mainly the customer contracts. So, both are reflecting the same. Since we have a customer contract, where revenue didn't get delivered, and accordingly, we have not paid to the seller that value. And similarly, we reassess the value of intangible and take that charge. So, we can say that both are the same transaction. As the revenue not got achieved, revenue not got paid, we have to reassess the intangible value and take the charge.

Ritesh Idnani: Yes. Thanks, Dinesh. So, Dipesh, to the second question that you asked, which is related to the guidance and retaining the 13% to 15% guidance for the full year itself. I am not going to specifically comment on the numbers. But as I mentioned a little earlier on the call as well, the guidance obviously builds an accelerating growth trajectory, which we feel comfortable with based on what we see.

And as we have indicated in the past as well, our guidance band is based on a very clear line of sight to the business over FY26 at the lower end of the guidance. And the upper end is based on

things like how the pipeline conversion et c., can play out over the guided period itself. What our guidance does not build is any changes to the macro environment. And, you know, our guidance is a range at the end of the day. So, for me to comment very specifically on where we will be in that range itself defeats the whole purpose of the range. But what I think you should take away from it is the fact that we clearly see an accelerated growth trajectory in the second half of FY26.

Related to the third question that you had in terms of UnBPOTM and how one should think about it, we feel very encouraged with the conversations that we are having, both in individual client sessions as well as small industry events that we have been doing, either in a particular vertical or in a particular geography. Some of the takeaways from these events have been very refreshing, because clients clearly see the opportunity to embrace a different mindset, a different way of thinking.

The opportunity to think about their business from a technology arbitrage manner as opposed to just a pure labour arbitrage model is something that they welcome. The ability to shift from what might be a time and material commercial construct, which 75% of the IT Services and BPO industry is on, towards a non-linear commercial construct is something that they welcome because it creates shared alignment. What we are seeing, therefore, is an increasing number of our proposals that are going out today, reflect some of these principles, where even if there is a time and material asked from a customer, we are providing an alternate commercial model which will be on a non-linear commercial construct reflecting some of the UnBPOTM ethos. We are trying to reflect the services-as-a-software play where technology is front and centre in everything we do. We are looking to reimagine

the process as opposed to just taking somebody's mess for less. These are some of the clear differences in the approach that is there and these are some of the elements that the UnBPOTM mindset and orientation is all about.

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Dipesh Mehta: Ritesh, can you help us understand externally if we want to understand success and we want to monitor externally success on UnBPOTM approach, which 3 variables you would like us to focus on going forward with this?

Ritesh Idnani: Over a period in time, what you should start thinking about is that the traditional causality that existed between revenue and headcount will start getting further removed, whereas historically the way this industry has operated has been very linear that you add headcount, you get revenue. I think some of that will start not existing to the same extent. What I would also think, as we get to the next fiscal, we will start providing some more color on some of these from a number standpoint, but start thinking about the percentage of non-linear commercial constructs that will be a good indicator of how this industry is evolving itself and we expect to lead the charge on that where today already for us, unlike the rest of the peer group where 75% of the industry is still time and material, we have a meaningful number of our contracts which are non-linear and constructs. I think that is one outcome metric that one should think of. The second one that one should also start thinking about is the revenue per headcount, because as you get into more and more of a tech-driven world, the ability to offer a service as a software contract means that technology and humans will coexist, which means your revenue per headcount should start naturally improving as well. So, that is another metric that one should start thinking about as well.

Moderator: Thank you. The next question is from the line of Vibhor Singhal from Nuvama Institutional Equities.

Vibhor Singhal: Congrats on a stable performance, just 2 questions from my side. If you look at our

performance in the first 2 quarters, if we remove the contribution from Ascensos acquisition, organically, we have kind of steered more closer to the 8% -9% or 9% -10% kind of growth in the first 2 quarters. As you mentioned, of course, in your earlier remarks that you expect those Healthcare deals and other deals to pick up momentum in the coming quarters. So, on an organic basis, do we envisage that at some point of time, over the next, let us say, 3 - 4 quarters, do you think on an organic basis, this business we have the potential that we should be able to touch double digit or let us say, somewhere between growth in terms of an organic basis?

And second question is, what is the status on Pastdue Credit acquisition? What is holding up the integration? And when do we think we can start incorporating the numbers into our financials?

Ritesh Idnani: Thank you for those questions, Vibhor. Let me address the second one on Pastdue Credit and then I will come to the first one on the numbers itself. So, we are awaiting regulatory approval from the FCA. We think it is imminent. It should happen sometime this quarter, but at this stage, because we don't have formal approval yet, we don't have anything baked into any of our numbers at this stage because we don't have a certainty as to what is the timeline itself, but we are fairly hopeful that this quarter it should come through, Vibhor. So, that is Firstsource Solutions Limited
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just a quick update. And obviously, at this stage, pending FCA approval, we are still having those conversations with customers and so on and so forth, but we can't commence a formal integration till such point in time that the approvals itself are through. So, that is as far as the acquisition is concerned.

On the first one, what I would say is that I think we have been consistent with our commentary where even in the last quarter, we had said that we expect each quarter to subsequently have a more accelerating growth trajectory. And therefore, even when we think of our business, we do expect that H2 will be on an accelerated growth trajectory. Now, what that does do is, and that is the reason why we feel comfortable in terms of retaining our guidance of the 13% -15% itself. We do think this business and what we are building the business to is industry-leading growth, which we think is a 15% growth number from a trajectory standpoint. So, we are continuing to obviously internally try and hit those numbers. We are trying to set the business up for that itself. And we think the potential exists, especially in this environment where our UnBPOTM proposition, the ability to shift

clients towards a non-linear commercial construct, the ability to underwrite business outcomes, the depth in domain, and the ability to bring technology which is very contextual to the domain are all creating competitive moat for us in the focus markets itself. And that is allowing us on one hand to take share from existing incumbents but also expand our share of wallet in our existing customers with a very focused cross-sell upsell program. You heard one data point that we talked about where we added a bunch of strategic logos. And in several of the strategic logos, we have crossed the \$5 million mark from the time that we opened it 4 quarters ago itself. So, I think there are a lot of tailwinds that exist. And we still think that the opportunity and the headroom for growth with our existing client portfolio and the pace at which we are adding new logos gives us the durability to continue to aspire for industry-leading growth.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial Limited. Please go ahead.

Abhishek Kumar: I have just one question. You mentioned in your opening remarks that the deal pipeline is now over a billion dollar. If you could ju

st help us put this in context, how much has it increased by? What is typically the win ratio that we have? Our revenue on LTM basis is already close to a billion dollar. So, how do we look at this? And has our win ratio been improving over the last few quarters since the strategy refresh? And should we expect deal momentum or deal TCV to increase substantially going ahead?

Ritesh Idnani: Thank you, Abhishek, for the question. So, what I will say, see, this is the first time we are formally reporting the deal pipeline number itself. And we felt that as we crossed the billion dollars, it was an important milestone for us as a business. But what you can see is that on an average, the pipeline goes up about 5% -10% every quarter itself. So, that is one way to one variable to think about in terms of how we see the pipeline increase quarter-on-quarter itself. Given the fact that in a lot of deals, we are either sole-sourcing those conversations, Firstsource Solutions Limited
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or we are shaping the deal itself from a transformation program. Several of these don't necessarily go through a formal RFP process. Now, what that does do is it results in a higher likelihood that we are going to be able to convert the opportunity itself. And given the fact that there is depth and domain itself, so that improves our ability to compete and hold our own in the markets in which we play. So, suffice to say that win rates are good and have improved in the last few quarters, I don't have a specific number on the percentage itself, but I think just to give you the qualitative color in terms of how to view the pipeline and the win rates itself.

Moderator: Thank you. The next question is from the line of Girish Pai from BOB Capital Markets. Please go ahead.

Girish Pai: Just want to discuss the medium-term goals, which is on slide 26 of the presentation. You have given 5 drivers each for both double-digit growth and 50 -75 basis points EBIT margin expansion. If you could point out top 2 drivers in each of these categories, in terms of growth, which would be the top 2 drivers for the double-digit revenue growth that you are aspiring for? And even that 50 -75 basis points EBIT margin expansion, which would be your top 2 drivers?

Ritesh Idnani: Thank you, Girish, for the question. The way to think about on the growth side, and then I will come to the margin side as well. Today, we have opportunities that exist on account of, if you just take our FSL80, which is a cohort of 80 accounts where we have significant headroom for growth, our share of wallet in several of those accounts leaves ample room for expansion. And that is the reason why we are focusing on them very closely as a cohort itself and tracking the growth in those accounts. You are already seeing ample signs of the fact that our share of revenue from our top 5, top 10 accounts. While the revenue continues to increase, we are able to broad-base the portfolio and grow some of these accounts that are beyond the top 5, top 10 itself.

Second is the number of strategic logos that we are adding every quarter. Because again, one data point that you have seen is over the last 4 quarters, as those strategic logos have come up, our ability to get them to at least a US\$5 million run rate, which was going in assumption, is something that, again, is an opportunity for us to continue to drive growth. Third is, as we enter new markets, and just take an example of two new markets that we have just launched, which is the Middle East and Canada, both of which we have done exchange filings. These are going to be, as we get into new geographies, that creates a vector from a growth standpoint. Fourth is, if you take markets that we launched last year, as an example, Australia, we are very pleased with the progress in the Australian market from the time that we launched. I was there just last week, an

d if you look at the number of people that we have locally in that market, it is testament to the kind of growth that we have been able to achieve. So, that is the third vector, which is new geography that creates an opportunity.

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The fourth is, if you take Ascensos that we acquired last year as an asset, and we were doing work in the retail market in the UK, extending that capability to other geographies is a logical adjacency, because the skill set and the knowledge of the vertical already exists. So, getting into some of those verticals is clearly an opportunity. Similarly, the same play happens also in the utilities market. As an example, we were very strong in the UK market. It actually gets further solidified once the regulatory approvals for Pastdue Credit come through as well, because they have a sizable number of utilities customers with whom they work, and we can take the rest of our portfolio there. But now extending the utilities capability to markets like North America, as well as Australia, represent additional opportunities. For instance, last quarter, we just onboarded a very senior domain person, a practitioner from the utilities market to spearhead our efforts. And that is already starting to yield results in terms of the traction and the pipeline that we have been able to build up. So, we think that is another lever that exists in terms of opportunity.

And then last is, as we launch new service offerings itself, that creates an additional vector, because you will now have additional capabilities that you can take. For instance, we have been talking about our tech vertical and some of the work we are doing out there to make frontier models better. Some of that is fast growing as the market opportunity there is large, but then the ability to extend that beyond the tech vertical to other enterprise customers is another opportunity. So, these are some of the players that I would say, from a revenue standpoint, we feel good about in terms of what are the drivers for growth itself. To take the margin side, I think we have talked about some of the typical unlocks out there, ranging from what we can do around traditional operational parameters, the standard stuff that one does from a block and tackle standpoint in the account itself. But then over and above that, the transformation opportunities that exist with productivity, automation, AI, and the like, and what you can achieve there in terms of efficiency gains. The third one is in terms of things that we can do to improve our performance in low-margin accounts with a very focused, targeted intervention. The fourth is things around where there might be assumption mismatches between what we signed up for versus what we are delivering today, and those could represent opportunities for either change requests or going back for commercial increases.

And then last but not the least are things that we can do around on the G & A side, whether it is around facilities, where we have some places where there are seats that are available, which have been unutilized. And as we turn them over, those create margin opportunities because the cost goes off the book. Or things that we can do around the HR front, around spans, layering, and things like that, so that we can improve the total talent cost itself and rationalize some of the talent costs where appropriate. So, these are some of the key margin unlocks that we are also looking at to continue to help achieve the 50 -75 bps for this year and subsequent years.

Girish Pai: Ritesh, thanks for the detailed answer. Just one last question. This is regarding demand conditions in the US mortgage business. Are you seeing any kind of uptick there?

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Ritesh Idnani: So, what I will say is, and I am sure all of you would have

heard the Fed Chairman talked

about when the rate cut happened. I don't know whether there is going to be another rate cut in the December cycle, your guess is probably as good as mine. But I think the way to probably think about it is that the 30-year fixed is still hovering around the 6.25% -6.3% mark, which is still high. So, with inventory still relatively low, and there is not as much volume that is there from a new home buyer to come in, and with interest rates still continuing to be high. On the re-fi side, until you actually see the rates go down to about a 5% mark or thereabouts, you are not going to see as much active interest coming in. And let me just give you one data point out there, which is 88% of all mortgages today are less than 5%. So, that is a sizable number. 80% of all mortgages today are less than 4%. There is no incentive for an existing homeowner who is sitting on rock-bottom rates to go out and do something different when the new interest rate is hovering around the 6% mark. So, there has to be a few more

rate cuts for some of this inventory to pick up. So, I would still be on a wait -and-watch mode. I think that is what a lot of our existing clients are also doing. And that is the reason why for us, what we are trying to do is spend a lot of time making sure that we are creating the more -for-less play for them, leading with technology, so that we can allow them to skinny -dip into this as the environment improves, for them to be able to do more -for-less without having to hire as many people and they use tech in a meaningful way itself. So, that is why some of those investments in Lyzr and AppliedAI also come in very handy with some of the things we are trying to do for the mortgage sector.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Ritesh, basically some of your IT services peers have also indicated about strong growth for their BPO business. Just while you have been talking about your UnBPOTM strategy as well, and your numbers have been decent, but it would be great to understand how are you seeing the competitive landscape evolve given the IT plus BPO playbook at one end and the process special list like yours?

Ritesh Idnani: Thanks for the question, Manik. I would urge you to look at the Everest Group report that came out about 3 or 6 months ago. What you will see in that report consistently is that the pure play BPO companies are growing at a much faster clip compared to the integrated tech plus BPO players. So, that is just the data point right there in terms of, and that is not me saying it, that Everest Group well -respected research output saying the same. What I would do is probably dwell a little bit into the things that support us. I can't comment on what the other companies are doing or not doing, but I think what helps us is, and that is what we are singularly focused on our business and what we can do to continue to deepen our competitive moat. To me, it still comes down to four things – depth and domain. We are not trying to be everything to everybody. So, we are not a one -size-fits-all and therefore, we are everything to everybody and therefore nothing to anybody. We are very deep in domain and that inch -wide, mile -deep supports us. I think the second thing that works in our favor is we are able to bring technology contextualized to the domain. So, it is not a one -size-fits-all out

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there. It is a horses -for-courses kind of a play. Sometimes tech in an existing organization, especially for IT services and a BPO output, can actually be a little bit of a negative because you might think you know it all from a tech standpoint, whereas sometimes you got to go out there, partner, work with the startup ecosystem, to try and bring the best of what is possible

to solve a specific complex customer problem. And the third is, I think, the ability to underwrite outcomes. The depth and domain is creating the comfort for us to underwrite outcomes. We know that we probably have an opportunity to lead on that front, and I think that helps. And last is, I think, what really creates, when you put it all together, the ability to be agile and what I call as 'enterprise scrappy', allows us to move at speed to solve some of these complex problems. When you bring all these 4 things together, I think that creates a competitive moat and we are able to hold our own and that is probably the reason why when Everest is seeing some of the numbers, they see us and some other companies in the space growing at a much faster clip compared to the integrated IT plus BPO players.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Ritesh Idnani for closing comments.

Ritesh Idnani: Thank you all for joining the call and for your questions. I just want to close with a few final points. Our sales engine continues to work well. We had four large deal wins in Q2. This is now the third straight quarter of 4 or more deals and the sixth straight quarter of 3 or more large deals. As I mentioned earlier, our deal pipeline also crossed a billion dollar for the first time. We also closed on a trailing 12 -months basis a billion dollars in revenue.

Our net headcount addition was the highest in the last six quarters as we prepare for an accelerated growth over the second half of FY26.

Our free cash conversion was healthy at 117% of PAT.

Our long -term aspirations therefore continue to remain intact. We continue to see our constant currency revenue growth for FY26 in the 13% -15% range that places us in the top decile for the industry and we remain laser focused on improving our margins by 50 -75 basis points and bringing them in line with peers over the next 3 -4 years.

That is all from our side and we look forward to interacting with you again in the next quarter call. Thank you.

Moderator: Thank you very much, sir. On behalf of Firstsource Solutions Limited that conclude this conference, thank you for joining us.

Call: Feb 2026

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(CIN: L64202MH2001PLC134147)

5th February 2025

To:

National Stock Exchange of India

Limited (Scrip Code: FSL)

Exchange Plaza, Plot no. C/1, G Block,

Bandra-Kurla Complex

Bandra (East),

Mumbai - 400 051 BSE Limited (Scrip Code:

532809)

Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board of Directors on 3rd February 2026

Please find enclosed the transcripts of the Analysts earnings call conducted on 3rd February 2026, after the meeting of Board of Directors held on 3rd February 2026, for your information and records.

This information is also hosted on the Company's website, at

<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the Company's website, at

<https://www.firstsource.com/investor-relations/>

You are kindly requested to take the same on record and oblige.

Thanking you, For Firstsource Solutions Limited

Pooja Nambiar

Company Secretary

FIRSTSOURCE SOLUTIONS LIMITED
Q3FY26 EARNINGS CONFERENCE CALL
FEBRUARY 03, 2026

MANAGEMENT:

MR. RITESH IDNANI,

MD & CEO

MR. DINESH JAIN

CFO

Moderator: Ladies and gentlemen, good day and welcome to Firstsource Solutions Limited Q3FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “* ” then “0” on your touch tone phone. Please note that this conference is being recorded.

On this call, we have Mr. Ritesh Idnani – MD and CEO; and Mr. Dinesh Jain – CFO to provide an overview on Company's performance, followed by Q&A.

Please note that some of the matters that we will discuss on this call including the Company's business outlook are forward -looking and as such are subject to known and unknown risks. These uncertainties and risks are included but not limited to what Company has mentioned in its prospectus filed with SEBI and subsequent annual reports that are available on its website.

I now hand the conference over to Mr. Ritesh Idnani. Thank you and over to you sir.

Ritesh Idnani: Hello, everybody. Thank you for joining us today to discuss our financial results for Q3FY26.

Before I start with the discussion on our Q3 performance, I would like to welcome our colleagues from Pastdue Credit and TeleMedik who have joined the Firstsource team over the last two months. I would also like to thank them and each one of our 36,689 Firstsourcers around the world for their relentless commitment to delivering value to our clients.

Q3 marks the seventh straight quarter of double -digit YoY revenue growth. Our revenue grew by 16.2% YoY and came in at Rs 24.4 billion. In US \$ terms, the growth was 10.2% YoY and 3.6% QoQ to US\$274 million. In constant currency terms, our revenue grew 10.6% YoY and 4.6% QoQ . These numbers are inclusive of the Pastdue Credit acquisition, which we integrated during the quarter, and contributed to about 2% to our YoY growth in constant currency terms. EBIT margin for the quarter was 11.9%, up 80 basis points and 40 basis points on a YoY and QoQ basis, respectively. It is also the fifth straight quarter of margin expansion and the increase over the trailing 12 months has been ahead of our guided band of 50 to 75 basis points expansion every year. Our net profit adjusted for exceptional items was Rs 2 billion and the diluted EPS for the quarter was Rs 2.87.

1. Deal Wins

In Q3, we signed five large deals. As you are aware, we consider a deal with an ACV over 5 million as a large deal. Some of the deal wins include:

- A leading on -demand manufacturing marketplace in the US, selected us to provide account servicing and customer experience services.

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- We gained additional business from one of the largest communications and media companies for customer onboarding and account service processes that are currently managed by in -house teams.

- We were also selected as a global operations outsourcing partner by a leading UK -based MVNO to support account servicing, billing, and customer inquiry management across multiple markets. This is also a new logo for us.

- One of the leading global online fashion retailers also selected us to drive customer operations. This again is a new logo for us.

- In Australia, we won a large onshore customer experience engagement with a leading health insurer focused on member services.

During the quarter, we added 9 new logos, which included 5 strategic logos. As you are aware, we define a strategic logo as one where we see the potential of at least a \$5 million revenue run rate annually, and we run a structured program to handhold and monitor such relationships to grow them at an accelerated pace. As I mentioned, two of the five large deals in Q3 were from new logos. In fact, we have

been able to hit our aspirational target of a \$5 million relationship size in 10 of the 20 strategic logos that we added over the past four quarters, including Q3. This conversion is about 60% if we consider the 33 strategic logos we added over the past eight quarters.

2. Vertical commentary

In Q3FY26, our banking and financial services vertical grew 9% YoY and was flat sequentially in constant currency terms. We added five new logos during the quarter. From a demand perspective, clients are increasingly prioritizing regulatory adherence, customer

experience, and cost efficiency, which play directly to our strengths. We see a strong client interest in our tech-enabled capability portfolio, anchored around AI automation and data-driven transformation.

For example, our consulting-led mortgage transformation offerings are resonating very strongly with clients, seeking low origination and refinance volumes given a prolonged high-interest rate environment. They are looking for structural cost reduction, productivity uplift, and end-to-end process simplification. Our consulting-led model, deploying AI-enabled optimization and workflow redesign, particularly for monoliner mortgage customers who are operating under sustained margin pressure, is finding good acceptance. This approach has enabled us to move beyond pure execution and play a more strategic role in reimagining mortgage operations across several accounts.

We are also partnering more closely with midsize banks and fintechs as they accelerate platform modernization, embed AI across customer journeys, and enhance their digital experience, especially across onboarding, servicing, and collections workflows. Our Q3 exit deal pipeline was amongst the strongest in recent quarters, with at least one large deal in Firstsource Solutions Limited

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advanced stages of closure, giving us confidence in sustaining growth momentum in this vertical.

In healthcare, the revenue grew 6% YoY but were flat sequentially in constant currency terms. We added one new logo during the quarter. Healthcare continues to be a core growth pillar and a key area of strategic differentiation for Firstsource. We are amongst a few companies with a strong and well-diversified presence across both the payer and provider segments, giving us a unique end-to-end view of the healthcare value chain. While clients across both segments are navigating similar macro pressures of rising costs, increasing regulatory complexity, and the need to deliver better experiences and outcomes, we believe payers and providers are at very different stages of their transformation journeys and therefore require differentiated approaches.

To sharpen our focus on these distinct needs, dynamics, and growth opportunities, we have created dedicated leadership roles for both the payer and the provider segments. Matthew Barlow and Scott Schrader each bring over two decades of industry experience, deep client relationships, and they will drive our UnBPOTM approach to build domain-led, technology-enabled solutions that help health plans and health systems respectively, operate smarter, scale responsibly, and adapt faster to change.

Ramp ups in our previously won large deals are progressing well, and we see a healthy deal pipeline. This gives us the confidence to bring forward the planned rationalization of low-margin, low-growth accounts, particularly in the provider segment, aligned with the recent leadership changes. While this may weigh on the optical growth in this vertical in the short term, it gives us a strong push-up on our medium-term margin aspirations.

Coming to the communications, media and technology (CMT) vertical. Revenues grew 14% YoY and 2% on a QoQ basis. We added two new logos during the quarter, and three of our large deal wins in Q3 came from this segment. Q3 tends to be seasonally soft due to the holiday

period, which affects the timing and flow of work packets, particularly across our consumer technology clients. That aside, CMT remains one of our fastest-growing verticals. Growth continues to be driven by deepening engagements with leading consumer tech companies, spanning both our core service offerings as well as a growing set of non-traditional technology-led solutions that support the integration of AI into client-product ecosystems.

We exited the quarter with a well-balanced and healthy pipeline, covering opportunities across both traditional media and telecom clients as well as the new-age technology companies, giving us confidence in the sustained growth momentum of this vertical.

Lastly, coming to the diverse portfolio that grew 21% YoY and 37% QoQ in constant currency terms. As you are aware, this portfolio includes our businesses with utilities and retail clients, mainly in the UK. We have a healthy deal pipeline across both retail and utilities

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verticals. With the Pastdue Credit capabilities, we plan to double down, especially in the utility segment, where the acquisition adds several large and new logos to our portfolio. We are also optimistic about growth in our retail portfolio, where we have been able to expand

our footprint, as well as win additional business with several clients during recent renewals .

3. Geographical commentary

From a geographic standpoint, North America delivered 1% sequential growth and 13% YoY growth in constant currency terms. We continue to see broad -based momentum across our three core verticals in the region and expect to sustain this over the coming quarters. In parallel, we are also incubating new growth opportunities in North America by setting up our sales presence in Canada and by replicating capabilities where we have demonstrated strength in other markets, such as utilities and retail from the UK.

Europe grew 14% QoQ and 2% YoY in constant currency terms. As we have highlighted in the past, we have seen an accelerated move towards offshore and nearshore delivery over the past few quarters with several of our clients. While this may continue in the near term, we believe our proactive steps to make the business more resilient by broadening both our geographic and vertical presence are yielding results. Our pitch for transformational programs and nearshore delivery from South Africa has been resonating strongly with clients. During Q3, we also renewed our contract with a UK banking -based client, one of our largest and oldest clients, and we have now been recognized as the primary partner for both onshore and offshore work. We believe this places us well to further deepen and expand our relationship with this client. With another large communications and media client, we continue to gain additional estate mostly from their in -house teams. We also won three large deals in Q3, and our pipeline continues to build up well. In fact, it is up about 40% over the last four quarters. We see an improving growth trajectory in this market, though the pace could be gradual.

In Australia , we continue to win additional business with existing clients while building a pipeline in new logos. One of the largest deal wins in Q3 was in this market .

4. People

On the people front, we close the quarter with a headcount of 36,689 Firstsourcers , which is a net increase of about 690 employees over the last quarter. Offshore and nearshore hires accounted for close to 80% of gross additions. Our trailing 12 -month attrition continued to trend down to 27.4%, marking an improvement of almost 10 percentage points over the last 8 quarters.

During the quarter, we laid the foundation for a fundamental shift from a role -based to a skills -first organization with the launch of unBound, our skills and talent platform, enabling every Firstsource employee to build a uni

que skill profile to support internal mobility,

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targeted development, and future work post -planning. This transformation was reinforced through nearly 44,000 learning hours delivered globally, focused on building capability in AI and data fluency, leadership, and cognitive skills. We also further strengthened our people operations backbone by improving onboarding speed and accuracy, scaling HR platforms across geographies, and reinforcing payroll and statutory governance to support seamless business continuity.

Our people -first culture was further reflected in recognitions earned this quarter, including being named amongst the India's Top 25 Best Workplaces for IT and IT BPM in 2025, Honors of the Great Manager Awards 2025, and a repeat Great Place to Work Certification across India and the Philippines .

5. Awards/recognitions and sustainability

From an awards recognition and sustainability standpoint, Firstsource continues to earn strong recognition from leading industry analysts for delivering strong client value and driving innovation through technology -led solutions in our focus markets.

During Q3, NelsonHall named Firstsource as a 'Leader ' in Banking for both Operation Services and Process Automation Services, and a 'Leader ' in CX Services transformation. Everest Group recognized us as a 'Leader ' and 'Star Performer ' in its Banking Operations Services Peak Matrix Assessment of 2025. Additionally, ISG positioned Firstsource as a 'Leader ' in both Generative AI services and Contact Center CX services. ISG also featured Firstsource in its "Booming 15" list - based on the annual value of commercial contracts awarded over the past 12 months , for the fifth consecutive quarter.

I am also proud to share that Firstsource achieved an ESG and CSA score of 87 by S&P Global Sustainable 1 Assessment, our third year of significant improvement, rising from 61 in FY23 and 81 in FY24 to 87 in FY25. This performance positions Firstsource as the #1 ranked company globally in the professional services sector. These recognitions reflect not just external validation, but the collective commitment of our teams to driving sustainable and responsible growth.

6. TeleMedik Acquisition

Let me talk a little bit about the TeleMedik acquisition, which we announced this last month. As you are aware, TeleMedik is a Puerto Rico-based pioneer with close to three decades of operations, well-aligned with the fast-growing Medicaid, Medicare Advantage, and dual-eligible segments, including Spanish-speaking and underserved communities. Its service portfolio spans clinical operations, utilization management, telehealth-enabled care, and contact-center solutions. This acquisition meaningfully strengthens our end-to-end clinical and utilization management capabilities and expands our on-ground presence in the payer market in Puerto Rico.

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With that, let me turn over the call to Dinesh to give a detailed color on the quarterly financials. I will come back to talk about our progress on the strategic priorities, as well as the outlook for FY26. Over to you, Dinesh.

Dinesh Jain: Thank you, Ritesh and hello, everyone. Let me start by taking you through our quarterly financials.

Revenue for Q3FY26 came in at Rs 24.4 billion or US\$274 million. This implies a YoY growth of 16.2% in the rupee term and 10.2% in US\$ terms. In constant currency, this translates to a YoY growth of 10.6%.

Our operating profit stood at Rs 2.9 billion, up 24.9% over Q3 of last year and translates to an EBIT margin of 11.9%, up 40bps QoQ. As Ritesh earlier mentioned, this is the fifth straight quarter of sequential margin expansion and translates to a 80bps improvement in the last four quarters. This is a little above our stated objective of a 50-75bps margin expansion every year.

Effective tax rate in Q3 was 21% and for nine months it was 20%, which is within the guided 19-21% range for FY26.

As I mentioned, there is a one-time charge of Rs 914 million on account of increased provisioning for gratuity and leave encashment in accordance with the new Labour Code announced by the Government of India. There is also an exceptional item related to provision of Rs 88 million for diminution in the value of a legacy investment.

Profit after tax, adjusted for these exceptional items, came in at Rs 2 billion, a YoY growth of 26%.

DSO was 67 days for the quarter versus 69 days in Q2. Tighter working capital days helped on improved cash conversion. Our OCF to EBITDA was 93% and FCF to adjusted PAT was 164% for the quarter.

For nine months, our revenue grew at 14.3% in constant currency terms and 15.1% in USD terms. Our EBIT has grown 26.5% YoY and adjusted PAT has grown 27% over last year. Cash conversion continues to be strong. Our OCF to EBITDA for nine months was 86% and FCF to adjusted PAT was 159%.

Our cash balance including investments stood at Rs 4 billion at the end of Q3. Our net debt stands at Rs 11.7 billion as of 31st December 2025 versus Rs 10.8 billion as of 30th September 2025 and Rs 13.2 billion as of 31st March 2025.

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Our hedge book as of 31st December was as follows: we had coverage of GBP 95.3 million for the next 12 months with an average rate of Rs 113.9 per Pound and coverage of USD 178.2 million with an average rate of Rs 88.6 per US\$.

During the quarter, we paid Rs 2.2 billion towards the acquisition of Pastdue Credit for which we received regulatory approval during the quarter. As we have reported earlier, we acquired a 100% stake in the company at a purchase consideration of GBP 22 million which includes GBP 4.4 million as earnouts linked to achieving pre-defined milestones.

I am pleased to share that the Board has declared an interim dividend of Rs 5.5 per share. This is all from my side. I will hand the call back to Ritesh to talk about our strategic priorities and outlook.

Ritesh Idnani: Thank you, Dinesh.

I am pleased with the progress we are making on our agenda to leverage the current fault lines created by technology and macroeconomic shifts to broaden our client footprint and curate new growth engines. Let me give you a few data points. We closed Q3 with 141 clients with over US\$1m revenue run-rate, an addition of 34 clients over Q3FY25. During

this period, our US\$10m+ and US\$5m+ clients increased by 4 and 13 respectively. Over the last 8 quarters, the revenue share of Top5 and Top10 clients has come down by 8% and 11% respectively. Importantly, this has happened even as our Top5 clients continue to grow at industry growth rate despite a significant onshore to nearshore deli very in atleast a couple of them. As you may have noticed, we had back -to-back large deal wins in the form of additional business in one of our largest clients over the past two quarters. So, the broad basing of growth that you see is a result of focused a ccount management strategy which is driving a faster growth in our non -Top5/Top10 accounts, in many cases through large deals.

We are now winning a higher number of large deals and doing so, more consistently. We now have a dedicated team to bring more focus to our efforts and ensure we are covering all the aspects that go into a large deal pursuit. This has helped us report at le ast four large deals in each of the past four quarters with five deals in the current quarter. Importantly, despite the strong closure, our deal pipeline has stayed above US\$1bn. Let me give you some additional insights. We have won 13 large deals in the f irst nine months of FY26, versus 14 wins in the entire FY25 and close to double the number of wins in FY24. Not just that, while previously our large deals almost alwa

ys came from existing clients, six of the large deals this year so far came from new logo s versus 5 in FY25. This underlines the strength of our differentiated solutions, attractiveness of our commercial construct and a growing client acceptance of us as a disruptor. This gives me confidence that we are on the right trajectory to deliver susta inable, profitable and industry -leading growth.

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As you can see, we have delivered continued improvement in our sequential growth rates throughout the course of FY26, in line with our initial commentary. This has given us the confidence to bring forward the account rationalization program, especially in the healthcare provider segment, to coincide with the recent leadership changes in that vertical, that I mentioned earlier.

As such, we now expect our constant currency revenue growth for FY26 to be in 13% to 14% range. This does not include the recent Pastdue Credit Solutions and TeleMedik acquisitions. Including these two acquisitions, we expect our FY26 constant currency revenue growth to be in 14.5% to 15.5% range. We also raise our EBIT margin guidance for FY26 to 11.5% to 12% range.

This concludes our opening remarks, and we can now open the floor for questions.

Operator, over to you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Ritesh, a couple of questions from my side on the business side. Basically, in the healthcare segment, we have very recently heard of a lot of concerns about the government spending that was supposed to be, is much lower, just increased by 0.5% on a Y oY basis as compared to general expectations around 5%. So, how does that play out in terms of our overall demand environment? What kind of businesses do we have because of which we do get impacted or do not get impacted because of this lower increase in sp end that has come out to be?

And similarly, in the BFSI segment, what are we seeing on the mortgage business side at this point of time? As you mentioned that we have some very niche capabilities, which is helping us, our clients, especially in higher interest rate regimes. Are we se eing any revival in that business from industry point of view? And how are we kind of placed to take care of that?

Ritesh Idnani: Thank you, Vibhor, for those 2 questions. Let me respond to the first one on the healthcare side. Clearly, all of us have seen the recent CMS proposal to keep the Medicare Advantage rates largely unchanged. What I would say is that it is a little early to give a specific view because the final rates will only come out in a few months from now. But what I can say, based on conversations that we have been having is, this is obviously adding to the pressure on margins for the payers, which are a lready under stress from rising medical and utilization costs. You guys saw the stock market reaction last week with most of the payers probably reporting a decline of anywhere from 10% to 20% in stock price in response to some of the proposals itself.

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Our view is that, this should lead to not just more outsourcing, but also more offshoring and clients looking for more transformational programs that give them a structural uplift in their cost structure. So, we think it is a net positive in terms of a tailwind.

But let me also give you one more data point, which I think strengthens our own position. So, our recent acquisition of TeleMedik in Puerto Rico is a potential advantage in this environment. Recognizing fully well that the Medicaid work cannot move outside the four shores of the US itself, Puerto Rico, being a US territory, has a structural cost advantage compared to the rest of the US mainland itself. And

and for organizations, the healthcare payers that are looking to potentially get the benefit of that, they now have a viable alternative available in terms of scaling up on the island itself.

So, we think that these two points, one is what it does do to their cost structure and how we can benefit from that in terms of supporting their transformation journeys, but the other is the location benefit that we might be able to bring. We are already having conversations around how that can act as a competitive advantage for healthcare clients itself.

On the mortgage side, the business itself, from our perspective, has been stable. But you guys have been probably reading the same commentary that I have. You have the president of the US asking for the Fed Chairman to drop rates down. I heard, I saw last week, as low as a percentage point or whatever else. But if you look at the 30-year mortgage rate, it's still been hovering around the 6.1% to 6.25% for the past few weeks. And while on a secular basis, this has been trending down, to have a more meaningful impact on the refinance market, I think you start seeing some tailwinds or some early green shoots emerge once you start hitting the 5% mark or thereabout. Given the fact that you still have close to 88% of all existing mortgages below 5%.

So, I think what we have been doing, at least in terms of response and which has been yielding results, is broad-basing our portfolio both in terms of the profile of clients that we are going after and also the offerings that we are taking to the clients as well. And there we have seen opportunities emerge on both the origination and the servicing side. And that is the reason why what you are seeing is that we are able to get a stable growth in this part of our portfolio without any macro support.

Vibhor Singhal: Indeed, in fact, despite no macro support, I think our BFSI has held very well. So, full points on that. Just a bit on the BFSI segment again, Ritesh. We had heard a few weeks back the announcement by, again, the US President about capping the interest rate on credit card late payment fees. Now, given that we had acquired this company, ARSI, which was probably in the recovery business, I know it is still a statement. I don't know what is the stage of that being implemented, but how are you seeing that as a development? Is it adverse for our business? How does this impact our business going forward, if eventually it is enforced?

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Ritesh Idnani: So, it is a little too early to react to it because, as I understand, as I am sure you are also seeing this, this is still a proposal at this point in time. Details on the implementation and compliance requirements associated with this are still awaited. So, at least from a near-term impact standpoint, I don't see any challenges to the business itself. But from a medium-term perspective, as far as I know with our interactions with banks as well as Fintechs, banks are putting their point of view across since the APR has a wider linkage to the overall unit economics of the card business itself. And there are talks that obviously a cap will lead to lower credit limits, tightening of underwriting, and so on and so forth. Some banks may also pull back from riskier segments. At this stage, there's a lot of chatter and there's a fair amount of ambiguity at this point in time. And what I can only tell you is, as of now, it's not come up specifically in our client conversations. So, we don't see any business impact yet. If anything else, what I will say in the Collections business, we have been doing some very interesting stuff around the agentic AI side in terms of creating virtual collectors and how that can change the profile of how this business itself has rendered itself. And that's receiving broad-based acceptance both amongst banks as well as fintechs itself.

. So, if

anything else, that's creating differentiation for us in the marketplace and allowing us to win more.

Vibhor Singhal: Got it. Just one last bookkeeping question on my side. Our offshoring has increased very smartly to around 43.4% in this quarter, up by almost 13%, 14% points over the last 9 to 10 quarters. Do you think we still have room to go from current levels? Or do you think we will

plateau out or maybe find an equilibrium close to these levels?

Ritesh Idnani: So Vibhor, I will give you 1 data point. The first data point is that if you look at our gross hiring, 80% of our gross hiring is still happening offshore and nearshore. We don't see that changing. So, if we have to go out there and continue to hire, that will continue to be the nature of how this business evolves. And if that plays out, my sense is that this ratio should continue to improve towards more offshore and nearshore versus onshore.

Moderator: Thank you. The next question is from the line of Abhishek Bhandari from Nomura.

Abhishek Bhandari: Congrats on a good execution in the quarter, especially on margins. I had 2 questions. First is, if I look at your guidance now, on the organic side, ex of Pastdue, at the midpoint, we are talking about 13.5% compared to 14%, which was the Q2 exit number. So, in the context of the large deals what we had announced in Q1, which was anchored or associated with an IT company, if you can just tie the 2, is there any delay in that ramp up? Or we are probably going to be slightly towards the midpoint. That's the new assumption.

Ritesh Idnani: So, I am not going to comment on the specific numbers itself. But 1 of the things that we stated even in the last earnings call, if you recall, is to say that directionally, the guidance has built on improved growth in the second half of FY26. You have seen that with Q3, where the growth rate was sequentially better than what it was in Q2. And obviously, the guidance builds directionally on the fact that there will be an improved growth in Q4 as well. It's

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consistent with the commentary that we have provided right from the start of the year that we expect an upward trend in our QoQ growth through the course of the year itself. I am going to reiterate one comment from what we have said all along. Our guidance band is based on a clear line of sight to the business of over FY26 at the lower end of the guidance, and the upper end is based on how things pan out, particularly with pipeline and so on and so forth. And at the same time, the guidance does not assume anything from a macro perspective itself. So, that's broadly the philosophy that we have still continued to follow as it pertains to what you see in the numbers itself, with specific reference to the large deal wins, et cetera. We don't see anything which has changed from that standpoint.

Abhishek Bhandari: I got it. Thanks, Ritesh. My last question is on the margin side, now that we are exceeding what we initially thought in terms of annual expansion of margin, how should one think about the path from here on? Would you be reinvesting some of the incremental gains? Or you would let the margins expand in the natural way?

Ritesh Idnani: So, let me go back to what we had said in the beginning of FY25. We had said at that point in time in FY25 that our margins for that fiscal year would be flat, as we were looking to make investments in the business from both a go-to-market as well as a capability standpoint to ensure that we were competitive. And then we said that we would look to do 50 to 75 basis points margin expansion in FY26, FY27, and FY28, respectively, such that we would be in a 14% to 15% band, which we felt would be relevant in terms of where we think this business should be at. We have not deviated from any of that. We still stand true to that. And as you can see from

an execution perspective, you have seen the first 3 quarters, we ended up at 11.6% YTD, which is roughly about 60 basis points, and clearly ahead of the low. And that is the reason why we upped the lower end of the guidance from 11.25% to 11.5%.

At the same time, what I will say is that while we feel good about the 50 to 75 basis points going forward as well, the environment around us continues to evolve. This is probably the most relevant platform and technology shifts that we are all going to experience in our lifetimes. And therefore, in that context, where it's appropriate, we are continuing to make the necessary investments, accepting that we are able to manage those investments while we are continuing to drive out efficiency in the business itself. So, the investments will continue to happen as appropriate. But I don't think it's going to come in the way of the margin guidance that we have outlined.

Moderator: The next question is from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta: Thanks for the opportunity. A couple of questions. First, about the data perspective, can you share how many headcount addition happened because of the PDC acquisition? I believe TeleMedik is not yet integrated at the end of December, so there might not be any addition from it, but you can clarify that part also.

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Second question is about just to get a sense about this account rationalization on provider side which you highlighted. Can you help us understand what would be the end outcome which you are expecting from it and what would be the impact on revenue margin which you can envisage, based on the action which we are taking currently?

If I can squeeze 1 more question, on the PDC business, I think, can you help us understand our profitability of that business and any seasonality in that business because Firstsource Collection business do have some seasonality in quarter 4, so whether PDC also has some seasonality there. And PDC -related amortization impact seems to be missing this quarter, so if you can maybe help us understand that part. Thank you.

Ritesh Idnani: Thank you, Dipesh. Let me try and take a stab at addressing the first 3, and then I will turn it over to Dinesh on the PDC amortization bit.

The first point that you had was related to headcount. On the total headcount that we added, roughly about 300 plus people came from the PDC acquisition itself, so that's data point 1.

The second comment, question that you had was related to the tail account rationalization itself in Q3. The impact in Q3 was about a couple of million dollars. We think it will be a little higher in Q4, so roughly about 50 basis points on our FY26 revenue growth itself. What I can say is that the visible impact of trimming of any of these tail accounts will typically be visible in the first couple of quarters, 2 to 3 quarters or so, and thereafter it's critical. But what was important for us is, with the leadership changes we brought forward, some of the account rationalization, particularly for low margin, low growth accounts itself, which we felt was critical from a business standpoint itself.

What was the third question, Dipesh?

Dipesh Mehta: Yes, so another question was about PDC business, any seasonality and profitability.

Ritesh Idnani: No, there isn't a typical seasonality to that business itself. So, we do end up seeing a more secular trend play out across the 4 quarters itself. That's a simple response to that business itself. And profitability is in line with company numbers itself.

Dinesh, you want to take on the fourth point on the amortization?

Dinesh Jain: So, Dipesh, you are looking about the amortization value on the PDC acquisition?

Dipesh Mehta: I am referring to depreciation and amortization, absolute number, Q oQ, not much change.

Dinesh Jain: Yes, it will not be enough, with a small

IL acquisition, like GBP 22 million acquisition, probably the amortization cost will be GBP 2 million or GBP 2.5 million. It's not going to be a large number. You are not able to see the change because the charge which is coming in the Firstsource Solutions Limited
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balance sheet will be larger than the increase which is added. So, I don't think it will matter, but the number is around GBP 2.5 million for a 4 -year amortization.

Moderator: Thank you. The next question is from the line of Shraddha Agarwal from AMS EC.

Shraddha Agarwal: Yes, hi. Two questions from my side. Congratulations Ritesh, on a good execution on margins. But on growth, how would you rate this quarter versus your expectations at the beginning when you got into the quarter?

Ritesh Idnani: Thank you, Shraddha, for the question. Q3 was broadly in line with our expectations at the start of the quarter, except for the trimming of the tail accounts in the provider segment, which we decided to bring forward in the quarter itself.

Shraddha Agarwal: Okay. And if you look at the guidance, I know there's a seasonality in the Collections business that we see every year in Q4. But even if we exclude that, there's a huge ask rate implication for 4Q to get to the full year guided numbers. So, what gives us confidence of a 4% plus organic number in 4Q, despite incremental impact of carving out some portion of Healthcare business?

Ritesh Idnani: Yes. So, I think one of the things that we have stated right at the outset, when we provided the guidance at the beginning of FY26 was we expected an upward trajectory in our Q oQ growth through the course of the year itself. And if you look at how this has played out from Q1 to Q2 to Q3, we pretty much delivered against the same itself. So, we expect the same trend line to continue. We had line of sight to how this was going to play out itself. So, you are right, directionally, this is building on an improved growth in Q4 itself. But what you also had seen now consistently in terms of how we have performed over the last several quarters, not just in this fiscal, but before, our guidance is based on a clear line of sight to the lower end itself and the upper end is based on a bunch of other variables which can create upside, whether it's related to pipeline conversion and so on and so forth.

Again, the guidance is conservative to the extent that it does not factor in any impact of macro. So, those are the variables that we have considered. And therefore, with that context, I know the ask translates to a 4% Q oQ growth at the lower end. We feel comfortable with what we see at this point.

Shraddha Agarwal: Right. And just one last question. The new deals that we have been announcing in the last 1 or 2 quarters, do they also follow a staggered ramp-up schedule like the deals that we had announced in 1Q and 4Q of 2025?

Ritesh Idnani: So, it's a mixed bag. So, not every deal has a similar execution pattern. There's one deal where we have got to finish the implementation first, and then there is a ramp that happens on the part of that. It's an implementation of a contact center transformation platform as a Firstsource Solutions Limited
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case in point. There are a couple of other deals which follow a standard, more linear ramp that is there. And that's part of the wins that's reflected.

Moderator: Thank you. The next question is from the line of Ankur Pant from IIFL Capital Services Limited. Please go ahead.

Ankur Pant: Yes. Hi, Ritesh. Thank you for taking my question, and congrats on good execution this quarter. I am saying that the growth was primarily driven by the diverse vertical and BFSI, Healthcare, CMT, all other verticals were not really that strong. Understand that some of the impact would be because of the account rationalization you have done, but we also had the BPaaS

deal ramping up. So, just wanted your thoughts on how you saw the quarter. Was this the expected outcome?

Ritesh Idnani: So, I think Shraddha asked the same question, was the quarter in line with what we saw? I will repeat the same comment first and then talk a little bit about the diverse business itself. Broadly, the quarter was in line with our expectations. At the start of the quarter, barring the trimming of the tail accounts that we talked about in the provider segment, which we decided to move forward during the quarter itself. But I think one comment that I would state right at the outset there is, don't think of just the diverse portfolio itself, that's probably not the right way to look at the overall numbers.

One of our main differentiators is that we run a range of segments, a portfolio of different businesses in which different segments have push and pulls at various points in time in the year. For example, if you take retail, there is a seasonal strength that is there, but at the same time, typically Q3, which is the October to December quarter, tends to be a weak quarter for our Technology business, because most of them are looking to take decisions in Q1 itself. So, you will see a little bit of those puts and takes playing out itself. So, that's why what I would recommend is look at this from an overall portfolio standpoint, because when you think about these on a YoY basis, over a four-quarter time horizon, you will see a much more representative view of the portfolio itself rather than just a QoQ view.

Ankur Pant: Understood. And the other question, so hypothetically, if the 10% cap does go through, then what is the likely impact on our business in that case? How much of it would be linked to credit card volumes in that sense?

Ritesh Idnani: You know, I think at this point in time, there is no foreseeable impact that we end up seeing as I stated earlier also. This is a tweet. The President tweets a bunch of things and details of implementation, compliance requirements, et cetera are still awaited. And from a business perspective, therefore, I am not seeing any impact. There's no conversation that we are having with clients today on this topic at this stage at all. And as I said also earlier, from a medium-term perspective, banks at this point in time and fintechs are putting across their point of view to the government since the APR has a wider linkage to the unit economics of the Cards business itself.

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So, given the fact that this can result in lower credit limits, tightening of underwriting, when on one hand the President also wants a lower interest rate environment to drive greater growth, there may be a little bit of a paradox out there. So, that's creating the ambiguity in terms of how this is the case. So, that's why from at this point in time, given the fact that it's not featuring in any of our client conversations, we are not seeing any business impact at all.

Ankur Pant: Thank you so much for clarifying. Just one last bookkeeping question. This PDC integration was for the entire quarter or part of the quarter?

Ritesh Idnani: Was for the entire quarter.

Moderator: Thank you. The next question is from the line of Sushovon from Anand Rathi.

Sushovon: Hi. So, thank you for the opportunity, and congrats on the good execution. Just a bookkeeping question regarding the tax rate? What we think will be the steady state tax

rate? And when do you think these tax breaks will basically see the sunset? That's basically the question as such. Thanks.

Dinesh Jain: So, we looked into the budget highlights, which have been just now announced. And I think there will be no choice for Firstsource not to move to a new regime, because there is a MAT credit available in the company. And I think the going forward rate will be, around 1% plus or minus, before we do the details.

ng. But it seems to be that we should be within the range of 1% higher or lower to the current guided rate, which is 21%.

Moderator: Thank you. The next question is from the line of Girish Pai from BOB Capital Markets Limited. Please go ahead.

Girish Pai: Yes, thanks for the opportunity. Ritesh, if you look out over the various verticals over the next 12 months, how does the overall demand look to you, compared to say how it was say 12 months back at the beginning of calendar year 2025? That's my first question.

Ritesh Idnani: So, Girish, I think from our vantage point, it's fairly broad based. We are still seeing demand across all our verticals. When I look at our pipeline and the composition of the pipeline, I think we see almost even distribution +/- 3% to 5% points in terms of the distribution across different vertical segments itself. I will only caveat it by putting 1 data point to you, which is, see, as we are opening more and more growth engines, what it does do is sometimes just by virtue of starting up a new growth engine, example, when we acquired Ascensos, we got the retail industry in the UK. But now as we are trying to build up our footprint in retail in the US, just by virtue of having hands and feet on the ground, you will start seeing pipeline out there that you were not necessarily the beneficiary of in the past, because the focus was not there.

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Similarly, if you take utilities in the UK, we are translating that capability into the US market. And therefore, we are seeing additional pipeline that we otherwise would not have seen just because the focus was restricted to a few other verticals. So, that's the only additional data point that I would throw out there. But if anything else, UnBPO is creating a significant amount of traction in the marketplace. I think people are looking for an alternative. They want to move away from the traditional linear contracts. They want to have a tech-first play. They want somebody who can guide them in that journey. And I think all those elements we play well too. So, that's creating demand for both reactive as well as places where we can proactively put proposals on the table.

Girish Pai: Okay. Now that you are discussing UnBPO, your play that you have, what percentage of revenue currently comes from non-T&M or non-fixed price related, which are seats oriented towards the outcome-based or any other new commercial structure?

Ritesh Idnani: So, while we will start providing some more details in terms of some of these metrics going forward as we get into the next fiscal year itself and beyond, what I will state is upwards of 50% of our business today is non-linear in construct.

Girish Pai: Okay. One last question, bookkeeping. Did I hear right when you said Pastdue constitute were there for all the 3 months of the quarter, and TeleMedik got consolidated when?

Ritesh Idnani: So, TeleMedik will be integrated in Q4FY26 and Pastdue was for all 3 months of Q3FY26.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital.

Manik Taneja: Hi, thanks for the opportunity. Basically, you mentioned about the fact that for the course of FY26, you have had a significant shift, both related to offshoring and nearshoring with some of your larger customers. Would be great to get some perspective, how much of that would have been a headwind to growth and similarly a tailwind to margin?

And a related question to that one, even through the course of FY26, you have spoken about an accelerated growth trajectory over the course of the year. How should we be thinking about that rhythm from an FY27 standpoint, given the visibility that we enjoy right now?

And the final question was basically a clarification question. While Pastdue, you have spoken about the number of employees that came through the Pastdue Cre

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acquisition. From an on-site offshore revenue standpoint, would PDC be included with offshore and near shore or there will be some element of contribution even from onshore revenue contribution for that business?

Ritesh Idnani: Yes. So, I will give you one data point to your first question, which is our UK onshore headcount has come down by about 40% over the last four quarters, while the

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corresponding headcount in South Africa during the same period is up by about 50%. So, that will give you a little bit of the trade -off that is playing out as you are optically shifting work from a high cost, high revenue geography towards a low cost, lower revenue geography. But that's one data point that will hopefully amplify what we have seen while we continue to grow the business.

Manik Taneja: Sorry to interrupt you, any sense on absolute sizes, because until and unless we know what your US onshore or UK onshore headcount was, we can all keep on guessing? So, because this would have had some revenue deflationary impact as well. So, it will be good to understand how much of that onshore to nearshore shift may have impacted your revenue performance?

Ritesh Idnani: I do not have those data points, but in some sense, I think the way to think about it is from our vantage point, at least the way we are tracking this is we know that some of these things will continue to be opportunities that our clients will potentially look to take advantage of, especially when you look at the economic condition of markets like the UK and given the macro out there. So, the fact that you have a muted economic growth, the fact that there's higher labour costs, I think it's forcing customers to continue to do that. So, I know where you are going with that question in terms of trying to model it for what this might play out. I think it's very hard to say because sometimes the regulatory situation might counterintuitively force you to continue to keep the work in the market, whether it's in the UK or in the US. For instance, in Australia, we have got a couple of customers where the work has to be done onshore in Australia itself, as a case in point for regulatory reasons. So, that's been our strength as a business, where we can deliver this work end-to-end. We understand what it takes to work in regulated markets and do that. But at the same time, the way to think about it is 80% of our gross hiring is offshore and nearshore locations. That we don't expect to change, which means to your second question that you asked, you will continue to see just as you saw a 57% -43% mix, you will continue to see that continue to trend directionally in the same way that it has been over the last 6 to 8 quarters itself. Your third question was related to PDC. We already have active interest from several of the PDC logos towards doing work in South Africa. So, for them, what is the big benefit is the fact that with the Firstsource portfolio and the footprint, they now have access to many more locations than just being in Scotland itself, which is where they were headquartered. So, I think that's an opportunity that I think we see as a competitive advantage for the PDC portfolio.

Manik Taneja: Sure. And the last 1 was just a clarification question with regards to some of the rationalization that you have spoken about on the provider side. If I understand correctly, when the business used to have a higher provider mix, the segment margins for healthcare used to be higher. And then over the course of time, when you finish up the payer business, the margins have got diluted. So, just trying to understand in that regard, when you are Firstsource Solutions Limited
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talking about rationalization of provider accounts, how does that essentially play in terms of impacting margins that you see?

ee?

Ritesh Idnani: Yes, but the other way to think about it is the accounts that we are rationalizing are essentially low growth, low margin accounts. So, yes, it will have a bearing on improving the margins for the provider portfolio itself. But given the fact that we are talking of a smaller base, I think that's one way to think about it in terms of, is it going to have a material impact? Probably not. But you will see some of this playing out in the next two to three quarters also as we continue to execute on this itself.

Manik Taneja: Okay. The last clarification question with regards to onshore to nearshore shift. Was that limited to probably 2 of your large UK customers? And how should we be thinking about segmental margins in that regard?

Ritesh Idnani: I don't want to comment on specific clients, but what you will see is that a bunch of our UK as well as the US customers are very interested in South Africa as a location, and particularly Cape Town. And we continue to benefit from that being one of the largest local employers out there. So, I think you are seeing this more broad-based than just restricted to 1 or 2 clients.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Ritesh Idnani for closing comments. Over to you, sir.

Ritesh Idnani: Thank you all for joining the call and for your questions. I want to close with a few final comments. Our sales engine is working well. We had 5 large deal wins in Q3, which now is the fourth straight quarter of four or more large deals. At the same time, our deal pipeline continues to remain robust over a billion dollars.

Our execution is on track, as you can see with the fact that we have executed well on improving our margins. Our EBIT margins have increased by 80 basis points over the last four quarters. Our cash conversion has been strong. Our OCF to EBITDA for the 9 months of the year is 86%, and our free cash flow to adjusted PAT is 159%.

Our long-term aspirations continue to remain intact. As I stated in my opening remarks, we see our constant currency revenue growth for FY26 in a 14.5% to 15.5% range, including the recent acquisitions that place us in the top decile for the industry. And we also remain laser-focused on taking our EBIT margin to the 14% to 15% band over the next 3 to 4 years.

That's all from our side, and we look to interacting with you again in the next quarter call.

Thank you all.

Moderator: Thank you. On behalf of Firstsource Solutions Limited, that concludes this conference.

Thank you all for joining us today, and you may now disconnect your lines.

Call: May 2026

Firstsource Solutions Ltd

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(CIN: L64202MH2001PLC134147)

12th May 2026

To:

National Stock Exchange of India

Limited (Scrip Code: FSL)

Exchange Plaza, Plot no. C/1, G Block, Bandra-Kurla Complex

Bandra (East),

Mumbai - 400 051 BSE Limited (Scrip Code:

532809)

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400 001

Dear Madam/ Sir,

Sub: Transcripts of the Analysts Earnings call conducted after the meeting of Board of Directors on 6th May 2026

Please find enclosed the transcripts of the Analysts earnings call conducted on 6th May 2026, after the meeting of Board of Directors held on 6th May 2026, for your information and records.

This information is also hosted on the Company's website, at

<https://www.firstsource.com/investor-relations/>

The audio/video recordings of the Analysts earnings call are also made available on the Company's website, at <https://www.firstsource.com/investor-relations/>

You are kindly requested to take the same on record and oblige.

Thanking you,

For Firstsource Solutions Limited

Pooja Nambiar

Company Secretary

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FIRSTSOURCE SOLUTIONS LIMITED
Q4FY26 EARNINGS CONFERENCE CALL
MAY 06, 2026

MANAGEMENT:

MR. RITESH IDNANI,

MD & CEO

MR. DINESH JAIN
CFO

Firstsource Solutions Limited
May 06, 2026

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Moderator: Ladies and gentlemen, good day and welcome to Firstsource Solutions Limited Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

On this call, we have Mr. Ritesh Idnani, MD and CEO, and Mr. Dinesh Jain, CFO, to provide an overview on company's performance followed by Q&A. Please note that some of the matters that will be discussed on this call, including the company's business outlook, are forward-looking and as such are subject to known and unknown risk. These uncertainties and risks are included but not limited to what company has mentioned in its prospectus filed with SEBI and subsequent annual report that are available on its website.

I now hand the conference over to Mr. Ritesh Idnani. Thank you and over to you, sir.

Ritesh Idnani: Thank you. Hello everybody, good morning, good afternoon, and good evening depending on where you are. Thank you for joining us today to discuss our financial results for the fourth quarter and full year of FY26. This year is especially meaningful as Firstsource crossed a billion dollars in revenue, enters its 25th year, having started with answering calls and delivering service at scale, and now evolving into becoming a global intelligence partner that brings together deep domain expertise with agent-first, AI-enabled operations to help clients make better decisions and drive measurable outcomes.

We believe that this evolution is creating a compounding advantage and sets us up strongly for the next chapter. I would like to thank each one of our 36,205 Firstsourcers around the world for their relentless commitment to delivering value to our clients.

Quarterly and yearly performance

Let me start with the discussion on our Q4 performance. Q4 marks the eighth straight quarter of double-digit YoY revenue growth. Our revenue grew by 19.5% YoY and came in at INR25.8 billion. In US dollar terms, the growth was 13.2% YoY and 3.2% QoQ to \$283 million. In constant currency terms, our revenue grew 11.6% YoY and 3% QoQ. These numbers are inclusive of the TeleMedik acquisition, which we integrated during the quarter and that contributed 1.3% to our YoY growth in constant currency terms. EBIT margin for the quarter was 12.2%, up 100 basis points and 30 basis points on a year-on-year and quarter-on-quarter respectively. It's also the sixth straight quarter of margin expansion. Our net profit was INR2.1 billion and the diluted EPS for the quarter was INR2.91.

For the full year, our revenues came in at INR95.6 billion, which grew by 19.7% in rupee terms and 14.6% in dollar terms. Our constant currency revenue growth was 13.6%. Our EBIT margin for FY26 was 11.7%, within our guided range of 11.5% to 12%. Our PAT for FY26 stood at INR6.7 billion, a growth of 13.5% over last year on a reported basis.

Deal Wins

Coming to the business highlights. Let me start with our deal wins and other client-related metrics. In Q4, we signed four large deals. As you're aware, we consider a deal with ACV of over \$5 million as a large deal. Overall, we won 17 large deals in FY26. Our ACV intake for FY26 remains healthy. I am encouraged by the strength of our wins, both in number and scale. This reflects our ability to bring together deep industry and functional expertise, a strong technology ecosystem partnership, and an AI-first automation approach that's delivering clear and tangible outcomes for our clients: better customer experience, faster decisioning, and a lower cost to serve.

For instance, we won business from a leading pension and benefits

administrator on a

multi-year digital transformation starting with the front office modernization to improve customer experience and agent productivity, and then expanding into the back office to

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drive operational efficiency and scalability. The program is building a connected intelligent operating model enabled through deep domain-led transformation, systems integration, and agentic operations.

What's different this year is the nature of our demand. Clients aren't just running efficiency programs; they're redesigning their operating models for AI, combining data modernization, cloud, workflow orchestration, and AI to move from manual execution to assisted and increasingly automated operations. We're also seeing more programs shift from pilots to scaled rollouts with governance, security, and ROI measurement built in.

I would like to emphasize that several of our wins are transformative and ramp up in phases, unlike traditional steady-state work. So, while they strengthen long-term growth visibility, revenue conversion is typically spread over a longer period as transformation and enablement milestones are completed.

Let me now highlight a few other notable wins during Q4.

- We won a large deal from a global leader in financial technology solutions in the US to redesign and transform their customer experience.
- In Australia, we won a large engagement with a leading regional water utilities service to help them across their value chain.
- We secured additional business and were chosen as the global operations outsourcing partner by a leading UK-based MVNO to manage their entire account servicing, billing, and customer support across multiple markets globally.
- We won business also from a premium UK retail brand for customer experience.
- We expanded our relationship with one of the leading mortgage lenders and servicers in the US across their entire value chain.

During the quarter, we added 11 new logos, which includes six strategic logos. As you're aware, we define a strategic logo as one where we see the potential of at least \$5 million in annual revenue, and we run a structured program to handhold and monitor such relationships to grow them at an accelerated pace. In FY26, we added 47 new clients, including 24 strategic clients, doubling our strategic additions compared to FY25. In fact, over the past eight quarters, we've converted around 50% of these strategic wins into relationships exceeding \$5 million in annual revenue.

Vertical commentary

Let me start with Banking and Financial Services. In Q4FY26, our BFS vertical grew 9% YoY and 5% sequentially in constant currency terms. We added six new logos during the quarter.

Demand remains centered on regulatory compliance, financial and economic crimes, customer experience, and cost efficiency, and we are seeing strong pull for our AI and automation-led, outcome-oriented transformation offerings across risk, controls, and operations, both across the front office and back office.

On execution, I would highlight two updates. First, as you may recall, in Q2, we had announced a large collections deal in the UK with one of our long-standing clients. Given the regulated nature of this deal, it required approvals from the regulatory authorities in the UK, which we earlier anticipated to get in early Q4. However, that process took time and we have now received the approvals and the operations are also up and running as we speak.

Second, a leading US payments and financial services institution is partnering with us to modernize their operations on the collections side across first-party, third-party, and legal using our digital platform. This embeds 25 plus years of deep domain expertise with a built-in compliance and risk harness and is model-agnostic across AI partners so that the client does not carry the technology risk. This is

not a chatbot. It's a governed autonomous collector with outcome accountability through a platform fee plus per interaction pricing, where higher value per interaction can drive greater volume allocation, supporting a K-shaped growth dynamic.

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Within financial services, we've also seen significant growth across the midsized banks and fintechs as they look to modernize platforms and embed AI across onboarding, servicing, and collections. We're also partnering more closely with these clients as they accelerate platform modernization, embed AI across their customer journeys, and enhance their digital experience. Our Q4 exit deal pipeline in financial services was amongst the strongest in recent quarters, giving us confidence in sustaining growth momentum in this vertical.

In Healthcare, revenues grew 16% YoY and 10% sequentially in constant currency terms. We added one new logo during the quarter. Healthcare continues to be a core growth pillar and a key area of strategic differentiation for Firstsource with a well-diversified presence across both the provider and the payer segments that give us an end-to-end view of the healthcare value chain.

As we highlighted last quarter, we strengthened our operating model with dedicated segment-focused leadership and improved portfolio quality through targeted rationalization actions. In Q4, both payer and provider performance remained resilient. On the payer side, we saw some short-term timing shifts as Medicare Advantage plans recalibrated select program rollouts in a tighter regulatory environment, primarily with rates remaining flat, but this was more about pacing than demand, and the focus on measurable outcome-led efficiency programs remains intact.

On the provider side, we continue to scale the right opportunities with a deliberate technology-first approach, bringing together access, integrity, and denials into a metrics-led operating model, while taking on the ongoing technology refresh burden so health systems can stay current without repeated replatforming, supporting sustained momentum and medium-term margin expansion.

Coming to the communications, media and technology (CMT) vertical, revenues grew 3% YoY but degrew 4% on a QoQ basis. We had a soft quarter here in Q4 largely driven by the inherent volatility in this segment, particularly the timing of work packets and program transitions in large consumer tech engagements. That said, the underlying demand drivers here continue to remain intact, particularly as the consumer tech companies continue to enhance and increase their capex spend, and we think we can end up being beneficiaries of the same.

We continue to see strong client interest in AI enablement and non-traditional tech-led solutions, particularly around the AI training data side that support the integration of the same into their product ecosystems, and we're exiting the quarter with a well-balanced pipeline across telecom, EdTech, media, and technology clients, which gives us confidence in a return to a healthier growth trajectory as transitions complete and volumes normalize.

Lastly, coming to our diverse portfolio that grew 23% YoY but degrew 8% quarter-on-quarter in constant currency terms. We added four new logos during the quarter. Q4 performance reflected a dip in retail following the seasonal peak in Q3. However, we added two key household retail clients in Q4 amongst our client portfolio. In utilities, we continue to see steady underlying demand supported by a healthy pipeline and we remain optimistic on conversion over the coming quarters. One of our acquisitions, Pastdue Credit, we continue to strengthen our position in the UK utilities ecosystem and this also enhances our cross-sell opportunities across customer operations and collections. Overall, we exited the quarter with a well-qualified and healthy deal pipeline

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across both utilities and retail, giving us confidence in improved momentum as seasonal effects normalize and new wins ramp up.

Geographical commentary

From a geography standpoint, North America delivered 4% sequential growth and 14% YoY growth in constant currency terms. We continue to see broad-based momentum across our three core verticals in the region and expect this to sustain over the coming quarters.

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In parallel, we are also incubating new growth opportunities in North America by setting up our sales presence in Canada and by replicating capabilities where we have demonstrated strength in the UK market in the utilities and retail side and extending the same to the US. The TeleMedik acquisition which we updated you on last quarter also gives us a delivery presence in Puerto Rico, a fully US-compliant lower-cost location that we see as an advantage for both healthcare work and non-healthcare clients increasingly nearshoring there.

Europe grew 4% YoY and flat QoQ in constant currency terms. We continue to deepen relationships and gain share of wallet in the region. As we have highlighted in the past, we've seen an accelerated move towards offshore and nearshore delivery over the past few quarters with several of our clients. While this may continue in the near term, we believe our proactive steps to make the business more resilient by both broadening our geographic and vertical presence are yielding results.

Also, our pitch for transformational programs and nearshore delivery from South Africa

has been resonating strongly with clients. As I mentioned, we have received regulatory approval with one of our long-standing banking clients in the UK market for collections, which positions us very well to expand our footprint there. Overall, we won two large deals in Q4 and our pipeline continues to build well; in fact, it's up about 60% over the last four quarters, supporting our view of a gradually improving growth trajectory in Europe despite a soft macro environment.

In Australia, we continue to win additional business with existing clients while building a pipeline in new logos. One of the new logos in Q4 was from this market.

People

With that, let me turn to the people front. On the people front, our strategy this quarter reflects the shift towards an agentic operating model where value is defined by the intelligence we operate, not the headcount we deploy. As that shift takes hold, we believe the right way to measure our business is no longer headcount alone. It's the value we generate per employee. The headline is straightforward: over the last two years, our revenue per employee has gone up by 12%. Our revenue growth over the last two years has been materially faster than our headcount growth and we expect that gap to widen as agentic operations scale.

We closed FY26 with a headcount of 36,205 Firstsourcers, a net increase of 1,554 employees over last year. Offshore and nearshore hiring remained a strategic lever in FY26, accounting for close to 80% of gross additions, preserving deep domain expertise while supporting cost and outcome economics.

Anchoring this transition is the global employee value proposition (EVP) we launched in FY26: Brilliant People, Bold Tech, Uncommon Careers. In fact, we want to make sure that people who are currently in Firstsource as well as new associates find the opportunity at Firstsource to do the best work of their lives. Our blueprint for a truly AI-first organization, built on high-quality talent, technology at the core of value creation, and differentiated skill-based career pathways -- that blueprint is already showing up in the numbers.

Attrition improved to 29.7%, down almost 6 percentage points over the last eight quarters, a clear signal of rising workforce stability. We further strengthened our people operations backbone through

faster and scaled HR platforms across geographies.

Externally, we were also recognized in the Corporate Equality Index, the Workplace Equality Index, and with the ATD BEST Award, validating the people side of our journey to deliver intelligence at operate.

Awards/recognitions and sustainability

And last but not least, on the awards, recognitions, and sustainability side, Firstsource continues to earn strong recognition from leading industry analysts for delivering strong client value and driving innovation through technology-led solutions across our focus markets.

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During Q4, Everest Group recognized us as a leader in its Healthcare Payer Intelligent Operations PEAK Matrix of 2026, underscoring our ability to combine deep domain expertise with automation and AI-led execution. We were also recognized as a leader in the overall market segment of NelsonHall's Healthcare Payer Agility and Innovation NEAT evaluation for 2026. In addition, we were also named amongst the frontier firms in Microsoft's Frontier Firms of India and Southeast Asia, highlighting our continued progress in building technology-forward, future-ready solutions at scale. ISG also featured Firstsource in its Booming 15 list based on the annual value of commercial contracts awarded over the last 12 months, now for the sixth consecutive quarter.

I'm proud to share that Firstsource also participated this year in CDP and EcoVadis, where we were awarded with the climate and water rating of 'B' each and supplier engagement at A. EcoVadis received a bronze badge with a 70 on 100 rating where we were in the top 81st percentile. These recognitions reflect not just external validation, but the collective commitment of our teams to drive sustainable and responsible growth. I will now turn over the call to Dinesh to give a detailed color on the quarterly financials. I'll come back to talk about our progress on the strategic priorities as well as our outlook for FY 27. Over to you, Dinesh.

Dinesh Jain: Thank you, Ritesh, and hello everyone. Let me start by taking you through our quarterly financial performance.

Revenue for Q4 FY26 came in at INR 25.8 billion or US\$283 million. This implies a year-on-year growth of 19.5% in rupee terms and 13.2% in dollar terms. In constant currency,

this translates to year -on-year growth of 11.6%.

We reported operating profit of INR3.1 billion in Q4 FY26 , up 29.8% over Q4 FY25, and translates to EBIT margin of 12.2%, up 30 bps sequentially. As Ritesh earlier mentioned, this is the sixth straight quarter of sequential margin expansion and translates to a 100bps improvement in the last four quarters. This is above our stated objective of 50 to 75 bps margin expansion every year.

Profit after tax came in at INR 2.1 billion or 7.9% of the revenue for the quarter. Our profit after tax grew 27.7% year -on-year and 1.5% quarter -on-quarter, adjusted for exceptional items in Q3 FY26 . DSO stood at 66 days in Q4 versus 67 days in Q3.

I will now turn to our annual performance of FY26.

For fiscal year FY26 , our revenue stood at INR95.6 billion or US\$1,082 million, which is over the \$1 billion mark. This implies a year -on-year growth of 19.7% in the rupee terms and 13.6% in constant currency terms. Our operating profit was INR11.2 billion, up 27.4% over FY 25, and translates to EBIT margin of 11.7%, within the 11.5% to 12% range we have guided previously.

Normalized profit after tax for FY26 stood at INR7.6 billion, which translates to year -on-year growth of 27%, adjusted for exceptional items. Our reported PAT stood at INR6.7 billion.

The tax rate was 21.2% for Q4 and for FY26 the effective tax rate was 20.6%, within the previously guided range of 19% to 21%. We expect to be in the 20% to 22% range in the FY '27.

Our cash balance including investment stood at INR3.1 billion at the end of the Q4 FY26 .

This is after the dividend payout of INR3.8 billion during the quarter.

Our net debt stood at INR16.3 billion as of 31st March 2026 versus the INR13.2 billion as of 31st March 2025. ROCE for the FY26 is 17.7% versus the 15.6% for FY 25.

Our hedge book as of 31st March 2026 was as follows: we had average coverage of GBP54.5 million for the next 12 months with an average rate of 117 to the pound, and coverage of \$107 .8 million worth of dollar with an average rate of 91.5.

With that, I will hand over back to Ritesh to discuss strategic priorities and outlook for FY27. Ritesh, over to you.

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Strategic Priorities

Ritesh Idnani: Thank you, Dinesh. Before I close, I want to spend a few minutes on something that several of you have been asking about: how to think about Firstsource over the next three to five years and what makes our positioning distinctive in a market that's changing very rapidly. And why is that important? Because we believe that we are creating a category in this industry that does not yet exist. We're calling it Intelligence that operates.

Let me explain the evolution. One year ago, we introduced UnBPO. It captured a real shift: clients had moved beyond cost arbitrage and were asking for outcomes, with technology doing more of the work. UnBPO was the right diagnosis for the moment and it took us a long way, but it was also about who we are not. We were saying that the industry itself is not dead, but the traditional ways of working in the industry were outdated. The moment we are now is actually different. AI agents have become capable enough to execute work, not just advise on it. The interesting question is no longer whether AI can do the task -- it usually can.

The harder question is whether AI can be trusted to operate it with context, with domain judgment, within the policy and compliance boundaries that real industries demand, and with somebody willing to underwrite the result. That is a much narrower problem and it is the problem that we are built to solve.

Most of the market today sits in one of two camps. On one side, technology platforms that sell agents and tools but leave the operating model, the change management and the accountability to the client or to a downstream integrator. On the other side, services firms that bolt AI onto a labour delivery model. Neither bridges the gap between AI capability and operating model reality. Intelligence that operates , is that bridge.

It is deep domain expertise encoded into AI that doesn't just advise or automate; it operates end -to-end with accountability and gets smarter with every engagement. We design the operating model, we build the agentic systems. And we run them under one roof, under one contract with our revenue tied to the outcomes we underwrite. The way we deliver this for clients is Kairos . Kairos is a Greek word between the promise and

reality.

And the provider who's able to bridge the gap between the promise and the reality. A useful analogy to think about this: AI agents are like surgeons. A surgeon is only as good as the operating room around them -- the instruments, the protocols, the support systems, the team. We bring the operating room. Kairos is 25 years of domain expertise encoded as executable know-how, governance guardrails and continuous learning loops. It turns general-purpose AIs into systems that can run regulated high-stakes operations. It's portable and composable. Built to run in our clients' own technology environments across whatever agents and models they choose. Why does this matter commercially? Because the value moves. As we shift from labour-price delivery to outcomes-linked delivery. The unit of value stops being the seat and starts being the result.

It's also why we are increasingly comfortable underwriting outcomes in our commercial constructs and why our pipeline of transformative

wins continues to grow. Clients want

a partner who will design it, build it and run it in one single continuous motion, not three different vendors stitched together.

Case in point, a leading US financial services institution recently launched governed AI agents to streamline their collections process with Firstsource designing, implementing and operating their agentic operations end-to-end.

This is the chapter we are now writing. We believe Intelligence that operates, puts Firstsource in a category of one, and the long-term opportunity for our clients and our shareholders is to compound that advantage every year. I'm pleased with the progress we are making on our agenda to leverage the current fault lines created by technology as well as the macroeconomic shift to broad-base our client footprint and curate new growth engines.

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Let me help you with a few more data points. We closed FY26 with 150 clients with over a million dollars revenue from a run-rate standpoint, an addition of 34 clients over Q4 of FY25. During this period, our \$10 million as well as our \$5 million plus clients increased by 2 and 12 respectively. Over the last eight quarters, the revenue share of top five and top 10 clients has come down by 8% and 12% respectively.

Importantly, this has happened even as our top five clients continue to grow at industry growth rates despite a significant onshore to nearshore delivery in at least a couple of them. So the broad-basing of growth that you see is a result of focused account management, which is driving a faster growth in our non-top five, top 10 accounts in many cases through large deals. We're also winning a higher number of large deals and doing so more consistently. We now have a dedicated team to bring more focus to our efforts and ensure we are covering all the aspects that go into a large deal pursuit. This has helped us report at least four large deals in each of the past five quarters. Importantly, despite the strong closure, our deal pipeline has stayed above a billion dollars and in fact is at its highest ever level.

Let me give you some additional insights. We won 17 large deals in FY26 versus 14 wins in the entire FY25 and more than double the number of wins in FY24. Also, we added 24 strategic clients in FY26, doubling our additions compared to FY25. Not just that, while previously our large deals almost always came from existing clients, seven of the large deals this year came from new logos versus five in FY25.

This underlines the strength of our differentiated solutions, attractiveness of our commercial construct, and a growing client acceptance of us as a disruptor. This gives me confidence that we are on the right trajectory to deliver sustainable, profitable and industry-leading growth. And with that, let me turn to our outlook for FY27.

We're entering the year with strong momentum, a healthy deal pipeline, a record large deal intake exiting FY26, and the early commercial traction of Intelligence that operates. Against that backdrop on revenue we are guiding to constant currency growth for FY27 to be in the 10% to 13% range, and we are guiding for EBIT margin band of 12.25% to 12.75% for FY27. We believe this places us comfortably in the top decile of growth in the industry globally.

This concludes our opening remarks and we can now open the floor for questions.

Operator, over to you.

Moderator: We take a first question from the line of Vibhor Singhal from Nuvama Equities.

Vibhor Singhal: Yes, hi. Thanks for taking my question. So, Ritesh, a couple of questions from my side.

One is, if we look at the overall industry at this point of time, I think last three, four months, I think we've seen a lot of narrative being set by the AI model builders around the basically cannibalization of revenue and the business model of system integrators coming into question.

n. We of course have continued to maintain that, and you clarified it in a very detailed manner as to who's going to underwrite the outcome and how. Specifically, for the BPO industry, the concerns have been quite paramount that BPO industry is at the forefront of this disruption. Our numbers of course say the completely different story; we've had a very good growth this year, we're guiding for a strong growth next year.

Now, could you basically help us understand where does the dichotomy lie? I mean, not just us, most of the I think BPO companies are reporting good growth. So is this growth coming despite the basically cannibalization of revenue due to the GenAI platforms, or the GenAI platforms which are being let's say implemented by the enterprise clients are not yielding the results as we've also heard a lot of stories about very few projects making past the POC stage? Or is it that we are gaining market share from the larger clients? What is the mix that is basically leading us to this kind of a growth despite the negative narrative around it?

Ritesh Idnani: Thank you Vibhor for that question. Look, let me start by saying that, we've seen this macro duality for some time. The degree keeps shifting every few months and

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sometimes every few weeks. One thing to bear in mind is that the traditional business process services are not as linked to discretionary spend as the traditional IT services side; that's one part of it. A substantial part of the business therefore ends up being annuity and recurring, giving a greater visibility if you will.

What I will say is that in some sense the recent developments and the pace of advancement on the AI side, if nothing else, has structurally expanded the addressable market for players such as ourselves. And one of the things I talked about is what we have been seeing over the last few months where we are perceived as a consulting partner who doesn't just advise but also implements, doesn't just implement but also runs, and doesn't just run but also transforms. That's the core of what "Intelligence that operates" represents, that we're able to do this in one single continuous motion. And I think when we're doing that, what it does is it expands the surface area of what is available for us in terms of the TAM itself. If, because we're getting called in for deals that maybe three years back, if we were perceived as a deep domain BPM player in regulated markets, today I think we're seeing a lot of opportunities that cut across different areas itself, and that expansion of surface area is certainly something that I think clients appreciate because they want one single continuous motion towards underwriting the business outcomes. So I think that's one part of it.

I think the second part of it is related to the opportunity to expand share and take share from competitors itself, and I certainly we're seeing opportunities out there where the ability to play on offense -- and that has been a consistent theme that we've been saying now for at least ever since I've been at Firstsource, that look, when you end up having technology and macro shifts, it creates a dichotomy in terms of how different players operate. And certainly challenger brands such as ourselves have the opportunity to play on offense and adapt sooner, and that in turn allows you to take share away from other players in the marketplace on the back of very specific value propositions targeted towards the industries in which we have domain depth etc. And I think that combination is certainly yielding results as well.

And I think third is in certain, some of the markets in which we operate, the degree of insourced that might have existed in the past, people are probably willing to look at many more options and as long as you're willing to go to them with a compelling proposition and a creative commercial constr

uct, I think those are certainly again allowing them to evaluate different opportunities and maybe give us a sizable part of the pie as well.

So, I think it's a combination of all these three: the value proposition, the share shift that we can impact, and the expansion from potentially what might be an insourced portfolio to a larger share of the pie.

Vibhor Singhal: Got it. And on the first point you mentioned about that expansion of TAM, would you believe that given that we are in the initial stages of the GenAI cycle, the TAM expansion

also would be in initial stages and the TAM expansion will continue and perhaps maybe accelerate in the coming years?

Ritesh Idnani: We certainly think, Vibhor, the opportunity exists and here's why . I mean, if you talk to folks in Silicon Valley, I think they will assume that everything can be automated overnight . And that's what sometimes paints the scenario that hey, what does this mean for the industry and you've seen this with data that's reported that the industry is continuing to hold its own, certainly for some players in the market in terms of growth and so on and so forth.

But a lot of it is because when you get under the hood of client operations, particularly go to a large bank, go to a large telco, go to a large health plan and I'm just giving you three distinct sectors which are regulated in nature, data quality is not where it needs to be. So you can't just go overnight and automate their operations or even have agentic operations run autonomously etc. So, there's a significant amount of scaffolding work that needs to happen to ensure that the operation is ready for prime time. The determination of which processes are legible for even an agentic operation requires work. The determination of what kind of security guardrails need to be in place is an

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opportunity. The determination of where should the process overrides be with a human in the loop is an intentional exercise.

All of these are the scaffolding that needs to be put in place to ensure that you can actually truly get to the end state itself. And our view is that that's creating, expanding surface area in terms of the places where we can play.

Vibhor Singhal: Got it . Thanks for that very detailed explanation, Ritesh. Just one bookkeeping question for Dinesh sir. Sir, our debt on the books has more than doubled over the last two years to almost INR 1,600 crores right now. Of course, this is based on the acquisitions primarily due to the acquisitions that we've done. What is the outlook on this number? Do we expect this number to remain stable hereon and then maybe the internal cash flow generation to lower this debt in the coming years? Or do you believe we are not going to shy away from any more acquisition opportunities and we would be okay with this debt going further up as well?

Dinesh Jain: I think debt should not be viewed from that angle . You've seen that our main mode is the cash flow we generate normally, we pay 40% to 50% to the shareholder, 50% mainly utilized for acquisition or a growth purposes. So I think that will continue to remain and so debt level will continue to go down.

Last year the debt had increased by around INR700 crores, while the current year the debt increase is INR 200 crores . So it has been come down, we have actually repaid. So, the additional buildup is through the acquisition, but the cash flow is very healthy. I think we want to just ensure that we have a right billing and right receivables and we continue to be utilizing the cash flow from an overall basis, not just thinking about repaying debt or not thinking about growth or any other investment .

Vibhor Singhal: Got it . So, the debt is not at any alarming level in our opinion and there would still be some buffer if we want to acquire to make any more acquisitions, right?

Dinesh Jain: Yes.

Vibhor Singhal: Got it. Great sir. Thanks so much for taking my questions and wish you all the best.

Moderator: Thank you. Next question is from the line of Girish Pai from BOB Capital Markets.

Girish Pai: Yes. Thanks for the opportunity. I just had few questions on the fourth quarter and the guidance you've given for FY 27. So , fourth quarter you had a 3% Q -o-Q growth in CC terms. I think of which some 130 basis points came from TeleMedik if I heard you right. So, was this quarter softer than what you thought when the quarter started? And if that were to be the case, what drove this softness?

Ritesh Idnani: Thank you, Girish, for that question. Look, Q4 was broadly in line with our expectations at the start of the quarter with two exceptions, and I called that out in our opening comments itself. The first shortfall was on account of the implementation of a key UK collections deal that shifted to the current quarter that we are in, Q1 of FY 27, because regulatory approvals took much longer than we anticipated itself. And, what I will say is that we have since received the approval and the deal is now pretty much ramped up as we speak.

And the second is in January 2026, Medicare Advantage plans entered a tighter regulatory environment. In response, some of the payers suspended the ramp -up of planned programs that were already underway while they reassess the implications. So it's a short -term timing impact on the healthcare payer revenue in Q4 .

But neither of this in our minds is structural. The UK deal as I said is now live, the payer programs are expected to resume, if anything else it actually puts even more pressure on them as regulatory clarity emerges. And excluding these timing effects, I think the underlying business momentum continues to remain strong.

Girish Pai: Okay. My second question is with regard to the yearly growth that you clocked in FY26, which is 13.6 on CC basis. How much of this was contributed by inorganic? And for FY27 this 10% to 13%, is there any inorganic component to it? So the inorganic components for both FY26 and FY 27.

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Ritesh Idnani: Yes, so if you take FY26, Pastdue Credit and TeleMedik contributed about 1.5% to the FY26 growth. Excluding this, it's about 12.1% for FY26. And the bulk of our growth still continues to be organic driven by deal wins, account mining, and new logo additions.

And as we get into FY 27, we anticipate that the contribution of the two acquisitions that we made will probably be in the range of about 2% to 2.5% going into FY27.

Girish Pai: Okay. A couple of questions on your full-stack intelligent operator strategy that you have. You come from a place where you have been very strong on the operations side, the pillar on the operations side, whereas implementation strategy are probably stronger for some of the diversified IT services companies.

So what exactly is the right to win for us? While I get the strategy and looks very interesting, but when you're competing against some of the diversified IT services companies, how would you stack up there because they probably come from owning or being part of the two, three other pillars in a much more material fashion than you are?

Ritesh Idnani: Actually, I'm glad you asked the question, Girish, because the answer is actually in exactly the way you've framed the question. The framing that you had was a lot of the diversified players have pillars. The pillars is the problem. Because the way a lot of organizations have built up, right, over the years, somebody is an IT services player, somebody is a systems integrator, somebody is a BPO, somebody is a consulting firm. And the problem is in that definition because it's inside out. It's the way firms have architected themselves; it's not necessarily the way clients buy. And that opportunity is playing out even more so right now from

from a visibility standpoint. So today what clients are looking for is that one single continuous motion.

And when we launched Intelligence that operates as the next phase of UnBPO, our intent was to say that clients today want one single continuous motion. They want a partner who can not just advise, but actually implement. That implementation could be on the technology side, it could be around modernizing what they might have, it might be around cleaning up their data, so on and so forth. But don't just implement it for us, also run the operations. And don't just run the operations, help continue to transform it. And by the way, do that in one single continuous motion without the pillars, without the silos that have historically plagued full-service firms.

The reason why we feel very good about it is because I think our size, our agility and nimbleness allows us to put the right team to solve the customer problem, and we start with the customer problem first to ensure that we're assembling the right set of folks rather than thinking about internal boundaries, which is typically the way, full-service firms might have been.

So we think we, you know, this is creating an opportunity for us to expand our surface area. It's solving a problem for the customers. And more importantly, right, it builds on our domain depth. So what's the backbone of this? Our backbone of this is our deep domain understanding of regulated workflows, and that knowledge coupled with what I just articulated allows us to go out there and underwrite an outcome.

And by the way, when we do it the first time, we gather information of how we did it, which then becomes a compounding advantage when we do the same process for a second client and a third client and a fourth client because you're building on that knowledge along the way itself. That's what the process harness that we have created as part of the Intelligence that operates is an integral building block itself. So we think it's -- it sets us up well, it expands our surface area and allows us to compete very effectively.

Moderator: Thank you. Next question is from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta: Yes, thank you for the opportunity. A couple of questions.

First, about just want to understand investment required to deliver on the strategy about intelligence that operate. How we intend to balance investment versus let's say our margin aspiration? And if you can give some sense about area of investment because

you might require different kind of talent compared to let's say traditional hiring. So broad thought process around it?
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Second question is about the considering our portfolio and composition of revenue. What kind of additional deflation or headwind you expect because of AI -led productivity expectation in existing business?

Third question is about the FY27 growth guidance. How you expect growth to play out because I think a couple of point you highlighted in your prepared remark about some of the deal which will take time to ramp up and all those things. Between H1, H2, how the growth trajectory play out?

And last question is about FY26 versus FY27 organic growth if I look at it. You indicated about 1.5% M&A contribution in FY26, which in a way implies your 12% kind of organic growth in FY26, which is likely to moderate to around 9% kind of organic growth on midpoint considering 2.5% if I take as a number.

So, seems to be slightly moderating where you have some advantage now in terms of some of the deal which were delayed likely to now start ramping up plus momentum is with you 1 billion plus pipeline. So if you can give thought process around it? Thank you.

Ritesh Idnani: Thank you, Dipesh, for that comprehensive list of questions. I'm just going to make sure that I -- you had two questions on the growth guidance and one on the margin v

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the investments required. There was one question that I missed. Could you just -- which I think was the second question that you had.

Dipesh Mehta: H1 versus H2 in terms of the some of the deal will take time to ramp up kind of narrative.

Ritesh Idnani: So let me start with the margin versus investment. I'm going to go back in time . And one of the things that if you recall when I joined in, you know, in the middle of FY24 and we had provided at that point in time how this is going to play out from a guidance standpoint and what was our thesis . We said, we'd hit a billion -dollar run rate by Q4 of FY26 , we actually crossed that in Q4 of FY25. We said margins would be flat in FY25 and then we'd see 50 to 75 basis points of margin improvement every year for the next few years for the next 3 years, so that we think a 14% to 15% EBIT band is the range at wh ich we would like to operate. We were flat on margins while continuing to make investments in go -to-market and technology in FY25. In FY26, if you look at the margin EBIT expansion, it's been roughly about 74 basis points, so we're pretty much in the higher end of the range that was th ere. And if you look at our guidance for this fiscal, we continue with our guidance for FY27 is higher than the Q4 exit EBIT, which was at 12.2, the lower end is at 12.25.

We feel comfortable with what we have seen in terms of the opportunities. And those opportunities are coming either on account of automation and AI, they're coming because of greater offshoring and nearshoring, they're coming because of reimagining of work flows on account of how we are trying to alter our ways of working itself to become truly an AI -native organization itself, and that gives us comfort on the margins. But at the same time, as you rightly called out, as we are doing some of these efficiency saves, we're also attracting different sets of folks into the organization. So, for instance, we have people who are at the intersection of domain plus AI. We have pe ople who are forward -deployed engineers. We have folks who are builders. And what they allow us to do is to unlock value, solve for the last -mile problem that typically exists with customers or even for our own internal operations to ensure that we can ope rationalize the AI itself.

So we have a new cohort of people which are different than what the erstwhile Firstsource organization might have had, and we continue to build on that. That being said, we do believe that our ability to deliver the margin guidance that we have continues to remain unchanged while we make these investments. So , in some sense, there are efficiency saves which also are allowing us to fund these investments that are coming into play. So that's as far as the first question is concerned.

Let me talk a little bit about the growth guidance because the last three questions that you had were all related to growth itself. I mean, when we provided growth, and again we've been consistent on this all altogether, what we have at a point in time is always Firstsource Solutions Limited

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line of sight or visibility to the lower end of the guidance. And then we end up having obviously pipeline and where we expect different ramps and so on and so forth to allow us to bridge the gap and get to the higher end of the guidance. And that's our visibility at this point in time.

Obviously, that continues to evolve as deal wins happen, as pipeline goes up and other variables come into play and so on and so forth. But at this point in time, as we start the year, we feel comfortable with that lower end 10% guidance that we have provided for the full year, and which as you know is at the top decile of growth guidance that is there globally today across sector, whether it's IT, BPO, so on and so forth.

The third point that is there related to the split between H1 and H2, what we don't expect this to be b

ack-ended, but rather almost spread out across the four quarters itself, so you should see this evenly playing out.

Dipesh Mehta: Understand. And can you provide some sense about the organic growth deceleration which in a way implies in the guidance?

Ritesh Idnani: Yes, so as I -- I think, I responded to this question a little while back, but we are accounting for roughly about a 2% inorganic growth to the 10% to 13% range.

Dipesh Mehta: No, I understand. Why I ask is if I look, let's say, we guided 14.5 to 15.5 at the end of Q3, we are roughly a percentage lower. Now when we are guiding 10 to 13 %, in a way it require roughly 2% to 3 % CQGR for next four quarter. Just trying to understand acquisition contribution wise now largely we have captured most of the thing.

So, considering this two, three thing, 2% to 3% is a very healthy growth CQGR what we are building in next year. So just try to understand what are the additional comforting factor which you have built and which if you can give some sense about those?

Ritesh Idnani: So, if you look at the variables that are coming into play, and let me just reiterate the comment on Q4. As I mentioned, Q4 was broadly in line with our expectations barring those two exceptions. One was the implementation of the key UK collections client which needed regulatory approvals and those regulatory approvals got shifted by a quarter. That deal is already live as we speak.

And then what we saw was a timing challenge with some of the Medicare Advantage plans itself, but those things also we expect are sorted through, both of which actually are creating tailwinds as we get into the business itself. So that's comment one. So it 's not that the revenue is gone, but rather it's deferred or delayed by a quarter itself, if you will.

Now going into FY27, what are the things that make us confident of the visibility that we end up seeing today? One is our deal pipeline is at its highest ever level today as we speak in the history of the company. Number two, if you look at the strategic logos that we have added through the course of the quarter itself, we've added about 24 strategic logos out of the 47 new clients that we added in the year. Those 24 strategic logos have opportunity to scale up.

And as we've said, a strategic logo for us is one which has the potential to give us at least \$5 million of annual business. So given that opportunity set that exists and given our track record, if you look at the last year, 50% of the strategic logos that we added in the previous 24 months we've already been able to convert that into \$5 million plus accounts.

We think we have a good track record of being able to deepen our footprint in these strategic logos itself. So that gives us the second data point that gives us comfort in terms of what we see as the opportunity itself. And third is within our existing accounts already across the portfolio, whether it's our top five, top 10 or the next rung below, you're seeing that in terms of the deepening of the client footprint that's happened.

I mean, just take one data point, right? Our \$5 million plus accounts in the last two years is up by 68%. Our \$1 million plus clients is up by 46%. Those are pretty remarkable statistics just given the fact that, I mean, if some of you may recall when I ju st joined, we talked about one of the central themes of One Firstsource is how can we deepen

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our footprints and cross -sell, upsell was going to be a big part of that from a strategy standpoint. Two years out, that's what we've been executing on.

Ritesh Idnani: Thank you. And by the way, we're still scratching the surface on that. So, I think the market opportunity is still immense. Thank you, Dipesh, for the questions.

Moderator: The next question is from the line of Shradha Agrawal from Asian Market Securities.

Shradha Agrawal: Yes, hi. Con

gratulations, Ritesh, on a strong guidance. Two questions. First of all, this BPAS healthcare deal, has it ramped up to its peak potential or do we still have some revenue to be expected in the first half of '27?

Ritesh Idnani: So, we don't comment on specific deals itself, you know, in terms of where they are at or so on and so forth. But what's fair to assume is that all our large deal wins including the transformative ones are progressing as per expected timelines and, you know, we continue to remain confident in the long-term trajectory of all of these deals itself.

Shradha Agrawal: The reason I asked this is, Ritesh, because this quarter our growth was predominantly led by healthcare vertical which grew 10% to 11%. So was just checking whether this BPAAS deal ramp-up was a good contributor to growth?

Ritesh Idnani: I think it was broad-based across several of our clients, Shradha, in the healthcare space. Yes.

Shradha Agrawal: Got it. And secondly, in your presentation in your medium-term strategy, you've highlighted vertical expansion into retail and utilities in the US and geographical expansion in Middle East as key focus areas. So, are these something that you're looking at organically or you want to build up through acquisitions again?

Ritesh Idnani: Shradha, I think what we have is a ready base of deep domain knowledge in these two verticals from the work that we have done in the UK markets already. So, our view is that we can extend some of that into the US markets. In fact, as we speak in the last three months or so, we onboarded somebody to spearhead our business from a utility standpoint in the North American region. That's already starting to bear fruit in terms of the pipeline that we've been able to build up.

So, we continue to think that, you know, we can look at doing this organically. That being said, look, we're also opportunistic on some of these areas if it's going to give us a capability gap that we don't have or it's going to allow us to get distribution access. Those have been the two vectors that we've talked about as potentially opportunities to do tuck-ins that might be the case. So, it's not that we are averse to that, but at the same time, I think we have a strong solid foundation to build and extend to the North American region, particularly for the retail and the utilities side.

Shradha Agrawal: Got it. And just last question. I think you indicated that we had inorganic contribution of close to 150 bps in FY26, but I guess Ascensos also got incrementally consolidated for five months more in FY26. So, won't inorganic component be close to 450 bps for FY26?

Ritesh Idnani: You know, so you're right, Shradha. I think our organic growth was close to about 10% in constant currency terms if you exclude Ascensos, PDC, and TeleMedik. Yes.

Shradha Agrawal: Okay. Would it be slightly lower than that, Ritesh? I think sub-10%?

Ritesh Idnani: I think it's about 9.8% to 9.9%, somewhere in that zone.

Moderator: Thank you. We will take that as a last question. Thank you. I would now like to hand the conference over to Mr. Ritesh Idnani for closing comments.

Ritesh Idnani: Thank you all for joining the call and for your questions. I want to close with a few final points. Our sales engine continues to work well. We had four large deal wins in Q4, which is the fifth straight quarter of four or more large deal wins. Our deal pipeline at over a billion dollars continues to be and in fact is at its highest ever level in the history of the company. Our execution is on track.

As you can see, we're executing well on improving our margins and last year for us was the first full year of delivering to the promise of the 50 to 75 basis point margin expansion. EBIT margins, as you know, have increased by 100 basis points over the Firstsource Solutions Limited

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last four quarters. Our cash conversion has been

strong. Our OCF to EBITDA this year is 78% and our free cash flow to the PAT is 160%. Our long-term aspirations continue to remain intact.

As I mentioned earlier, we see our constant currency revenue growth for FY '27 in the 10% to 13% range, which places us in the top decile in the industry, and we remain laser-focused on taking our EBIT margin to 14% to 15% band in the next couple of years. That's all from our side and we look forward to interacting with you again in the next quarter call. Thank you all.

Moderator: Thank you very much. On behalf of Firstsource Solutions Limited, that concludes this conference. Thank you all for joining us today and you may now disconnect your lines.